

Aarti Industries (AARTIIND)

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To,
Listing/Compliance Department BSE LTD. Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.
Scrip Code : 524208 To,
Listing/Compliance Department National Stock Exchange of
India Limited
“Exchange Plaza”, Plot No. C/1, G Block Bandra-Kurla Complex,
Bandra (E), Mumbai – 400 051.
Symbol : AARTIIND

Dear Sir/Madam,
Sub.: Transcript of Q2 FY23 Earnings
Conference Call
Ref: Regulation 30 of the SEBI
(LODR) Regulations, 2015

Please find enclosed herewith the Transcript of Earnings Call held on Tuesday,
November 15, 2022 on Audited Financial Results of the Company for the quarter
and half year ended September 30, 2022.

Kindly take the same on record. Thanking You,

Yours faithfully,
FOR AARTI INDUSTRIES LIMITED
RAJ SARRAF
COMPANY SECRETARY
ICSI M. NO. A15526
Encl.: As above.
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Aarti Industries Limited
Q2 FY23 Earnings Conference Call Transcript
November 15, 2022

Moderator: Good day, and welcome to Aarti Industries Limited Q2 FY23 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch-tone phone. Please note, that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you, and over to you, sir.

Nishid Solanki: Thank you. Good afternoon, everyone, and thank you for joining us on Aarti Industries Q2 FY23 Earnings Conference Call. Today we are joined by senior members of the management team, including Mr. Rajendra Gogri, Chairman and Managing Director; Mr. Rashesh Gogri, Vice Chairman and Managing Director and Mr. Chetan Gandhi, Chief Financial Officer.

We will commence the call with opening thoughts from Mr. Rajendra Gogri, who would take us through the performance, update on growth initiatives and outlook on the business. Post this, we shall open the forum for question and answers where the management will be addressing to queries of the participants. Just to share our standard disclaimer here. Some statements that will be made in today's may be forward-looking in nature and a disclaimer to this effect, has been included in the results presentation that has been shared earlier and also uploaded on Stock Exchange websites.

I would now invite Mr. Gogri to share his perspective. Thank you, and over to you, sir.

Rajendra Gogri: Thank you, good afternoon, everyone and welcome to our Q2 FY23 earnings conference call. We have shared our results documents and I hope you had an opportunity to go through them.

We have reported a resilient performance during the period under review which has come on the backdrop of continued inflation in key input costs both on raw materials and utilities, some slowdown in

end-user industries linked to dyes & pigments, extreme foreign exchange volatility as well as uncertainties prevailing in the global market. Our performance was a culmination of solid expertise attained in managing multiple chemistry processes with superior execution track record. We adhered to our delivery commitments thereby winning customers trust and further deepening our relationships with them. Our knowledge and capabilities demonstrated in several product value-chains linked to Benzene and Toluene is

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best-in-class and we are replicating the same to create strong foundation across other adjacent chemistry value-chains.

In a significant development, we received Hon'ble NCLT approval to demerge our Pharma business into a separate Company named Aarti Pharmed Limited. This will extensively enhance value for our stakeholders and also help us achieve operational efficiencies. Mainly, this will help both the companies to take appropriate strategic decisions in view of the growth opportunities available. We have been expeditiously working to conclude this and expect the listing of Aarti Pharmed Limited to take place sometime in December 2022.

Let me quickly share some of the key financials for Q2 FY23. Before that, let me inform you that the financials for Q2 FY22, Q1 FY23 and H1 FY22 were recasted to consider the effect of Scheme of Arrangement for the demerger of Pharma Segment from the Appointed date of 1st July, 2021. Our revenues increased by 29% Y-o-Y to Rs. 1,847 crore, with exports contributing over 50% of the total revenues.

■ EBITDA improved by 5% to Rs. 267 crore; Normalising the impact of Shortfall fees in Q2 FY22 of Rs. 52 crore, the EBITDA growth in Q2 FY23 is over 30%

■ Profit after tax stood at Rs. 124 crore

Our revenue momentum was fuelled by a stable demand trajectory for key products under the essential end usages, further aided by volume gains. As was highlighted in the past, we are seeing slower demand for products associated with the end-user industry of Dyes, Pigments, etc and to that extent the performance appears moderate. However, we expect this demand to recoup from Q4 of FY23.

While the RM and utility costs have remained elevated during the quarter, we have strong pass-through mechanisms in place, to pass on these cost pressures thereby protecting absolute profitability. We expect the elevated input cost scenario to soften in Q3. EBITDA was higher, supported by product optimization and increased export revenues. Absolute profitability levels were maintained during the period. Considering the slowdown in demand due to global factors, we have utilised this time to take up the maintenance works at our Jhagadia locations. As a result the volumes for a few products were lower in Q2 FY23. Profit after tax appears muted owing to higher finance costs due to negative FOREX mark-to-market impact of Rs. 20 crore and increase in depreciation in-line with new capacities added in the recent past. With the current performance for H1 FY23 and the visibility that we have for H2 FY23, we expect our FY23 EBITDA to be about Rs. 1,100 crs.

Now, let me turn your attention to the production details for Q2 FY23. Production of Nitrochlorobenzene stood at 20,276 MT, while the same for hydrogenated came in at 2,558 TPM. For Nitro-Toluene, the production for Q2 FY23 stood at 4,954 MT.

Production levels were lower due to the maintenance shutdown that was taken at the Jhagadia facility. This will benefit us to maximise on the operating time when the demand resumes back.

Let me now move your attention to some of the expansion initiatives announced and updates around that.

Project linked to the 1st long term contract is scaling up as expected, and we anticipate high utilisation levels of about 70% by next financial year. The recently commissioned facility that houses the 2nd long term contract is getting utilised in a phased manner and we expect to generate the EBITDA as guided by the contract terms and shared earlier. Construction and other plant-related activities associated with the 3rd long term contract at Jhagadia is progressing well and we expect commissioning towards the end of this quarter. Several other projects including

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brownfield expansion of NCB facility at Vapi are underway and will start getting operationalised progressively in next 4 quarters and thus will be contributing meaningfully from next financial year. In respect for our E

thylation capacity at

Dahej SEZ, which is operating nearly at 90% now, is being tripled with an investment of around Rs. 200 crs and is expected to come onstream in H1 FY25. We are also planning for further debottlenecking of our Nitro Toluene Capacities. The products will enable us to cater to few high growth Agrochemical

molecules/applications.

During the half year ended Sept 2022, we entailed a CAPEX of Rs. 577 crore towards growth initiatives outlined and target the annual capex to be about Rs.

1,100 to 1,200 crs. Full benefit of various of our current ongoing projects will be visible in FY24 and FY25 as we anticipate some demand recovery from Q4 of FY23. While volume ramp-up from new capacities will come in the next two years, the fixed costs will not generally rise to that level, thereby resulting in strong Gross Profit to EBITDA conversion from FY24 onwards. With these volume ramp up, we anticipate our EBIDTA to grow at CAGR of about 25% for FY 24 & FY 25

Collective CAPEX for FY 24 and FY25 is expected to be around Rs. 3,000 crore and will steer our momentum in the forthcoming period. Through this, we plan to

create newer chemical value-chains and also introduce high-potential products that will expand our addressable market opportunity and will also cater to increased demand from key end use customers.

We have built a very strong R&D team with 250+ engineers and scientists working on several high potential projects across segments including some of the sunrise sectors. Our expertise in wide-ranging chemistries with focus on technological expertise is driving gains in a sustained manner. Currently, we have 50+ products in the R&D pipeline of Chemicals at various stages, and this will help accelerate our performance trajectory. Our utilisation levels across plants are being ramped up based on steady demand. We have created a strong foundation through an integrated and well-diversified business model with relentless focus on R&D and chemistry capabilities. Our deep connections with key customers will drive sustained growth and profitability going forward as well.

The roadmap looks encouraging, and we will continue to capitalise the opportunities created through rapid shifts in global chemical supply chains. Focus

on R&D led product offerings together with incremental gains from existing value-chains will propel our value proposition.

That concludes my initial thoughts and will now request the moderator to open the floor for the Q&A session. Thank you.

. Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Aditya Khetan of SMIFS Securities. Please go ahead.

Aditya Khetan: Yes. Thank you, sir for the opportunity. Sir, first question, if you can provide the break up on the top line, i.e., from our core business and from the custom synthesis business from contract one and two. Now we can provide the breakup of our revenue into core and into the custom synthesis part?

Chetan Gandhi: The revenue from the contract would be relatively lower. I don't have the numbers right now; maybe in single digit numbers. We'll have to see the numbers and come back to you later on.

Rajendra Gogri: We can say that our value-added product, which we generally guide, 78% sales is coming from value added products.

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Aditya Khetan: Okay. So, what I wanted to know, so this quarter-on-quarter growth of 5% into top line, how much was it from the core business and how much was it from the contract one and contract two?

Rajendra Gogri: The contract one is already terminated. So there's no connection of contract one as such and as Chetan mentioned, the contract two, there is not a very significant addition in Q2, I think. So, that number will not be available hands on.

Aditya Khetan: Sir, we have also taken a maintenance shutdown. So, what was the one-off impact in this quarter and how much

in volumes has been impacted because of this?

Rajendra Gogri: Yes. Our Nitro Toluene, PDA and Chloro aniline volumes were impacted. So that's why the numbers for Nitro Toluene are also low and PDA also are low in this quarter comparatively.

Aditya Khetan: Sir, we are also doing debottlenecking of the Nitro Toluene capacities as said by you in your initial remarks. So, how much we are planning to expand on the base capacity? So, is 15-20% addition that we can take and what could be the CapEx for the same?

Rajendra Gogri: Yes. We are fine tuning the details for the future capacity. Current capacity is about 30,000 tons and we are now fine tuning the de-bottlenecking. I think around 45,000 tons is what we are targeting to debottleneck.

Aditya Khetan: 45,000 tons. What would be the CapEx, sir, similarly?

Rajendra Gogri: No, that is still being worked out. Whereas the ethylation is brownfield plan. So, there already the construction and everything has started. So that CapEx is about INR 200 crore and there we are increasing the capacity to three times from current capacity about 7,000 tons to 10,000 tons, it will become three times for ethylation.

Aditya Khetan: One last question, are we witnessing the benefit of the freight cost as of now? Is it that in this quarter we had got the benefit and that should continue or still we are witnessing that freight cost is elevated?

Rashesh Gogri: No, the freight cost is coming down, in the current quarter. So, in Q3, we will see freight cost reduction.

Aditya Khetan: So, from the current quarter we should see improvement in the margins from the freight cost?

Rashesh Gogri: Yes, from the freight part, but largely we had done freight pass through for most of the larger contracts. So, overall, we may see some improvement but it may not be a very meaningful number.

Aditya Khetan: Just one last question. On the raw materials, how is the trend now? We have been witnessing that the raw material prices are going down, like Benzene, Toluene and Phthalic Anhydride. So, this should benefit the Company and in case when the raw material prices decline, how confident are we that we can maintain the gross per ton in the coming quarters?

Rashesh Gogri: Basically the raw material prices are definitely coming down and we have a pass-through mechanism where we have a quarterly or monthly lag of passthroughs. So, whatever those lags are, we will get advantage to that effect. But largely the raw materials are also, on a one-month lag of pass on. On the export side, wherever we have three-month lag of pass on, so there we will get benefited.

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Aditya Khetan: One last question – generally, we are only focusing on the Specialty Chemical business. So, would it be possible from next quarter so we can give the revenue breakup of the Nitro Chloro Benzene or PDA segment and the Di-Chloro Benzene.

That would help to delve more deeper into the Company's Specialty Chemicals business, because now the Pharma business has been excluded? So, if possible, so if we can provide more breakup on to the numbers, that would be helpful, sir.

Rashesh Gogri: Anyway, we are providing you the quantity breakups. So, I don't know, further breakups we will have to deliberate and get back to you, how we can do that.

Moderator: Thank you. The next question is from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Hi, sir. Thank you so much for this. Two questions and just two small clarifications from me. Firstly, sir you obviously highlighted in the previous quarters regarding some challenges on the raw material sourcing side. If you can just provide an update in terms of how the situation was in this quarter and how do you see this evolving in the next few quarters? That's the first question.

Secondly, if you could just provide an update on some of your own remedial measures that you're doing, which

you'd indicated in the past quarter? Thank you very much.

Rajendra Gogri: Yes. On nitric acid, there is no significant impact of any nitric acid in Q2 and in the second half also, we don't expect much impact of nitric. This is because the overall demand in the market is subdued and some more capacity will also come out of nitric acid in the second half. So, in the next year, there will not be much issue regarding availability of nitric acid. What we had announced, our planning is to get the concentrated nitric acid plant commission in Q4 of FY24.

Vivek Rajamani: Understood, sir. Just two clarifications. On the maintenance side, which you had this quarter, did you specify what was the period of the maintenance shutdown?

Rajendra Gogri: About three weeks, in Jhagadia.

Vivek Rajamani: Got it. I'm not sure if I missed this, you gave the volume breakup, but did you also give the numbers for the PDA volumes?

Rashesh Gogri: Yes. The PDA Q2 numbers are around 242 tons per month.

Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Yes. Good afternoon, sir. Thanks for taking my questions. Just a few data related requests, if it's possible to share these on the call. One was with regards to the restated financials, if it's possible to share with us the base EBITDA and PAT for the years FY22 and FY21? That would be helpful.

Chetan Gandhi: Come again. What are you looking for?

Abhijit Akella: So, following the restatements, following which, we have only the Specialty Chemical financials now, so is it possible to get the base numbers for FY22 and FY21 just in terms of EBITDA and PAT for the remaining business.

Rajendra Gogri: Nine-months number will be available, from July '21 to March '22. I think that number is available.

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Abhijit Akella: Okay. Okay. But a full year base won't be available?

Rajendra Gogri: Yes. Because the effect appointed date was 1st July, '21. So, post 1st July, '21, we have all the quarter number for both, Chemical and Pharma separate.

Abhijit Akella: Okay. Fine. I understand. Thank you.

The second thing was just with regard to the demand softness that you pointed. So, what exactly are the factors that lead us to expect a recovery in demand in Q4

of this year? What exactly were the reasons for the margin pressure that we saw this quarter - was it combination of higher raw material costs, as well as the softness in demand? How would you describe that?

Rajendra Gogri: Yes, regarding demand, we have been in touch with the customer and there is feedback, that now there is some recovery, especially on the dye stuff side is to start coming in. Actually, on the pigment side, the impact had started little later on, so, I think there recovery also might be a little later on. So that is mainly coming from our customer side. That's how they see the demand shaping up.

Abhijit Akella: Was the margin pressure this quarter primarily because of falling Benzene costs and maybe some inventory related pressures or was it something else?

Rajendra Gogri: No, overall margin, I think there's not much different than in product mix and some raw material price and everything. Broadly, I think EBITDA will be down by about 5%.

Chetan Gandhi: On the Benzene side also, just to add on it, the Benzene prices are also fairly similar. So, the reduction as Mr. Rajendra Gogri shared, price reductions would start being seen from this quarter onwards.

Abhijit Akella: Okay. Understood. One last thing for me was, is it possible to share our volume growth number for this quarter?

Chetan Gandhi: This quarter the volume growth will be really substantially flat. It won't be anything, because we had this shutdown which was taken up.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj:

Yes. Thanks for the opportunity. First question is in terms of exports, on a sequential basis, the numbers look quite promising. So, were there any currency benefits? An allied question to that, Q2 has been pretty strong in terms of exports and in Q3, we are already one and a half months done. So, any demand related challenges from the export side that we have faced in the last one and a half months? Thank you.

Rajendra Gogri: Yes. Some of the pigment intermediates, as I mentioned earlier, are where we are seeing some challenges but the other sectors, we don't see much challenges as far as exports are concerned.

Rohit Nagraj: Right. And any currency benefit on a sequential basis?

Rajendra Gogri: I think Chetan will be able to answer on currency benefits.

Chetan Gandhi: Structurally, rupee depreciation benefits us, so, to some extent, there will be a

benefit of that which would have been there in Q2 as well. The numbers would be

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in the range of around INR8 crore to INR10 crore. The aspect is that, we do have forwards for part hedging the export, over next three years. So, there's also a limitation, in terms of not everything which is there as a part of our export is completely open. So, then the benefit is limited to those forwards and they are anyway accounted by way of mark to market accounting.

Rohit Nagraj: Right. Got it. The second question is just a book keeping question. We have reiterated the numbers for FY22. Can you give the gross block by end FY22? We have given the net block.

Rashesh Gogri: Yes. So, the gross block of FY22 should be around INR5,000 crore.

Rohit Nagraj: This is only pertaining to Specialty Chemicals, the business which is now separated.

Chetan Gandhi: It is roughly INR5,000 crore.

Rohit Nagraj: Just one last clarification. I missed the number on NCB volumes.

Chetan Gandhi: NCB volumes were 20,276 metric tonnes for the quarter.

Moderator: Thank you. The next question is from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Hi, sir. Good evening and thanks for the opportunity. Sir, couple of clarifications. First is on our Dicamba intermediate sales. So, if you can give some sense that how has been the utilization for the current quarter on Dicamba intermediate.

Rajendra Gogri: Yes, overall, I think, current quarter's is not significant. About 10% level on that but progressively I think it will go on increasing.

Rohan Gupta: Okay. So, 10% is the only utilization, while I think that by FY24 for next year, we are looking some 70% utilization, level to go up, right?

Rajendra Gogri: No, actually that is my mistake around 25% was around 720 tonnes per quarter. That will be against quarterly capacity of 2,400 tonnes. So, it will be around 25%.

Rohan Gupta: So, sir, around 25% utilization level, in this entire block related to this intermediate, will it be breakeven or it will be dragging profitability?

Rajendra Gogri: No, we expect progressively from second half onwards for the capacity utilization to increase.

Rohan Gupta: Okay. I am asking, at 25% in the current quarter.

Rajendra Gogri: Yes. Currently also it will not breakeven.

Rohan Gupta: Okay. There will be some losses there.

Rajendra Gogri: Yes.

Rohan Gupta: Sir, second is in terms of the guidance of roughly INR1,100 crore this year, you're looking in EBITDA, while almost half of that we have already done in the first half. So, you're clearly indicating that in second half there won't be any growth while we have a large CapEx commissioned already and current quarter is already weak. So, just wanted to understand the thought process that second half will be just exactly as the first half, no volume growth. What is the particular reason for that?

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Rajendra Gogri: Yes. I think the dyes and pigments segments are weak. So, I think that will continue in the second half also. That is the main reason

for lower guidance. Hopefully the things start recovering in Q4 and the next year, we don't have any impact of this slowdown in this segment.

Chetan Gandhi: Couple of capacities are coming on stream in the second half. So, there will be a component of fixed costs by way of manpower and other stuff, which will start ticking in.

Rohan Gupta: On the segments, you mentioned that the dyes and pigments is seeing a drag right now. Is it primarily coming from the European market, because of the inflationary

scenario or what is a particular reason for it? Also, in which segment, I mean like agro-chemicals and all we must be seeing a good group. So, if you can just give some segments, which are the segments that are drag and which segments where you are seeing good growth?

Rajendra Gogri: See, pigment impact is global, whereas, with dyes, the impact is more on within India as most of the dyes intermediates are consumed in India and in some exports also. On some of the agrochemicals, additive businesses are quite strong.

Moderator: Thank you. The next question is from the line of Meet Vora from Axis Capital. Please go ahead.

Meet Vora: Hi. Thanks for the opportunity. My first question was towards our earlier guidance, you were saying that that we are facing shortage of nitric acid and as a result, volumes might be impacted. So, two-three questions regarding that. So, Q2 is generally a seasonally weak quarter for nitric acid, as monsoons are going on and nitric is basically used in fertilizers. So, is it that we are facing, that demand was down because of the seasonal quarter? How do we look at it from Q3 or Q4 perspective?

Secondly, we say that while new capacities are coming on stream in Q4, what kind of visibility do we have that volumes will be shared with us?

Thirdly, more clarity on the CapEx plan; whether we will set up a concentration plant or a backward integrated plant? That will be helpful.

Rajendra Gogri: As I mentioned earlier, this year, we don't anticipate much impact of nitric in the second half because overall also, there is a demand slowdown and some capacity will come up. As of now our concentration plant order has been placed. The comprehensive nitric strategy is what we were planning to share in this call but it may take some more time and we'll come out with the comprehensive strategy.

Meet Vora: Sure, sir. And secondly, our volume growth guidance for FY23.

Rajendra Gogri: FY23?

Meet Vora: Yes.

Rajendra Gogri: I think overall we have given an EBITDA growth, I already mentioned earlier now the value-added products are increasing this year they were around 78%.

Meet Vora: Sir, stable number on the working capital since it has gone up in H2 FY23?

Chetan Gandhi: There could be a potential of that to reduce because the way freight rates and raw material prices are, there's some softness which is getting visible. So, working

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capital cycle in number of days should remain similar but on a value basis. I expect some reduction to happen.

Meet Vora: The last question from my side. Sir, has there been any change on presentation of our numbers from gross sales and net sales perspective because last quarter, our Spec Chem revenue was around INR1,750 crore, and right now, it's somewhere around INR1,680 crore. So, should we look at the net numbers or the gross numbers because last quarter our breakup of Spec Chem and Pharma, in that Spec Chem revenue was INR1,750 crore and it is around INR1,610 crore. What is the right number to look at and am I missing something or the presentation has changed or it has remained the same?

Chetan Gandhi: I don't think so the numbers are different. We can probably separately connect and see the connection. If you will see, the numbers are fairly similar.

Rashesh Gogri: I think it is the GST impact. Basically, in whatever number comparison that you are doing, so gross number, there is

a growth and also, in net number also there is a growth. So, one number that you have stated is with GST and one is without GST.

Meet Vora: Sure. So, our presentation has not changed in any form, right?

Rashesh Gogri: Yes.

Chetan Gandhi: No, no. So, we will connect separately to just give you the number.

Moderator: Thank you. The next question is from the line of Chetan Thacker from ASK

Investment Managers. Please go ahead.

Chetan Thacker: Good evening, sir. Just a question on the gross block that has been transferred to the Pharma business and working capital that has moved there?

Chetan Gandhi: We will have to pull out some numbers because the transfer is effective 1st July, '21

and that number keeps on changing. I guess the gross block, which should have been transferred would be upwards of INR1,200 crore and working capital, I'll have to pull out some numbers and check on that.

Moderator: Thank you. The next question is from the line of Mihir Damania from Ambit Asset Management. Please go ahead.

Mihir Damania: You mentioned in earlier commentary that you're expecting a 25% growth for both, FY24 and FY25. Do you have a potential range of numbers you are targeting either on EBITDA, profitability for those years?

Rajendra Gogri: Current year our target is around INR1,100 crore. So, correspondingly, 25% CAGR will be expected. Within two years, we are targeting around INR1,700 crore.

Mihir Damania: I just have one other clarification. What will be the potential impact on profitability for the maintenance shutdown that we did in one of our plants?

Rajendra Gogri: That will be around INR15 crore.

Mihir Damania: Do we expect the EBITDA margin, sorry, the absolute EBITDA number to be ranged down to what we have done in Q1 and Q2 for the next half of the year? Is it what we are looking at?

Rajendra Gogri: Yes, I think some change may happen because where there is demand pressure, there, it may go a little bit down and there is some opportunity also because of

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some shortages due to the European shutdown. On a product-to-product basis, there may be some variation because of the little unusual situation which is one, on the demand side of certain products and two, on the supply side because of the European natural gas scenario; so some shortages are taking place.

Mihir Damania: What I wanted to allude to was that – the majority benefit of any further CapEx will only be visible from FY24 onwards not any material impact we are seeing in either Q3 or Q4 of this year?

Rajendra Gogri: Yes, because mainly, in the next two years, we expect direct transfer of gross profit to EBITDA because we don't expect much of fixed costs or employee cost increase in the next couple of years, other than the normal increments. So that's why we are targeting a 25% CAGR.

Moderator: Thank you. The next question is from the line of Vishnu Kumar from Spark Capital. Please go ahead.

Vishnu Kumar: Thanks, sir. We have a CWIP of INR1,400 crore. So, just help us understand, what are the major projects that will be getting capitalized in the next 18 months and the CapEx for the current year?

Rajendra Gogri: Yes. This contract 3 will get capitalized, some other Specialty Chemical blocks and Nitro Chloro Benzene, we should get capitalized. Actually, second half, we expect capitalization of about INR1,000 crore in this year.

Vishnu Kumar: INR1,000 crore this year?

Rajendra Gogri: Yes. Basically, INR1,000 crore capitalization – this third contract and few other Specialty Chemical blocks also will get commissioned.

Vishnu Kumar: Ok. How much is the CapEx for the current year and how much have we spent till now?

Rajendra Gogri: In the current year, we have spent INR557 crore in the first six months and overall annually, around INR1,000 to INR1,200 crore will be the CapEx.

Vishnu Kumar: Next year, what are the projects that we will be capitalizing? Major projects, if you can?

Rajendra Gogri: Next year, some of these Specialty Chemical and Nitro Chloro Benzene expansion may go towards the first quarter of next year. Most of the capital WIP except this ethylation loop, we expect that, capital WIP get capitalized by the Q2 of FY24. Except for this ethylation loop, which will be commissioned in first half of FY25.

Subsequent to that, will be all the new product lines at the new location in Jhagadia, where the construction is expected to start from Q4 of this year onwards.

Vishnu Kumar: So, INR1,300 crore of CWIP and current year CapEx of about INR1,200. So, INR2,500 crore will get capitalized by the first half of next financial year. After the new capex is only going to come after '25-'26. Is that right understanding.

Rajendra Gogri: No, the ethylation loop and all also will come in the next year. That is also where we are going to spend. So, at least around INR2,000 crore will get capitalized. And subsequent to that, will be more of a normal CapEx and some debottlenecking and all. So, there will not be any significant capitalization other than this loop, which is about INR200 crore and some normal CapEx for about 12 months period.

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Vishnu Kumar: Okay. Sir, currently, I mean, if you could just give us a broad mix of revenue from end-user segment, say agro, pharma, dye stuff, or if you could give us what is the broad number, let's say last 12 months or how has been the revenue share? And once you execute your new projects, as in '24-'25, the CapEx, how should this look like in terms of end-user segment?

Rajendra Gogri: Overall, basically, agro, pharma and FMCG, which are not that much economically linked, we are around 50% and 50% will be more on our dyes, pigments, polymers and additives. So that's broadly, 50% or basically, 40% to 60% quarter-to-quarter in that. It will be more around that number and as we go forward also, this may not change much because across the board, some pharma also will increase. Means, will be increasing the numbers across the board in all the segments. So even after two years, I will not say that it's going to be a significant change.

Vishnu Kumar: Just to conclude what you're saying, you're saying, it will be more or less similar, but slightly towards agro, pharma. Is that the right understanding?

Rajendra Gogri: Currently, it is 50%, 50%, agro, pharma and FMCG and the others is 50%-50%. So, those kinds of numbers will remain. It's not like something will become 70% and other will become 30%. So, same amount of magnitude.

Vishnu Kumar: Understood, sir. Given the global slowdown, people are at least talking about and maybe if there is a slowdown, our export division, which probably the second segment which is the dyes, pigment, would this be a larger chunk of exports or which segment is currently contributing to majority of exports? I am trying to understand if there is a slowdown next year, I mean, which segment will probably see an impact?

Rajendra Gogri: Actually, Exports are more on polymer and additives and then agro and pigments.

Vishnu Kumar: Okay. Would any consideration be done if we're seeing some slowdown for the next 12-18 months? If we are not seeing much growth, then will our CapEx intensity slowdown or we will continue today? I mean, the plants are going to continue?

Rajendra Gogri: So, we have a long-term visibility of the products. So as such, we are not looking at any slowdown in the CapEx.

Vishnu Kumar: Understood, sir. And one final question would be, the closing net block as of March was INR4,400 crore. which is, as of 30th September, only INR4,000 crore. So is it right to understand that INR400 crore is the net block transferred to the Pharma division, as per the statements given?

Chetan Gandhi: So, you are comparing March versus September, so the net block transfer to Pharma would be more than that.

Vishnu Kumar: How

much would that number be, sir?

Chetan Gandhi: I believe the net block transfer to pharma should be in the range of around INR700 crore to INR800 crore, if I am broadly looking at it. We would have to reverify the numbers but it should be in this kind of range.

Vishnu Kumar: Sir, just one comparable number. I know a couple of guys have asked earlier also, if you could just give annualized EBITDA for the company, I mean only for this division or now as the company exists for the previous year? The comparable of the INR1,100 crore that you are talking last year. You could just do that number if you have.

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Chetan Gandhi: We'll have to work on it because as per the scheme, the Pharma business continues to be part of the continuing Aarti Industries for the quarter of April '21 to June '21 and from 1st July, it went off. See, how we look at dissecting that number, we'll spend some time and work on that. It will not be available right now with us.

Moderator: Thank you. The next question is from the line of Bobby Jay from Falcon Investments. Please go ahead.

Bobby Jay: Hi. Regarding dyes and pigments, what is the end user industry that's being affected? Is it textiles?

Rashesh Gogri: Yes. It is textile printing ink and also coating for the automotive. So, all these segments had been affected during last quarter.

Bobby Jay: But the auto industry, at least in India, is supposed to be picking up. So, how is it affected?

Rashesh Gogri: Yes. So, basically global auto industry and also I think in the pigment sector, there is destocking which is happening and there has been a lot of consolidation amongst the players. So, all that has also come into the effect of overall slowdown in pigments.

Bobby Jay: I see. This is in India or globally?

Rashesh Gogri: Yes. It is global.

Bobby Jay: Okay. So, you actually produce the pigment intermediates and supply to the pigment formulation companies like Sudarshan etc. Is that correct?

Rashesh Gogri: Yes. We supply to the pigment manufacturers and who in turn, supply to the printing guys and the plastic masterbatches guys, as well as the coating for automotive paint manufacturers.

Moderator: Thank you. The next question is from the line of Tejas Sheth from Nippon India AMC. Please go ahead.

Tejas Sheth: Hi, sir. I have two questions. One, the INR3,000 crore of CapEx which we are doing over the next two years, that is FY24 and FY25, what would be that for? Secondly, INR3,000 crore of CapEx for two years and INR3,000 crore odd of EBITDA for two years, so, we see our borrowing increasing on a FY23 levels as well, considering that we will be having our tax outflow and dividend outflow on that EBITDA level?

Rajendra Gogri: This will be mainly for this new range of products – Chloro Toluene and its downstreams and also, on Specialty Chemicals which we have identified. Some of this already ongoing expansion also will take place, the CapEx plan will be take place upon this second ethylation loop and also will take place in the next two years. It will be a mix of both, the Chloro Toluene related blocks, multipurpose plants at the new location and this ethylation loop, Nitro Toluene debottlenecking and some other ongoing projects which we get commissioned in first half of FY24.

Tejas Sheth: On the cash flow side, as I said INR3,000 crore of EBITDA, we would be doing and if we subtract the tax outflow and dividend outflow and also, we incur INR3,000 crore of CapEx, there would be debt increase.

Rajendra Gogri: Yes. There will be debt increase for sure.

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Tejas Sheth: Just lastly, what would be the tax rate for this year and for FY24?

Chetan Gandhi: I guess the tax rate should be in the range of around 18% to 20-21%. Next year it should be around this 18% to 20-21%, broadly.

Moderator: Thank you. The next question is from the line of Archit Joshi from B&K Securities. Please go ahead.

ase go ahead.

Archit Joshi: Hi, sir. Thanks for the opportunity. Sir, we have listed out a strategy in our presentation. So just wanted to understand if we can say some rough timeline?

Also, a question linked to the same – is it that they are interdependent? I mean you are setting up a multipurpose plant, would that translate into more custom manufacturing opportunities or the fact that you have listed, which we are looking for more strategic alliances; or is it that we are already in touch with some customers who look at these opportunities at the base business? So, if you can elaborate on these two sides. Thank you.

Rajendra Gogri: You are right. In the multipurpose plant, simultaneously, there will be contract manufacturing. Partly, the multi-purpose plant will be used for a contract manufacturing. The strategic alliance and all, they are more of different kind where there may be dedicated plants for certain customers and all that. So, they are generally at an individual, level bigger opportunities. With the contract manufacturing there maybe a variety of products or the number of the products maybe more but individual product sales may be less. That kind of a thing will happen in multipurpose.

Archit Joshi: Understood, sir. In continuation with the previous participant's question, we are looking at commissioning most of these projects before the end of FY24. Just wanted to see what kind of timelines we are looking at, be it the new chemistry that we are adding - Chloro Toluene and we would have the multipurpose plant setup, and this is other than the parts which you're doing in the base business which is the debottlenecking of say, the Nitro Toluene or adding more ethylation capacity. So, on the newer initiatives, when will those start contributing with respect to revenue?

Rajendra Gogri: It will be coming in mainly starting from second half of FY25. Second half of FY25 and FY26 will be where all the new initiatives will start getting commissioned. Whereas, the ethylation loop is expected to be in first half.

Archit Joshi: First half of FY24, right?

Rajendra Gogri: FY25.

Archit Joshi: FY25. Got it. Sure, sir. Sir, just one last question. So, I think we are looking at FY24 as a transitionary or looking at a significant volume growth with a lot of CapEx that has already gone by. What I was trying to understand is, the major projects which got commissioned in the last two-three years, most of them have been in the same part of the chemistry that we were into, except for the two contracts that you might have a full-fledged utilization on.

So, barring these two, what exactly is materially changing, going from the second half FY23 to FY24 that we are kind of assuming that a lot of fixed cost will get subdued and operating leverage will start peaking and there will be a vertical growth, because currently as you have been pointing out that certain pockets where we are supplying products to, be it dyes or pigments, those still continue to be under pressure. So, is it that we do expect some meaningful recovery

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happening in FY24 or is there something else to it that some new customers have been added or some new products have come into the portfolio?

Rajendra Gogri: Yes. Some new products are also coming in and Nitro Chloro Benzene will be additional where substantial part goes into pharma and polymers. Also, the slowdown in dyes and pigments, we don't expect that to be continuing for a very long time. Definitely by FY25, it has to become a normal year. Whatever the slowdown which we are witnessing in the current year, we expect that, by FY25 at least, dyes and pigments should become normal and contribute to the volumes.

Moderator: Thank you. The next question is from the line of Pujan Shah from Congruence Advisers. Please go ahead.

Pujan Shah: Hi, sir. My first question would be, let's suppose we didn't do this maintenance shut down for three

weeks, what would be the volume growth in H1? It would be around 5% or it would be less than that?

Chetan Gandhi: You're talking about the current Q2?

Pujan Shah: Yes. I am talking about H1, where we are saying that the volume was flat. One of the reasons is because there was a maintenance shutdown in our plant. So, let us hypothetically think that the plant had not gone for the maintenance CapEx, would the volume have been flat or would there have been something of a more marginal improvement in the volumes?

Rajendra Gogri: One of the reasons for maintenance shutdown was that there was a pressure in demand. So, overall, it won't be much different, maybe 2-3%.

Pujan Shah: I just wanted to know your outlook on dye and pigment for H2 FY23. Would it be like this sluggish demand as we are witnessing in Q2 or it would see some improvements or we'll see the witness of the base where we have built the base and now there is only an improvement going forward for the dyes and pigment?

Rajendra Gogri: Dye stuff will recover faster. The pigment side the impact had come later on. As Rashesh bhai mentioned, some destocking and everything taking place. So, some recovery on the dyes side may be achieved in Q3 and pigment might take Q4 and all that. So, slowly it might happen.

Pujan Shah: So, the demand has been strong. We are witnessing this due to destocking. So, we are expecting improvement in demand coming forward after this destocking gets concluded on the distribution side. So, that's what our idea is?

Rajendra Gogri: Yes.

Moderator: Thank you. The next question is from line of Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha: Yes. Thanks for taking my questions, sir. Some of my questions are already answered.

Just wanted to know understand, as we as mentioning that almost 70-75% of products are value-added products for us. So, which are the industries where we are having this kind of exposure or it is across the industry where we are supplying? Going forward, which industry will be focused for us to add more value-added products in that particular industry?

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Rajendra Gogri: Our end-user industries are quite varied across the board and this Chloro Toluene range will be dominated by pharma and agro intermediates. So, we don't see much polymer intermediates and all coming in that new range of products. That will more on pharma and agro, some in dyes and pigments.

Rohit Sinha: And that will be benefiting to all margin expansion?

Rajendra Gogri: Yes. There are going to be more value-added products also. So, EBITDA per kg is also expected to be higher, in that range, but that will start having an impact only over from FY26 onwards.

Moderator: Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Hi, sir. Thanks for taking my question. On the other expenses which are they're going up pretty sharply on QoQ on a YoY basis. So, are there any specific drivers for that, sir?

Chetan Gandhi: No, so one of the components would be – if you look at the exports, which generally was in the range of around 40-45%, this quarter it is around 50% and the higher freight cost on exports has kind of moved the other expenses up. So, I don't see any major upticks apart from the export and so. On YoY basis something related to some maintenance, but other than that, it is fairly in line.

Nitin Agarwal: Typically in the past, you've given for the combined business, a three year guidance for '24 and '27. Now, in the context of where the Chemical business is, how should we look at it, may be FY23 numbers, maybe numbers for FY24, FY25, FY27 as you have guided in the past for the Chemical business?

Rajendra Gogri: For FY25, we have already guided. We have guided for FY23 and the next two years. For FY27, I think we will come up with the guidance in the next couple of quarters. We will

have a comprehensive guidance for FY27 also.

Nitin Agarwal: So, we should assume that FY22 our EBITDA for Spec Chem was INR1,100 crore. So, INR1,100 crore compounded at 25% for the next two years.

Rajendra Gogri: Yes. That is how it will be.

Moderator: Thank you. The next question is a follow from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Hi, sir. Thanks for the follow up opportunity.

Sir, in terms of our nitric acid problems which we faced in the first half, you mentioned that definitely in Q2 we have not faced any such challenges, so did you see that the raw material, I mean the nitric acid prices were still volatile and that had some impact on our gross margins or you see that the availability and the pricing, both have corrected?

Rashesh Gogri: Yes. The nitric acid prices are dependent on the ammonia prices and globally due to the Ukraine war, overall, the ammonia prices have increased significantly and they are at around \$1,000 level. So, due to that, overall, the nitric acid prices for the first half have remained significantly higher due to the ammonia pricing. Once the war and other external pressures ease out, then the prices will come down.

Rohan Gupta: So, sir, in the current scenario, when we see the Benzene prices should have started moderating and nitric acid also, so, you see that the raw material prices

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broadly have started coming down. How do you see that in terms of our percentage margins? So, should we go back to EBITDA margins of almost 24% kind of range with the moderation in the raw material prices or with the values, you see that the margin profile can be even better than earlier?

Rajendra Gogri: No, generally, it will not affect the EBITDA margin as such. Generally, it is more on absolute EBITDA. Depending on some correction in raw material prices if they take place, then obviously, margins as a percentage will increase, but any specific number will be difficult.

Rohan Gupta: From this Nitro Toluene chain, the product development which you are working on and expecting to commission by FY 25, how has been the customer acceptance and have we started demonstrating the products and started doing the sampling for these products or is there still some time from the customer acceptance?

Rajendra Gogri: No, the existing products only we are supplying to the customers. The customer acceptance is not needed. We are already making these products. It is more of volume expansion for the same range of products.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference back to the management for their closing remarks.

Rajendra Gogri: Thank you everyone for taking out the time to join us on our Q2 FY23 earnings conference call. Hope we have addressed all your questions. If you have any further questions, please feel free to contact our Investor Relations team, and we will address them. Stay safe and we look forward to connecting with all of you again in the next quarter. Thank you once again.

Moderator: Thank you. Ladies and gentlemen, on behalf of Aarti Industries, that concludes this conference. We thank you all for joining us and you may now disconnect your lines.

Call: Feb 2023

Fe
bruary 13, 2023
To,
Listing/Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.
Scrip Code : 524208 To,
Listing/Compliance Department
National Stock Exchange of
India Limited
“Exchange Plaza”, Plot No. C/1, G Block Bandra-Kurla Complex,
Bandra (E), Mumbai – 400 051.
Symbol : AARTIIND
Dear Sir/Madam,
Sub.: Transcript of Q3 FY23 Earnings
Conference Call
Ref: Regulation 30 of the SEBI
(LODR) Regulations, 2015
Please find enclosed herewith the Transcript of Earnings Call held on Monday,
February 6, 2023 on Audited Financial Results of the Company for the quarter and
nine months ended December 31, 2022.
Kindly take the same on record.
Thanking You,
Yours faithfully,
FOR AARTI INDUSTRIES LIMITED
RAJ SARRAF
COMPANY SECRETARY
ICSI M. NO. A15526
Encl.: As above.
Page 1 of 17

Aarti Industries Limited
Q3 FY23 Earning Conference Call Transcript
February 06, 2023

Moderator: Ladies and gentlemen, good day and welcome to Aarti Industries Limited Q3 FY23 Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' and then '0' on your touchtone telephone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Nishid Solanki of CDR India. Thank you and over to you, sir.

Nishid Solanki: Thank you. Good afternoon, everyone and thank you for joining us on Aarti Industries Q3 FY23 Earnings Conference Call.

Today, we are joined by Senior Members of the Management Team including Mr. Rajendra Gogri – Chairman and Managing Director; Mr. Rashesh Gogri – Vice Chairman and Managing Director and Mr. Chetan Gandhi – Chief Financial Officer.

We will commence the call with opening thoughts from Mr. Rajendra Gogri, who will take us through the performance, update on growth initiatives and outlook on the business. Post this, we shall open the forum for question and answers where the management will be addressing to queries of the participants.

Just to share our standard disclaimer here: Some statements that will be made in today's may be forward-looking in nature and

a disclaimer to this effect, has been included in the results presentation that has been shared earlier and also available on Stock Exchange websites.

I would now invite Mr. Rajendra Gogri to share his perspectives. Thank you, and over to you, sir.

Rajendra Gogri: Thank you, good afternoon, everyone and welcome to our Q3 FY23 earnings

conference call. We have shared our results documents and I hope that you had an opportunity to go through them.

We have reported resilient performance during the quarter and nine-months period under review as reflected by higher share from value added products driving better

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profitability. This was achieved despite a decrease in demand across some end-user categories which we believe will reverse back by next year. Our teams responded promptly to the dynamically changing situation and utilised their

expertise to maintain a strong performance by optimising the product mix and market opportunities. The share of value added products in Q3 FY23 was about 81%. Our expertise and competencies in multiple product value-chains related to

Benzene and Toluene remains exceptional and we are leveraging these strengths to establish a solid foundation in newer chemical value-chains, which will further boost the Company's profitability.

As you all know, during the quarter, we saw two key developments:

■ The first significant event is that we signed a binding 20-year term-sheet with Deepak Fertilisers for supply of Nitric Acid, worth more than Rs. 8,000 crore. This is a historic partnership which will greatly help us in the long term and ensure that we have a steady and adequate supply of this crucial

raw material. This comes into effect from 1st April, 2023 as disclosed earlier, and eliminates the need to invest into backward integration for concentrated Nitric Acid.

■ The second progress is the demerger of the Pharma entity of Aarti Industries into a separate Company – Aarti PharmaLabs Ltd. The record date was 20th of October, 2022 and the new company was listed on the stock exchanges, both NSE and BSE on the 30th of January, 2023.

Now coming to the financial performance for Q3 FY23. The financials for Q3 FY22

and 9M FY22 have been re-casted to consider the effect of Scheme of Arrangement for the demerger of Pharma Segment from the Appointed Date of 1st July, 2021. Further we had looked to exclude the shortfall fees and termination fees

received in FY22, arising out of cancellation of the first long term contract, to draw an appropriate comparable. As per this, during the quarter under review:

■ Revenues increased by 12% Y-o-Y to Rs. 1854 crore, with exports contributing over 48% of the total revenues.

■ EBITDA improved by 26% Y-o-Y to Rs 289 crores.

■ Profit after tax stood at Rs 137 crores

■ Considering these performances, the Board has approved an interim dividend of Rs 1/- per share (i.e 20% of the Face value of Rs 5/- each)

Demand was steady for key products under the essential end usages, further aided by volume gains. As mentioned, demand for products pertaining to Textiles end-use industry remained impacted and to that extent the performance appears tapered. We expect demand recovery to come in from the first half of next fiscal

year. Having seen some decline in the raw materials prices in the last quarter, and the impact of that might partly be seen in Q4FY23, the prices of a few raw materials are seeing some upside in the last few days. Having said that, we have

robust pricing mechanisms in place to mitigate the impact of inflationary cost pressures, whereby the same is passed on to the customers thereby protecting absolute profitability. Our profitability was further bolstered by the contribution of

products with high growth and better margins. We are happy to report that against the guided EBITDA of about 1100 crores for FY23, we have already achieved the EBITDA of about 837 crores in the 9M FY 23. We are constantly monitoring the

developments with reference to the ongoing global recessionary trends and will

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work to optimise our product mix to mitigate the same to be able to meet the guidance given earlier. As you would have noticed, depreciation for the quarter has increased and is in line with our expectations, this is on account of the

commissioning of our ongoing projects. With continuing depreciation of Indian Rupee against US Dollar, the M2M loss of about 11 crores in respect of our unhedged ECBs were provided for and has resulted the increase in the borrowing costs.

Now, let me turn your attention to the production d

etails for Q3 FY23. Production of

Nitro chlorobenzene stood at 18199 MT, while the same for Hydrogenation came in at 2995 TPM. For Nitro-Toluene, the production for Q3 FY23 stood at 7528 MT.

I will now take you through some of the expansion initiatives announced and updates around that.

■ We are pleased to announce that the Plant associated with the 3rd long term contract had been commercialised by the end of Q3 FY23 at our Jhagadia facility. We expect that the ramp-up as per the contract terms will kick in from coming quarters.

■ Other projects, including brownfield expansion of NCB facility at Vapi and few other speciality chemical blocks, are progressing well. These will become operational in over next couple of quarters and start contributing from H2 FY24.

■ We have started the initial work around expanding the Ethylation capacity at Dahej SEZ, by 3x with an investment of Rs. 200 crore. Further as shared last time, with our NT capacities reaching over 90% utilisations, we have commenced the works related to debottlenecking of our Nitro Toulene

Capacities. We target the capacity increase by about 50% with an objective to cater to certain high growth applications in agrochemicals. We expect both these units to commercialise in H1 FY25.

During the nine-months period, we necessitated a CAPEX of about Rs. 840 crore towards various expansion opportunities shared previously. Our target annual capex will be in the range of Rs. 1100-1200 crores for FY23. Our volume growth from new capacities will occur in the coming two years, but the fixed costs will generally trail the macro inflation, thereby yielding a robust Gross Profit to EBITDA conversion starting FY24. Based on solid business visibility, our EBITDA growth guidance for FY24 & FY25 stands at a CAGR of 25%.

The collective capital expenditure target for FY24 and FY25 remains unchanged, at about Rs. 3,000 crore and will drive strong momentum going forward. This will be aimed towards developing new chemical value-chains and introducing high-potential products that will broaden the addressable market size and respond to increased demand from key customers.

As a Company, we have set our sights high for growth and have taken decisive actions to ensure that we remain at the forefront of our chosen chemical skillsets. Additionally, we see great potential in new chemical value chains and are poised to leverage our expertise to capitalize on these opportunities. The results of our past initiatives will become evident in the next two years, and we are confident in our ability to deliver on expectations. This confidence stems from our commitment of best-in-class manufacturing processes, continuous process enhancements, a strong R&D focus and an unwavering commitment to innovation. Our supreme objective is to create value for our shareholders by taking advantage of favourable industry trends.

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That concludes my initial thoughts and will now request the moderator to open the floor for the Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, first question is on Q-o-Q basis, our gross profit has been more or less flattish, rather marginally declined, however, we have said that the value-added product's contribution has been higher during the quarter, so does it mean that the discretionary part of portfolio actually had more impact during the quarter and

because of which the absolute gross profit has been flattish on a Q-o-Q basis?

Rajendra Gogri: Yes, I think discretionary is a little bit pressured on the dye side, but other sides, we didn't see much impact in Q3 overall.

Rohit Nagraj: Sir, second question is – earlier we were targeting that part of our CAPEX will also go for the Nitric Acid part of the business, either on weak Nitric Acid or Con

centrated Nitric Acid, but now since we have got this deal with Deepak Fertilisers, still our CAPEX remains unchanged for FY24-25, so this capital allocation, which was probably earlier done for the Nitric Acid, which part of the business will it be allocated now?

Rajendra Gogri: Our current product, more or less all the CAPEX is ongoing except the two of Nitrotoluene and Ethylation block which will be commissioned in FY25. Everything else should be commissioned in Q4 FY23 and FY24 and the new product line for Chlorotoluene and Multipurpose Plants which is where the additional CAPEX will go.

Moderator: Thank you. The next question is from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: This is Vivek Rajamani from Morgan Stanley. Sir, two questions from my end, could you provide a bit more color on the kind of demand trend that you are seeing in your key end segments, particularly if you could just clarify on what is specifically driving the weakness you are seeing on the Textiles side.

Rajendra Gogri: Textiles slowdown has been going on for couple of quarters. I think that is because of global demand slowdown because of which there is high inflation and all. Even countries like Bangladesh, Turkey and the like, were facing problems. But now currently, some global recessionary trends are also visible in other segments also i auto, etc.

Vivek Rajamani: Sir, my second question – on all of your ongoing projects, when once are progressively commissioned over FY24 and possibly FY25, could you touch upon how your revenue exposure could change in terms of your end segment exposure?

Rajendra Gogri: End segment exposure, more or less, it would be around 50-50 with the current ongoing expansion, so our FY25 number will be more towards similar 50-50, but Chlorotoluene and Multipurpose Plants, I think will be more on pharma and agro. Going forward, I think there will be some increase on pharma and agro beyond FY25.

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Moderator: Thank you. The next question is from the line of Niteen Dharmawat from Aurum Capital. Please go ahead.

Niteen Dharmawat: My question is how much CAPEX is spending now including the maintenance CAPEX and what is the revenue there that we will have from this CAPEX?

Rajendra Gogri: This year, we have spent around Rs. 840 crore and for this year around Rs. 1,100 to Rs. 1,200 crore and next two years what we have guided is Rs. 3,000 crore. So, with the current ongoing expansion, except Nitrotoluene and Ethylation, more or less everything will get commissioned by the first half of FY24.

Niteen Dharmawat: And what is the revenue there that we are expecting considering the current prices?

Rajendra Gogri: We are targeting Rs. 1,700 crore EBITDA by FY25. Generally, revenue guidance depends on the raw material, but it should be upward if you take 5 times Rs. 8,500 crore plus.

Moderator: Thank you. The next question is from the line of Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: Sir, in this quarter, I think some revenues must have also flown from the second contract, if we were to adjust for that, has our base business seen some volume growth given that we are still seeing some challenges on the dyes and pigments portfolio? Have we been able to mitigate the effect of those pinpoints by addition of some other products, if you can guide something on that front?

Rajendra Gogri: If you remove the shortfall fee and the termination fee, overall EBITDA growth has been about 26%, so there is a growth because of the second contract as well as increase in the volume of our regular products also in Q3 compared to the Y-o-Y number.

Archit Joshi: Sir, just volume growth that you are talking about in the base business, does that seem to be sustainable maybe in the next two quarters even, as you have mentioned in the presentation for 2 to 3 more quarters. We are seeing some challenges again in the dyes and pigments portfolio, so even without that would we be able to maintain this volume growth?

Rajendra Gogri: Yes, overall, we will see that the volume growth will happen, but sometimes for some of the products we may have to put them into non-regular markets. So, generally, we will try to keep the volumes, but the non-regular market may tend to have lesser margins.

Archit Joshi: Sir, and another thing that I noticed in the presentation was a couple of new technologies that you have spoken about, the Vapor Phase and the Continuous Flow, I think this is the first time we are mentioned of such a thing in the presentation or on the con-calls. Any color that you can give on this if this is going to be embedded in our existing facilities or if there is going to be a change in some process or if this is going to be targeting a completely new product set, anything on that end?

Rajendra Gogri: No, this would be for the new product lines basically. For the existing product, we are not changing any processes.

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Archit Joshi: Some more elaboration, sir if possible, what kind of streams are there in this technology?

Rajendra Gogri: Yes, in Chlorotoluene, we will be doing a lot of downstream production, a lot of new chemistries will come and also, in our Multipurpose Plants we have identified some products which will have this kind of chemistries.

Moderator: Thank you. The next question is from the line of Sagar Sanghvi from JP Morgan. Please go ahead.

Sagar Sanghvi: Sir, I have two questions, one is on the longer term – we had earlier given a guidance for FY24 and FY27 where our bottom line increases up 2x or 3-4x, does that still remain the same and what will drive it? The second is, you had mentioned about a turnaround in discretionary demand in the next 2-3 quarters, so again what

will drive this turnaround given that there is a recessionary environment moving over?

Rajendra Gogri: Overall, guidance both FY24 and FY27 we should be able to achieve. General slowdown, that we see from the customer end and everything, that can last about next 2 to 3 quarters, I think that is the broader feedback what we are getting from the customer side.

Sagar Sanghvi: If I can just slip in one more question, on the tax rate how do you look at tax rate going ahead because you have been getting some tax breaks, does that continue with these new plants having been commissioned?

Chetan Gandhi: The new facilities coming in have for the initial period a higher depreciation under IT and this is where there will be certain tax benefits available, plus we have few units operating in SEZ, couple of other tax swaps which will be there for few years, so the tax rates will continue to remain softer.

Sagar Sanghvi: So, it should be ballpark in 20% range?

Chetan Gandhi: I guess it will be lower than that.

Moderator: Thank you. The next question is from the line of Surya Narayan Patra from Phillip Capital. Please go ahead.

Surya Narayan Patra: I have couple of questions, first question is about the crude price correction and the significant correction in the freight cost that we have seen in the recent past – has the full impact of this been seen already in the revenue and the product prices or is that yet to be seen in the subsequent quarter, sir?

Rajendra Gogri: Generally, for domestic, it gets passed on a month-to-month basis as far as the Benzene and Toluene prices are concerned. In exports, it has to have, where we have contractual, it gets passed on with a quarterly lag basis, but Benzene again has started showing some upward trend in the month of January, so February prices have again gone up and freight has further softened in Q4 overall.

Surya Narayan Patra: So, in fact sir, that was a kind of a concern that possibly the revenue growth number will be impacted because of the correction in the freight as well as crude and what we are seeing in this quarter is that the growth is larg

ely contributed by

the stronger almost like 38% kind of growth in the exports whereas the domestic prices possibly we have seen the impact of this correction already, hence the
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growth has got softened. So now considering the kind of slowdown concern what you are indicating and this quarter's performance and also the likely repricing of the products are driven by the crude and freight, so should we build any kind of concern for the export growth in the subsequent quarter?

Rajendra Gogri: Yes, as far as the freight is concerned, generally freight has been also more or less a pass through with the customer, sometime with a lag because the kind of freight which has increased in the last couple of years, there is no option, but to pass it on to the customer in that sense because some decline in regular export market is there, so we will have to reshape all the products. There will be some impact on the export demand in coming quarters.

Surya Narayan Patra: While the export demand would be a kind of for concern, but considering the ramp up in the multiyear supply contracts that we have just initiated or the third contract which is getting initiated now and that the demand concern will be overcome by these new product introductions, is it fair to believe, sir?

Rajendra Gogri: This will be the first quarter, so ramp up will take time because of these new contracts.

Surya Narayan Patra: Sir, just an extension to this one, what is the cumulative CAPEX that you would have done for all these three multiyear contracts, because the third contract has also now commissioned? We know that these multiyear contracts are the downstream products of our existing line of products, so what is the complementing CAPEX that we would have done in our existing products along with the multiyear contract CAPEX? If you can share these two things that will be helpful.

Rajendra Gogri: Actually, second and third is not of a downstream kind, it is more of an independent, second and third contract. The first contract which got cancelled was more of an integrated kind. The direct expense of all of the three contracts will be, maybe around Rs. 1,000 crore and if you take indirect, maybe another Rs. 300-Rs. 400 crore extra because of that.

Surya Narayan Patra: So, that means Rs. 1,400 crore kind of CAPEX which has not kind of contributed anything is likely to be the growth driver for FY24?

Rajendra Gogri: Now, the second contract is already contributing, right.

Surya Narayan Patra: But that is in the initial stage of ramp up, right, sir?

Rajendra Gogri: No, second contract has fully ramped up. This is the third contract which we have commissioned now in Q3 of FY23 which will be going on a ramp up phase next year.

Surya Narayan Patra: With regards to the margin outlook, how should we see this? You had indicated

that the newer projects which will be starting from FY24 and are likely to have a margin profile in the range of 25-30%. So, since we are almost approaching FY24 and currently our blended margin what we are witnessing is in the range of around

15-16% level and the newer projects are likely to have the margin profile of 25%

plus - so the blended kind of scenario, what should it be, could you give some sense on that because it is quite clear that the growth on the EBITDA side, is likely

to flow in as indicated, but on the margin's front, how qualitatively is that going to be changed?

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Rajendra Gogri: Actually, the value-added product sales will be starting mainly from FY25. So, the impact of the high margin will be coming post FY25. So, slowly the percentage share of this high, more value-added product goes up and overall gross margin at the constant raw material will increase beyond FY25.

Surya Narayan Patra: Just lastly, a small question sir, is it possible to share what is the cumulative R&D spend, although it is not a line item for us, but what is the R&D spend that

we

should be doing for a year as a percentage to sales?

Rajendra Gogri: It will be about 1%.

Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Just first of all on the EBITDA for the quarter on a sequential basis, it is of about

8%, it seems to be driven primarily by lower other expenses which seem to have fallen quarter-on-quarter, so is this margin expansion largely due to the fall in

freight costs and may be power and fuel costs as well or would we have to pass

this on to customers and instead grown volumes on a sequential basis – what exactly is the reason for this and in case it is related to a decline in expansion, do

we need to pass this onto customers in the subsequent quarter?

Rajendra Gogri: No, the expansions are generally not passed on. If you see Q2, we had that maintenance shutdown which has resulted in higher expenses, that partly got corrected in Q3, so it is the raw material and the freight which gets passed on to the customers in general, but there is some volume growth and some saving in expenses which is part of the contribution on EBITDA.

Abhijit Akella: So, this can be retained?

Rajendra Gogri: Yes.

Abhijit Akella: On the second long-term project that has been commissioned, is it possible to just share what revenue run rate it is operating at right now?

Rajendra Gogri: We will not have an immediate number on that I think.

Abhijit Akella: Or even the first one, has it ramped up compared to the 15-20% utilization rate that was quite earlier?

Rajendra Gogri: First one is still slower, we had taken a shutdown in this Q3 for that, but the demand of that downstream product is slow overall.

Abhijit Akella: On a Y-o-Y basis, is it possible to share some volume growth number?

Rajendra Gogri: Because we have too many different products, generally the volume growth numbers we are not sharing or taking out. Overall, the value-added percentage was about 81% in this quarter.

Abhijit Akella: So, one of the things was just that you have spoken about the softness in Textiles which will probably hopefully fade away in 2-3 quarters, we also spoke about Auto showing some signs of softness and there is also lot of talk in the industry about agrochemicals sort of seeing some demand weakness because of high inventories

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worldwide. So are you seeing some signs of softness there as well and how do you expect these industries to shape up in coming quarters?

Rajendra Gogri: Yes, Agro is more molecule specific, so some molecules we are seeing that, other molecules they are quite strong, so it becomes very molecule specific inventory impact and we don't see that impact not more than a quarter on inventory correction on agro for some of the products, but not all of them in that sense.

Abhijit Akella: One last thing, just on the CAPEX that has been incurred, on Chlorotoluenes and then on the asset upgradation initiatives, is it possible to share some figures with us regarding how much is being spent there and what sort of economics we are expecting from that in terms of revenues and profits?

Rajendra Gogri: The Chlorotoluene spending will start from the next year actually, FY24, so till now the major expenses have been on our existing product line, all these contracts and expansion from asset restoration on the existing product line and some few speciality chemical blocks.

Abhijit Akella: Is it possible to just break that up, sir for us, the asset upgradation and the Speciality Chemical lines, how much have we spent exactly?

Rajendra Gogri: That bifurcation, we will not have handy.

Abhijit Akella: Maybe I will connect separately with you on this.

Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI

Prudential. Please go ahead.

Keyur Pandya: I think it has been partly answered, just wanted to understand if you can give some idea on contract

one and two, on what we had earlier guided versus, what current rate that we are right now? Where we are running at as far as contract one and two are concerned?

Rajendra Gogri: Yes, contract two expansion we are as per our original guidance. For contract one, the demand is slow, so in general what we had guided was about maybe 30-40% this year and may not materialize where contract one is concerned.

Keyur Pandya: Contract two would be Rs. 200 crore per annum when stabilizes right?

Rajendra Gogri: No, that is more about Rs. 500 crore, but it is not purely and directly related to the topline the way it is structured, EBITDA is generally protected coming out of second contract.

Keyur Pandya: Sir, on contract one, you mentioned is probably the end product is also facing some slowdown, as in absolute terms what kind of revenue should we expect, either say FY23 or FY24 after considering that slowdown?

Rajendra Gogri: FY24, I have to take some number out of that, maybe around Rs. 200 crore, but the margins are still under pressure in those lines.

Moderator: Thank you. The next question is from the line of Rohan Gupta from Nuvama.

Please go ahead.

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Rohan Gupta: Sir, first question is on our start of Q1 after pharma demerger in Q2 we mentioned roughly Rs. 1,100 crore kind of guidance for EBITDA for FY23 looking at the current number and you have mentioned that there is some pickup in the demand environment, what kind of numbers one can expect now, is there any upward reasons there given the 9 months number?

Rajendra Gogri: No, overall, I think as mentioned there is some global slowdown, so we are not revising guidelines. We will try to reshuffle the products and everything to meet the guidelines of roughly about Rs. 1,100 crore.

Rohan Gupta: Sir, second question is in terms of our Aarti Pharma, what kind of sales we do from there, we are supplying some intermediates to them because earlier some intersegmental sales was there, so what kind of business is coming right now from Aarti Pharma, we have anything on that?

Rajendra Gogri: No, we don't have any significant sale to Aarti Pharma.

Rohan Gupta: So, there is not significant revenues coming or going to Aarti Pharma?

Rajendra Gogri: No.

Rohan Gupta: Sir, just an observation on the current quarter numbers and trend like that purchase of the stocks in trade has gone up significantly with roughly Rs. 126 crore while we always had adjusted Rs. 60 crore kind of trading business, so what is this? Why, all of a sudden, is there a sharp increase in purchases of stocking trade, any particular product commissioning or lack of any existing intermediate which we were manufacturing and have to buy from outside?

Chetan Gandhi: Yes, one of the reasons for this increase in that was the transitional period because the demerger was effective on 20th of October and there were certain

orders which would have been received by us in the name of Aarti Industries for the pharma business, so those orders we still have to continue servicing from Aarti Industries, so it is more of a transitional period activity, nothing beyond that.

Rohan Gupta: Sir, just last from my side on the contract one, you mentioned that the products after the termination, we are still running on the 30-40% kind of utilization. You mentioned that there is a global weakness in the demand environment for Dicamba Intermediate, do you see that this environment or the sluggishness in the Dicamba Intermediate will continue or you see that there is a sharp pickup happening or are we evaluating any possibility of further forward integration in complete Dicamba which we had once planned for that or can you break it in part and use partially these capacities also, facility also for making some other chemicals as well?

Rajendra Gogri: Yes, currently basically, we are looking at slowdown in that even FY24, we don't expect that what we have guided 70% may not hap

pen, so overall we are evaluating under our strategy on that whether we can go downstream or we can try to convert the other line into some other products where we have two different lines in that. So, that detailing we are trying to work out how to optimize those assets.

Rohan Gupta: So, if I understand rightly sir, I think that including the peripheral investments in excess along with this contract we had some Rs. 800 to Rs. 850 crore investment made in this and at the current level 30-40% utilization or maybe even not looking at 70% utilization next year, so it means that it will not contribute anything to the bottom line with these run rate and Rs. 800 crore to Rs. 900 crore investment will not fetch anything, is that understanding correct, sir?

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Rajendra Gogri: No, these are the downstream components which will not be utilized. The upstream, we will be starting to giving to the other products. This particular molecule doesn't have much use, but the precursors that we are now going into the other markets.

Rohan Gupta: So, the ancillary investment which we have made along with this project, that is being utilized now, that is only the Rs. 600 crore investment which we made.

Rajendra Gogri: Yes, correct, that will get ramped up in the next two years to almost fully utilized level.

Rohan Gupta: So, it is only related to this plant which was I think the investment was Rs. 600 crore if I am not wrong?

Rajendra Gogri: Around Rs. 500 crore was coming from this plant.

Rohan Gupta: So, that investment will still fetch you lower utilization of just only 70% and where we are evaluating further possibility of getting into other products?

Rajendra Gogri: Yes.

Chetan Gandhi: Just one more thing on this, as regards to that investment, just to refresh, that is largely a significant component of termination and shortfall compensation, so the investment is substantially funded out or cashed out, so technically there is no cash flow which has gone into that.

Rohan Gupta: Yes, that we understand because you already got the termination fees along with the two years EBITDA number, that we understand, that is already mentioned in the balance sheet, right?

Chetan Gandhi: Yes.

Rohan Gupta: Just last from my side sir, last time we have guided for further reduction in debt and we mentioned that roughly, last quarter debt was at peak levels, so do we see that the working capital has gone up in between, what kind of debt level we are looking at year end?

Chetan Gandhi: So, again the debt level should be virtually a bit lower than what we had seen on the peak part, may be around Rs. 2,600-2,700 crore debt level could be seen, so some part of it is because of reduction in the commodity prices or the freight cost and other thing which is resulting in the reduction in working capital.

Rohan Gupta: So, still it will be Rs. 2,700 crore you are talking about the gross, what kind of that net debt number?

Chetan Gandhi: No, I am looking at more or less gross and net would be similar.

Rohan Gupta: This I am asking because we looked at when in Q2 concall you mentioned that this is the peak debt and we will see some reduction in net debt level and this can come down by year end.

Chetan Gandhi: We already done some reduction.

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Moderator: Thank you. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: First question on Slide #9 wherein we are saying that (+50) products are in the pipeline from R&D perspective, are these products largely for the existing value chain or these are the new value chain that we have talked about?

Rajendra Gogri: Yes, these are mainly from the new value chain, but some from the existing value chain also, but more than 3/4th will be of new value chain.

Ankur Periwal: So, from a timeline perspective these will be FY24 onwards getting commissioned, right?

Rajendra Gogri: Yes, FY

25 onwards.

Ankur Periwal: And sir, second question on the volumes front, while I understand near term slowness in terms of macro etc, but from a medium term let us say from a 3-5 year perspective, what should be our volume growth on a like to like basis?

Rajendra Gogri: Basically, what we are seeing there is around 40-50% volume growth. That is what we are guiding on EBITDA and more or less that volume growth will transfer on our existing product line about 40-50% growth and then the new products will come in.

Ankur Periwal: If I got you right, 25% CAGR which is 50% almost growth is largely volume driven largely from the existing product segments?

Rajendra Gogri: Yes.

Ankur Periwal: So, any top-up there from Chlorotoluene or the other initiatives will be inching up the growth further?

Rajendra Gogri: Correct. So, that will be more of FY25 onwards. So, it will be commissioned in FY25. So, we don't see much coming in from those in FY25. We are commissioning here. The new products' real contribution towards EBITDA will come from FY26.

Ankur Periwal: And here, we are largely gaining market share because the reason I checked on this was historically, looking at the chemical business EBIT, the growth has not

been as sharp versus what we are guiding now, so is it any specific area wherein we are gaining market share globally if you can help us understand that?

Rajendra Gogri: Yes, in some of the products, the first contact downstream, upstream capacity, which now we will try to fulfil, then Nitrochlorobenzene, new capacity, which are coming, then the Ethylation plant that are totally additional volumes, which we are tripling and Nitrotoluene also we are expanding. So, across the board, somewhere the new will get started in FY24 and FY25 and the rest, which is already commissioned, so there will be some ramp up on these first contract-related upstream capacities.

Ankur Periwal: And sir, lastly, if I may, on a 9-month basis, if you can define how should one look at the volume growth here? I understand it is a mix of multiple products, but broadly, directionally, what would be the range?

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Rajendra Gogri: That it has become difficult and again, contractual, new contract has different kind of volumes and all. So overall, the value-added percentage has increased to 81%.

The specific number will not have on volume growth.

Moderator: Thank you. The next question is from the line of Ranjit Cirumalla from IIFL Securities. Please go ahead.

Ranjit Cirumalla: Firstly, on the second long-term contract, if I understand it right, there was an advance that we have got for setting at this particular contract, so to that extent, this should be a largely noncash flow, at least for this particular year, is that understanding right?

Rajendra Gogri: Correct.

Ranjit Cirumalla: So, how long would that be, whether we would be exhausting that this year or?

Chetan Gandhi: Sorry to correct that. It won't be a noncash flow thing, there will be cash flow coming in from the contract. So, the advance doesn't get adjusted against the supply, it is partly adjusted and it will be there fairly a longer period of time.

Ranjit Cirumalla: So, how long would that continue over the next 2 to 3 years?

Chetan Gandhi: No, it will be more than 3 years, but we can't give the exact details on kind of confidential, but it will be there for more than 3 years, for sure which gradually phased out over time.

Ranjit Cirumalla: Sir, can you put a number to that gradually phasing, will it be 20%-25% each year or even less than that?

Chetan Gandhi: A little bit lower than that.

Ranjit Cirumalla: And the rest will be kind of a cash flow?

Chetan Gandhi: Yes.

Ranjit Cirumalla: So, our EBITDA CAGR for the next two years is 25% and we have also said that most of our CAPEX is likely to come on stream in the first half of FY24, so I assume that there

would also be higher overheads on account of capitalization, so to that extent, the EBITDA growth should be a bit lower, so would it safe to assume

that the 25% CAGR that we are guiding would be skewed towards FY25?

Rajendra Gogri: Yes, it will be more towards FY25, yes.

Ranjit Cirumalla: And lastly, the way I understand the business is, we generate a lot of isomers, so we carry out one reaction and there are multiple products that we generate, the

fluorination, hydrogenation or nitrogen process and when we say that our exposure

to the discretionary is around 50%, so the question is that would that 50% inventory also impact the other 50% of the business, where there is a demand, but there

could be a situation that we might not be able to cater that because we are

contained by our ability beyond the point we might not be able to produce because there is a slowdown in the larger part of the portfolio?

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Rajendra Gogri: No, generally, we are able to place it on a non-regular market. So, generally, we are able to manage, if a particular segment has a lower demand in a regular

market, we try to place it in a non-regular market.

Ranjit Cirumalla: That is what we did during the COVID as well, in the initial part of COVID.

Rajendra Gogri: Yes, correct.

Moderator: Thank you. Next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Sir, two things, one is you talked about this 25% EBITDA CAGR over the next two years, now you also talked about certain softness being there in some of the segments like textiles and autos, so what is the risk in your assessment on this guidance? What should be mindful of?

Rajendra Gogri: So, we expect there is a normal demand situation should resume. At least FY25 should see a totally normal demand. It is mainly based on that.

Nitin Agarwal: And sir, is there any source of upside to this guidance, which elements can surprise us on the positive side on to this guidance?

Rajendra Gogri: Overall, if there are certain products and some shortages are cleared, then higher

profits can come up because of that.

Nitin Agarwal: Have you been seeing any instances of these in recent times where in certain products where because of various reasons, the issues in China or Europe, there have been shortages and price improvements or the supplies have been largely normal across most of your products?

Rajendra Gogri: Yes, currently, most of the products are in a normal situation.

Nitin Agarwal: And sir, lastly, this whole talk which has been there about China Plus One, later, Europe Plus One also, in your assessment, how much of that has played out and in which shape and form are you seeing it playing out?

Rajendra Gogri: China Plus One is a very long-term structural thing, which is going on for last maybe 5-7 years. I think it will continue to happen for next 5-10 years, whereas the Europe Plus One is over a long term. Some of the energy intensive products, you see that the investment in Europe might become less because the energy will

become costlier. So, that may open up opportunity for India. Then Europe Plus

One also may take 2-3 years that you have to identify the products where they will open other long-term opportunities.

Nitin Agarwal: Sir, have you had any conversations with your clients around this, the potential fallout from this Europe Plus One or this is right now largely a concept, and it has not much really translating into numbers of Indian industry just yet?

Rajendra Gogri: No, it is just discussions are going on these possibilities in that, but that impact will come after 2-3 years except some people have surplus capacity and you temporarily put up, but in general, I think for the newer capacity, it will take 2-3 years.

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Nitin Agarwal: And sir, just last one, on FY24, you said bulk of the growth will be driven by our current products and FY25 is where so me of the newer p

roducts will start to

contribute in a more meaningful way, that understanding is correct, sir?

Rajendra Gogri: Even up to FY25 will be more of the current product line because in FY25, the new product line, it will be the first year. So, we don't see any significant EBITDA coming from new products in FY25, but some volumes will start coming in FY25 from the new products.

Nitin Agarwal: On that, the fact is that we have the same product lines that you have which you are saying will be driving growth in FY24 and FY25. I mean, what has been the reason that our growth has seen relatively little contribution for some of these existing products and have been little on the muted side over the last few quarters?

What is going to change in your assessment over the next 2 years on this current portfolio, which can drive up such a reasonably strong growth versus what we have done in the recent past?

Rajendra Gogri: Yes, basically, this entire, the first contract backward chain, which we had expanded that we expect that to get filled in and this new Ethylation and Nitrotoluene that is a new capacity, which we are adding is based on more visibility and Nitrochlorobenzene expansion will happen. So, those are the things which will lead to this volume growth and some other Speciality Chemical also we have added. So, that will also drive the growth.

Nitin Agarwal: Sir, last one, on Pharma business, how are you planning to share more details on the business? Anything which is planned sir, if you can share it on this call?

Rajendra Gogri: Basically, 9-month results are already in public domain in Pharma. So, EPS for 9 months was about Rs. 16.6, annualized EPS about Rs. 22 for Pharma. On an absolute number, PAT is about Rs. 151 crore and EBITDA is Rs. 264 crore for 9 months in Pharma and then after Q4, obviously, there will be a regular interaction for Pharma.

Moderator: Thank you. The next question is from the line of Ritesh Gupta from Morgan Stanley. Please go ahead.

Ritesh Gupta: Sir, just one quick clarification, did you say that your FY23 to FY25 growth, 25% CAGR is more FY25 driven rather than FY24 driven? Sir, I got confused when you answered to a particular participant?

Rajendra Gogri: Yes, because FY24, even some slowdown might go on in maybe 1 or 2 quarters and FY24 is I think will be more of a turbulent year in that sense. So, that clarity we will be able to give in Q4.

Moderator: Thank you. The next question is from the line of Vishnu Kumar from Spark Capital. Please go ahead.

Vishnu Kumar: If you see the 9-month sales number versus FY22 and FY23, roughly about Rs. 860 crore is the increase, which is completely driven by exports, which means domestic seems to be flat for 9 months. Now considering that commodity prices have generally gone up and also some new plants have kicked in for you, it appears that your volume growth overall seems to be negative, is the number quite large in textile, so we are not seeing any growth in domestic? Are other segments also not doing great? Any thoughts or color on this?

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Rajendra Gogri: No, Textile is generally domestic. Textile has a very less export component, but overall, I don't think it will be negative. We have not looked at that way actually in the bifurcation of export and local.

Vishnu Kumar: If you just look at the 9-month number, FY22 -23, it is practically flat, so obviously, the commodities prices have gone up, so it appears that at least the volume could have been negative?

Rajendra Gogri: Yes, that is, in general, we always tried to reshuffle depending on the market, the remote potential in export market will push it there, but it has not been analyzed that there will be a decrease.

Vishnu Kumar: Sir, how much would be textile out of our overall domestic sales? Any rough idea you could give us?

Rajendra Gogri: So, we are more around 15%-20% range. So, textile market and domestic may be around 20%-25%.

Mod

erator: Thank you. The next question is from the line of Meet Vora from Axis Capital.

Please go ahead.

Meet Vora: Sir, just wanted to understand our thought process behind tying up volumes of Nitric Acid with Deepak Fertilisers, so earlier, we were contemplating a Rs. 200 crore of CAPEX for setting up a Concentrated Nitric Acid plant and in last call, we mentioned that this plant has been ordered, but now given that as we grow our

business, Nitric Acid is our key RM and even Deepak Fertilisers is not expanding their capacities, so how do we see this, will we be able to suffice our volumes from this agreement?

Rajendra Gogri: Yes, Deepak Fertilisers also plans to expand that capacity overall because Deepak Fertilisers is a multi-location, multi-plant for both weak Nitric Acid and Concentrated

Nitric Acid. So, it is kind of de-risk us rather than having one single stream plant for us. That is an advantage of sourcing from Deepak Fertilisers compared to our own single plant dependency and second thing, it frees up the cash flow for more on value-added specialized chemistries. So, these were the two main reasons which were driving this.

Meet Vora: Secondly, we have highlighted that this quarter performance has been aided by newer capacity additions, so is there any other capacity addition except for first long-term contract and the second and third long-term contract?

Rajendra Gogri: Other than that, may not be any significant capacity addition in this quarter now.

Meet Vora: So, this 9-month performance has been aided by second and third long-term contract addition?

Rajendra Gogri: Yes.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, in our presentation, we have mentioned that in FY22, 5% revenues came in from China and given that recently, the restrictions have been lifted, have you seen any demand pickup, particularly for the exports in China?

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Rajendra Gogri: Yes, I think demand from China has now normalized, overall.

Moderator: Thank you. The next question is from the line of Surya Narayan Patra from Phillip Capital. Please go ahead.

Surya Narayan Patra: Sir, just wanted to check about the cost component relating to the energy and freight, in fact, FY24, just two components put together was about 8%, so for FY23, the cost share, what should be the percentage to sales, sir?

Rajendra Gogri: I think that detail may have to be taken out specifically.

Chetan Gandhi: We have to pull that numbers out for that Surya.

Surya Narayan Patra: Secondly, some clarification sir, just what we are trying to say is that this third contract what we have commissioned, so this year, we may not find any meaningful contribution even in the fourth quarter, practically, that will be contributing from the first quarter, is that right, sir?

Rajendra Gogri: Yes.

Surya Narayan Patra: Even the other new projects, so you have said for FY24, the Chlorotoluene project, the MPP project and the expansion of the NCB, these are the three key kind of commissioning of projects that we should be seeing along with the Speciality Chemical project, is that the kind of right understanding?

Rajendra Gogri: No. Multipurpose Plant will get commissioned in FY25 and Chlorotoluene will be FY25 and FY26. There will be multiple blocks for Chlorotoluene, so over that two-year period, we will have commissioning of various Chlorotoluene blocks.

Surya Narayan Patra: So, then what are the projects that you are indicating for FY24, sir?

Rajendra Gogri: So, Nitrochlorobenzene and some other Speciality Chemical blocks, which are currently under construction.

Surya Narayan Patra: Just one last question, so this year, the first agrochemical Dicamba project, utilization should be in the range of around 20% or so, that is the kind of right number we should consider?

Rajendra Gogri: Yes.

Moderator: Thank you very much.

I now hand the conference over to the management for closing comments.

Rajendra Gogri: Thank you everyone for taking out the time to join us on our Q3 FY23 earnings conference call. Hope we have addressed all your questions. If you have any further questions, please feel free to contact our Investor Relations team, and we will address them. Stay safe and we look forward to connecting with all of you again in the next quarter. Thank you once again.

Moderator: Thank you very much. On behalf of Aarti Industries Limited, that concludes this conference. Thank you for joining us, you may now disconnect your lines.

Call: May 2023

May 15, 2023

To,
Listing/Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

Scrip Code : 524208 To,
Listing/Compliance Department
National Stock Exchange of
India Limited
“Exchange Plaza”, Plot No. C/1,
G Block Bandra-Kurla Complex,
Bandra (E), Mumbai – 400 051.
Symbol : AARTIIND

Dear Sir/Madam,
Sub.: Transcript of Q4 FY23 Earnings
Conference Call
Ref: Regulation 30 of the SEBI
(LODR) Regulations, 2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on Tuesday, May 9, 2023 on the Audited Financial Results of the Company for the quarter and year ended March 31, 2023.

Kindly take the same on record.

Thanking You,

Yours faithfully,
FOR AARTI INDUSTRIES LIMITED

RAJ SARRAF
COMPANY SECRETARY
ICSI M. NO. A15526
Encl.: As above.

Page 1 of 18

Aarti Industries Limited
Q4 FY23 Earnings Conference Call Transcript
May 09, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Aarti Industries Limited Q4 FY '23 Earnings Conference Call. As a reminder, all participants will be in a listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you, and over to you, sir.

Nishid Solanki: Thank you. Good evening, everyone and thank you for joining us on Aarti Industries Q4 and FY '23 Earnings Conference Call. Today, we are joined by senior members of the management team, including Mr. Rajendra Gogri, Chairman and Managing Director; Mr. Rashesh Gogri, Vice Chairman and Managing Director and Mr. Chetan Gandhi, Chief Financial Officer.

We will commence the call with opening thoughts from Mr. Rajendra Gogri, who will take us through the performance overview, insights on growth plans and outlook on the business. Post this, we shall open the forum for Q&A where the management will be addressing queries of the participants.

Just to share our standard disclaimer, some statements that may be made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the results presentation that has been shared earlier and also uploaded on stock exchange websites. I would now invite Mr. Rajendra Gogri to share his perspective. Thank you, and over to you, sir.

Rajendra Gogri : Thank you, a very good evening to everyone. I welcome you all to our Q4 and FY23 earnings conference call. Hope everyone is keeping safe and healthy. We have shared our results documents and I hope that you have had an opportunity to glance through them.

As all of you are aware, the financial year 2023 has been challenging from various aspects. What started with Russia-Ukraine conflict that disrupted the global supply chains transpired into an

Page 2 of 18 inflationary surge in input prices and energy costs. This was in addition to slowing demand in select developed markets due to deteriorating economic scenario and very recently the banking crisis in the US that sent shock waves across the globe.

Amidst all this, we displayed resilience thereby demonstrating strong financial performance in a challenging external environment. This was possible due to our dynamic approach of building a superior business enterprise by meticulously leveraging our strengths in complex chemistries, products, and processes. We have built a strong team both technical and non-technical who have consistently supported us in our growth endeavour and helped us navigate through sector vagaries.

Our EBITDA for the year ended up very close to guidance of Rs 1,100 crs for FY23. we achieved an EBITDA of close to Rs. 1,100 crore in FY23. Our Capex investment were over Rs 1300 crs. Our exports were close to half of total revenues, while the share of value added products had increased consistently even in FY23. If we look at a long term journey, our Chemical Business' EBITDA has grown over 2x during the past five years i.e from Rs. 534 crore in FY18 to Rs. 1,091 crore in the current year. This is despite several challenges witnessed during the period like pandemic and external market-led disruptions, supply chain issues as well as inflationary headwinds. This sustained EBITDA performance is a testament to our vibrant business model and ability to steer growth even in the most challenging periods.

We also concluded the activity related to demerger of our Pharma Business into a separate entity 'Aarti PharmaLabs' during FY23. Since the demerger was effective 1st July 2021, the financials for the historic period prior to the scheme being adopted (ie in October 2022) had been re-casted the requisite financials to consider the impact of demerger.

Moving on to further developments, we collaborated for an long term assured off take of Nitric Acid which is a key raw material. This secures our supply for 20-years and significantly de-risks our business model.

On the project front, we commercialised the facility for 3rd Long Term contract, and two speciality chemical process blocks at Jhagadia in H2FY23. While our other expansion plans in existing products such as NCB expansion, Acid Revamp, NT & Ethylation expansion, etc are on track. These capex along with the ones already commercialised will support the volume growth in FY24 and beyond.

I will now move to financial performance. Initially, let me summarise the annual numbers. Our revenues increased by 17% to Rs. 7,283 crore, while EBITDA came in at Rs. 1,089 crore, higher by 19% over the normalised EBITDA of Rs 919 crs for chemical business in FY22, excluding the termination and shortfall income. Profit after tax stood at Rs. 545 crore.

Premised on strong performance reported during the year, the Board has approved a final dividend of Rs. 1.50 per equity share of Rs. 5 each. This is in addition to interim dividend of Rs. 1.00 per Page 3 of 18 share announced during the year. With this, the total dividend stands at Rs. 2.50 per equity share, i.e., 50% of the Face value.

Let me now share the financial highlights for Q4 of FY23:

■ Revenues grew by 11% Y-o-Y to Rs. 1,826 crore, with exports contributing over 48% to the total revenues.

■ EBITDA stood at Rs. 252 crore vs Rs 262 crs for FY22.

■ Profit after tax came in at Rs. 149 crore vs Rs 145 crs for FY22.

Growth in revenues was on account of higher volumes from expanded capacities for key products as well as greater contribution from value added products. EBITDA performance was marginally impacted by maintenance shutdown at Acid Unit and Kutch Unit that resulted in higher costs by ~Rs. 10 crore and also some volumes had been impacted due to lower operating days.

Products targeted at discretionary industries remained suppressed, as indicated in the previous

quarter. However, it is expected to start recovering progressively during FY24. We witnessed some normalisation in energy costs, while RM prices for key inputs had increased on a Q-o-Q basis. As highlighted in the past, we have robust pricing mechanisms in place to mitigate the impact of such volatility, and the same is being passed on to the customers thereby protecting absolute profitability. Our PAT performance was in-line with the operational performance. Depreciation stood higher on account of newer capacities added during the quarter. PAT also factors in one-time impact of write back of previous periods tax provision as few matters under appeals were awarded in favour of the Company.

Moving on to the production details for Q4 FY23. Production of Nitrochlorobenzene stood at 18842 MT, while the same for Hydrogenation came in at 3315 TPM. For Nitro-Toluene, the production for Q4 FY23 stood at 6130 MT.

During the financial year 2023, we collectively entailed a CAPEX of over Rs. 1,300 crore towards growth initiatives outlined earlier. We are targeting an annual capex of around Rs. 1500 crore for FY24 and FY25. This would be deployed towards building several products and chemistries including chloro-toluene and downstreams, which is a complex chemistry being introduced in India for the first time. Here, we will benefit from both import substitution as well as export opportunities for global markets.

As guided earlier, we expect the volume growth to be robust in FY24 and beyond. In FY24, we expect the volume growth to be around 25%, however due to global economic situations, a part of this might be sold into non-regular markets and hence the EBITDA growth in FY24 would be lower than the volume growth.

I am excited with the upcoming opportunities in the chemical value-chain and truly believe that Page 4 of 18 this is a 'Golden Decade' for us. We are incessantly working towards building scale for select high-potential products and chemistries supported by our fundamental strengths and expertise. We have pioneered introduction of several leading products and chemistries in India and global markets, and our endeavour is to continue doing that. We are optimistic and confident of exhibiting robust growth thereby enhancing value for all our stakeholders. Based on current business visibility, our EBITDA growth guidance for FY24 & FY25 remains unchanged at 25% CAGR.

That concludes my thoughts, and I will now request the moderator to open the forum for Q&A session. Thank you.

Moderator: The first question is from the line of Rohit Nagraj from Centrum Broking.

Rohit R. Nagraj: Sir, first question is, you mentioned in the presentation and in your remarks that you have commercialized two specialty chemical complexes at Jhagadia. So which industry these complexes will be catering to? Is it discretionary or nondiscretionary? And what kind of potential revenues and margins that we are expecting from this? Thank you.

Rajendra Gogri: This will be also - they intermediates going for various end uses, including both agrochemicals as well as pigments and additives. They are mostly intermediates. So directly, we will not be able to connect to top line.

Rohit R. Nagraj: So, will these be for our internal consumption?

Rajendra Gogri: Yes. Part of that will be internal consumption.

Rohit R. Nagraj: Sure. The second question is in terms of the discretionary product portfolio. So, is there any change which is witnessed from Q3 to Q4? We are one month in Q1, so how has been the progress over the last few months on the discretionary product portfolio?

Rajendra Gogri: Yes, Globally, there is a slowdown and because of the higher interest cost also, there is inventory correction. So, it has impacted the demand. From the customers, we are hearing that progressively, the demand will increase on a quarter-on-quarter basis for this product line.

Rohit R. Nagraj: Sure. Thank you. I'll come back in the

queue and best of luck.

Moderator: The next question is from the line of Lokesh Mallya from SBI Funds Management.

Lokesh Mallya: My question is pertaining to the working capital and its funding. Can you please tell me what will be the total amount of Bank CC lines, non-fund-based lines and how much would be the utilization level as of March 31? That's part A.

B, what would be the total amount of debt that is maturing in each of the quarters of FY '24, both Page 5 of 18 long term and short term?

Chetan Gandhi: Yes. So, the bank line, including the non-fund-based lines would be upwards of INR2,000 crore or INR2,100 crore.

Lokesh Mallya: How much of that would be CC and how much of that would be nonfund-based and what would be the utilization?

Chetan Gandhi: So, In certain cases, the lines are also fully fungible. It would not have a specific number because at certain banks, it's a fully fungible line between fund-based and non-fund-based. So, we'll have to assume that from an overall basis, it would be upwards, somewhere between, INR1,800 crore to INR2,000 crore of the CC based on the fungibility which is there; and the utilization of that would be in the range of around INR1,400 crore to INR1,500 crore.

Lokesh Mallya: INR1,400 crore to INR1,500 crore out of INR1,700 crore to INR1,800 crore, if I heard you correctly.

Chetan Gandhi: INR1,800 crore to INR2,000 crore.

Lokesh Mallya: Okay.

Chetan Gandhi: As regards to the repayment obligations repayment for the year it is roughly around INR350 crore. It will be evenly spread across the quarters.

Lokesh Mallya: All the four quarters equally?

Chetan Gandhi: Yes.

Lokesh Mallya: Thank you, sir. I'll re-join the queue.

Moderator: The next question is from the line of Anil Shah from Aditya Birla Mutual Fund.

Anil Shah: Okay. Now my question is related to other expenses and your employee benefits. While I understand your pricing mechanism kind of protects you from a gross profit or a pass-through mechanism. But over the last few quarters, you've been mentioning that you'll have kind of built up your employee costs, both technical and nontechnical from a next league or annex growth phase perspective.

And as the top line starts growing and output starts increasing, we should start seeing these numbers, both other expenses and employee costs as a percentage of sales to come down quite a bit, but we haven't seen that playing out yet. So, could you just throw some colour on that? That's my first question.

Second question is, is there a number that you've given for FY '24 in terms of EBITDA growth, Page 6 of 18 while you are maintaining, I believe your FY '25 guidance of INR1,700 crore EBITDA? Thank you.

Rajendra Gogri: Chetan, your view on the employee costs.

Chetan Gandhi: Yes. So, on the employee cost and other expenses, so there's a bit of an increase because of the new capacities which just came in the second half. So that's one component on that. And secondly, on the employee cost, there has been an annual provision which happens because of the employee benefits such as gratuity, leaving encashment, superannuation and the like.

And there are some expenses that have increased on the other expenses i.e, certain costs related to the inland logistics on account of the volume increase, which has been there in the quarter. So that has been the reason for this. Sir, you want to address the other question.

Rajendra Gogri: Yes. Overall, we expect the manufacturing fixed cost, which is the employee as well as other costs should not increase much in FY '24 as well as FY '25. So, I think that is what we had mentioned earlier also. Regarding our EBITDA guidance for FY '24, we are looking at around 25% volume growth, but EBITDA growth will be lower because part of the volume will be going to the nonregular market. So, it will be lower than that, maybe around; we can put a number of around 15%, but there will be more clarity as we go forward on EBITDA

front.

Anil Shah: Okay. Thank you.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: Just an extension of one of the questions that were asked earlier. Could you give a little bit more colour in terms of the demand trends that you've been seeing in April and May with respect to some of your key end markets and also with respect to your domestic and export segments?

The second question was you mentioned that you made sales to nonregular markets, given the demand condition and you also expect to do this in the next year as well. Could you just elaborate what exactly you mean by these nonregular markets? What could be the share of this in the overall mix? What is the margin differential between your regular markets?

Rashesh Gogri: Yes. The demand in domestic and export market is dependent on the segments. So, the discretionary market demand is a little bit slow still, but we have demand in the agro and the polymer market which is sustaining. As far as the nonregular markets go, they are traditionally lower margin markets, where we can put the product. So that's the market that we are capturing largely, like China or this kind of market where we are trying to push the product. In case the demand is less from our regular market, which can be Western market.

Vivek Rajamani: Just two clarifications. So, when you say nonregular markets, you mean more from a geographical perspective and less so from a segment perspective, would that be fair?

Page 7 of 18 Rajendra Gogri: Yes. That will be more on geography

Vivek Rajamani: Got it, sir. Any colour on the margin differential between these nonregular markets and regular markets?

Rajendra Gogri: It can be around 10%, 15% margin difference.

Vivek Rajamani: Sure, sir. Thanks so much. I'll re-join the queue and all the very best.

Moderator: The next question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Sir, my question is on basically on our agrochemical portfolio. If you can quantify that how much of our portfolio is catering to the products where the final products are generics? How much would be under the patented products?

This question has also come in many generic agrochemical players globally have given a warning about the huge inventory-led losses and increasing competition from China that is impacting the global market. So, are we catering to any customers who are in the patented products or in generics; and what is the portfolio split? Are you also witnessing this kind of pressure in your agrochemical basket?

Rajendra Gogri: Yes. We'll not have exact bifurcation between the patented and generics as we have both, but still, I think overall, generic will be a majority in the value from an overall agrochemical basket. As I mentioned even in the last call, the agrochemical demand slowdown has been mainly because of inventory correction because of high finance costs, more product specific and also in some of the products we are seeing that kind of demand slowdown, but it is not across the board for all the products.

Rohan Gupta: So even in our portfolio, also some of the agrochemical intermediates, the demand we see that is getting impacted.

Rajendra Gogri: Yes.

Rohan Gupta Okay. So, sir, if we impose this challenge in FY '24, we are still struggling from the recovery in the consumption-led sectors like textiles, dyes and pigments, etc. Agrochemical may pose some challenges in the current scenario. Do we see that FY '24? What will be the driving this growth in all these sectors that are facing the headwinds right now?

Rajendra Gogri: Now, we'll be able to increase our overall volumes, so volumes will drive the growth.

Rohan Gupta: But sir, end user industry demand across our end user segment still remains weak, so...?

Rajendra Gogri: We should be able to pick up the market share. So, where there are some import substitutions or Page 8 of 18 where customers want to diversify

some extra market share will be picked up.

Rohan Gupta: Is this a demand where we are confident that even from the market share gain, we will be able to grow in FY '24 as well as in '25?

Rajendra Gogri: Yes.

Rohan Gupta: Sir, second question is on the raw material prices that have started falling, including energy costs globally and also in oil-based derivatives. We have seen that in the last couple of years, the energy price is going up continuously in Europe. There were many customers in Europe also were looking for an alternative for the domestic manufacturers.

Do we see that the trend is reversing now with Europe witnessing the energy cost normalization, also across the raw material prices have started softening? So, do you see that any trend reversal has started happening? Or do we still see that even the competitive cost structure, which Europe had earlier because of low gas, is over now and that the opportunities are there for the country like India?

Rajendra Gogri: Basically, what will happen is that in the future, the energy-intensive products, there will be less increase in manufacturing in Europe. Because in general, there will be a fear of higher energy cost in Europe. As far as the existing manufacturing facility in Europe is concerned, I think, definitely because of the decrease in energy prices in Europe, it will benefit them. But on a long-term basis, the energy intense products' growth in Europe will be curtailed.

Moderator: The next question is from the line of Aditya Khetan from SMIFS Institution.

Aditya Khetan: First question was on the capex side, sir, we have given a guidance of INR1,500 crore. During the last quarter and even in the plant visit, we were given a guidance of around INR1,200 crore capex.

So, there's an upward revision of cost capex, which we have done now?

Rajendra Gogri: No, we will be also doing this in our zone, so combined guidance we have been having for FY '24 and FY '25, about INR3,000 crore.

Aditya Khetan: Okay. Because earlier, we were giving a guidance of around INR2,500 crore capex for the next two years. Now we have given a guidance of INR3,000 crore?

Rajendra Gogri: No, even last concall also we had given INR3,000 crore.

Aditya Khetan: Okay. Sir, any of the basket of Aarti industries on the portfolio side, are we witnessing any sort of increased competition from China; because there has been huge dumping which is happening from China right now in many baskets of commodity and specialty chemicals. So, are we witnessing pain in any of the portfolio in any of the product side and there has been like increased competition and we had lost any sort of market there?

Page 9 of 18 Rajendra Gogri: No. I think because of the general slowdown that impact was there, but we are not seeing any increase in that currently.

Aditya Khetan: Okay. So, we have maintained our market share, despite whether there is an increase?

Rajendra Gogri: Yes.

Aditya Khetan: Okay. Sir, just one more question on the nonregulated market. As you have said that these markets generally have lower margins. So how much share or you can say how much percentage would this be contributing to our overall basket?

Rajendra Gogri: Generally, whenever we are not able to put it in the regular market, we try to go into a nonregular market. So, percentage we will not be able to provide; it will be more on a product-to-product and also over a time-to-time. So, it will be maybe around 5%, 10%?

Aditya Khetan: So, 5%, 10% of your total, is what you're talking about?

Rajendra Gogri: Yes.

Aditya Khetan: Okay. One last question, sir. On the NCB side, so when will this expansion get commercialized?

Rajendra Gogri: It will get commercialized in Q1 of FY '24.

Aditya Khetan: Okay. So, volumes will start from Q2?

Rajendra Gogri: Yes.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Just a few clarifications. One is with regard to the speci

alty chemical blocks, the two of them that have been commissioned. So is this part of the INR607 crore of capex in the downstream and specialty chemicals that we had disclosed in our presentation at the plant visit. I was under the impression that these will be revenue generating. So, is that not the case? And if you could please just help us with how much capex has been invested in these two blocks? And how will those contribute in terms of either revenues or margin expansion for us.

Rajendra Gogri: Yes. That will be around INR300 crore out of that. So partly, it will be for captive and partly, it will be for outside sales. The exact number on the sales, I will not have, on that.

Abhijit Akella: But, I mean, in terms of, say, EBITDA or EBIT or rather the payback period on this capex, would that be a rough number you could share with us?

Rajendra Gogri: Yes. This has been around 25% to 30% EBITDA range.

Page 10 of 18 Abhijit R. Akella And these are backward integration for our existing intermediates, is it? Because I don't believe

we make active ingredients at this point, right?

Rajendra Gogri: Actually, this will be one of the products on this our chlorobenzene chain, the 25 Di-Chloro Nitro Benzene (25 DCNB). It will increase the capacity, and it will open up/free up our current nitration capacities in other locations. We will be then used for other products. So that is what is one of the process blocks. So, there will be a shift. We'll be able to add new products in the other line and this 25 DCNB capacity will get expanded in this line.

Abhijit Akella: Okay. Okay. Second one, just on the non-traditional markets where you mentioned that these are at 10%, 15% lower margins. So just wanted to understand it clearly that suppose in our traditional markets, you're making, say, 15%, 18% EBITDA margins. In the non-traditional, are we sort of indicating that it will be 10 points lower, like, say, 5% to 8%, is that the range? Or am I getting it wrong?

Rajendra Gogri: So, if you need to see on the gross margin, the prices are a little lower in that range.

Abhijit Akella: Okay. So, it's 10, 15% points. On the employee cost and the other expense numbers for the quarter, adjusting for this maintenance shutdown, is this a reasonable run rate to sort of trend off for the rest of FY '24 now?

Rajendra Gogri: Yes, I think that should be the run rate, maybe a little lower than that.

Abhijit Akella: Okay. Lastly, for Chetan Bhai just the tax rate guidance for next year, would there be any change given the low tax rate we have had in the past year?

Chetan Gandhi: So, I would assume the tax rates to be around 15% to 17% kind of thing for next year as well.

Abhijit Akella: Fine. So sorry, just one other last thing. I missed the volume numbers that was shared on the call earlier, you would be so kind as to share them one more time. Thank you so much.

Chetan Gandhi: Yes. So, Nitro chlorobenzene was 18,842 MT, Hydrogenation for the quarter was 3,315 TPM, and Nitro Toluene for the quarter was 6,130 MT.

Abhijit Akella: Thank you so much. All the best.

Moderator: The next question is from the line of Rohit Sinha from Sunidhi Securities.

Rohit Sinha: One thing, just wanted to know your thoughts on how the inventory situation right now is shaping up? What you are hearing from your customers and overall, what the outlook would be for Q1 and Q2 as we are hearing two different views from other companies that for some situation getting normalized, they are still saying that it will take another maybe one quarter. So how you are seeing this situation?

Page 11 of 18 Rajendra Gogri: Yes. Currently, at least Q1, definitely, there is pressure because of the inventories. And as we mentioned, it will be progressively that I think the situation will improve, i.e., quarter-on-quarter.

Rohit Sinha: Okay. And it is across your agro and polymer sides? are there any scenes there?

Rajendra Gogri: Yes, both sides basically.

Rohit Sinha: Okay. Secondly, on the raw material side, as we are talking about that crude has corrected in the recent time, but if we look at building prices, it has been slightly on the higher side as compared to crude. And I believe the increased demand and a bit of a demand supply shortage, would likely keep the benzene prices on the higher side going forward as well. So how we should see this for us going forward?

Rajendra Gogri: No, we have normally the raw material pass-through. So, this benzene price variation generally will not have any impact as such.

Rohit Sinha: Okay. That's it from my side. I'll come back to the queue.

Moderator: The next question is from the line of Chetan Thacker from ASK Investment Managers.

Chetan Thacker: Sir, first, just a clarification to Abhijit's question, you mentioned that the quarterly OP run rate will be similar to what we witnessed in Q4. But before that, you highlighted that there will still be 15% OP growth. How do both of these tie up?

Rajendra Gogri: 15%?

Chetan Thacker: For FY '24, you mentioned volume growth can be 25%, while would be lower, but still a 15% OP growth number for '24. What is roughly.

Rajendra Gogri: No, I think you mentioned the expense is not the profit, right?

Chetan Thacker: The profit, sir. So, our exit operating profit is lower.

Rajendra Gogri: Okay. No, no. What Abhijit asked was more on the expenses side as a run rate.

Chetan Thacker: Okay. Got it.

Chetan Thacker: Sir, second is more on the cash flow side. So, if you look at the capex that you're doing and the cash that can be generated, so is it fair to assume you'll still be adding on to debt over the next 2 years?

Rajendra Gogri: Yes. I think there will be additional debt. So, this capex will be partially funded by internal accruals and partially by debt.

Page 12 of 18 Chetan Thacker: Okay, sir. That's about it. All the best.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: Sir, we have mentioned that we are looking at 15% EBITDA growth for FY '24, which broadly relays that we are looking at roughly 40% kind of EBITDA growth for FY '25. So, can you just give a brief colour on what will drive this EBITDA growth in FY '25 and what kind of volume growth are we looking in FY '25 for this kind of EBITDA growth?

Rajendra Gogri: We expect some volume, which will go to a nonregular market in FY '24, so that should get corrected by FY '25. So that will be one driver, which will be for additional EBITDA coming out of that. Over and above this, another 15%, 20% volume growth, is what we'll be looking at in FY '25.

Siddharth Gadekar: Okay. Sir, secondly, in terms of now given that we are speaking in terms of volumes, can you give it a broad colour on how has been the volume growth for FY '23?

Rajendra Gogri: FY '23 number, Chetan, you have?

Chetan Gandhi: Yes. So, FY '23, the volume growth is upwards of 15%.

Siddharth Gadekar: So even this year, we have switched something to the nonregulated market looking at our EBITDA numbers for the last two quarters?

Rajendra Gogri: Yes, especially the Q4, part of the material was sold to nonregular market.

Moderator: The next question is from the line of Nitin Tiwari from YES Securities.

Nitin Tiwari: My question was in respect to the volume growth that we spoke about in FY '24 and '25. So, if you could please be kind enough to highlight the capacity, which would be adding to the growth in volumes, which we have recently commissioned over '23 and perhaps commissioning about '24.

So, if you can just enlist those capacities, which will be coming up or have already come and would be contributing to the volume growth.

Rajendra Gogri: Yes. The FY '24, we have our Nitro chlorobenzene plant expansion that will be completed and some other specialty chemical blocks. In end of FY '24 and early FY '25, our Acid division capacity will be expanded by around 22%. ,ethylation plant tripli

ng of capacity will happen in FY

'25 and Nitro Toluene debottlenecking also will happen in FY '25. So, these are the expansions, which will come up in FY '24 and FY '25. What has been commissioned in this FY '22 and FY '23, that further ramp up in those facilities, which will drive the growth for FY '24 and '25.

Nitin Tiwari: Understood. Lastly, just confirming that our guidance of INR1,700 crore for FY '25 at operating guidance is maintained and there's no change in that, right?

Page 13 of 18 Rajendra Gogri: Yes.

Nitin Tiwari: That's all from me.

Moderator: The next question is from the line of Ritesh Gupta from Morgan Stanley.

Ritesh Gupta: This is Ritesh from Morgan Stanley Investment Management. Sir, I was just looking at the numbers that you guided for and then was trying to back calculate. So, when you say 25% volume growth and you say that let's say, the incremental volumes all go into a business, which probably is at a 10% lower gross margin, and let's say 40% is your blended gross margin, let's say INR25 for volume effectively goes at 30%, so it implies INR8 fall through to EBITDA and your EBITDA margins are hardly, let's say, 18%, 19%. So, the extra on INR18 EBITDA margin play, which still implies assuming your employee costs and the expenses are flat, still implies a 50% growth EBITDA.

I'm just trying to see what I am missing in terms of your guidance on volume and then the EBITDA growth delta? Because you also said that opex will be flat. So, either opex will not be flat or either your volume growth rate has to translate into similar EBITDA on that.

Rajendra Gogri: I think on opex, I would not have a direct Q4 number on exactly how much it was. But overall, we are not looking much of an increase in opex in FY '24 and '25 on an annualized basis. Another thing is the entire 25% is not going to go in a nonregular market.

Ritesh Gupta: No, sir, I'm saying even if I assume your exported to nonregular market, it still implies, let's say, it's still INR100 of volume you're doing, if you're doing INR125 of volume next year and with a 30% gross margin business, you still make INR8 extra gross margin. You had about INR18 of EBITDA. It's a INR8 completely fall into an EBITDA of INR18, which still implies more than 40% growth. So, I'm just trying to understand where the math is failing.

Rajendra Gogri: I think that you have to connect separately on that. I think that will be a better idea.

Ritesh Gupta: Yes. Okay.

Moderator: The next question is from the line of Surya Patra from PhillipCapital.

Surya Patra: I missed the opening portion of the call, so there could be a repetition. I wanted to know, let's say,

considering the multiyear supply pact. So, what is the cumulative revenue that we would have booked in FY '23?

Chetan Gandhi: For the multiyear contract or the long-term contract?

Surya Patra: Yes, yes. All three long-term contracts put together. So, you are not seeing individually, but it is all three put together.

Page 14 of 18 Chetan Gandhi: I would not have that number readily with me. I will separately share it out.

Surya Patra: Okay. So the basic reason for that question was that I was trying to understand, when you are saying, sir, 25% kind of a volume growth for FY '24, then what portion of that growth is coming from the ramp-up in these three contracts? And excluding this, what is the kind of volume growth that we are building for our base business?

Rajendra Gogri: Yes. So, the base business also on this Contract 3 was just commissioned in Q3 of this year. So virtually not any significant volume coming from Contract 3 so that everything will go into a growth path. Contract 2 is more of a flattish, whereas Contract 1, we are around 20% utilization. So that may go to maybe 30% to 50% utilization. Our other volume growth will come both in nitro chlorobenzene, nitro toluene and on chloro benzene which are not connected to the contracts, all of that and the downstream

will see volume growth.

Surya Patra: But when we are saying, sir, nitro toluene, so large part of the nitro toluene-led growth is expected to come in 2024, FY '25, right?

Rajendra Gogri: That is for the expansion, but the current year, our annual production in nitro toluene on an annualized basis was lower. We expect that on an annualized number to be higher next year.

Surya Patra: Okay. May I know, let's say, the cumulative revenue potential of all these three long-term contracts is kind of INR1,000 crore per annum. So, by FY '25, what is the kind of utilization level that we are anticipating out of this INR1,000 crore, sir?

Rajendra Gogri: As we mentioned, the Contract 1 is basically that is where originally, we are thinking will move towards 70% or so that is still more on a lower side. The third contract, we should be reaching about 60% to 70% of that utilization in FY '25. The second contract is more of a flattish kind of a thing.

Surya Patra: Okay. So that means for second contract, are we saying, sir, it will still be having a kind of 50%, 60% kind of utilization only till FY '25?

Rajendra Gogri: So our returns are not much linked to the actual utilization.

Surya Patra: Okay. Yes. Okay. Fine. Sir, and second question is on, let's say, on the margin expectation for '24. Sir, I'm just trying to see that the quarterly performance also, let's say. Sir, the gross margin front, there is no issue that we are finding. But it is the elevated cost. So that is what is dragging down the margin performance. So going ahead, let's say, if we see some moderation in the cost, overall cost. And that way, even the revenues are also likely to come down accordingly. So, then percentage wise the opex that is likely to remain elevated only.

So given that understanding and there is no greater change that we should see in the gross margin.

So, then the margins are likely to remain suppressed only even for FY '24. Is the understanding

Page 15 of 18 right, sir?

Rajendra Gogri: So basically, there will be a volume growth and as the volume growth, but part of that, that is what we are saying that it will not go regulated only but will go to nonregulated also. So, the entire benefit of volume growth will not come. That's why the EBITDA growth will be lower.

That is a broad thing. On an opex basis, exactly, I think we'll have to see.

Surya Patra: Okay. The last one, sir, this the shutdown of what we have taken in the fourth quarter, it is the specific period – is it an annual shutdown and that happens in the fourth quarter always or how is it, sir - for both the divisions?

Rajendra Gogri: Our Acid division is a plant shutdown and our Kutch division was more of an opportunistic, it's not an annual shutdown. But we had to do a lot of asset maintenance and revamp so for that, we had taken.

Surya Patra: Okay. Just last one, sir. MEA expansion – the Ethylation one – we are multiplying the capacity. Of the current capacity, we have already utilized majority of it, so, when we are talking about the full utilization of the expanded unit. So why are we saying FY '25 is a period when the money or business will be really realized out of that expansion because the entire 1 year is there, and we have been seeing a kind of good progress on the MEA side. So, is it that you were finding any difficulty in ramping it up?

Rajendra Gogri: It will be commissioned in FY '25. The expansion is going to get commissioned in FY '25. That's why there will not be any increase in volume in FY '24 coming out of that plant that expansion.

Surya Patra: Sure. Okay. These were the questions. Thank you.

Moderator: The next question is from the line of Dhruv Muchhal from HDFC Mutual Fund.

Dhruv Muchhal: You commented earlier that you see excess inventory in the system. So, I'm just trying to clarify, is it the products that you manufacture or the final products where your products go; where do you see excess inventory or is it there at

both ends?

Rajendra Gogri: No, Actually, it goes from the ultimate customer and that back-end entire supply chain because of

this high interest cost and all, and people are trying to reduce the inventory in the supply chain.

That is coming more from the customer's side's back end.

Dhruv Muchhal: Okay. So, the products are facing excess inventory, which is causing an impact for your products demand?

Rajendra Gogri: Correct.

Dhruv Muchhal: So, it's not -- so I'm just trying to understand, it's not at both ends. I mean not -- it's not -- that your Page 16 of 18 products are also facing excess inventory and the final products are also facing excess inventory?

Rajendra Gogri: Both are actually connected in it because at their side, the inventory is built up. So, there they want to postpone for a few depending on customer for different weeks or months, they want to postpone the purchase, that's how they were trying to reduce their inventory.

Dhruv Muchhal: Okay. And sir, when you're guiding for this 15% upwards of approximately 15%, as you mentioned, on 25% volume growth, are you also building in the benefit that you will get because the opex is likely to reduce? Last year, we had higher coal costs, higher freight cost, everything, which has normalized significantly. So does your guidance and 50% of business is exported, I believe you would have got impacted there. So, does your guidance factor in that benefit that you will get because of the reduction in cost?

Rajendra Gogri: Yes. Generally, those are also direct cost, coal and freight cost, a substantial portion of that gets passed on to the customer and part of the benefit remains. So that part benefit we are counting. But generally, even whatever the huge increase in ocean freight that took place in FY '21 or '22, we had to pass on because we cannot bear those kind of costs.

Dhruv Muchhal: Sir, lastly, when you mentioned that there is a margin difference of about 10%, 15% in the nonregular market versus the regular market. This is at the EBITDA level or the gross profit level, contribution level.

Rajendra Gogri: Gross profit level.

Moderator: The next question is from the line of Pujan Shah from Congruence Advisers.

Punjan Shah: As we have presented, we are showing a growth strategy and we are saying that we are seeing something developing in battery chemicals, electronics, chemicals and new edge. So, can you just give a broad guidance, what are the types of products, how the market share is evolving and when we will be ramping up all this capacity and revenue stream - in which year specific?

Rajendra Gogri: Yes, our existing product line, all this expansion will get over in FY '24, except the ethylation and those volumes will come up. But the new one at our zone 4 for chloro toluene and multipurpose plants, that commissioning will start from FY '25 and the major volume growth from that will come from FY '26 onwards.

Punjan Shah: How is the market evolving and what are you seeing on that part? How will the demand be favourable for our company as compared to global competitors like China and XYZ?

Rajendra Gogri: Yes, the product line, what we are putting up there. Basically, they are, in general, growing globally between 3% to 7%, 8% growth rate.

Punjan Shah: So, any ballpark activation market sizing any idea like if you can give?

Page 17 of 18 Rajendra Gogri: Chloro toluene plant we are putting the capacity for us will be around 20% of the global capacity.

Punjan Shah: Okay. Got it. Thank you so much.

Moderator: The next question is from the line of Arijit Malakar from Ashika Stock Broking.

Arijit Malakar: My question is what would be the asset turnover that you are expecting in FY '25 and beyond, post ramping up of the capacities.

Rajendra Gogri: Asset turnover then will depend on the benzene and toluene prices. Direct asset turnover will be more towards still, I would say, around 1.5% kind of thing, on a gross block level.

Moderator: The next question is from the line of Aditya Khetan from SMIFS Institution.

Aditya Khetan: Sir, first was on to the PDA volume - we have not shared that in our opening remarks and secondly, what would be the breakup of exports and domestic for FY '23?

Chetan Gandhi: The PDA volume for the quarter is 348 TPM and FY '23 exports was roughly around 48% and domestic is 52%

Aditya Khetan: Just a question on your working capital. So, in this FY '23, we had witnessed that the cash conversion cycle has been almost 110 days. I think this number is close to 2016, '17 level. So, working capital has drastically gone down in FY. Is there any particular reason like there has been sharp dip in the receivables and also in inventory days also. Any particular reason you foresee and what would be the rate which we can take for the next few years?

Chetan Gandhi: So, on the receivables, certain product profile, the product mix change has moved to a bit of a product where the working capital, the receivable credits are lower than what used to be historically. So that product exchange is benefiting on the receivables front. Plus, on account of demerger, historically, the Pharma business had a bit of a higher working capital, both on the inventory as well as on the receivables. Further after the demerger it got reduced from the Aarti number. So that is where you are able to see the decline on working capital as well.

Aditya Khetan Okay. Got it. And just one more question on to our first long-term contract, so terminated contract -- so currently, I believe it is operating at 20%, 25% utilization and Gogri sir has mentioned that it would be at around 70% by FY '25. So just want to know, so the intermediate, what is used to make this Dicumba 2,5 DCNB, so that currently, what is the utilization level?

Rajendra Gogri: No, that was utilized at 100% and now the new plant will come up there, the further ramp-up will happen.

Aditya Khetan: Okay. So DCNB, we are operating at around 100% level?

Page 18 of 18 Rajendra Gogri: Yes. It was -- we are making it at other location and now it will be starting in Jhagadia, and other

location nitrogen facility will get fed.

Aditya Khetan: Okay. And the 70% utilization. So, for the next 2 years, so this business would grow at a much faster rate for long-term?

Rajendra Gogri: Yes. This is still on next year, FY '24, it is 30-50% and then we see that how it can be further ramp.

Aditya Khetan: Okay, thank you, sir.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments.

Rajendra Gogri: Thank you everyone for taking out the time to join us on our Q4 & FY23 earnings conference call. Hope we have addressed all your queries. If you have any further questions, please feel free to contact our Investor Relations team, and we will address them. Stay safe and we look forward to connecting with all of you again in the next quarter. Thank you once again.

Moderator: Thank you. On behalf of Aarti Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

August 16, 2023

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

BSE CODE –524208

To,
Listing/Compliance Department
National Stock Exchange of
India Limited
“Exchange Plaza”, Plot No. C/1,
G Block Bandra - Kurla Complex,
Bandra (E), Mumbai – 400 051.
NSE CODE:AARTIIND

Dear Sir/Madam,

Sub.: Transcript of Q1 FY24 Earnings
Conference Call
Ref: Regulation 30 of the SEBI
(LODR) Regulations, 2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on
Wednesday, August 9, 2023 on Audited Financial Results of the Company for the
quarter ended June 30, 2023.

Kindly take the same on record.

Thanking You,

Yours faithfully,
FOR AARTI INDUSTRIES LIMITED

RAJ SARRAF
COMPANY SECRETARY
ICSI M. NO. A15526
Encl.: As above.

Page 1 of 15

Aarti Industries Limited
Q1-FY24 Earnings Conference Call Transcript
August 09, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Aarti Industries Limited Q1
FY24 Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode. And there will be
an opportunity for you to ask questions after the presentation concludes. Should you
need assistance during the conference, please signal an operator by pressing “*”
and then “0” on your touch-tone phone. Please note that this conference is being
recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Over to you,
sir.

Nishid Solanki: Good afternoon everyone and thank you for joining us on Aarti Industries Q1 FY24
Earnings Conference Call.

Today, we are joined by senior members of the management team including Mr.

Rajendra Gogri - Chairman and Managing Director; Mr. Rashesh Gogri - Vice Chairman and Managing Director; and Mr. Chetan Gandhi - Chief Financial Officer. We will commence the call with opening thoughts from Mr. Gogri who will take us through the performance overview, insights, plans, and outlook on the business. Post this, we will open the forum for question & answer where the management will be addressing queries of the participants.

Just to share our standard disclaimer, certain statements that may be made in today's call may be forward looking in nature and a disclaimer to this effect has been included in the results presentation that has been shared earlier and uploaded on the stock exchange website.

I would now invite Mr. Rajendra Gogri to share his perspective. Over to you, sir.

Rajendra Gogri: Thank you, good afternoon, and a warm welcome to everyone on Aarti Industries' Q1 FY24 earnings conference call. I wish to cover initial thoughts on the performance, evolving market trends and the outlook.

While last year was marred with headwinds around inflation in inputs costs and supply chain disruption, this year commenced with a set of renewed challenges like oversupply situation in China due to weak domestic demand, global inventory destocking and slowdown in key developed markets. This has impacted the end-user demand and affected the prevalent pricing environment thereby moderating the revenue trajectory for the chemical industry including us.

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Our team relentlessly worked towards augmenting the product portfolio and delivering sustained value to our customers in this difficult environment. At the same time, we channelised our deep expertise to maintain the market share, optimise business mix, etc.

Products linked to Dyes, Pigments, and other discretionary industries continued to suffer due to prolonged demand weakness as well as inventory correction, while several products within agrochemicals faced pressure due to excessive inventory in the market. Having said that, we believe that this is transitional in nature and the medium-to-long term outlook remains broadly intact. Infact, our discussion with the customers indicate the volume recovery to kick in gradually from second half of the current fiscal year.

Let me now cover the key performance highlights.

Our revenues declined by 10% to Rs. 1,571 crore, while EBITDA was down by 29% to Rs. 201 crore in-line with weak industry trends. Profit after tax stood at Rs. 70 crore. Overall performance was impacted due to reasons mentioned above. Export shipments were also affected due to prevailing weak demand.

Moving your attention to the production details for Q1 FY24. Production of Nitrochlorobenzene stood at 17,293 MT as compared to 20,515 MT in Q1 of last year. For Hydrogenation, this came at 2,868 TPM over 3,295 TPM in the same period last year. For Nitro-Toluene, the production for Q1 FY24 stood at 9,327 MT as against 5,252 MT in Q1 of FY23.

Now, let me share some update on projects. The project timelines remain broadly intact barring minor alterations, as we continue to believe in the long-term structural story of India especially the China+1 opportunity and growing consumption of chemicals.

The scaleup from expansion of NCB capacities from 75,000 TPA to 108,000 TPA has been completed recently. Our other capex initiatives in existing product portfolio such as expansion of NT and downstream ethylation products, etc. are progressing well as planned.

During the quarter under review, we undertook a CAPEX of over Rs. 260 crore and expect the capex of about Rs. 2,500-3,000 crore in the next two years to elevate our manufacturing capabilities and expansion in our value added portfolio. Our new project initiatives for Chloro-Toluenes and Multi-Purpose Plant are expected to start gradually coming on stream from FY25 and will drive growth beyond FY26.

While we expect the demand recovery to gradually occur in second half of this year, our EBITDA performance will be moderated in FY24. This is in-line with weak industry trends. We will be in a better position to access the situation as we move along.

To conclude, I would say that we firmly believe in India's ushering potential within several chemical value-chains. We will leverage our towering strengths across chosen chemistries with nuanced understanding of market complexities to deliver robust performance. The ensuing years will see introduction of many high-quality products premised on core R&D competence, which will cement our leadership position in the market and help deliver sustained value for our long-term stakeholders.

I will now request the moderator to open the forum for Q&A session. Thank you.

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Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Just a couple of questions from my end. Firstly, on demand, you mentioned that it is still quite challenging. Just wanted to get a sense if in the month of July you have seen any sort of improvement and in terms of normalized levels, how much below are we with respect to key segments? That was the first question on demand. The second question is on the unit margins. Given that your volumes were b

roadly intact

on a Q-on-Q perspective, it appears that unit margins have compressed. Could you share some thoughts in terms of your sales mix, what's the share of the non-regular customers in your mix, and how the margins are trending in those new customers?

Rajendra Gogri: Basically, demand is expected to be recovering more towards the 3rd and 4th quarters as compared to the 2nd quarter. Some of the agrochemical, in the first quarter nitrotoluene numbers were good, but the slowdown in those product lines is now being seen in Q2 of this year. The inventory destocking is taking place for different products in a different time frame in general and because of the overall slowdown even in the Chinese domestic economy and Chinese currency has also depreciated against the Indian currency by about 4%, that is also putting some margin pressure in general.

Vivek Rajamani: Just to clarify; no big change in July, you are basically expecting a bigger improvement to come from Q3 and Q4. Is that fair?

Rajendra Gogri: Yes.

Vivek Rajamani: Sir, on the question on the sales mix, if you could just share any comments on what the share of your non-regular market.

Rajendra Gogri: Non-regular market also became difficult because of the slowdown there. That's why that share has not increased much.

Moderator: The next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: I had a couple of questions. Sir, the first question is when you say that the demand is weak, considering a base of 100, now taking agrochemicals, pharmaceuticals, dyes & pigments, how much would the number be below 100?

Rajendra Gogri: It will be down by an overall 10% to 20%, i.e., the decline in demand depending on the product lines.

Aditya Khetan: In this quarter, we had made a 14% margin. If we can also separate it into specialty and commoditize the product-wise margins; since our specialized portfolio is around 70%, ideally even the specialty product portfolio is also facing pressure from China? Do you think that segment is still not impacted and the pain could be there in coming quarters? How do you see all of these?

Rajendra Gogri: The volume impact is there, across the board basically – whether it's a specialty chemical or value-added chemical or the base chemical. This is because the base chemical only goes into the manufacturing of value-added products. But the margin pressure is more towards the base chemicals as compared to the value-added products.

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Aditya Khetan: So, this 70% of the segment shouldn't have been that impacted, right? If you are saying commoditized is more impacted.

Rajendra Gogri: Yes, relatively the impact on value-added products on the margin side is less, but on the demand side is across the board.

Aditya Khetan: On the quarterly run rate – we used to generally clock a profitability of around Rs. 130 crore to around Rs. 150 crore in profit. But this quarter, we had gained Rs. 70 crore in profit. You think this number can again go back to that range in the second half?

Rajendra Gogri: Yes, there will be a substantial jump at PBT level because once the EBITDA increases, then that EBITDA directly virtually increases on the profit level. Those kinds of numbers are possible towards the end of the second half of Q4.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: First of all, on the EBITDA outlook for the next couple of years – we had earlier spoken about say 15% growth for this year and then sharper growth in FY25. Would you like to offer any updates on that at this point or is there just not enough visibility to do that right now?

Rajendra Gogri: It will be too early to give the FY25 guidelines. Our previous guideline was Rs. 1,700

crore and some, decline may take place in that. But really whether it will be in the range of 5% to 10% or ma

ybe even a little more, that kind of further clarity will emerge in the next couple of quarters based on how the future demand visibility and the margin visibility comes in. So, it will be difficult to give any fresh guidance as of now.

Abhijit Akella: On the performance of the long-term projects that we have – the three of them, have those also been impacted in terms of deliveries because of the demand weakness or have those held up and it's more of the base business that has been impacted?

Rajendra Gogri: The first contract which got canceled was for the dicamba intermediate; which is actually severely impacted because of the demand slowdown in that product line. The second contract is more of a structural one where our EBITDA is kind of assured irrespective of the movement of the volumes. The third contract is on stabilization and overall, it has a good demand visibility; so, the second half will show a good number coming in from the third contract.

Abhijit Akella: The new projects that you were planning to set up, the new multipurpose plants or the specialty chemical units, are those on track for the expected ramp up? Could there be some delay in their ramp up as well given the demand scenario?

Rajendra Gogri: That is going to happen more towards the end of FY25 because of majorly the inventory correction; it is not that the products or ultimately the consumers are not going to consume, it is in the system that so much inventory was built up over the last couple of years. This was because, one is that containers were not available and all, so, people picked up more inventory and secondly it is because of the higher interest cost globally, which was nearly maybe only 1% or 2% - the dollar rates are now maybe 7% to 8%. Increasing inventory carrying costs has also made people reduce the inventory. I think by the end of FY25, the entire chemical industry has to come to a normal consumption level after all the destocking is done. We don't see those to continue for a very long time as such.

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Abhijit Akella: Just one last thing from my end; maybe more for Chetan bhai. The finance cost and depreciation expense related to the newer project, etc., have they already hit the books in the June quarter or will there be some more impact in the upcoming quarters? Also, the tax rate is very low this quarter. If you could please just update your guidance for this year and next year.

Chetan Gandhi: The finance cost and depreciation to the extent of the ones which are getting operationalized towards the end of the last quarter and this quarter have already hit the books. On the tax, we have a couple of tax exemptions by way of SEZ and some cogen power facilities and also the depreciation rate as per income tax is higher than what is there in the books. There is a lot of tax offset and credits available. This is where the tax rate would be lower. We will have MAT credit in this year substantially.

Abhijit Akella: So, should we expect a sub 10% tax rate for this year?

Chetan Gandhi: Likely sub 10% this year.

Moderator: The next question is from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Sir, the first question is on our specialty chemicals. We claim roughly 85% of our overall basket is of specialty nature where we have always understood that the pricing is contracted and the margins are also broadly the same. In that business environment, you are seeing that customers have defaulted or deferred their volume of takeoff-takes and that has led to lower volume or some price impact is also there and that has led to margin erosion and profitability impact.

Rajendra Gogri: That has value-added products also, but typically we expect the per kg margin to be steady and a lot of products it remains steady, but some products there will be some sort of up and down also happening, with an increase or decrease of margins. That is the phenomenon which is playin

g out. It's not like customers are defaulting or something as such.

Rohan Gupta: No sir, not defaulting. I am saying customers deferring the volumes. If you are 85% of volume in specialty and then we see there is roughly 40% erosion EBITDA where the EBITDA per kg margin is likely stable, that is only possible if there is a significant deferment in volume. The volume off-take would not have happened until and unless we had some huge inventory-led losses or our 15% or 20% business, which is non-contractual, that has seen significant losses. If you can explain more on that front.

Rajendra Gogri: This 85% is not like also 100% contractual. And as I earlier mentioned, the demand

slowdown is in both, value-added products as well as on base products.

Rohan Gupta: What we see right now is you have a strong growth visibility in H2. Though avoiding giving any guidance, do you expect that growth to recover in H2 significantly? And you have mentioned that probably for FY25, maybe just 5% to 10% kind of deviation to the EBITDA number. Is it something coming from the customers that you see that a strong recovery in H2 that will compensate the volume decline which we have seen in H1? Or do you see that it is just an expectation that the inventory in the system will be corrected and then we will see restocking? What is the basis from where we are making a strong opinion that H2 will see a significant improvement?

Rajendra Gogri: A lot of customers have given guidance and an indication on the kind of material they will need from October to March. We have received this for a lot of customers who were not buying. Some of them were not buying for 3 months also. Basically, a
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lot of inventory correction what is happening seems to be getting over, maybe in Q3 and Q4 of this year.

Rohan Gupta: Sir, you also highlighted the Chinese currency depreciation is helping the global markets and China to push the material in the system. Sir, in that business also, do we see that our 85% once again the business which is contracted in nature, these contracts have to be renegotiated with the customers with a lower margin we have to settle or the currency depreciation shouldn't impact us at all?

Rajendra Gogri: For our contractual business, what happens between Chinese and Indian currency generally is not.... Actually, they are currency neutral. Generally, they will be US dollar terms and all of the exchange risk will always be with us. There is no change in the contract terms because of any change in the US dollar to Indian rupee or US dollar to Chinese currency.

Rohan Gupta: Sir, in a sense that the Chinese currency and the China dumping shouldn't be impacting our large part of the business which is 80% to 85%. But amidst that, we have a huge uncertainty and a very weak number. Is there something which we are missing that what actually would have led to such a sharp kind of decline? You said that just because of the volume and the inventory destocking, that is impacting the profitability. That's what you are trying to say?

Rajendra Gogri: Yes. Some of the products are in India also. Basically the competition comes from China because some of the products are imported into India from China. For those kinds of products which we sell in the domestic market, there we are seeing the impacts. There, the currency impact also will kick in.

Rohan Gupta: Sir, on the first project of dicamba intermediate, any sense there? Because, right now, anyhow we are going through the agrochemical global weakness and there is no contractual arrangement still being made for the intermediate. So what kind of utilization level do you see? Have we formulated any strategy given that the global weakness in the agrochemicals market continues? Have we decided anything on this first long term contract for the dicamba intermediate?

Rajendra Gogri: As we mentioned, it's a very specialized plant; it's a continuous plant and difficult to

use for other products. But we will take a call on that, maybe in the next 1 or 2 quarters, on whether we can really make a substantial modification in that facility and introduce new products because we have 2 different lines there; maybe 1 line we can repurpose or so. We will take that decision maybe in the next couple of quarters.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, the first question is on the domestic market. We have been talking about global inventory destocking and ingress of China material. How has been the performance in the domestic market? Which segments are showing growth or in the domestic market also there is an overhang of inventory destocking? Your thoughts on this?

Rajendra Gogri: As we have mentioned earlier also, our direct export is now around 45% to 50% and there is indirect export of around 20% to 25% where our customers make the product and the downstreams are exported. So, effectively, 70% of our business is linked to international market. Within the 30% products which are going in pharmaceutical applications and all, we are seeing that there is no change in the demand. However, there we see that in Pharma sector, China has been very
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aggressive when they are exporting to India. So, they are finding some pressure in their product line. However, the demand is intact on those products.

Rohit Nagraj: For the 30% domestic market, we are still growing; there is no real issue of inventory destocking as far as the domestic demand is concerned?

Rajendra Gogri: Not significantly.

Rohit Nagraj: The second question is in terms of China. There is a good amount of material which is coming from China and you also alluded to that. Has there been any change in terms of newer capacity additions which have come up in recent times and that is also posing some kind of a threat with newer material coming into the system?

Rajendra Gogri: No, there is no change about the Chinese material coming into India. Our new PNCB capacity has just come up this month, then we will have more availability of the material, which will help in reducing the imports from China.

Rohit Nagraj: Generally, in the base benzene chemistry, are there any new capacities which have come in China, as per your understanding?

Rajendra Gogri: One particular plant which was closed down, that has restarted last year.

Rohit Nagraj: Just one last clarification from Chetan bhai. In terms of given that this year our absolute EBITDA will get impacted because of the external factors, how are we covered in terms of our debt repayment? Given that our CAPEX program will continue at Rs. 2,500 crore to Rs. 3,000 crore for this year and next year, what is the peak debt that we are looking at?

Chetan Gandhi: Our annual debt repayment is roughly around Rs. 350 odd crore. Relatively, that number can be easily managed from the current situation where we are prevailing in. As regards to the CAPEX program which we have, we have secured a long-tenure money from IFC of around \$130 million which will be available for us to utilize for the new CAPEX initiatives. Plus, the contraction in the demand and the revenues and business will also result into releasing working capital requirements. So, there will be some cash flow reduction on working capital which will also benefit in terms of managing the cash flow requirements.

Moderator: The next question is from the line of Surya Narayan Patra from PhillipCapital India. Please go ahead.

Surya Narayan Patra: Sir, the first question is on the export decline QoQ what we are witnessing of 27%. Can you split that decline in terms of volume as well in value or in terms of price?

Rajendra Gogri: As we have mentioned, a lot of our products' prices are linked to raw material. YoY, the benzene price was lower. The impact of that also has come in at the top line level and b

oth volume also. It will be difficult to bifurcate.

Surya Narayan Patra: Is it fair to believe the number what you have mentioned, the volume decline would be in the range of 10% to 20%? That would be the range for export business?

Rajendra Gogri: No, it will be more towards around 10% to 12%, not 20%.

Surya Narayan Patra: Because, here if I see the domestic performance also, QoQ it is a flat performance. That means if we are believing that the volume scenario is that way maintaining, no more slowdown that we have witnessed in the domestic market, then is it fair to believe that the price pressure what we have witnessed because of the Chinese

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dumping, that has not been reflected practically in the first quarter, and hence, second quarter could be the key period during which we will see the full impact of this Chinese dumping as well as even to the domestic business?

Rajendra Gogri: Some impact is already seen in the Q1 also of that. Additional impact may be not that significant.

Surya Narayan Patra: Since we are seeing that there is some impact in volumes and some impact that has already been seen in terms of pricing, but domestic sales QoQ is flat despite of all these challenges. That is why I was....

Rajendra Gogri: Yes, the sales value-wise is flat but some impact on the margin has come in there.

Surya Narayan Patra: My next point was that – in fact, the gross margin if you see, that is the weakest gross margin that we are witnessing this quarter, actually it is weakest ever possibly, 35% kind of gross margin. Is it because of the kind of impact on the product prices or it is the cost still that is impacting you?

Rajendra Gogri: As a percentage, it becomes difficult. As we mentioned earlier, the benzene price has gone down YoY. That is going to have always an impact of that. As a percentage becomes difficult, the absolute gross profit and absolute EBITDA becomes better number.

Surya Narayan Patra: Practically, this quarter's performance industry-wide if you see, it is a challenge of the volume only or demand situation that is a key challenge for the quarter. On top of that, this dumping in the meanwhile by China, that is the second problem creating a pressure on the prices. Could you give some sense after interacting with your customers, what is the level of inventory they generally used to maintain pre-COVID? Currently what is the level of inventory they are maintaining? With regards to the Chinese dumping scenario, how long do you think that this dumping pressure could be seen in the external non-US market or in the international global market?

Rajendra Gogri: Basically, this dumping also relates to the original overall demand. If the overall demand increases globally, then dumping is going to go down. The second thing is

now the inventory carrying cost is high. The dollar interest rates are high. So, typically if any company is keeping inventory of, say 3 months, they will say now you have to keep it 2 months. Inherently, it is because the cost of money and availability of money, that is really each and every businesses have to relook at what kind of inventory they should keep. Previously, availability was the issue; because the shipping was a big problem. At that time, maybe somebody who is keeping normally a 3 month inventory will make it 4 months. For the high inventory carrying cost now they will think they will make it 2 months. That is what is really moving from a high inventory to a lower inventory than normal. That's why this inventory correction has come about. They were saying that the agrochemical is a \$75 billion market and had a \$65 billion inventory in that entire value chain. That's a huge inventory. Surya Narayan Patra: That means 8-9 months of inventory you mean to say, sir? Rajendra Gogri: Yes, in the entire value chain from the intermediate to active ingredient to the farmers, dealers and everything – it's a very high level of in

ventory. Now with the cost of money and availability of money, that is getting corrected so a new normal will come. At this kind of interest level, now interest also is picking up. I think the US interest rate also virtually now gets stabilized. So, a new normal of inventory, I think, will come in maybe by the end of this calendar year.

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Surya Narayan Patra: Sir, just last one about the debt. What is the gross debt currently, sir? I think after the recent addition, what is the gross debt that we are currently having?

Chetan Gandhi: The net debt would be close to around Rs. 2,650 crore or so. The gross debt because we have taken the term loan drawdown towards the last week of June and we have not fully utilized it, I have got something like close to gross debt of almost Rs. 3,000 crore and cash surplus/liquid money of Rs. 400 crore.

Moderator: The next question is from the line of Akul Broachwala from Ocean Dial Asset Management. Please go ahead.

Akul Broachwala: Sir, I wanted to get your thoughts on chlorotoluene's initial phasing that you are planning to do in FY25. Can you share some details as to what would be the initial capacity? I believe this is an import substitution strategy product. What are the current imports and basically what is your thought behind fast tracking this entire project?

Rajendra Gogri: The project will get commissioned in FY26 and chlorotoluene capacity we have taken about 42,000 tonnes as a base capacity, but it will be with the entire value chain because the current import of chlorotoluene is not that significant as it is, but a lot of downstream products based on chlorotoluenes are currently imported into India.

Akul Broachwala: What is the CAPEX entailed for this first phase of chlorotoluenes?

Rajendra Gogri: The first phase will be more of around Rs. 1,500 crore or and then further some multipurpose plant and other additions will take place.

Akul Broachwala: Eventually we also plan to introduce downstreams and would cater it through a multipurpose plant?

Rajendra Gogri: Yes, in the beginning itself we will have downstreams. We will have a few downstreams along with the chlorotoluene itself. Otherwise, you cannot consume that much because there is not that much of demand in India for the base chlorotoluene. So, a few downstream chemistries along with the chlorotoluene will be commissioned in the first phase. It will be more or less continuously, that various plants will get commissioned in FY26. Some may go in FY27, but most of the commissioning will happen in FY26.

Akul Broachwala: Given the kind of situation that is there, do you sense that there would be some realignment that would be required eventually if things do not improve or you will still go ahead with the kind of CAPEX program that you have built in?

Rajendra Gogri: We see this as more of a transition because of the inventory correction, as I mentioned earlier. Structurally, the chemicals are required by the end user, whether it is pharma, agro, or for paint or car or all the end users, there is no change. There are no new chemicals which have come in. So, structurally, the demand is there. The second thing is that the demand appetite from India also is remaining. Anything of a long term which is going to come up in FY25 and FY26 because by that time, I think all the stabilization will be taking place. So, there is no question of changing anything on that.

Akul Broachwala: Secondly, whatever legacy issues that we face with availability of nitric acid, can we assume that most of those issues are behind us now? Considering your contract with Deepak Fertilizers as well, maybe considering this down cycle, even if the

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demand might remain volatile, but otherwise in terms of production there aren't any

such challenges for us.

Rajendra Gogri: Yes, because we set up this 20-year contract with Deepak Fertilizers so nitric acid availability has not been

an issue at all.

Akul Broachwala: Lastly, on other expenses, the run rate of 1Q do you expect for that to gradually increase to the earlier levels or will it be pertaining to the production levels that will depend on the market situation?

Rajendra Gogri: The other expenses have a substantial ocean freight. There is the ocean freight correction which has really changed in this because even though it is a direct variable expense, it comes in the other expenses and which has really seen huge volatility in the last couple of years.

Moderator: The next question is from the line of Anubhav Sahu from McPro Research. Please go ahead.

Anubhav Sahu: Given the headwinds we are seeing from China, which were quite unexpected, as far as the aggressiveness on the dumping is concerned, any estimate for the volume growth for the rest of the year, particularly when we also have a strategy of being aggressive in non-regular markets?

Rajendra Gogri: It is difficult to give any volume because China itself, where we are supplying to also, it is becoming difficult as a non-regular market. To give any specific volume guidance at present will be difficult.

Anubhav Sahu: But coming from an expectation of 25%, would you have any broad range to talk about even for the remaining 9 months?

Rajendra Gogri: Instead of 25%, it may be overall maybe around 10% growth or something; those kind of numbers.

Anubhav Sahu: On the domestic market, could you provide any qualitative guidance for the near term given that on the volume terms it looks stable if we just look at Q-on-Q basis?

Relatively margins were better for us so there is a bit of an impact on the margins. Particularly on 30% of the business, if you can provide some guidance for the near term.

Rajendra Gogri: The 30% business which is going for domestic consumption, I think we are seeing a fairly stable demand and that will continue like that.

Anubhav Sahu: Currently, our net debt to equity is about 0.56. Could you provide what could be the peak metric for this as far as this current CAPEX cycle is concerned for the next 2 years?

Chetan Gandhi: Debt to equity is also going to be a function of how the working capital and the input prices prevail. If we assume the constant prices, I believe this should be between 0.6 or 0.7 max. It won't go beyond that number. But yes, working capital is going to be a major play in looking at the debt numbers as we move forward.

Anubhav Sahu: Given the status quo, 0.7 is what we are looking at debt to equity?

Chetan Gandhi: 0.7 on a worst case outer limit. I guess 0.56 or 0.6 is the number which we are currently targeting.

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Moderator: The next question is from the line of Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: Sir, if I heard you right in the opening remarks, our nitrotoluene production volumes have gone up quite a bit year on year. Sir, is it that there is decent enough demand in the base toluidines or the end users of this eventually go into agri - MEA and DMA? Is that what is driving growth or is there something else that you would like to highlight?

Rajendra Gogri: The agrochemicals in that product line were doing well in Q1. That's why we got a good number of nitrotoluene. As I mentioned earlier also that inventory impact has started coming in now in Q2. So, in Q2 and Q3, we may have some subdued numbers there, in our ethylation range, but we will try to sell the product to other markets and try to keep the volumes. But nitrotoluene volumes will be impacted in Q2, for sure.

Archit Joshi: Sir, another clarification that I wanted from the previous calls about the arrangement in the second long-term contract. Just wanted your thoughts. What exactly is the arrangement there? Are we working on a fixed EBITDA basis? Because, given the size of the contract, a simple division of the total size of the contract over the tenure that we have planned, Rs. 500 cr

annual turnover and the EBITDA range that we had given earlier in terms of margins, would that be achievable from this year onwards or is there any delay on that end also?

Rajendra Gogri: No, that has kicked in. We are getting that. That's what I mentioned earlier also. The second contract, the EBITDA is not connected much to the volume.

Archit Joshi: So, basically, the EBITDA or the per tonne or the absolute margin that we are envisaging to make here, we will make it any which way in this year and going forward also the same number?

Rajendra Gogri: It's not related to the volume. So, the absolute EBITDA virtually is not going to change much.

Archit Joshi: So, the absolute EBITDA run rate will be constant from this financial year FY24 and going ahead?

Rajendra Gogri: Yes.

Archit Joshi: Sir, just one followup on the first question. The incremental nitrotoluene capacity and the ethylation loop, when would you assume it to come online in terms of timeline?

Rajendra Gogri: We are targeting it in the Q1 of FY25 that both nitrotoluene and ethylation block should go into commissioning.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: The first question on the decline in RM prices that we are seeing. Will it be fair to say that all the RM deflation has been passed through across our value-added as well as basic products? If not, then what is the proportion of the contractual pricing that we have?

Rajendra Gogri: Generally, in the domestic market, it gets passed on on a month-to-month basis and export it is generally with a quarterly lag; that is the typical structure. Now, again the

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RM has started going up. If you see, the downward move was towards in June-July and now the price has started going up.

Ankur Periwal: In that case, probably in the near term, there could be some flux in terms of margins because of pass-through delays or given the volatility of the RM prices.

Rajendra Gogri: Yes, but it has not seen a very huge variation. It is not like Rs. 60 becoming Rs. 90 or Rs. 60 becoming Rs. 30. The changes are not very huge to have a really substantial impact.

Ankur Periwal: Secondly, on the value-added products. We say that our revenue share from them is around 75 to 80 odd percent. How much of this will be contractual? Another question there is, is, how do you define value added? Is it number of steps required or is the margin that we earn?

Rajendra Gogri: It's on the number of steps basically. The nitrochlorobenzene, nitrotoluene, sulphuric acid are considered base products. Then as you add more chemistries, that become more value-added products. In terms of the value-added products, typically we have a long-term structured contract and also other places where we don't have structured contracts, but generally typical delta when we discuss with the customers, the pricings are generally typically done based on the base raw material plus delta. That's how the pricing is done even if it is not contractual. But generally, the pricing structure remains of that line.

Ankur Periwal: This delta will be, broadly speaking, in what percentage terms higher than the basic one? Let's say the basic margin is maybe Rs. 100 a kg. Then, what is the delta here for value added? I know it will be a range, but broadly?

Rajendra Gogri: It will be depending on the number of chemistries. We have a product which we sell at Rs. 2,000 also. We have a product which we sell at Rs. 1,000 also, Rs. 500 also.

So, Rs. 2000, the raw material cost may be only Rs. 500 because so many chemistries are added. It's all product to product, in that sense. Depending on every step, the delta gets added and gross profit to sales number goes on increasing.

Ankur Periwal: In our annual report, we again talk about the value-added products and the high-potential products margin accretive being there will be ramp up there gi

ven our

CAPEX plans as well. The margins that we will be earning on these value-added products, how should one look at them? Maybe in terms of number of steps you can suggest or in terms of absolute margin, how should one look at them?

Rajendra Gogri: Like chlorotoluene, most of the products will have at least typically 3 steps, an entire range. Virtually everything will be 90% of a value added kind of a product there.

Therefore, the EBITDA margin will be higher.

Moderator: The next question is from the line of Bhavya Gandhi from Avendus Wealth. Please go ahead.

Bhavya Gandhi: Sir, just one question. Have we seen historically this kind of situation of destocking and what is the time period for this kind of situation? What was the time period which was taken for destocking in the past? If you can throw some light on this.

Maybe in the last 10-15 years, have we seen or is it a one-off situation this time?

Rajendra Gogri: This is similar to what had happened in 2008. In 2008 if you see, after the Lehman shock, across the world, a lot of plants had closed down in a very sharp manner.

That was more of a financial crisis. The availability of finance was a problem. But the interest rates were low. At that time, the interest rates were going down. But this
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time what has happened is that the interest rates have also increased. In 2008, there was no impact on agrochemicals because the inventory carrying cost was zero. Now what has happened, this time, is that the interest cost also has become a big factor. This time, the impact has come both on discretionary as well as on agrochemicals.

Bhavya Gandhi: In 2008, what was the time period for which the cycle lasted, the destocking thing?

Rajendra Gogri: Two quarters. On the 15th September was the Lehman shock. So, October to March, those 6 months, there was; and that time, it was much sharper. This time, it is more of a slower and more prolonged compared to the earlier. At that time, it was very very sharp like BSF had announced these many plants closed across the world and all that. The Lehman shock was much really shocking with a very shocking impact at that time.

Bhavya Gandhi: How do we assess that it's only the channel inventory issue and not the demand issue? Do we have any ground-level reading saying that the demand is not impacted? How do we assess that? Because, everybody is talking about 2 quarter thing. What gives a certainty when it comes to demand on ground level?

Rajendra Gogri: Basically, all these products are required mainly for auto, construction, textile, electronics, or consumer products. Overall, I think there is no replacement for these chemicals that are used there. We don't see any structural change in the consumption pattern. All these EV and all, they need more specialty polymers than regular vehicles.

Bhavya Gandhi: But is it like China is trying to squeeze our margins or on a longer-term basis, are they going to come back and affect demand?

Rajendra Gogri: The demand from India will remain. Because of the China-plus-one story and demand, we don't have to worry much about the volumes. Specific product to product, some margin pressure will come. But once the demand becomes normal; the appetite to buy from India is there and that will continue too. Personally, I don't see that the volumes will be impacted. Once things normalize, the Indian companies should be able to get those volumes in the international market.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Sir, first in terms of the sectors that we cater to; agrochemicals, dyes & pigments, polymers, auto, and others, in terms of the slowdown, where would you see the sharpest slowdown? In terms of recovery, are we seeing any green shoots in any of these segments, at least in July-August or all are still at the similar levels as 1Q?

Rajendra Gogri: Textiles is s

omething which everybody is wondering. If you talk on the textile sector, it has been a very very prolonged one because that was the first one which started getting impacted even in FY23; it's a much longer period. On the pigments' side, some sort of green shoots may happen Q2 onwards. Agrochemicals are very very product specific, as I mentioned. In Q1, our nitrotoluene and ethylation products were really booming and suddenly in Q2 and Q3, the demand is affected whereas in dicamba, the base correction started happening in Q1. So, this has become much more product specific.

Siddharth Gadekar: In terms of our second quarter, should we be at a similar level in terms of our EBITDA or could we even go below the current Rs. 200 crore EBITDA that we reported in this quarter?

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Rajendra Gogri: It should be of a similar range. That's how it looks. At least at present, it should be of a similar range.

Siddharth Gadekar: But do we have any volume contracts or volume visibility that the third quarter will be better than the first half or it will be entirely pushed to the 4th quarter or FY25?

Rajendra Gogri: We have some volume visibility for the third and 4th quarter, but sometimes what may happen is that by the time they become nearer, then sometimes they may say that we need 1 month earlier or sometimes they may push out to the next month. But with the current indication what we are getting from the customer, definitely Q3 volumes are higher and Q4 are still further higher.

Moderator: The next question is from the line of Pujan Shah from Congruence Advisers. Please go ahead.

Pujan Shah: My first question would be on the dyes & pigments. If you look at this specific segment, how would the outlook be? What could be the parameters? Just wanted to know that view for the FY24 basis.

Rajendra Gogri: Textiles is really a surprising situation. Textiles is still not showing any significant

increase. It is still struggling. Time to time, we feel that it is getting very back to normal, but still not happening. But the pigments have seemed to have bottomed out.

Pujan Shah: And what are the views on polymers and additives?

Rajendra Gogri: Polymers and additives, the corrections are started more happening now. That might get bottomed out more towards Q3-Q4.

Pujan Shah: And I just wanted to ask you about the benzene. If we look at the benzene prices - let's suppose it's Rs.100. And now currently if the price is steady at Rs. 90 or 80, it would be around 10% to 20% fall from the top what the price has been made. So, what could be the price percentage fall from the top to at the current price?

Rajendra Gogri: Benzene has not seen Rs. 100. It has seen Rs. 90 to Rs. 60 kind of a range which has happened.

Pujan Shah: Can you spell the volume split what you have provided in the initial remarks. I actually missed out that volume.

Chetan Gandhi: Nitrochlorobenzene volumes were 17,290 metric tons for the quarter as against last year YoY number of 20,515. The nitrotoluene volumes were 9,327 for this quarter versus 5,250 for last year. The hydrogenation volumes were 2,868 versus 3,295 for previous year.

Moderator: The next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: Sir, you had not mentioned the PDA segment volumes.

Chetan Gandhi: PDA volume for this quarter is 135 tonnes per month whereas last year it was 371 tonnes per month.

Rajendra Gogri: This is the worst affected segment.

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Aditya Khetan: I believe this phenylenediamine segment, majority of the volumes is for the export market. And because of the external headwinds, this is one of the reasons why this segment is impacted the most?

Rajendra Gogri: Yes. In domestic, it goes in dyes; and in export, it goes in polymer. That's what I was mentioning that correction in this has started more recently on the polymer side. That's why we see a

sharp decline in this product.

Aditya Khetan: What was the base reason of the nitrotoluene strong volumes in this quarter?

Rajendra Gogri: That is going into agrochemicals and those agrochemicals were still strong in Q1.

Aditya Khetan: Why that has been impacted in the second quarter? You mentioned that it has got weakened now.

Rajendra Gogri: Now, it is because of the inventory correction. Everybody has calculated the pipeline inventories. Big multinationals when they come back with their revised supply chain, that's where we are seeing that now, they see that they want to reduce the year-end inventories.

Aditya Khetan: Sir, I was asking onto the agrochemical inventory situation which sir has stated. I believe that 2 to 3 months back how much inventory has been rationalized?

Rajendra Gogri: That I think we will have to talk to Agro guys again that from where we get this kind of number; maybe we will be able to get some idea that how much correction already has taken place. But I think most of the correction in the next 2-3 quarters because everybody wants to keep lower inventory at the year-end because of the higher inventory's carrying cost. I think all those should settle down by Q3 of this year, i.e., the calendar year-end.

Aditya Khetan: And sir, just one more question. Now, we have again started witnessing the crude prices have started to inch up and they have crossed \$85 a barrel. Now, the base chemicals prices also would start to go up with the lag?

Rajendra Gogri: Yes.

Aditya Khetan: So, could there be a situation where we would not be able to pass on the incremental prices and we could see further going up from this level?

Rajendra Gogri: Generally, we are able to pass on. So, there is not much of an issue there.

Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Rajendra Gogri: Thank you everyone for taking out the time to join us on our Q1 FY24 Earnings Conference Call. Hope we have addressed all your queries. If you have any further questions, please feel free to contact our investor relations team and we will address them. We look forward to connecting with all of you again in the next quarter. Thank you once again.

Moderator: On behalf of Aarti Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

November 10, 2023

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

BSE CODE –524208

To,
Listing/Compliance Department
National Stock Exchange of
India Limited
“Exchange Plaza”, Plot No. C/1,
G Block Bandra - Kurla Complex,
Bandra (E), Mumbai – 400 051.
NSE CODE:AARTIIND

Dear Sir/Madam,

Sub.: Transcript of Q2 FY24 Earnings
Conference Call
Ref: Regulation 30 of the SEBI
(LODR) Regulations, 2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on Monday, November 6, 2023 on Audited Financial Results of the Company for the quarter and half year ended September 30, 2023.

Kindly take the same on record.

Thanking You,

Yours faithfully,
FOR AARTI INDUSTRIES LIMITED

RAJ SARRAF
COMPANY SECRETARY
ICSI M. NO. A15526
Encl.: As above.

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Aarti Industries Limited
Q2 FY24 Earnings Conference Call Transcript
November 06, 2023

Moderator: Ladies and gentlemen, good day and welcome to Aarti Industries Limited Q2 FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you and over to you, Mr. Solanki.

Nishid Solanki: Thank you. Good afternoon, everyone and thank you for joining us on Aarti Industries Q2 FY24 Earnings Conference Call.

Today, we are joined by senior members of the Management Team, including Mr. Rajendra Gogri, Chairman and Managing Director; Mr. Rashesh Gogri, Vice Chairman and Managing Director; and Mr. Chetan Gandhi, Chief Financial Officer. We will commence. Call with opening thoughts from Mr. Rajendra Gogri, who will take us through the Performance Overview, Progress on the Growth Plans and Outlook on the Business. Post this, we shall open the forum for Q&A where the management will be addressing queries of the participants.

Just to share a standard disclaimer: Certain statements that may be made in today's call may be forward-looking in nature and the disclaimer to this effect has been included in the "Results Presentation" that has been shared earlier and also uploaded on stock exchange website. I would now invite Mr. Rajendra Gogri to share his perspectives. Thank you and over to you, sir.

Rajendra Gogri: Thank you. Good afternoon and a warm welcome to everyone present on the call today. We are here to discuss Aarti Industries' Q2 FY24 earnings. Firstly, festive greetings to each one of you. I would like to take you through the performance, update on growth initiatives and strategy.

We have exhibited strong resilience and delivered robust performance on a sequential basis, which came on the backdrop of continued external pressures, reflected by 16% gains in absolute EBITDA compared to the previous quarter. While the challenges with respect to global inventory destocking, high interest rates, recessionary trends across various end-markets, slowdown in export markets and geopolitical tension persists, we witnessed some recovery on Q-o-Q

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basis. In light of this situation, I believe our teams have displayed remarkable agility to swiftly navigate to products that are experiencing a more favourable demand scenario. This was possible due to our comprehensive understanding of the market conditions coupled with dedicated efforts for enhancing our market position and driving operational excellence. While I anticipate these headwinds to persist over the next few months, we are witnessing gradual recovery quarter-on-quarter for various products. We maintain optimism about potential demand revival in the end use segments such as agrochemical, polymer additives and other discretionary applications, as we move forward. That said, we have observed some recovery in Dyes, and few specialty applications, while other end-user segments are yet to recuperate. We expect the worst to be over in H1 FY24 and anticipate that it will take a few more quarters for normalised demand across various end segments/product lines. Thus we expect consequentially better performance in H2FY24 and foresee FY25 to be a normalising year considering the current pace of recovery. We are continuously engaging with our customers to increase the market share and to widen the market base.

Now, let me cover the key performance highlights. Financials are on a consolidated basis.

Our revenues increased by 2% to Rs. 1,597 crore in Q2 FY24 over previous quarter Q1 FY24. EBITDA grew by 16% on Q-o-Q basis to Rs. 233 crore in Q2 FY24, the better EBITDA performance was a result of volume expansion with near stabilising of realisation for some products. Interest cost was higher on account of revaluation loss of about Rs. 12 crore with respect to unhedged long-term loans. Profit after tax stood at Rs. 91 crore in Q2 FY24, higher by 30% over previous quarter Q1 FY24. This was in-line with better operational performance, further aided by lower tax provisions and accrual of Deferred Tax assets.

I will now share the production details for Q2 FY24. Production of Nitrochlorobenzene stood at 19014 MT as compared to 20276 MT in Q2 of last year and 17293 MT in Q1 FY24. For Hydrogenation, this came at 3136 TPM over 2558 TPM in the same period last year, and 2868 TPM in Q1 FY24. For Nitro-Toluene, the production for Q2 FY24 stood at 7560 MT as against 4954 MT in Q2 of FY23, and 9320 MT in Q1 FY24.

Moving your attention to updates on key projects. Our revamp of the Acid unit has been completed recently. All the other projects including capacity increase of Ethylation & NT and introduction of Chlorotoluenes value-chain among others are progressing well and will start commissioning in a phased manner, from next year.

In addition to this, we are looking at unique opportunities in the sunrise sectors and will delve more as we achieve some breakthrough.

During the six-months period, we necessitated a CAPEX of about Rs. 575 crore towards various expansion opportunities shared previously. Our target annual capex will be in the range of Rs. 1200-1300 crores for FY24. Overall, we are committed to deploying Rs. 2,500 to 3,000 crore for the outlined growth initiatives over a two-year period, as we anticipate rapid growth for the Indian Chemical

industry in the foreseeable future. This will not only enhance our proficiency and capabilities in existing as well as newer high-end chemistries, but also expand our addressable market size.

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In-line with the current demand scenario, we believe FY24 to be a transitional period with moderated performance over last year. However, FY25 onwards, we will see healthy accretion to earnings in a phased manner as the macro challenges eases out, on-ground demand improves and also with newer projects begin to contribute. I will now conclude by saying that we are fully ready to unlock newer opportunities as India remains a sweet spot for global majors. We continue to believe that this will be a golden decade for India given it

s co st competitiveness, huge talent pool, growing domestic market and favourable manufacturing shift from other Asian/ western countries. Aarti Industries w ill remain nimble and capitalise these opportunities backed by its world-class manufacturing expertise and R&D capabilities. With this promise, we w ill be able to enhance value for all our stakeholders.

This concludes my initial remarks, and I now request the moderator to open the forum for Q&A session. Thank you.

Moderator: We will now begin the question-and-answe r session. We'll take the first question from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: First, if you could just touch upon the demand trends that you're seeing in October or this quarter for your end markets, I just want to get a sense which sectors are actually seeing the biggest recovery, and which are the sectors which are being the biggest drag? And secondly, sir, I think you mentioned in your opening remarks that you're starting to see some ASP stab ilization in some products. So, just from either an ASP or a margin perspective, if you can just talk about how it has moved on a QoQ basis between your regular and your non-regular markets, that will be very helpful?

Rajendra Gogri: Yes, overall, demand in discretionary sites, whether it's dyes, pigments, polymers, we are seeing improvements quarter-on-quarter, even in Q3, but agrochemicals are still more on a molecule-specific. So, there we are seeing more challenges as far as segment-wise demand recovery is concerned.

Chetan Gandhi: For margin, margins per product, I think we are doing better than what we were doing in last quarter in this discretionary and this segment, which Mr. Rajendra Gogri mentioned, so we are doing better there where the demand is coming back, I think we are seeing some margin improvements, whereas some drag in agro, pharma and markets I think we are seeing. So, that is the overall mix in terms of margin.

Vivek Rajamani: Just one small clarification. This margin improvement that you're seeing in discretionary segments, is that coming both from your regular markets and your non-regular markets?

Rajendra Gogri: I would say on both.

Moderator: We'll take the next question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Just on the margin point, a little bit longer, so the sequential increase in margins, what exactly would that be attributable to -- is it that there's been some favorable shift in product mix or is it expansion spreads in some of our base products itself or is it inventory gains on benzene for example, what exactly might it be, and can we

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expect this to sustain into 3Q and 4Q as well the same level of margins going forward?

Rajendra Gogri: Yes, product mix also is a factor where more, on a higher margin, product sales are there. Specific product-to-product wher e some demand increase, stabilization is taking place, there is some sort of a margin increase, is also what we have observed. So, in general as the demand also starts recovering, we see that some margin benefit is also starting to accrue.

Rashesh Gogri: We are seeing recovery in our traditional markets and so this is not a dumping market that non-traditional market where we are seeing improvement, we are seeing improvement in the traditional markets which was always a better margin market. So, again, the orders have come back so that our overall mix of margin has improved basically.

Abhijit Akella: So, sounds like this is sustainable in 2H FY24 as well?

Rajendra Gogri: Yes.

Abhijit Akella: Also, just so curious, whether you know N-Methyl Aniline might be a product on which we make better margins than on our overall portfolio or is that not the case?

Rajendra Gogri: As we have been always saying, it is more on EBITDA per Kg. As a percentage margin, different product will have different percentages.

Rashesh Gogri: We are not commenting on individual products anyway.

Abhijit Akella: Then on the demand side, you pointed to a gradual recovery in the second half.

So, I mean, when we look ahead sequentially 3Q versus 2Q maybe 4Q as well.

How much of an improvement can we expect in the revenue or EBITDA run rate? Or maybe if I could ask it another way, what sort of EBITDA guidance should we

work with for FY24 and then maybe FY25, please?

Rajendra Gogri: The first half total is about Rs.433 crore. So, second half upward of Rs.500 crore.

Overall, annually, we see that around Rs.950-1,000 crore is the current visibility for

EBITDA for this year, FY24. And FY25, it will be difficult to give guidance now, but I think our general guidance earlier was Rs.1,700 crore. So, we see that at least 5%

to 15% is the maximum decline over that number. But overall FY25 also, quarter-

on-quarter there will be an increase as the demand also recovers and our new plant of ethylation and NT gets commissioned, so FY25, we will have a quarter-on-quarter kind of an increase in EBITDA.

Abhijit Akella: If you could please just help us with the capacity utilization rates on your three

long-term projects, basically? On the balance sheet we see that the payable days

have gone up quite sharply in 1H, offsetting an increase in inventories. So, if you could please just highlight the reason for that?

Rajendra Gogri: Capacity utilization of the long-term first contract which got cancelled, their

products we are suffering on the demand side, so not much significant

improvement there. Second contract which is the way it is structured; it is more or

less capacity utilization-agnostic. The third contract we have just commissioned. So, this year is more of a product stabilization. We don't see any significant

EBITDA coming in for the third contract in FY24, the major thing will come in FY25 for the third contract.

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Chetan Gandhi: On the payable days, we had a couple of imports happening where the credit period is generally more than the domestic sourcing. So, that's where the payable days are higher than the previous quarter numbers.

Abhijit Akella: Is this more of a tactical shift towards imports or is this more of like a strategic move?

Chetan Gandhi: For some of the raw materials, not the major ones, and not the benzene and other one, but for a couple of other raw materials, we do have imports coming at a better pricing. So, as of now that seems to be the strategy.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: The first question is on the first contract. So, we were planning to change the structure of the plant so that we can manufacture something else from the

dedicated plant. So, are there any more new things that we have worked on? Is

there a possibility that next year we will be able to at least use part of that plant for manufacturing any new products, so, any thought process on that?

Rajendra Gogri: We have not taken any firm decision on that yet. We are still evaluating the possibility of using it for the same product. As I mentioned earlier also, maybe it's

couple of more quarters that we will need for us to know whether we should partly use it for some other products or something, that call has not been taken yet.

Rohit Nagraj: Second question is in terms of our guidance, so this year we are planning to reach

about Rs.1,000 crore, next year, Rs.1,700 crore minus something. So, from 1,000 to 1,700, what could be the increase from the base set of capacities that we are

currently having? What could be the contribution to EBITDA from the newer projects that will get commissioned during next year?

Rajendra Gogri: NitroChloro Benzene has been expanded so that ramp up will happen. The

contract-III also will come into the rampup and next year, a major project which will get commissioned is ethylation and NT expansion and s

ome other debottlenecking. So, that would be the mix ramp up of the project, which has been commissioned in FY23 and FY24 as well as the new project of this ethylation and

NT which will be commissioned in FY25.

Chetan Gandhi: Also, the expectation on the volume which has currently not been there, so with the recovery of the global volumes it will also add on to this.

Rohit Nagraj: Just a last clarification on the debt front. So, again, by the first half the debt has gone up to Rs.3,200 crore. What is the peak debt that we are looking at and when

are we likely to hit that run rate maybe in for FY25, and FY26, any thoughts?

Chetan Gandhi: We do have cash of Rs.400 plus crore. So, the net debt would be around Rs.2,700

something. I don't think the debt numbers will significantly go up from here towards

the end of FY24. So, on a net debt basis we should be somewhere between Rs. 2,700-2,800 crore or Rs. 2,900 crore in a worst-case scenario.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital. Please go

ahead.

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Ankur Periwal: First question is on the global demand as well as supply scenario. If you can share your thoughts on the overall competitive intensity, the demand slowdown as well as intensity especially from China and are there any new capacities coming in or shutting down, your thoughts please?

Rajendra Gogri: As we mentioned that global demand is gradually recovering and we see the next two, three, quarters, there will be demand revival and obviously because of the Chinese economy also going slow down, in general the Chinese competitive intensity has increased in last few quarters. But as the global demand improves, we see that that the competitive intensity also will reduce. So, that's how we see that both demand revival as well as some decrease in competitive intensity.

Ankur Periwal: Any change in the global supplies' capacities there?

Rajendra Gogri: No significant new changes.

Ankur Periwal: Secondly, on the pricing bit, there has been volatility across the pricing for our products. Do you believe, more or less, that there is stability now or probably looking at maybe October or the recent trends, that price volatility still remains?

Rajendra Gogri: Generally, in prices, we have a raw material pass-through. Raw material volatility is not impacting much. Generally, a little bit margin improvement, as already mentioned in earlier question, for some of the products we have seen.

Ankur Periwal: Lastly on the CAPEX, so around Rs. 1,200-1,300 crore for this year and I think you had guided for around Rs. 2,500 crore of CAPEX over FY24 and FY25. How much of this will be on productive CAPEX and expected asset turn there?

Rajendra Gogri: Yes, the total was Rs. 2,500-3,000 crore. The new assets which are coming up in our new zone, they are higher value-added products. So there, the asset turn will be more towards around 1.2x to 1.3x.

Ankur Periwal: Presumably this will be margin-accretive to our current business?

Rajendra Gogri: Yes.

Moderator: The next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: My first question is, sir, when we were listening to all the global and domestic agrochemicals and the pigment companies, most of the companies have given out a very weak guidance on to the demand side and most of them have also shifted the improvement in demand outlook towards the first half of the next calendar year.

So still sir, we have witnessed an improvement in volumes and margins. So just want to know the disconnect between the global commentaries and our improvement in volumes.

Rajendra Gogri: Yes, basically, we have a very wide spread of products and wide end use market that kind of helps us to put the products where there is more demand. And overall, also generally it also becomes product-specific. Obviously, the improvement will come more in this calendar

year FY24 because in the last quarter generally multinationals tend to buy less. So, Q3 FY24, the general international buying is less. So, in the calendar year/FY24 first half we'll see more demand growth.

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Aditya Khetan: And then on the volume improvement on quarter-on-quarter basis into the NCB and into the hydrogenation business, which are the major geographies wherein we have increased our exports? Because what we believe is that US and Europe for these markets, continue to remain weak. So which are the markets that have shown an uptick in terms of your volume growth?

Rajendra Gogri: Yes, we have been exporting to various markets including China, other Asian and European countries also. We are a very, very well spread geographical baskets.

Aditya Khetan: Any specific geographies which have witnessed an improvement, that's what I wanted to understand?

Rajendra Gogri: In some of the Asian markets, we have been able to see improvement and in some European countries also.

Aditya Khetan: If you can share the PDA volumes for the quarter, sir?

Rajendra Gogri: This PDA volumes were 316 tons per month.

Aditya Khetan: In our end user industry, in home and personal care business, how much would be that contribution? Since the last few months we were witnessing that, because of higher inflation, the volumes were not able to pick up. So, how is this segment changing now and can this be a segment which can further lead to improvement in volumes going ahead or it would be at the same level which is currently?

Rajendra Gogri: Our exposure to home and personal care is very limited. I will not get into details, but some of the products what we see, some pressure is there in the demand, but overall, as a company as a whole, that's not a very big output.

Moderator: We'll take the next question from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: First question is on our end user industry wise growth, which we have seen on a QoQ basis, in volumes. I understand that global agrochemicals are still challenging.

Can you give some sense that which were the end user industries which have given a sharp growth and how has been the agrochemicals industry growth for us?

Rajendra Gogri: Yes, agrochemicals are continuing to be challenging, but on polymers and additives and dye stuff side and all, we have seen growth.

Rohan Gupta: Sir, any ballpark number, end user industry wise, like how much was agrochemicals' degrowth and what kind of volume growth would have seen in polymers and additives, a very ballpark number?

Rajendra Gogri: That number we will not have readily available.

Rohan Gupta: Sir, we have seen that the crude oil started going up and that may have some follow up impact on benzene prices as well. Have you seen any kind of improvement so far in our margins because of low raw material cost benefit or do

you expect going forward we will have some benefit because generally we tend to gain in a rising raw material price scenario?

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Rajendra Gogri: So generally, we have a pass-through, so raw material pricing impact is not there.

If local it gets immediately passed through and exports sometime in a quarterly pass through.

Rohan Gupta: The third question is on net debt. Chetan, sir, you mentioned that maybe we can see net debt peaking at Rs. 2,700-2,800 crore. While given the current weakness, we are still looking at maybe a base-case EBITDA of almost Rs. 1,400-1,500 crore for FY25 while we are continuing with the cumulative CAPEX of Rs. 2,500-3,000 crore, so that seems that our cash flows may not be sufficient enough to meet this CAPEX including working capital requirement. So, any change there because earlier the projections were on the higher side, but now given the weakness, so we are expecting a lower cash flow generation, so how we see that our peak net debt or net debt level next year with keeping the CAPEX same?

Chetan Gandhi

: No, I believe the question which was there earlier was reference to the debt numbers for this year and not on a peak net debt, so it was more related to by end of FY24 where we see the debt numbers. As you rightly said, we do have CAPEX

of plans and there is also the volume uptick is going to be gradual over next few quarters, so the debt level will increase. At this point of time, it will be a bit difficult to work on the net debt basis because we still have a lot of areas to look into such as the raw material prices, have started moving up, the impact of that you will have to be evaluated and seen. So, on debt numbers basis, I guess the net debt would increase in FY25. I believe it should peak-out somewhere in FY26, and from there

it will start tapering off. Putting a number at this point of time would be a bit difficult.

Probably we can take it up at some other time, maybe next quarter or so.

Rohan Gupta: Sir, in terms of our capacity utilization level, so we have already definitely invested significantly and our CAPEX plans are still going on. While we see that the recovery will be slower and China where the competition is still pretty large in terms of commodity side of the business, so do you see that the threat from China is likely to continue in terms of the pricing? Because we have heard that there are

huge capacities built up in China at least in a lower and other product value chains, where 25% to 35% of our products' markets compete. How do we see and is there any possibility that we may rejig our CAPEX plan over next two years and slow down a little bit?

Rajendra Gogri: No, basically the impact of this Chinese competition increase is already there. So, we don't see much of any further change in that. These projects or whatever we are doing, we have already started working on that. We don't have any plan to change on overall whatever we have guided being Rs. 2,500-3,000 crore over this two-year period.

Moderator: The next question is from the line of Surya Patra from PhillipCapital (India) Private Limited. Please go ahead.

Surya Patra: Sir, my first question is on the export and domestic mix. So, there is a 10% swing in this quarter from the earlier period. In fact, there is a strong growth in the export that is what we are witnessing, while the domestic market is remaining subdued. How should one read this – should one think that okay, the domestic market is

suppressed by the Chinese dumping and all that, whereas you would have seen some export demand in let's say hydrogenation-based products, aniline and all that, in the export side that would have supported the export mix. So practically, your sense on how should one really read this?

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Rajendra Gogri: So basically, overall direct export and indirect export is one component. Majorly being a global player, we will have to count for direct export and indirect export which is counted in local sales. And the other thing is which is purely for local demand. So sometimes this decrease in local sales maybe is also because of the downstream pressure especially in the

agrochemicals side, where our customers

buy the product locally and then make the product and export. So, that's how the situation is.

Surya Patra: So, that means is it fair to believe that the direct export is seeing a kind of a stronger momentum than in the domestic market?

Rajendra Gogri: Yes.

Surya Patra: This mix is likely to sustain in future going ahead again, sir or it may correct?

Rajendra Gogri: Overall, we see that we'll have this kind of a good export.

Surya Patra: Because in fact, for a very long period, we always used to have an export mix of more than 50%. But when we witnessed a post-COVID or during COVID domestic momentum gaining, then there was a kind of 10% showing downward for the export that we had witnessed, which is reversing again. So, that's why my question is it now fair to think that export will be a dominant piece going ahead?

Rajendra Gogri: Yes, currently, but then again once we have our contract-III is there, that is full export. So, generally, we don't see on that way or local is more depending on where our product demand is there. Sometimes, the end use consumption shifts, then the product gets sold locally and the finished goods get exported. But overall, we have been saying, 40% to 55% range of export, that kind of thing should continue.

Surya Patra: Just a clarification relating to this fact only. So, are these contract-II as well as contract-III, both are in the optimal utilization levels for the quarter?

Rajendra Gogri: No, contract-III is still on the first year, it's more on stabilization.

Surya Patra: Means that will see a kind of gradual ramp up even in the second half versus first-half?

Rajendra Gogri: Yes. The major gain in fact will be in the next year for that.

Surya Patra: Second question is on the volume mix. What are we witnessing, is it that there is a kind of a strong recovery in the PDA sequentially and even in the hydrogenation as well as the Nitro Chloro Benzene? While Nitro Toluene on a temporary peak base of the previous quarter, we have seen some sequential thing. But otherwise across board there is a kind of more than strong double-digit recovery in the volumes that we are witnessing. So, does this indicate that despite this demand weakness what we are generally witnessing in the global market, we are kind of displacing some Chinese competition and hence this position and that's why this can sustain even in the second half? Is it the right understanding or how should we think of this QoQ volume recovery?

Rajendra Gogri: So basically overall, the volumes were down, and the recovery is taking place. Then ultimately you have to move from company-to-company within company product-to-product. For the kind of products that we have, we are seeing that the demand is picking up, and we see that from Q2 to Q3, Q4, generally the demand forecast what we are getting from customer it is getting more and more normalized.

Surya Patra: One question is on the margins. In fact, we know that your model is a pass-through model where it is better to look at the absolute EBITDA basis. But, given the fact of this crude fluctuating - appreciating because of the geopolitical tension, then normalizing again - during that situation continuing this way, then the recovery

what we are witnessing for our products basically, and the China dumping aspect, which is still continuing - considering all these factors and the recovery what you are guiding for the second-half, so at least on the margin front, it is fair to believe that you have already bottomed out in the first quarter in terms of margin which was the lowest ever?

Rajendra Gogri: Yes, per Kg margins what were there in the first quarter were lower and margins, you can say it is bottomed out.

Surya Patra: Just last one clarification then from my side. See, obviously, we know that while the base business is likely to see a kind of a sequential progression, both in terms of volume as well as margin now; and the way that you have indicated - that the incremental earning boost to the performance is likely to come from the ethylation and ethylation products and the nitrotoluene expanded phase, which is practically, I believe, scheduled from FY25. So, if you can give some sense, in FY25, when do you really expect these incremental - the ethylation one and the nitrotoluene expansions are likely to contribute?

Rajendra Gogri: We are currently targeting commissioning toward the end of Q1 of FY25 for this ethylation and nitrotoluene. That's what I mentioned earlier also, that FY25 also will see a progressive increase in volume and EBITDA. So, second half will be better than the first half because of this volume.

Surya Patra: You are saying this will start from the first quarter. But since these are like

ready

projects for us and we have been working on this for some time, so do you have a contract or order book basis here about the ethylation and the nitrotoluene downstream products? Just to give a kind of guidance here or any order book position that you are already having or how is it sir?

Rajendra Gogri: Yes, we have a good volume visibility on these expanded capacities.

Surya Patra: Irrespective of the demand situation, what ever is prevailing in the market currently?

Rajendra Gogri: Hopefully, by the time the demand also is expected to get normalized, right, in calendar year 2024, in the first half.

Moderator: The next question is from the line of Ni tin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Over this first half a reasonable control has been there on the staff cost and other expenses. So, on the other expenses, barring the reduction in power cost, any other factor which is contributing?

Rajendra Gogri: Freight is the major component of the other cost.

Nitin Agarwal: Sir, are there more opportunities to optimize staff costs and other expenses for us going forward?

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Rajendra Gogri: Yes, as we had mentioned earlier also, the operating leverages and everything will kick in and will be more or less stabilizing on our employees' level. Some more optimization may happen.

Nitin Agarwal: Sir, is there a volume growth number that you have in mind for next year that the business can overall deliver?

Rajendra Gogri: It becomes difficult with too many products at two different prices, but overall in general, the volumes across the board we will see growth.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: First is on the volume growth on the industries where we are seeing the recovery. It is that they are now getting the favorable days because I think the destocking phenomena started in polymer and dyes and pigments ahead of the agrochemicals. Rising crude price is also driving the restocking because this year, the prices may remain high. Is that what we are seeing or do you see there is a strong underlying demand recovery because if you look at the pigment rise in sales or the textiles that doesn't show the optimism we are sharing on the volume side of it?

Rajendra Gogri: Yes, I think once the inventory kind of reaches to an optimal level, it was mainly of an inventory correction, and I think different products that is getting to a level. Some actual end user demand also is a factor because of overall crude inflation and all. But the major demand issues were mainly because of this inventory correction. There is a level for different products, I think it is reaching a level where they have to operate at that particular level of inventory.

Sanjesh Jain: But my whole question was on our confidence of CY25 having the strong volume recovery, if it is a restocking-based volume recovery without underlying completely recovering, are we still very confident of the volume delivery?

Rajendra Gogri: Yes, the volume degrowth this year also is also substantially driven by inventory correction, if you see FY24, the amount of volume degrowth has taken place and some demand increase underlying also, but it will be still mainly that inventory correction related degrowth which will be coming back.

Sanjesh Jain: My last question is on the margins. Are we sitting on any of the inventory gain because there was a sharp rise in the crude derivative prices and has that given any tailwind or that is not really a major factor in the margin expansion?

Rajendra Gogri: Nothing significant in the inventory gains.

Moderator: The next question is from the line of Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: So, just trying a bit on the margin front. Earlier sir, we used to sort of give a split of our five blocks wherein we used to operate wherein we used to classify chlorin

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and nitration, more of commoditized products and the hydrogenation, ammonolysis and halox chemistries, i.e., more of specialized kind. And the split used to be somewhere close to 80:20, 80 favor of specialty of course. Would it be safe to

assume that maybe in the first half, we have experienced more of specialty

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products in the mix and the inferior margin products are not a part of the current sales, which is why we have been able to see decent margins for this quarter?

Rajendra Gogri: So that were not specialty, what we call a value added. In general, the value-added's percentage is increasing overall. So that value-added percentage increase in EBITDA margin to sales in general. So, that is where the impact comes.

Archit Joshi: So, we have seen that impact, got it. Sir, just another confusion that I had on the CAPEX front, we have mentioned that Rs. 1,200-1,300 crore of CAPEX for this financial year and Rs. 2,500-3,000 crore of CAPEX, would that be on the top of this, would this be FY25 and FY26 or the current Rs. 1,200-1,300 crore part of this Rs. 2,500-3,000 crore CAPEX?

Rajendra Gogri: Yes, current Rs. 1,200-1,300 crore for this year will be part of that. So, we have been guiding for the two-year period. So, Rs. 2,500-3,000 crore guidance includes the FY24 numbers.

Archit Joshi: So, I think previously when we had met during the plant visit, we were expecting CAPEX from asset restoration, debottlenecking sustainability, and plant infrastructure with some R&D related CAPEX that got capitalized in FY24 and currently we are largely working on the NT and ethylation loop coupled with the zone-3 or site-III projects for MPP and Chlorotoluene, which is what it is either a part of the CWIP or some of it is capitalized, would that be a fair assumption?

Rajendra Gogri: Yes, most of the CWIPs are of the ethylation in zone-3 and some are regular also, sustainability related CAPEX. and other value-added products also is part of the WIP and I think a lot of that will get capitalized.

Moderator: The next question is from the line of Nitesh Dhoot from Dolat Capital. Please go ahead.

Nitesh Dhoot: So, my question is with reference to one of your products which goes in for Octane boosters. So, if you could explain the demand for this particular product and is it part of any contract, long or short term or how sustainable is the ongoing demand that we are witnessing there.

Rajendra Gogri: It's a growing product. We see the kind of demand what we have seen, we should be able to sustain and maybe grow also, and this product is also for other end use also.

Nitesh Dhoot: So, ex of this product, has there been significant growth in the other exported products also or this has been one of the drivers if I may ask?

Rajendra Gogri: Yes, there is a growth in the other also and this one also is a substantial part of it.

Nitesh Dhoot: Lastly, on the sunset review on MPDA, just trying to understand if MPDA's contribution in the overall revenue is anything significant or even non-acceptance of this review by CBDT would impact us in any way?

Rajendra Gogri: No, the demand has been very slow on that especially in the local. So, this sunset review is not going to have any significant impact. But I think we should be able to continue that anti-dumping duty.

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Nitesh Dhoot: If you could just explain on the sequential decline of 17% that you're seeing on the domestic side, which end users would have been the key contributors there?

Rajendra Gogri: The agrochemicals are a major contributor.

Nitesh Dhoot: On the domestic side as well?

Rajendra Gogri: Yes.

Moderator: The next question is from the line of Krishna Kumar from Avendus Spark. Please go ahead.

Krishna Kumar: Sir, following on the previous caller's question on one of the key products that our export growth has been good, any key reason why we are gaining market share on this particular pro

duct - is the competition slow, if you could just give us help us understand reasons why we are having a good traction on this particular product?

Rajendra Gogri: We're trying to spread our market base and develop newer markets for these products.

Krishna Kumar: But primarily any particular end-market segment this product that goes into?

Rajendra Gogri: It is a specialty product going into different end uses.

Krishna Kumar: Sir, if I see your domestic and export run rate, our exports are more or less holding around Rs.800 crore run rate mark, whereas our domestic realizations have come from Rs. 950-odd crore to 750 crore. Now, we understand that let's say pricing is actually coming down and exports is the only one that is holding. If agrochem is not doing well globally, is it that dyes and other markets we are kind of gaining market share versus other countries, any specific reason for this export shift if you could help us understand?

Rajendra Gogri: Basically, this demand contraction, whether it happens in domestic or export, that's what becomes important. Some of this decline in domestic sales is because of the ultimate agrochemicals demand in the global market is impacted. So, our customer who is buying within India and then exporting the products, those have got impacted. That's what I earlier also mentioned. Because we have a lot of domestic sales which is indirectly exported and that is where the impact is.

Krishna Kumar: So, export sale is also not for any agrochem markets, it's just for the other sectors is where we are gaining?

Rajendra Gogri: No. there are so many different products. So, sometimes what happens is that agrochemicals intermediates going in export their impact is less, then the intermediates which is going in domestic market

impact is more, so that's how the things move. It becomes very product-specific ultimately.

Krishna Kumar: Sir, in one of your previous comments the Rs.1,700 crore guidance that you've given, if you're seeing that guidance could change by 5% to 15%?

Rajendra Gogri: Yes. That is the current estimate and then we will see how we are able to get fine tuning as we go on.

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Krishna Kumar: So basically the Rs. 1,700 crore can read as Rs. 1,450-1,600 crore then if we take that 5% to 15%?

Rajendra Gogri: Yes.

Moderator: We'll take the next question from the line of Ranvir Singh from Nuvama. Please go ahead.

Ranvir Singh: Sir, two clarifications. One, our fixed contract revenue that from unit-II and unit-III, so what was the total contribution of the two units?

Rajendra Gogri: This contract-III as mentioned is more stabilizing and contract-II the way it is structured that the EBITDA is not directly connected to the sales.

Ranvir Singh: I understand this is a fixed EBITDA, but what portion of it is currently contributing to our total either in revenue or EBITDA that I wanted to understand?

Rajendra Gogri: That number we will not have readily available right now.

Ranvir Singh: Secondly, when we say that FY25 we'll see the normalization of business, so exactly what kind of growth normally we consider, I understand this would be a gradual improvement there, but is there any number in our mind that we are expecting for FY25?

Rajendra Gogri: No, whatever the sudden very, very decline which has happened in demand for various products which we have seen in this year because of the destocking, so those should become normal. The inventory correction I think will get normalized and we'll move to a consumption and sales kind of a matching.

Ranvir Singh: You mentioned the production number of Nitro Chloro Benzene, Hydrogenation and Nitro Toluene, actually I missed this number. So, if you could help me again?

Rajendra Gogri: Nitro Chloro Benzene is 19,014 tons and hydrogenation is 3,136 tons per month.

Ranvir Singh: Just for basic understanding, of these three categories, which one is a better margin product, just to u

nderstand that how the mix is actually impacting our margin, whether it's a Nitro Chloro Benzene that gives us better margin than

Hydrogenation or Nitro Toluene is a better margin bucket?

Rajendra Gogri: Nitro Chloro Benzene is a base product. So, there margin per rupee will be lower, and Hydrogenation and those are more valuable products, so, as a percentage to sales, those margins are higher.

Moderator: We'll take the next question from the line of Nirav Jimudia from Anvil Research. Please go ahead.

Nirav Jimudia: Sir, on the Nitro Toluene side, volumes have fallen on our QoQ basis. So, is it because of our ONT, OT chain not doing well and that's why we have restricted production and sales of NT or it's because of the PNT and the other products which come along with the production of NT and those products not doing well, that's why we have restricted the production of NT in this quarter?

Rajendra Gogri: It's more related to agrochemicals side demand. We have taken some shutdowns also, so production was impacted.

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Nirav Jimudia: Sir, was there any restrictions on the sale of Metalochlorine in Europe, predominantly in France and because of which probably the demand restriction or demand fallen would have happened on the OT chain, is this a right understanding on the fall in the volumes for NT?

Rajendra Gogri: No, I'm not aware of any restriction in those geographies.

Nirav Jimudia: On the Nitric Acid side, the prices have fallen, so last year the prices were very high So does the raw material benefit of the fall of those nitric acid prices get reflected fully in Q2 or further improvement in our margins could come up with the fall in the prices which have happened in the first half of FY24?

Rajendra Gogri: We have a contractual structure. So, it is more or less you know ammonia link prices.

Nirav Jimudia: Sir, just a last clarification on the number which you mentioned that next year we could do Rs. 1,700 crore plus/minus 5% to 15%. So hypothetically assuming that per Kg improvement in the margins with the product mix also changing next year, what sort of volume growth we would require to do so that that sort of number could be achieved?

Rajendra Gogri: So, across the board, various product lines, there will be volume growth as we have mentioned earlier also that.

Nirav Jimudia: Some rough understanding of the blended volumes which need to be clocked so that we could achieve those numbers of EBITDA?

Rajendra Gogri: No, we are not taking out those kinds of a blended number. Becomes its very

difficult the total product range is very wide and the pricing of the products are Rs.1,000 plus to Rs. 5 sulphuric acid, so the volume becomes difficult.

Rashesh Gogri: Margin improvement as well as volume improvement, so it is a mix of both that we expect that will improve our numbers.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Sir, just wanted to understand the split in the exports between our regular markets and the non-regular markets.

Rajendra Gogri: It's more or less substantially on a regular market. Non-regular will be more about 10%.

Siddharth Gadekar: Because we had highlighted that in the non-regular markets, our margins would be 10 percentage points lower, but despite some higher exports, our margins have improved substantially. So, is there any particular reason behind that?

Rajendra Gogri: So, the non-regular market margins are generally lower, so that impact is there.

That is what we will see that once we move towards more regular markets that benefit is going to accrue in future.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you.

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Rajendra Gogri: Thank you everyone for taking out the time to join us on our Q2 FY24 earnings conference call. Hope w

e have addressed all your queries. If you have any further questions, please feel free to contact our Investor Relations team, and we will address them. We look forward to connecting with all of you again in the next quarter. Thank you once again.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Aarti Industries Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

February 16, 2024

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

BSE CODE –524208

To,
Listing/Compliance Department
National Stock Exchange of
India Limited
“Exchange Plaza”, Plot No. C/1,
G Block Bandra - Kurla Complex,
Bandra (E), Mumbai – 400 051.
NSE CODE:AARTIIND

Dear Sir/Madam,

Sub.: Transcript of Q3 FY24 Earnings
Conference Call
Ref: Regulation 30 of the SEBI
(LODR) Regulations, 2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on Friday, February 9, 2024 on Audited Financial Results of the Company for the quarter and nine months' ended December 31, 2023.

Kindly take the same on record.

Thanking You,

Yours faithfully,
FOR AARTI INDUSTRIES LIMITED

RAJ SARRAF
COMPANY SECRETARY
ICSI M. NO. A15526
Encl.: As above.

Page 1 of 15

Aarti Industries Limited
Q3 FY24 Earnings Conference Call Transcript
February 09, 2024

Moderator : Ladies and gentlemen, good day and welcome to Aarti Industries Limited Q3 FY24 Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nishid Solanki from CDR India. Over to you, Mr. Solanki.

Nishid Solanki: Good afternoon everyone and thank you for joining us on Aarti Industries Q3 FY24 Earnings Conference Call.

Today, we are joined by senior members of the Management Team including Mr. Rajendra Gogri – Chairman and Managing Director, Mr. Rashesh Gogri – Vice Chairman and Managing Director, and Mr. Chetan Gandhi – Chief Financial Officer. We will commence the call with opening thoughts from Mr. Rajendra Gogri who will take us through the - Performance Overview, Progress on Growth Plans, and Outlook on the Business. Post this, we shall open the forum for question & answer where the management will be addressing the queries of the participants.

Just to share our standard disclaimer, certain statements that may be made in today's conference call may be forward looking in nature, and a disclaimer to this effect has been included in the Results Presentation that has been shared earlier and uploaded on the Stock Exchange website.

Mr. Rajendra Gogri: Thank you. Good afternoon and a warm welcome to everyone joining the call today. We are gathered here to delve more into the Q3 FY24 earnings of Aarti Industries, and I will guide you through the performance, provide updates on growth initiatives, and outline our strategy.

I am delighted to share that our concerted efforts have translated into robust results, reflected in about 15% sequential improvement in EBITDA in Q3FY24. This was possible despite persistent external challenges. Despite ongoing headwinds such as inventory destocking, high interest rates globally, recessionary pressure in key developed markets, and China's dumping, we effectively navigated to report a buoyant performance, thanks to the strength of our portfolio and enduring

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partnerships with our long-standing customers. I would like to compliment our team for promptly applying their market insights, allowing us to dynamically manage the product mix based on evolving demand.

As highlighted in the previous call, we are observing a rebound in demand for various products catering to the discretionary applications such as dyes, pigments, additives, polymers and more. While it is still early signs, we remain optimistic about a complete recovery as we progress further. The non-discretionary segment, primarily driven by agrochemicals and pharmaceuticals, still seems soft as major customers are managing lean inventory due to high carrying costs and moderated demand. That being said, we are witnessing steady demand for select products within the non-discretionary space and are actively engaged with key customers to offer best value. Even so, we anticipate a return to more widespread demand normalisation in the next 1-2 quarters. And in alignment with this, we continue our dialogue with the customers to fulfil their long-term requirements.

Now, let me cover the key performance highlights.

Our consolidated revenues increased by 18% to Rs.1,889 crore in Q3 FY24 over previous quarter Q2 FY24. Consolidated EBITDA including other income grew by 15% on Q-o-Q basis to Rs. 268 crore in Q3 FY24. The enhancement in EBITDA was driven by increased volumes, while maintaining stable pricing for products and also includes an element of operating leverage gains achieved through stabilised fixed costs. Profit after tax stood at Rs. 124 crore in Q3 FY24, higher by 36% over previous quarter Q2 FY24.

I will now cover some of the major business developments.

In December 2023, we entered into a long-term supply contract with a Global Agrochem major for a niche agrochemical intermediate with a revenue potential of over Rs. 3,000 crore over a period of 9 years. This agrochemical intermediate serves as a crucial input component for a widely used herbicide, and the global market for this Herbicide remains large and growing steadily. More importantly, it is an integral component of AIL's existing integrated product portfolio, and our current CAPEX plans are well aligned to meet this order requirement. This order will start contributing to our performance from the current fiscal and we anticipate an EBITDA margin of about 20% based on stable raw material prices. Our affiliation with this prominent customer has been robust and we aim to foster this relationship further to expand within the high-value agrochemical sector.

In another major development, we secured a 4-year supply contract worth over Rs.

6,000 crore with a multinational conglomerate for a niche speciality chemical. This product is also included in our diversified product portfolio, and we have been supplying this product to the said customer for the past few years with consistent annual increase in volume. No additional CAPEX is anticipated for this product as our existing CAPEX is structured to manage this incremental requirement. The demand for this product has been growing consistently. We anticipate doubling the volumes in CY24 vs that of CY23 with this customer. This strong demand is based on the newer application which has been evolving over the last few years. We expect that the margins in the case would be about 15-17% at constant prices.

In short, both these contracts are testament to our ability to convert short term or spot business into a medium-to-long term contract with substantial increase in volumes. It also speaks volumes about our manufacturing excellence, strong and deep customer engagement, and a robust track record of handling multiple complex chemistries. We are more than happy that this has come though in such a challenging macro environment which underscores our commitment to transforming relationships into sustainable long-term opportunities.

Let me now turn your attention to the production details for Q3 FY24. Production of Nitrochlorobenzene stood at 19,580 MT as compared to 18,199 MT in Q3 of last year and 19,014 MT in Q2 FY24. For Hydrogenation, this came at 3,644 TPM over 2,995 TPM in the same period last year, and 3,136 TPM in Q2 FY24. For Nitro-Toluene, the production for Q3 FY24 stood at 6,951 MT as against 7,528 MT in Q3 of FY23, and 7,560 MT in Q2 FY24.

Moving your focus towards updates on key projects.

All the other projects including capacity increase of Ethylation & NT and introduction of Chlorotoluenes value-chain among others are progressing well and will start commissioning in a phased manner from FY25 onwards. We entailed a CAPEX of about Rs. 860 crore in 9M FY24 to fund our expansion projects. And remain on track to collectively deploy Rs. 2500-3000 crore between FY24 and FY25 to expand our manufacturing expertise and venture into newer high-potential chemistries to accelerate our performance trajectory.

We had earlier guided for our EBITDA to be about 950-1000 crores for FY24. While we are witnessing revival of business across various discretionary applications, there is still some more pain and time for recovery to be visible in the agrochemicals and pharmaceuticals sector. Further current macro challenges across the Red Sea have resulted in a sharp increase in freight costs and container availability. Our arrangement with the customers enables us to pass on most of these impacts to the customers, with a time lag. In line with the current performance and visibility available, we expect to close this year with an annual EBITDA closer to 1,000 crore. We further expect our FY25 EBITDA to be in the range of Rs 1450 - 1700 crores. Let me now conclude by saying that India is favourably positioned within the global chemical industry given its cost competencies, improving manufacturing and R&D infrastructure, supportive policies, and strong domestic demand. In addition, evolving geopolitical risks have prompted global companies to shift a portion of their manufacturing requirements to India. As an integrated player, we will continue to reap the benefits and remain a global partner of choice for speciality chemicals and intermediates.

With this, I now request the moderator to open the forum for Q&A session. Thank you.

Moderator: We will now begin the question & answer session. The first question is from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Two questions from my side. The first question was, given the demand recovery that you are witnessing, can you talk about your sales mix in terms of whether your reliance on non-regular markets is reducing? If you could give a sense of where the share of your non-regular markets was, say last year to where it is today.

Rajendra Gogri: As the demand is recovering in our regular market quarter on quarter, our share of the non-regular market is decreasing. We will not have an absolute percentage here, but in general, as the regular market is improving, the non-regular market share is decreasing.

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Vivek Rajamani: And the second question I had was, in the presentation, you have mentioned that you have seen an improvement in pricing trends. Would it be possible to give a sense of how much pricing improvement you have seen relative to the first half of this year?

And which segments are driving this pricing improvement?

Rajendra Gogri: Basically, as some of the products where the demand is reviving, we are also seeing

potential for some increase in pricing. It will be across all the segments whether it is agro or on the discretionary side, but it becomes more of a product specific. But in general, we see that as demand recovers, some pricing improvements are also taking place.

Vivek Rajamani: Sir, just one clarification. Would it be possible to give any kind of percentage number, just for a sense in terms of this improvement?

Rajendra Gogri: It will be difficult to share on a percentage basis.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Congrats on a good set of numbers and it is heartening to see that the guidance remains intact for FY25. Sir, my first question again on the demand front. If you could just give us an understanding of which geographies the discretionary demand has been good and which geographies the non-discretionary demand has been good or languishing. Just to get a perspective how individual geographies are doing, domestic as well as the other, US or Europe or rest of the world.

Rajendra Gogri: Actually, in the geographies, the way our product mix is there and our end products, the products which we export, to say the US, Europe, or Japan, the finished products that they make, whether it's agrochemical or engineering polymers, they are exported worldwide. In that sense, even though consumption happens in a particular continent, the finished products are sold all over. But in general, the US is seeing a better recovery in volumes.

Rohit Nagraj: Any sense on the domestic market, ie., India for both the segments?

Rajendra Gogri: We have a lot of indirect exports also when we sell domestically. So purely the domestic market is very steady as such.

Rohit Nagraj: Sir, the second question is on the 2 contracts. Given that it's a 9-year contract and 4-year contract, how do we see the revenue? Will it be linear? And even from the EBITDA perspective, whether from the first year of operation, right from FY25, we will get the EBITDA of 20% and 50% respectively for both the contracts?

Rajendra Gogri: The second contract is very linear basically. So, it will be Rs. 1,500 crore coming in, from the calendar year 2024 itself. And whereas the first contract which was Rs. 3,000 crore over a 9-year period, we expect a ramp-up in FY24 and FY25, and FY26 should become a more of a normal year because we are expanding our plant which will be basically getting ready in the first half of FY25. Around Rs. 300 crore will come in FY25 for the first contract and then it should become Rs. 350 crore plus from FY26 onwards.

Rohit Nagraj: One last clarification from Chetan Bhai. In terms of the tax which has been negative for the first 9 months, how do we see it for FY24 and FY25, average tax rate?

Chetan Gandhi: In FY24, the tax would be negative. We got some of the assets which are getting commercialized and on account of that IT depreciation is higher than the book

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depreciation which is where the tax rates are going to be, I mean there is not going to be any tax liability except for the deferred tax asset that is accruing. Coming to FY25, I expect this to be in the range of around 15% to 17%.

Moderator: The next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: Sir, just a couple of questions. The first question is on the gross margins. This quarter we had witnessed that on a sequential basis, our top line has been robust. But despite this jump in revenue, the cost of raw materials has also gone up very high. This has led to compression in our gross margins. I believe it is the lowest of the last 8 quarters. When we look at the prices of benzene, toluene, phthalic anhydride, and aniline, on a sequential basis, there hasn't been any jump. So, what is the reason for this huge dip in margins?

Rajendra Gogri: Generally, we have been always told that gross margin or EBITDA margin is a number which is not a very appropriate number for comparing. As far as the raw material price, the benzene has seen an increase of about Rs. 10 from Rs. 70 to Rs. 80. But in general, this gross margin as a percentage will depend also on the product mix. As the product mix changes, the gross margin also will have some variability.

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important thing for us always will be basically the gross profit, then the expenses, and the EBITDA on an absolute number-wise how it is moving. So, on an absolute basis, there was growth both in gross profit as well as on EBITDA.

Aditya Khetan: Sir, if the gross profit is increasing, that means the product mix is changing toward the lower side or toward the lower value chain?

Rajendra Gogri: It may not be that simple. Basically, the product mix where it is changing and how the

raw material prices of those products are there, that will determine the gross profits. On gross margin we never even evaluate our business model. Basically, it is always gross profit per kg for a particular product. This is the major criteria for us.

Aditya Khetan: Sir, on the 2 large contracts which we have signed recently, my understanding is that these 2 projects will not add any revenue or EBITDA. It just increases the visibility over the longer term. Is this understanding correct, sir?

Rajendra Gogri: Yes, because this was already part of our existing CAPEX program and whatever we had guided. If you remember, in the first half, we had guided for FY25, Rs. 1,450 crore to Rs. 1,600 crore, but now we are guiding Rs. 1,450 crore to Rs. 1,700 crore because it shows a more stronger visibility with signing of the contract. So, in a way, you are right. It gives more solid visibility.

Aditya Khetan: Sir, my last question is, in our presentation, we have mentioned that we have started to see demand recovery in dyes, pigments, and polymers and the agrochemicals and pharma segments that continue to underperform. Any outlook on the agrochemical side? Because most of the agrochemical companies have reported very weak numbers for this quarter. It is also like you are supplying some of them. So, any outlook from them which are witnessing any change in outlook from the coming quarter that demand is improving or any sort of guidance?

Rajendra Gogri: Agrochemicals have become very-very molecule specific like in some products virtually we didn't see any impact at all and in some products, there was an impact and now it is on recovery and in some products a sudden impact has come because something which they buy annually in 3 months. Last year, they bought it in January to April. And when it comes to the January to April calendar year 2024, the demand goes down sharply. So, this agrochemical demand impact is becoming very molecule-

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specific. Some of them have no pain in the last year, because they are buying only for a few months in a year, it suddenly crops up. But in general, most of the agrochemical companies themselves have been saying that calendar year/FY 2024 or at least a couple of quarters for them as a basket will have an impact and some impact of that will be on us also.

Aditya Khetan: So, we will see this sector underperform, and can this have a bearing impact on our margins so it can remain in the similar range for a longer period of time?

Rajendra Gogri: Because we have a wide range of end-use, a part of softness in agro is covered in our guidance also.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: The 2 new contracts we have announced, would it be possible to just help us with the revenues we are making from those in FY24? Just so that we know how much is incremental coming in from next year onwards.

Rajendra Gogri: The second contract which was about Rs. 1,500 crore, the revenue in this FY23 will be more around Rs. 900 crore or something on a financial year basis. Calendar year, it was doubling. But financial year basis FY24 to FY25, it will be kind of a jump from around Rs. 900 crore to Rs. 1,500 crore. And the first contract, the FY24 sales will be below Rs. 200 crore – the first contract for Rs. 3,000 crore over a 9-year period.

Abhijit Akella: And you said that the agrochemical contract will

I ramp up gradually, right? If you could

please just share that number again. How much should we expect in FY25 and then FY26?

Rajendra Gogri: In FY25, near Rs. 300 crore, then in FY26 onwards, it will be Rs. 350 crore at the full ramp-up phase.

Abhijit Akella: This EBITDA guidance that we have now, Rs. 1,450 crore to Rs. 1,700 crore for next year, how much has already been tied up after all this based on the contracts we have in hand and how much is still left to be tied up over the remainder of the year?

Rajendra Gogri: Overall if you see, our contractual business with these 2 contracts will be more about maybe 30% to 40% and the rest will be like semi contractual where the customers have been buying for years and there is a good visibility in general for those also.

Some of them are buying on a quarter-on-quarter basis, quarterly pricing and all that.

We are in touch with those also and the kind of visibility on volumes, the range what we are getting from them, that will be helping us in looking at what the kind of volumes we will see in FY25.

Abhijit Akella: Just 2 last things from me. One is for the Ethylation and Nitrotoluene capacities that are coming up, would the primary end-use industry be agrochemicals itself or does it go into other end-users as well?

Rajendra Gogri: Ethylation is basically agrochemical driven mostly. Whereas Nitrotoluene, a part of that will go into this Ethylation and other components in Nitrotoluene is para-Nitrotoluene which has a wider end-use profile.

Abhijit Akella: The final thing is on the chlorotoluene project. Any sense of the timeline for commissioning? Following which, how long will it take to get customer approvals, especially depending on how much we are targeting to sell in the export markets, and

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therefore, how much revenue can we expect from Chlorotoluenes in FY26 once the capacity is ramped up?

Rajendra Gogri: The commissioning will happen in FY26. That will be the commissioning year. A lot of this product will be importing substitutes within India. And also, for export, they are not very near to the end where we will take a lot of time for qualification. Overall, on a product mix basis, there is not much delay on qualification. So, FY26, because it being a commissioning year, will be difficult to really quantify, but FY27 onwards, we will see a sizable EBITDA coming from this chlorotoluene range.

Moderator: The next question is from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Sir, the first question is on the clarification on our contract 2. You mentioned that definitely we don't need to incur further CAPEX, and the revenue we can extract is roughly Rs. 1,500 crore. So, that should directly add to the bottom line with the incremental EBITDA. The question is, that 15% kind of margin we are guiding in this product, with your EBITDA guidance of roughly even at the higher end of Rs. 1,700 crore for full-year FY25, sir, if you just do some back of the envelope calculations, on X of this product, we are looking at an EBITDA margin of close to 20%, significant improvement from the current year. Is that something we are looking for that kind of margins in FY25 to achieve the guidance which we are talking about at the higher end of Rs. 1,700 crore?

Rajendra Gogri: Yes, that's what we have been highlighting for a year or so because the operating leverage will kick in and conversion of gross profit to EBITDA will be high and that with the constant raw material prices, our EBITDA as a percentage also progressively should go up. So, it will move towards 18% to 20% range when we hit Rs. 1,700 crore.

Rohan Gupta: So, you are assuming that even with the constant price of raw material, we can hit 19% to 20% kind of EBITDA margins. However, in the current quarter itself, your EBITDA margins were quite muted at 15%.

Rajendra Gogri: Yes, whatever the gross profit which we expect to be added next year

is going to be

virtually translating into EBITDA.

Rohan Gupta: Sir, the second question is on some volume clarification. We have seen a strong sequential recovery in the current quarter. However, the volume number which you share, except that probably in hydrogenation, NCB and Nitrotoluene volume doesn't seem to show any such sharp improvement on a sequential basis QoQ. So, is it that the sequential growth is more driven by the pricing scenario?

Rajendra Gogri: We have got a lot from other specialty products also. The volumes have been growing in other products which are more of a value added kind.

Rohan Gupta: Sir, just one more question. Once again coming back on the contract 2, particularly the reason for compromising on margins at EBITDA at 15% to 17% when we converted this contract into long term, is there any pressure from the customers to get in these kind of margins and compromise on the profitability to have the continuous supply or was it our decision only that we wanted to have some long-term visibility and that's why we have compromised on margins?

Rajendra Gogri: No, there is no compromise on margins. I think there is some confusion on that.

Rohan Gupta: Sir, 15% to 17% versus the rest of the business you are looking at 19% to 20%. It means that on this product, we are making a lower margin than the other part of the business or other products.

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Rajendra Gogri: When we moved to Rs. 1,700 crore at that time, and as a composite, it will hit that. Basically, if you are hitting around say Rs. 9,000 crore turnover, you will be hitting 18% to 20% EBITDA margins.

Rohan Gupta: But, sir, I am sure that 15% to 17% is not the range on which we want to do the business, right? We have always been highlighting that your long-term margins will be 20% upwards. So, definitely on this such a large product of Rs. 1,500 crore contributing roughly 15% to 18% of our revenues, we have compromised on the margins, isn't it?

Rajendra Gogri: No, this margin can become 22% also and can become 12% also if the raw material prices increase. The margin emphasis is not in our criteria in general. It is basically per kg of current raw material levels; these are the numbers basically we have. If the raw material goes down, this will show 20% plus, the same product.

Rohan Gupta: Sir, with Rs. 1,500 crore turnover, the asset which we will be using for this plant, if you could provide a very ballpark number so we can get some asset turnover idea on this product?

Rajendra Gogri: Those numbers will not be immediately available.

Moderator: The next question is from the line of Chetan Thacker from ASK Investment Managers. Please go ahead.

Chetan Thacker: Sir, just one question is on how do you see debt playing out over the next year in terms of where do you see gross debt ending at the end of FY25?

Chetan Gandhi: Assuming that the raw material prices remain at the current levels, I believe the FY25 debt to be in the range of Rs. 3,500 crore to Rs. 3,700 crore or Rs. 3,800 crore.

Chetan Thacker: So, you are expecting some relief from working capital there?

Chetan Gandhi: That should be happening, but let's wait and see what happens on the raw metal prices.

Chetan Thacker: Sir, just to get the CAPEX guidance right, FY25, we are talking about Rs. 2,500 crore to Rs. 3,000 crore?

Chetan Gandhi: No, it is for '24 and '25, two years put together. This year, we will be somewhere between Rs. 1,200 crore to Rs. 1,300 crore and the balance of that will be for FY25.

Moderator: The next question is from the line of Priyank Chheda from Vallum Capital Advisors. Please go ahead.

Priyank Chheda: Sir, my question is on assets. What is the asset turnover at the current prices for the chlorotoluene project that you are putting and the total capacity of 42,000 is equally divided among nitro and para-toluene or are there any other products within the chlorotoluene basket that we are going

to manufacture?

Rajendra Gogri: The 40,000 is a base chemical, ortho and para-chlorotoluene. Overall as a chlorotoluene combine, around 1.2x will be the asset turn for chlorotoluene range of products.

Priyank Chheda: How much of that would be getting imported within the value-added products that you are making and since it's an import substitution, what would be the size that is getting imported in India, which we are looking to replace.

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Rajendra Gogri: The import of those products is around Rs. 1,500 crore range, which is taking place in India.

Priyank Chheda: You mean that Rs. 1,500 crore worth of base Chlorotoluenes are getting imported?

Rajendra Gogri: Not chlorotoluene base, the entire value-added products. There are a lot of intermediates for statins and there are a lot of other products.

Priyank Chheda: And what would be the ASP? Would it be around Rs. 250 per kilo?

Rajendra Gogri: No, it would be difficult to get that number.

Priyank Chheda: What would be the realization that we would be looking towards the whole basket?

Rajendra Gogri: No, specific overall per kg we have not done any on a weighted basis any specific number.

Priyank Chheda: And it's Rs. 1,500 crore of CAPEX that we are dedicating towards this 42,000 tonnes?

Rajendra Gogri: The entire range, yes.

Moderator: The next question is from the line of Surya Narayan Patra from PhillipCapital. Please go ahead.

Surya Narayan Patra: The first question is on the sequential improvement on the revenues that we have seen and simultaneously the kind of sequential pressure that we have witnessed on the gross margin front. Is it fair to believe or is it indicating that the pricing pressure scenario is very active at this juncture and that's why even though we would have seen some kind of volume growth sequentially consistently over the last couple of quarters, but the pricing pressure is playing a role and that's why the kind of impact on the gross margin front that we have seen?

Rajendra Gogri: No, I already answered this in an earlier question. The gross margin will also depend on the product mix in the overall sales and the raw material prices – like benzene had increased from Rs. 70 to Rs. 80 in this quarter. Overall, we are not seeing any significant increase in pricing pressure.

Surya Narayan Patra: Generally, there is a kind of understanding that whether it would be China-related oversupply situation or it is a subdued demand situation which ultimately has created a kind of suppressed pricing situation and is expected to remain so for relatively in the short term to medium term kind of period. Do you believe so?

Rajendra Gogri: Yes, as the overall demand improvement takes place globally, I think this pricing pressure should ease out. I think as the specific product-to-product demand starts recovering, then we expect the pricing also and margin improvement also taking place.

Surya Narayan Patra: Simultaneously, sir, it's just an extended view on this only. This quarter we have seen sequential as well as YoY, the export growth is really robust and if I relate that with the margin performance the gross margin even in the export market, the pricing is really soft.

Rajendra Gogri: No, It will be the same answer. It's a product to product. So, margin as a percentage

will not be a good indicator for linking the overall or to any specific market.

Surya Narayan Patra: Sir, just one number clarity. The PDA volume number, whether you have said, sir?

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Rajendra Gogri: We will just take out the number.

Surya Narayan Patra: In the meanwhile, I will just ask a couple more things. Sir, this freight cost scenario which we have discussed because of the Red Sea situation, is it delaying and is it creating a kind of extended working capital situation also along with kind of cost inflation? Is it impacting us in any manner either in terms of gross margins or cost or in terms of revenue realization?

nue realization?

Rashesh Gogri: Yes, the Red Sea scenario is creating some issue with the supplies to Europe and the US. The pricing of the containers has definitely moved up, and we will have a quarter lag or in some cases a month lag to push these prices up with the customers. But I think customers are considerate and they understand the situation. They have cooperated with us. But one thing that you asked about, the overall shipping time is definitely increasing, and it will have some impact. But in our overall revenue mix, 30% would be what is going to these markets; 25% to 30% of the export. So, it may not have much impact on the working capital as such. And generally, the credits are from the BL date. So, anyway, we will get the BL date in time. So, yes, it may not have as much impact.

Surya Narayan Patra: And just one more question on the first contract, this 4-year contract. Sir, you have indicated that in the FY23, it was Rs. 750 crore kind of supply that we have been doing and potentially reach Rs. 900 odd crore. Is it fair to believe, sir, this is the largest customer in terms of concentration?

Rajendra Gogri: Yes, it will become the largest customer.

Surya Narayan Patra: Is it related to any downstream of MMA or something like that?

Rajendra Gogri: That we will not be able to specify as of now. You wanted the PDA volume, right? The Q3 PDA volume was 481 tonnes per month.

Surya Narayan Patra: Lastly, on this first contract, although you have been advocating that the margin is not a criteria, but my view is that the current situation would be such where possibly our margin is somewhere in the range of 15% to 17% for the company as a whole, but if situation improves and subsequently the pricing scenario improves and costing situation kind of stabilizes, then generally the margin profile of the business as a whole for the company itself is likely to see an improvement. So, is it not fair to believe that the same situation that we will see even for this contract?

Rajendra Gogri: Basically, this contract we have already structured, so that kind of gets fixed. But, in general, I think if the pricing improves, the gross margin as well as the EBITDA margin both will have a positive impact.

Moderator: The next question is from the line of Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: Sir, I was just going through the volume numbers that you have shared for this quarter and for the last, maybe, 8 to 12 quarters. Especially in NCB, I can see that, if I have got the numbers right, our volumes have ranged between close to 18,000 tonnes to 19,000 tonnes in a ballpark range for a meaningfully higher amount of time, even after adding the chlorination complex of late. Does that mean that our base business, which is predominantly the Chlorobenzene and the NCB chain, has been grossly underutilized till now and does that also mean that the base business has a far better potential to grow even beyond FY25 or FY26?

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Rajendra Gogri: We are increasing the capacity from 75,000 to 108,000. That is getting ramped up. Currently, we are nearly 80,000, and some of the volume pressures are also coming on these products also. As the volume pressure eases and we are also going to add some more downstream products also in this range, we will see a better utilization coming in this. So, in a way, you are right that some of the volume growth will come in these products.

Archit Joshi: Sir, just delving into the same Nitrochlorobenzene capacity, I think a large part of our chlorination complex was also dedicated towards 2,5-DCP which was a dicamba intermediate, and now that it is not being used to the best of its capacity, would that mean that there will be divergence of this capacity towards the existing product portfolio that we have, which can potentially trigger growth, maybe in FY25 and FY26?

Rajendra Gogri: Dichlorobenzene portfolio, this dicamba r

elated outlet was not a very huge outlet

because it goes in a lot of other PPS polymers and air fresheners and some other products also. So, we should be able to utilize that. That should not be an issue as far as the dichlorobenzene itself is concerned.

Archit Joshi: Sir, would my assumption be right towards the Chlorobenzene and the Nitrochlorobenzene having more salience towards dyes & pigments as an application area which has not been doing well, as evident as it is in the last maybe 2 or 3 years, and which is the reason why our utilization and production numbers have been quite stagnated; and once we see a pickup on that front, we will see volume growth coming in from the base business as well?

Rajendra Gogri: Again, it's a mix, for Nitrochloro one of the big products is paracetamol which is a classical big pharma also. Nitrochloro has a less agro exposure, but has it in the pharmaceutical-paracetamol exposure rather than dyes and pigments. Same way in dichlorobenzene, we have discretionary segment products like air fresheners and polymers and then agro on diuron, propanil, or those kinds of products. It's a mix of dichlorobenzene. Most of these are base products. We will have an end-user profile in all the sectors, as say discretionary in someplace, it may be 30 or 40 and other places, it might be 50 or 60, but it will be always a spread of all the 3 Nitrochloro, Dichloro, Nitrotoluene. It is more widespread whereas chlorotoluene is more on agro and pharma with new products which will come in.

Archit Joshi: Nothing to do with dyes and pigments underperforming which has resulted in a lower volume, right? It's just a widespread effect?

Rajendra Gogri: That is there also, the dyes and pigments component also in Nitrochlorobenzene as well as in some small portions dichlorobenzene also. That impact obviously comes in.

Moderator: The next question is from the line of Sabyasachi Mukerji from Bajaj Finserv. Please go ahead.

Sabyasachi Mukerji: Sir, my question is on the gross margin rather than the gross profit per kg that you mentioned, better to not look at the margins per se but the absolute gross profit number and the gross profit per kg. Now, if I look at the volume numbers that you have told us and do a small math that shows gross profit per kg, quarter on quarter sequentially, it has remained flat. Essentially what it boils down to is that our volumes have increased by 5% quarter on quarter from Q2 to Q3 while the absolute gross profit has also grown by 5%, which means the gross profit per kg has remained flat. Is my understanding correct, sir?

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Rajendra Gogri: Yes, typically that's what we have been saying that gross profit per kg is a much better indicator and that tends to show more stability.

Sabyasachi Mukerji: A followup to this is that if I look at historical levels, our gross profit per kg whatever we are doing right now is almost 20% to 25% lower than what we used to do historically. Going ahead, should we see improvement in this number as well?

Rajendra Gogri: But per kg on a composite basis, I don't know from where the number is coming in because we have got so many products like sulfuric acid which is less than Rs. 5, some agro intermediates which are significantly high priced. .

Sabyasachi Mukerji: Sir, I am doing a basic math of what the volume numbers you have said across Nitrochlorobenzene, hydrogenation and dividing that metric ton number with the gross profit that we have done.

Rajendra Gogri: Yes, I understand that. But it's not that simplistic scenario because we have got a lot of value-added products. A lot of these Nitrochlorobenzene are captively consumed and Nitrotoluene are captivity consumed into value-added products. So, that simple math will not work to really gain any insights.

Sabyasachi Mukerji: Then, a better way to understand probably the realization is going up. My question is, basically, if I look at the

revenue numbers, it has grown 19% quarter on quarter. But somehow the product mix is such that probably the gross profit has not grown at a similar pace. My question is that if going ahead, do we see improvement in the gross profit number as well so that it flows down to the EBITDA number, as the other OpEx remains very similar in the next year?

Rajendra Gogri: Yes, that's what I have been telling you. The absolute gross profit will increase and a substantial translation to EBITDA, which has been happening in these quarters and also will happen in FY25.

Sabyasachi Mukerji: Sir, last clarification here. Will the absolute gross profit increase because of volumes increasing or at kg level also it will improve? How do you look at it?

Rajendra Gogri: Both. We expect a substantial volume increase also in a lot of products and also as mentioned earlier in some of the questions, as the volume pressure eases, the pricing pressure also will ease. In some of the products, we are expecting that per kg also improvement will take place. This will be a mix of both. Somewhere where the Chinese issues and all those volume pressures which are hitting the margins, the gross profit per kg, we will see some improvement there also. But substantial improvement or growth for our absolute gross profit will be more driven by volumes.

Sabyasachi Mukerji: What kind of volume growth are we targeting for FY25 over FY24?

Rajendra Gogri: On a composite basis, around 20% to 25% range we can say.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Congratulations for the sequential improvement here. My first question is on the volume side. I am looking more on a 9-monthly basis rather than this specific quarter.

On a composite basis, what sort of growth we would have seen across the portfolio?

Rajendra Gogri: I do not understand the entire 9 months compared to what? Last year or future?

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Ankur Periwal: I am not looking at Q3 versus last Q3. Let's say YTD this year, financial year 2024 nine months versus 9 months last year.

Rajendra Gogri: Overall, I think volume growth is there. But again, some of the products have grown and some of the products have seen some volume pressures.

Ankur Periwal: But on an overall basis?

Rajendra Gogri: On composite, there is a growth, I would say, on the volume.

Ankur Periwal: From a product mix perspective, any feedback or any traction that you can share on, let's say, Nitrotoluene as a product chain or other value-added products? Or the rebound is largely more on the lower-margin products what we are seeing?

Rajendra Gogri: Rebound, wherever there is an impact, those products will go on. Nitrotoluene has been slower in the last couple of quarters because that's more dominated on agro.

That's where we have seen some pressure on the Nitrotoluene volume. It is all specific end-use-wise recovery on the volumes and corresponding margin will happen.

Ankur Periwal: I appreciate it because as you rightly mentioned, discretionary has seen some rebound versus agro and pharma has not. I was just curious whether the value-added portions over there have got some sales to do or it is the basic or the relatively lower margin products which have seen more sharper rebound within those end-user applications.

Rajendra Gogri: It will become the same. Where we are selling value added, then there the value-added impact will come because the people are not changing the products. If they are buying value-added products, then they continue to buy the value-added products. If they are buying base products, they continue to buy base products. When there is a slowdown, it impacts both.

Ankur Periwal: Secondly, from a new product approval or let's say new client addition or a geography addition, any comments there about what we would have seen this quarter or slightly even earlier quarters as well?

Rajendra Gogri:

ri: Overall, the new product additions are not that many in that sense. It is not like new geography or new customer addition in general. These are the existing customers and geographies. And a lot of new products which we are adding are also mainly for those customers in that sense.

Ankur Periwal: Sir, we do have the earlier portion of the long-term contracts there. Your comments, anything, whether they are also seeing a similar pressure that we saw in the other businesses or there the pressure is relatively better, and the revenue ramp up is better?

Rajendra Gogri: That 4-year contract you are asking?

Ankur Periwal: Yes.

Rajendra Gogri: That particular product end use, we are not seeing any such volume pressures.

Ankur Periwal: You did allude towards the discretionary growing and non-discretionary being slower. How will that mix be right now among the key, let's say end-user applications, if you can share?

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Rajendra Gogri: It is more towards discretionary, currently around 60% and non-discretionary around 40%.

Ankur Periwal: And how will this number be, let's say last quarter or last year?

Rajendra Gogri: More towards 50:50.

Ankur Periwal: Lastly, you did mention that the CAPEX plan remains intact, Rs. 2,500 crore to Rs. 3,000 crore over the next 2-year window. And this year also, we are doing around Rs. 1,200 crore to Rs. 1,300 crore. How much of this will be revenue generating or there is some bit of backward integration? Because your comments are also there in terms of site development in Jhagadia. Just trying to see how much of this is going into backward integration or let's say infra development versus pure revenue generating one.

Rajendra Gogri: Jhagadia where you visited, there an entire new greenfield site is going to come up. And other sites of our major current Jhagadia site and Dahej site and all will be completing our expansion virtually in the calendar year 2024, most of the projects.

Ankur Periwal: If I got you right, the expansion across all the projects will be completed in CY24 itself?

Rajendra Gogri: In the calendar year 2024, all our existing sites – zone 1, 2, and 3 that we have been saying like Vapi, current Jhagadia site, Dahej and all, that we expect to be completed, and then from calendar year 2025 onwards or FY26 onwards, the commissioning will be mainly coming in that new Jhagadia site.

Ankur Periwal: Sir, last question, if I may. Given the 2 projects, and you mentioned we do not need to spend incremental capacity additions or CAPEX for these, how much more can the current existing capacity absorb? I am excluding the newer sites. Or let's say, in other terms, what is the current capacity utilization at the existing sites?

Rajendra Gogri: As we mentioned, around 20% to 25% volume growth next year we are expecting FY25. And then further, there will still be headroom for another 10% to 15% volume growth in this zone 1, 2, and 3 assets.

Moderator: The next question is from the line of Meet Vora from Emkay Global. Please go ahead.

Meet Vora: Sir, we have guided for Rs. 1,000 crore EBITDA for FY24. That means again we will see sequential improvement in EBITDA to the tune of around Rs. 280 crore to Rs. 300 crore in Q4. This will again be a result of the recovery in discretionary spends that we have been highlighting. So, my question was, do we further see improvement in Q1 and Q2 of FY25 as well in discretionary spends before we start seeing improvement in agro and pharma demand?

Rajendra Gogri: Yes, discretionary will further improve. And I think the agro also should start improving quarter on quarter. Even in FY25 also, progressively from Q4 of FY24, the Q1 of FY25 should be better, and then Q2 should be better than that.

Meet Vora: Secondly, on Chlorotoluenes, we have highlighted that we are seeing a Rs. 1,500 crore of import substitution opportunity. Can we just guide on our revenue target that at least we are targ

eting, and EBITDA margin expectations and total CAPEX spend on this chain?

Rajendra Gogri: This will be more value added, so EBITDA will be more towards 25% to 30% in that product range.

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Meet Vora: Any rough target of revenue that we have decided internally, or we are targeting for CAPEX spend that you had?

Rajendra Gogri: About Rs. 2,000 crore plus, should be the revenue.

Meet Vora: So, we are also looking at export opportunities in this chain, broadly.

Rajendra Gogri: Yes.

Moderator: As there are no further questions, I will now hand the conference over to the management for closing comments.

Rajendra Gogri: Thank you everyone for taking the time out to join us on our Q3 FY24 Earnings Conference Call. Hope we have addressed your queries. If you have any further queries, please feel free to contact our Investor Relations team and we will address them. We look forward to connecting with all of you again in the next quarter. Thank you once again.

Moderator: On behalf of Aarti Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

May 20, 2024

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

BSE CODE –524208

To,
Listing/Compliance Department
National Stock Exchange of
India Limited
“Exchange Plaza”, Plot No. C/1,
G Block Bandra - Kurla Complex,
Bandra (E), Mumbai – 400 051.
NSE CODE:AARTIIND

Dear Sir/Madam,

Sub.: Transcript of Q4 FY24 Earnings
Conference Call.
Ref: Regulation 30 of the SEBI
(LODR) Regulations, 2015.

Please find enclosed herewith the Transcript of Earnings Conference Call held on Monday, May 13, 2024 on Audited Financial Results of the Company for the quarter and year ended March 31, 2024.

Kindly take the same on record.

Thanking You,

Yours faithfully,
FOR AARTI INDUSTRIES LIMITED

RAJ SARRAF
COMPANY SECRETARY
ICSI M. NO. A15526
Encl.: As above.

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Aarti Industries Limited
Q4 FY '24 Earnings Conference Call
May 13, 2024

Moderator: Ladies and gentlemen, good day, and welcome to Aarti Industries Limited Q4 FY'24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you, and over to you, sir.

Nishid Solanki: Thank you. Good afternoon, everyone, and thank you for joining us on Aarti Industries' Q4 FY24 earnings conference call. Today, we are joined by senior members of the management team including Mr. Rajendra Gogri, Chairman and Managing Director, Mr. Rashesh Gogri, Vice Chairman and Managing Director and Mr. Chetan Gandhi, Chief Financial Officer

We will commence the call with opening thoughts from Mr. Rajendra Gogri. Post which, we shall open the forum for Q&A, where the management will be addressing queries of the participants.

Just to share our standard disclaimer. Certain statements that may be made in today's call may be forward-looking in nature. And a disclaimer to this effect has been included in the results presentation that has been shared earlier and uploaded on the stock exchange websites.

I would now invite Mr. Rajendra Gogri to share his perspectives. Thank you, and over to you, sir.

Rajendra Gogri: Thank you. Good afternoon, everyone and welcome to our Q4 & FY24 earnings call. I will take you through our performance, insights on the industry dynamics and strategic initiatives.

Firstly, let me summarise our annual numbers For FY24, revenue came in at Rs. 7,012 crore, while EBITDA stood at Rs. 984 crore. Profit After Tax was at Rs. 416 crore. The Board has recommended a dividend of Rs 1/- share (i.e 20%) for FY24.

We delivered resilient performance during the year despite severe global pressures emanating from sluggish demand trends globally leading to slower exports trajectory as inventory adjustments. These challenges were further compounded by geopolitical crises impacting the global supply chain and

logistics. Against this backdrop, we have demonstrated a stable performance anchored by our nuanced understanding of market dynamics combined with cost leadership and a differentiated product portfolio.

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While the overall global macroeconomic environment remained subdued, we witnessed demand recovery in discretionary applications catering to dyes, pigments, speciality polymers and additives among others. Macro concerns related to Non-discretionary segments serving certain end-user industries still persist.

Let me now share the key performance highlights for the quarter under review. Our consolidated revenues increased by 3.5% to Rs. 1,955 crore in Q4 FY24 over previous quarter Q3 FY24. EBITDA including other income grew by

5.6% on Q-o-Q basis to Rs. 283 crore in Q4 FY24. EBITDA growth reflected an optimised cost structure, driven by higher volume resulting in improved operating efficiency and favourable product mix. As a result of this performance, we conclude the year with an annual EBITDA of about Rs.984 crore, consistent with the guidance provided in our previous quarters. Profit after tax stood at Rs. 132 crore in Q4 FY24, higher by 6.5% over previous quarter Q3 FY24. PAT performance was in-line with operational trajectory and benefited from favourable tax position. Build-up in interest costs and depreciation aligns with the launch of new capacities scheduled during this year.

Performance on Q-o-Q basis was steered by volume growth, planned ramp-up of long-term contracts and recovery in discretionary portfolio. Our domestic : exports mix stood at 52 : 48.

I will turn your attention to production highlights for Q4FY24. The production of Nitrochlorobenzene stood at 17,646 metric tons, as compared to 18,842 metric tons recorded in the same quarter last year and the 19,580 metric tons in Q3FY24. Meanwhile, Nitrotoluene saw a production of 6,675 metric tons, against 6,130 metric tons last year and 6,951 metric tons in Q3 FY24. Additionally,

Hydrogenation output stood at 3,389 tonnes per month in the current period, compared to 3,315 tonnes per month in the corresponding period last year and 3,644 tonnes per month in Q3 FY24

I would like to now share some updates on our growth initiatives. We entailed a CAPEX of over Rs 1,280 crore in FY24 on project expansions, and plan to spend another Rs 1,500-1,800 crore in FY25. All our growth endeavours are advancing as scheduled, and we foresee the gradual commissioning of several projects within the coming year. This includes Acid Phase-2 Capacity Expansion, Specialty Chemicals Blocks, Ethylation, NT Capacities and Asset Upgradation among others. Our Chloro Toluene project is also advancing well, with the initial phase projected to commence by FY26. Upon completion, these projects will cement our distinctive position in the global chemical value chain and enhance our performance trajectory.

With commissioning of several ongoing projects and anticipated volume ramp-ups in existing products, we continue to maintain our expected EBITDA guidance of Rs. 1,450-1,700 crore for FY25. This outlook is supported by sustained recovery in discretionary segments, emerging indications of revival in the non-discretionary portfolio and the operating leverage benefits expected to accrue with the increase in volume in FY25.

To conclude, Aarti Industries not only possesses cost competencies and global reach but also boasts an established R&D framework. As an integrated player and partner of choice, the Company's strategic positioning enables it to proactively navigate the dynamic landscape within the industry. We

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aim to leverage this extensive expertise, maintain a steadfast focus on our values of Care, integrity and excellence, and fortify our position to enhance value for all our stakeholders.

With that, I will now request the moderator to commence the Q&A session. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. We will take our first question from the line of Mr. Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: Sir, two questions from my side. Firstly, if you could just give a little bit more color in terms of why the volume numbers were lower on a Q-on-Q basis? Which segments were, relatively weaker compared to the last quarter and what kind of trends you've been seeing in the quarter so far?

And the second question was with respect to your EBITDA guidance, which you've obviously maintained, but just wanted to get your sense in terms of the trends that you're seeing and in terms of the conversations that you're having with the customers, how confident are you of achieving something closer to the

high end? Or do you think you would rather have to wait to see how the recovery shapes up before some of these things start to get a bit more clearer?

Rajendra Gogri: Yes. This agrochemical segment is under pressure. So volumes in that segment are getting impacted. Whereas on the discretionary side, dyes, pigments, and other segments, there we are seeing good traction as far as demand is concerned. For FY'25 guidance, there will be a lot of factors which will determine whether we will be on the higher end or lower end.

It will remain on how the volume grows up when this demand goes up as well as our commissioning of our projects and the stabilization of those facilities. So as of now, I think we are not able to narrow down the guidance. And as we move forward, I think we'll be able to do so in coming quarters as far as the next year's guidance is concerned.

Vivek Rajamani: Sure, sir. Just one quick clarification. The fact that agrochemicals is under pressure is well reflected in the lower Nitro Toluene volumes. If I could just clarify the lower NCB volumes is also purely accumulated? Or is there something else as well over here?

Rajendra Gogri: Yes. So nitric acid pressure was also there during this quarter, so that has also partially impacted volumes. And some of the NCB product also goes in agro and pharma. So that impact was also there.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Good to see the sequential recovery. So first question is again on the discretionary and nondiscretionary segments – which geographies are seeing positive traction and which in all geographies are still reeling under pressure, if you could just tell us from the exports perspective?

Rajendra Gogri: We make this intermediate going into a different geography and then the finished molecules are made in – mainly in U.S. and Europe as far as agrochemicals are concerned, and there is export across the globe from that. So it'd be difficult to know what will be the impact on geographical factor as far as agrochemicals are concerned. But overall, on an annualized basis, we had about 11% North America,

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6% Europe and 4% in China, 3% Japan and rest of the world, 28%. So that was the geographical composition, which was given in our presentation also.

Rohit Nagraj: Sure. Sir, second question is in terms of the capex. So this year, we had a slightly lower capex of INR1,300 crores. We had expected INR 2,500 crores to INR 3,000 crores of capex for two years. Now we have raised it to INR 1,600 crores to INR 1,800 crores for FY'25. After that, the similar run rate will continue? And in FY'25, which in all will be the major projects which are what added to this capex?

Rajendra Gogri: Yes. This is in respect of our existing product line, which we see as zone 1, 2 and 3. All those projects, we expect to get fully commissioned in FY'25, such as acid phase2 then ethylation expansion at Dahej site and Nitro Toluene expansion at Jhagadia and some other specialty chemical debottlenecking some expansion will get commissioned during the FY'25. And other major spending will be in our new site at Jhagadia, where multi-purpose plant and entire Chloro Toluene and downstream product plants are being put up.

Rohit Nagraj: Sure. And FY'26 similar run rate would be continued?

Rajendra Gogri: FY'26, no, we have not yet fully finalized the numbers. I think that will be maybe in the next couple of quarters, where we'll be able to give a clearer guidance on the capex for FY'26.

Moderator: Our next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: In this quarter, we have seen a significant increase in gross margins on a quarter-on-quarter basis sequentially, I'm saying. But at the same time, there is a significant increase in the other expenses also December quarter versus March quarter. So could you please just help us understand what

might be

driving that? Is it basically the freight cost increases that are being passed on?

Chetan Gandhi: Yes. So you're right, Abhijit. The increase in the other expenses is majorly or primarily on account of the freight cost increase, which is passed on to the customer. But in addition to that, the product mix, and a bit of margin improvement across the existing businesses has also helped in terms of improving the gross margin.

Abhijit Akella: Okay. So this is a good run rate for operating expense or other expenses to trend off for the year ahead?

Chetan Gandhi: So other expenses, I mean, if you look at the fixed overhead, the fixed overhead virtually would not increase substantially, barring some 5%, 7% of inflation increase, it will be virtually constant or similar. The other expenses also include a component of variable costs such as freight and production costs such as effluent treatment or power, labor also. So that would be linked with volume. But excluding those variable components, which are linked with volume, the fixed overhead will virtually be similar.

Abhijit Akella: Understood. And just on the volume front, one was just to understand the quarter-on-quarter revenue increase this quarter, has it come primarily from the long-term contract we've just signed because the

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production volumes are actually down across all categories? So that was one thing. And then if you could please just also share the PDA volumes for the quarter.

Rajendra Gogri: Yes, the volumes were our regular volumes as well as long-term contract volumes were also there.

Chetan Gandhi: PDA was at 523 tons per month.

Moderator: The next question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Sir, couple of questions. Sir, first is on the Q-on-Q sequential growth. Though it is encouraging to see the Q-on-Q growth, but what we have indicated earlier that there is a recovery across the segment and end user industry maybe only except agrochemical. However, it is still kind of muted in terms of volume growth also on Q-on-Q and even on -- revenue is also quite like Q3 number. So just wanted to understand that the sequential recovery which you were talking about and the indicated EBITDA target which we have earlier indicated, are we on track for that? Because it doesn't seem like the Q4 recovery for our company is so strong to achieve those numbers for FY'25.

Rajendra Gogri: I mentioned agrochemical has remained softer. So that has given the impact on the volumes as well as some nitric acid issue also had impacted the volumes in Q4. But now that is getting stabilized and as you know, more volume grew in discretionary segment and also stabilization on agrochemical side, we'll see that continuous quarter-on-quarter volume increase in FY'25.

Rohan Gupta: Sir, you mentioned that agrochemical still remains challenging and that's what you also mentioned in the recent interview, will we see that in first half, agrochemical still remains challenging. So despite that, you are confident about the volume growth over all for the company and also if you can restate your guidance what we are looking for FY'25?

Rajendra Gogri: Yes. Agrochemical first half will be challenging. But I think in the second half, I think we should see a good recovery in agrochemical. And also some of our expansion also will kick in Q2 and Q3 of this year. So that will also help us in increasing the volumes.

Rohan Gupta: Sir, in terms of capex number, you mentioned FY'25, you're looking some INR 1,700 crores, INR 1,800 crores capex. Am I right on that?

Rajendra Gogri: Yes, it was INR 1,500 crores to INR 1,800 crores.

Rohan Gupta: Okay. Sir, if you can just give further breakup in terms of the overall capex INR 1,500 crores to INR 1,800 crores? Also can you give some guidance for FY'26 capex number if it will be similar towards FY'25? And overall INR 3,000 crores to INR 3,500 crores which we are planning to invest in

the next 2 years, the likely investment of it, in which segment we will be looking at, if you can share those numbers?

Rajendra Gogri: Yes. This year, a substantial portion will be going in our new site expansion and other Zone 1, 2, 3 expansions will be more on completion of that. So I think more than 50% will be going in our new

site as far as FY'26 is concerned, the numbers have not been fine-tuned, but it will be upward of INR 1,000 crores for sure, but then exact number, we'll have to still fine tune.

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Rohan Gupta: Sir, new site that, if I remember, that is mainly for Chloro Toluene, right? Or you have also identified some of the products to be manufactured on the new site also from the existing portfolio?

Rajendra Gogri: There will be a multipurpose plant also will be put up there. So there will be some of this multipurpose plant may be linked to some of the existing value chain or Chloro Toluene or some stand-alone product also. So we'll first time have multipurpose plant also on the ground at that location.

Rohan Gupta: Okay. So it's not like that the entire 50% expansion on new site will be only for the Chloro Toluene, some part of that will be existing product basket as well, including MPP?

Rajendra Gogri: Yes. The MPP will have product coming from various channels, products coming from existing lines or the Chloro Toluene or the new stand-alone.

Rohan Gupta: Sir, is it possible for you to give a breakup in terms of end user industry for FY'24, which has just completed, I mean, segmental like how much from agrochemical and pharma or maybe polymers, if you can give a broad breakup?

Rajendra Gogri: This agro and pharma were around 35% and discretionary around 65%, and 35%, 65% kind of a number was there between discretionary and non-discretionary.

Rohan Gupta: And with discretionary, where we still continue to see the strong growth while agro only can see the recovery in second half.

Rajendra Gogri: Yes.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: First question on working capital side. If you can highlight while on receivables, we have seen an absolute reduction but inventory and overall working capital in terms of number of days remains slightly higher. So your thoughts there in terms of outlook?

Chetan Gandhi: So on the working capital on inventory, there were couple of products which were to be shipped out in March, and it just got shipped out in April. So some matter related to that. Otherwise, it should be higher. Secondly, when you're looking at the day comparisons, I would request you to look at the numbers vis-à-vis the quarterly revenues and not the annual revenues because the average pricing for the second half was a bit more than what was there in the first half on the input and a couple of other input cost components.

Ankur Periwal: Sure., sir. Secondly, on the capex side, while we did mention INR 1,500 crores to INR 1,800 crores

and if I hear you right in the opening remarks, you did mention some bit of this capex will be for revamp of the existing project, so just any broad thoughts in terms of what could be the potential revenue that we are looking at here? And how much of this capex will be going into replenishment?

Rajendra Gogri: No, the capex basically is for, the second ethylation block and Nitro Toluene, which is an ongoing capex and Acid phase2 and some specialty chemical block. So there are ongoing expansion for our

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current product range that is where the major volume increase will happen in this year and also, further volume increase will happen in FY'26 from this existing product line at our current locations.

Ankur Periwal: Sure. sir, let me rephrase my question. Whatever capex we are doing, INR 1,500 crores to INR 1,800 crores FY'25, all of this will be productive capex either in terms of revenue or in terms of backward integration benefit?

Rajendra Gogri:

i: Yes, virtually, I think, except some normal maintenance capex, but this is not significant.

Ankur Periwal: Sure and sir, lastly, on the nitric acid part, you alluded to a shortfall of the supplies there and hence slightly slower volume growth. If I remember it right, we had signed up a longer-term contract there, right, for nitric acid supplies. So if you can just share your comments why the disruption in supply and how do you see that playing out?

Rajendra Gogri: Actually, our supplier is putting up a larger facility, and that will come up in FY26. So currently, we are getting material from other existing sites. And we have contracts. So accordingly, we could get a good volume. But still, overall, there was some disruption, which had a partial impact.

Ankur Periwal: Okay. So FY'25 will further see disruption or possible disruption because of this supply issue? Or how do you put this at that?

Rajendra Gogri: Yes, the suppliers; our major expansion is going to come in FY'26. So in FY'25, some other nitric acid capacities may come up in India, that's what also is expected. So that kind of can mitigate some sort of any disruption happening.

Ankur Periwal: Sure. So '26 onwards, it should be fairly straightforward in terms of supply?

Rajendra Gogri: Yes.

Moderator: The next question is from the line of Archit Joshi from B&K Securities.

Archit Joshi: I have a couple of questions. So first one, just the way we have kind of given a guidance for FY'25, the lower end, and the higher end of the EBITDA guidance span – would you be able to venture a number with respect to the peak EBITDA that we can achieve from the existing assets that you have, excluding the upcoming capex in Chloro Toluene and the multipurpose plant? Could there be a range that you can guide?

Rajendra Gogri: Yes. I think another additional 10% to 15% should be possible. So more towards INR 2,000 crores kind of a number should be possible from ongoing existing location expansion.

Archit Joshi: Sure, Sir, my second one was with respect to the NT and ethylation plant. I think both of them are going to be key contributors to both the contracts that we have recently gotten into. Would you be able to share the highlights of what we did with those 2 contracts in FY'24 if you can substantiate that also with the commissioning of these two facilities in FY'25 for which the capex is ongoing, would the entire volume be assumed to be diverted towards these 2 new projects that we have signed? So I was just trying to understand how the volumes will shape up with the new facility commissioning.

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Rajendra Gogri: Yes. This second contract, which was announced out of the 2, which was INR 1,500 crores for the next 4 years is not connected to ethylation and those product lines. The first one, which was an agrochemical intermediate that is coming from that Nitro Toluene and ethylation line. So there, we expect increase in sales from this year partly and the next year onwards, it will give a full year impact.

As the first one, INR 1,500 crores, I think, it is an ongoing, so in that already the ramp-up has taken place.

Archit Joshi: Sure, sir. Wherein, I was trying to understand how much from these 2 contracts, I mean the first contract size was close to INR 1,500 crores, your second contract and the first one was close to INR 330 crores. How much would have we done in FY'24?

Rajendra Gogri: FY'24, I think it was below INR100 crore as some agrochemical impact had taken place. But this year, we expect more around INR250 crore or so.

Archit Joshi: And sir, the second one, the INR 1,500 crores one?

Rajendra Gogri: So that is running on a regular basis.

Moderator: The next question is from the line of Rishi Kothari from Pi Square Investments.

Rishi Kothari: My question was more or less addressed on the segment front. But I just wanted to get an idea as to what exactly other industries that we are looking to diversify in

places further in terms of chemical?

Are there any some attractions in terms of other industries that you're looking at to diversify our product?

Rajendra Gogri: Other than the chemical industry?

Rishi Kothari: No, in chemicals industry itself in terms of segment, let's say, we are into agrochemicals and dye in the segment and all that, so in terms of segment bifurcations.

Rajendra Gogri: So basically, we are very well diversified on agro, pharma and dyes, pigments, energy sector and all. In addition to that, we are looking at the sunrise sectors, which are more also going in this battery storages and all that or circularity of chemicals or biochemistry and all that. So that is another sector

which we are looking. But as of now, we have not started investing in any of them, yes, but they are on our radar and also at various developmental stages. So we'll be going into those product line also in the coming years.

Moderator: The next question is from the line of Surya Patra from Phillip Capital India Pvt. Ltd.

Surya Patra: Sir, my first question is on this MEA and the Nitro Toluene capacity, which is likely to be commissioning this year. So could you say what is the exact timeline that you're anticipating? and any progress on that in terms of the contract with any customer for those products that you have already signed or anything on that front, if you can give some clarity about it?

Rajendra Gogri: That will be looking at Q2 of FY'25, the commissioning for both Nitro Toluene and the downstream. And some of the volumes are tied up with those products.

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Surya Patra: So that means the utilization and the demand visibility about those facilities are that is there and if it is, it is coming from which segment if you can share, sir?

Rajendra Gogri: It's mainly in agrochemical segment. This ethylation blocks are mainly going into agro.

Surya Patra: Okay and so these are also of the kind of a more downstream product where the margin visibility would be more than 25%?

Rajendra Gogri: Yes. If you take it from base molecule, yes, it will be of those kinds.

Surya Patra: Okay. My second question was about the margin trend for the value-added product, what you have been indicating, sir? So like 25% to 30% kind of margin for the downstream product that you have been talking. So from the initial time period when you have started talking about it, from that particular point, we have seen significant changes in the cycle. The prices, let's say, have moved down significantly and now started recovering and all that.

So the up-cycle, down-cycle both we have played out from that initial point. But still, you are maintaining your margin expectation in the similar rate. So from where is that confidence coming? Is it because of the spread generally, what you enjoy on those products? So that is why you are confident about maintaining the margins of beyond 25 for the downstream product or it is something else that you are getting confidence from?

Rajendra Gogri: No, we have a basket of products. So some of the products, there may be pressure. So on an average, this value-added product will give you a 25%, 30% range as EBITDA margin in that.

Surya Patra: Okay. Sir, just an extended question to this. These R&D initiatives, that you have taken, let's say, with a deeper focus on the product development and research and development. So you have set up your Navi Mumbai plant, Navi Mumbai R&D center in FY'21 and I think now already 2 to 3 years is already passed? So what is the kind of progress on that front? and what achievement that you have seen from those initiatives? And what is the current R&D spend per annum if you can give some clarity and some future visibility out of those initiatives, that would be really helpful?

Rajendra Gogri: Yes, this entire Chloro Toluene range that is all in-house because we'll be adding a lot of new chemistry in that photochemistry, nitration, hydr

olysis and grignard chemistry. So a lot of different chemistries, the products will be coming up in this entire Chloro Toluene range and also in a multipurpose plant. So all those products R&D has been done in-house from this new R&D centre. In addition to that also, I mentioned on this sunrise sector, there also we are in touch with the global major companies as well as start-ups for developing newer product back-end manufacturing and development for them also. So those R&D also is happening at new center.

Surya Patra: Okay. So this is the point that I wanted to understand. So basically, like the collaborative research aspects with the potential customer for the new product opportunities. So generally, when we are talking about multipurpose plants, UMPPs, customer manufacturing opportunities and the value-added products in the specialty chemical, all that, see generally, these projects are backed by ready

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contracts with the innovator or something like that. So here, as you are saying that you have already started working on those fronts. So any progress in terms of alliances that you have already seen, but possibly when the commercial opportunity will be fructifying then you'll be announcing. So anything on this front, sir?

Rajendra Gogri: Yes. Various products are at different levels. Some at R&D, somewhere near where we have supply pilot quantities and all that. So different projects are at different stages and we see good opportunities on those going forward. So those product lines, it will be not China plus One. It is India first because this newer product line, the customers might prefer India as a source, as a priority. So we see a good opportunity on tying up with those kinds of businesses.

Surya Patra: Sure, sir. Just last one question from my side, sir. In fact, if we see the FY'24 performance, in the domestic market, obviously, we have seen an 11% decline, while supported by the supply contract, exports are positive. But in terms of the volume, so I think if the prices, we know that large part of the domestic sales would be, may not be towards the downstream product, it could be the initial value chain-based product. Still, we are seeing revenue declining by 11% only, while prices have corrected significantly. So that means whether we have seen a volume growth in the domestic market for FY'24?

Rajendra Gogri: No, actually, the price also depends on the raw materials. If you see the second half, the raw material prices of benzene and all were higher. So that also kind of reduced impact, when we talk about the sales number. So some of that increase is because of the raw material price increase also.

Surya Patra: Okay. But whether any concern that is there about the domestic market in terms of volume

progression or decline, sir?

Rajendra Gogri: No, ultimately, even sector-wise, it is basically a global impact because as we have mentioned earlier also, a lot of our products which are going in domestic ultimately end up being exported. So it is a global market on a back end, which is giving the impact. So domestic consumption for it will be only around 25%, rest will be direct or indirect export.

Surya Patra: Okay. So domestic may not have that relevancy then.

Moderator: The next question is from the line of Sabyasachi Mukerji from Bajaj Finserv Asset Management Company.

Sabyasachi Mukerji: Sir, my first question is this morning on TV interview you mentioned about 20% to 30% volume growth for FY'25 versus, I believe, in the last call, Q3 earnings call, you mentioned somewhere around 20% volume growth. So question A is, what gives you confidence on, let's say, up in the range from 20% to 30%?

And second question is from which quarter do we see this growth coming? Because Q4, we saw weak tepid volumes, so Q1 is, again, I think, will be on the similar lines? Or do we see volume uptick from Q1 onwards only?

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Rajendra Gogri:

Yes. Actually, our earlier guidance was 20% to 25% in the last con-call, so that we have increased to 20% to 30% as a range. And the volume growth will happen from this Q1 FY'25 itself, we expect the volume to grow and quarter-on-quarter, we expect volume to grow this year.

Sabyasachi Mukerji: Oka, and Q2 onwards, and when the new projects get commissioned, the volume growth will be far superior than what we are witnessing now. Is that a right assumption?

Rajendra Gogri: Yes,. From Q2 onwards, this may project also. So second half volume growth will be substantially more.

Sabyasachi Mukerji: Okay. That's good to hear. Chetan bhai, I have a question for you. You mentioned in the presentation as well that the increased freight cost during quarter 4 due to Red Sea disruption had caused some effect. So if I look at Q3 to Q4, the other expenses have gone up by 19%, almost INR 268 crores to INR 319 crores and whereas we had a 7% decline on sequential volume decline, could you quantify what was the impact, the freight cost this quarter?

Chetan Gandhi: So the freight cost increase gets substantially passed on to the customer. The volume decline is only for those few select products, for certain products, for example, like Nitro Toluene also -- PDA, we do have volume increase. So we've got a very large product basket and there has been volume increase across some of the other products as well.

Sabyasachi Mukerji: No, but still, I mean, what kind of freight cost, I mean, increased freight cost that we ended up paying, I mean INR 50 crores is a large number, right? I mean, from Q3 to Q4, if I just look at the absolute delta in other expenses.

Chetan Gandhi: Yes. So that freight cost increase is something which we have to bear, and we pass it on to the customer. So on a value basis, the component is relatively smaller. If I look at comparing it to a turnover and it gets passed on to the customer as a part of, like similar to other input costs, this also gets passed on to the customer

Sabyasachi Mukerji: Okay and you also mentioned there is some; if I look at the other expense bucket, the fixed overheads generally quarter-on-quarter basis should remain largely similar and on a year-on-year basis, it will follow some inflationary growth. So out of this total, let's say, INR 260 crores to INR 300 crores of quarterly other expense, What portion would be fixed and what portion is variable broadly?

Chetan Gandhi: So the variable component would be somewhere in the range of around 40%-50%. I still have to see down some numbers, but yes, beyond that, 40% to 50% could be variable. So it's not just the freight, there will be a lot of other components which is linked to production, which could be there like effluent treatment and other things.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Two questions. One is, a, on the newer projects which are there that we're talking about launching FY'26 onwards. So these are largely oriented for the import substitution or are these going to be primarily export products?

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Rajendra Gogri: Yes, it will both import substitution as well as export. So more towards a 50-50 kind of a mix.

Nitin Agarwal: Okay. And sir, with respect to whatever has been happening in China in terms of increased capacity, especially on the agrochem side of intermediates and AIs, I mean, does any of these calculations change for you or any of the business case has changed for any of these products, especially from export perspective?

Rajendra Gogri: Not significantly.

Nitin Agarwal: Okay. And sir, lastly, although you touched upon it, for the INR 1,450 crores, INR 1,700 crores EBITDA guidance that you gave for next year, this should be what a back-ended guidance in a sense, we'll see much, much stronger H2 and H1? And what would the split be like 40-60, 30-70? How should we look at that?

Rajendra Gogri: Yes, I think it will be more

or 40%-45% and 55%-60%.

Moderator: The next question is from the line of Aditya Khetan from SMIFS Institutional Equities.

Aditya Khetan: Sir, first question is on to the agrochemical demand outlook. As you have mentioned that for this quarter also, the demand has been lower only and we are standing into like May and June of this calendar year, so you are expecting like demand will remain muted for this calendar year complete or like improvement is expected from next quarter?

Rajendra Gogri: Yes. Basically, it will be generally, this will be always product specifics. So somewhere the demand will pick up in this quarter, next quarter, and all. And some of them which are annual bases, where the demand pickup will be more happening in calendar year '25. So it will be a bit more product specific, but by end of the year, things would get normal. So calendar year '25 should be near normal for all the products.

Aditya Khetan: Okay. Sir, on to the nitric acid supply disruption issue, sir, is it possible to quantify how much volumes have been impacted because of this nitric acid issue?

Rajendra Gogri: Absolutely it will be difficult. But the Nitro Chloro Benzene and all, we have seen some decline, so that is where some impact was seen.

Aditya Khetan: Okay. Sir, my last question is on to the dicamba intermediate. Sir, is it possible to give out the revenue figure for FY '24? And what is the utilization level this operated on?

Rajendra Gogri: So say that demand for that agro is struggling. So the hydrogenation part is where we can utilize, but the last part, which is more of a dedicated plant, there has not been a very significant volume for this quarter.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus.

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Siddharth Gadekar: Sir, first on the MMA contract, which we had announced in Jan, the INR 6,000 crores contract. Can you just quantify how much revenues have been booked in FY'24? And how much incremental revenue we are expecting in FY'25?

Rajendra Gogri: It has started from the quarter. So the entire FY'24 will be difficult to get the number in that sense. But first quarter, the impact has started coming in.

Siddharth Gadekar: So incrementally, how much revenue should we expect from this contract on a Y-o-Y basis?

Rajendra Gogri: Y-o-Y, this is 50% to 60% at least.

Siddharth Gadekar: Okay and sir, from the second contract, what was the contribution in FY'24?

Rajendra Gogri: Below INR100 crores because the subsequent impact of the demand came up.

Siddharth Gadekar: And in FY'25, do we expect it to go to INR 300 crores or it will be below INR 300 crores?

Rajendra Gogri: I think it will be more towards around INR 250 crores for FY'25.

Siddharth Gadekar: Okay. Sir got it and then lastly for Chetan bhai. So what should be the tax rate that we should work with for FY'25 and '26?

Chetan Gandhi: Our tax rate for FY'25, FY'26, I believe it should be around 15%, maybe around 12% to 15% or 12% to 16%.

Moderator: The next question is from the line of Rohit Sinha from Sunidhi Securities.

Rohit Sinha: As we are seeing price realizations are down significantly. So once we see any significant improvement there. So how we will be seeing the price negotiation with our customers basically, how are the contracts aligned, including our long-term as well as the short-term contracts?

Rajendra Gogri: Certainly, in all the long-term contract we have structured pricing in place, whereas contracts which are more of a quarterly; orders which are more on a quarterly basis, there the prices may have some inherent movement also, up and downside. But on long-term contract are more generally on a raw material-plus basis.

Rohit Sinha: Okay. And on all these short-term contracts, basically, when they are due for negotiations?

Rajendra Gogri: They're quarterly basis. Generally, short term will be quarterly basis and long term will be multiyear. Some contract may happen on an

annual basis also, but they are very limited relatively.

Rohit Sinha: Okay. And secondly, just a clarification on this Deepak Fertilizers contract. So I think that was close to INR 8,000 crores contract for a span of 20 years when it was announced. So which I guess we're assuming that it will be equally distributed to these 20 years or maybe you can say, INR 400 crores kind of annual revenue.

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Since you are mentioning that there is some disruption and only after FY'26, we will see smooth volume there. So does that mean that there could be more than, say, INR 400-plus crores kind of annual revenue only post FY'26 or it would be a max kind of revenue and only you that INR 400 crores or INR 450 crores, it can be fluctuated as per our demand also?

Rajendra Gogri: Yes, obviously, it will be fluctuating with demand. The supply side, there is major expansion, is expected. The nitric acid also once their capacity comes up and it will also help us in whenever our ramp-up takes place. So it will be kind of a ramp up also in the turnover for that side also.

Moderator: The next question is from the line of SimranJeet Singh Bhatia from Almondz Global Securities.

SimranJeet Singh Bhatia: Sir, I just want to understand what will be your debt profile? I mean what will be the debt reduction going forward in the upcoming years? And second, how you see the EBITDA margin trend, not for FY'25, but for next couple of years, like '26, '27 or next till '26, '27? Will we see the margins coming back to 20%-plus in the upcoming years?

Chetan Gandhi: So on the debt, as you're aware, there has been significant capex projects which are underway. So debt reduction from the overall basis, I don't think so will be there. We are trying to optimize the working capital. I guess that is also visible over the last couple of years' performance where the working

capital days have been reducing, plus debt as a number is also a function as to how the working capital and the cost related to working capital such as the input and other cost prevail.

So on an absolute basis, I'm not expecting debt numbers to reduce, but there will be efforts in terms of optimizing the working capital days, which could potentially provide some optimization of debt, but the debt will be a bit higher than what it is currently right now.

SimranJeet Singh Bhatia: Okay. And sir, when we are seeing the margins coming back to 20% or 22% plus, not in FY'25, it's not possible to see but any guidance for the upcoming 2 or 3 years down the line?

Rajendra Gogri: As we had mentioned earlier that Chloro Toluene range these are more value-added products, so structurally, there the EBITDA margin is higher. So with those products coming in line on a weighted average basis, combined EBITDA also as a percentage will increase from FY '26-'27 onwards.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Sir, just on the clarification on the MMA long-term contract. So if I recall correctly, last quarter, you had indicated we expected about INR 900 crores for FY'24 from that contract ramping up to INR 1,500 crore in FY'25. So just to check whether that they were still the number we should work with or has there been any deviation on that?

Rajendra Gogri: I think that's what kind of number matched also. We say 50% to 60% increase. I think that's what is mentioned here.

Abhijit Akella: Okay. This is only under the contract, is it? Or we are doing some sales of the product outside of the contract also, which is not included within this INR 900 crores?

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Rajendra Gogri: Yes. We sell to the other customers also. So there will be volume increases for other customers also.

Moderator: Next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Just one question. What would be the cost of debt currently and next year is it expected to be on similar lines?

Chetan Ga

ndhi: The cost of debt should be around 7.5%, 8%. It depends on the combination of different products.

From next year perspective, I believe the interest rates have largely peaked out while I'm not expecting interest rate to sharpen down or reduce significantly, sharply in this year. I believe, the cost of debt should fairly remain similar.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Rajendra Gogri: Thank you everyone for taking out the time to join us on our Q4 FY24 earnings conference call. Hope we have addressed all your queries. If you have any further questions, please feel free to contact our Investor Relations team, and we will address them. We look forward to connecting with all of you again in the next quarter. Thank you once again.

Moderator: Thank you. On behalf of Aarti Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2024

August 20, 2024

To,
Listing/Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

BSE CODE : 524208 To,
Listing/Compliance Department
National Stock Exchange of
India Limited
"Exchange Plaza", Plot No. C/1, G Block Bandra-Kurla Complex,
Bandra (E), Mumbai – 400 051.
NSE Symbol : AARTIIND

Dear Sir/Madam,

Sub.: Transcript of Q1 FY25 Earnings
Conference Call.
Ref: Regulation 30 of the SEBI
(LODR) Regulations, 2015.

Please find enclosed herewith the Transcript of Earnings Conference Call held on
Monday, August 12, 2024 on Audited Financial Results of the Company for the
quarter ended June 30, 2024.

Kindly take the same on record.

Thanking You,
Yours faithfully,
FOR AARTI INDUSTRIES LIMITED

RAJ SARRAF
COMPANY SECRETARY
ICSI M. NO. A15526
Encl.: As above.
Page 1 of 16

Aarti Industries Limited
Q1 FY25 Earnings Conference Call Transcript
August 12, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Aarti Industries Limited's Q1
FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be
an opportunity for you to ask questions after the presentation concludes. Should you
need assistance during the call, please signal an operator by pressing "*" then "0"
on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you
and over to you sir.

Nishid Solanki: Thank you. Good afternoon, everyone and thank you for joining us on Aarti
Industries' Q1 FY25 Earnings Conference Call.

Today, we are joined by senior members of the Management Team, including:

- Mr. Rajendra Gogri – Chairman and Managing Director
- Mr. Rashesh Gogri – Vice Chairman and Managing Director
- Mr. Suyog Kotecha – Executive Director and Chief Executive Officer, and
- Mr. Chetan Gandhi – Chief Financial Officer.

We will commence the call with opening thoughts from Mr. Rajendra Gogri,
followed with highlights of the quarter being shared by Mr. Kotecha, post, which we shall open the forum for Q&A where the
management will be addressing queries of

the participants.

Just to share a standard disclaimer:

Certain statements that may be made in today's Conference Call may be forward-looking in nature and a disclaimer to this effect has been included in the results presentation which has been shared with you earlier.

I would now like to invite Mr. Gogri to share his perspectives. Thank you and over to you, sir.

Rajendra Gogri: Thank you. Good afternoon, everyone and welcome to our earnings call. I hope you all would have gone through the quarterly update presentation which was uploaded on exchanges earlier today. As you would have noted, we continue to deliver yet another quarter of sequential growth. This performance came despite pricing headwinds as well as supply chain pressures. Additionally, continued global

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challenges from overcapacity in China affected demand supply dynamics.

Nonetheless, we remained focused on execution and anticipate a volume-led recovery in this year.

Recognizing the evolving market landscape, we have undertaken a strategic transformation. In addition to strengthening our senior leadership team, we have forged strategic partnerships to offer customized solutions from concept-to-commissioning stage. Our goal is to deliver sustainable growth while maximizing our potential. Today, we are a future-ready organization committed to exceptional customer value.

Now, let me share a few significant developments from the past quarter. The first one being the landmark achievement, wherein we took a promising leap by entering into a 50-50 Joint Venture with UPL. This JV is a first of its kind and path breaking development that builds on the synergies and competencies of two leading Indian chemical companies to support the manufacturing of critical chemical products in India. We have a very long-standing relationship with UPL, and this JV enables us to combine our individual strengths to create globally competitive businesses. We believe that such unique collaborations between Indian chemical players will contribute to the growth of the Indian chemical ecosystem. The JV i.e., Augene Chemical Private Limited shall engage in the supply of downstream derivatives of amines that have diverse applications in agrochemicals and paints. Both the companies are expected to invest about Rs. 150 crore each into this JV over the next two years. The commercial supplies are expected to begin by Q1 FY27, targeting peak annual revenue potential of Rs. 400-500 crore within the next 2-3 years. Further, as our endeavor to bring in quality leadership with high engaging professionals leading the key functions of AIL, I am delighted to have Mr. Suyog Kotecha joining in as Executive Director and Chief Executive Officer of Aarti Industries Ltd. Suyog joined our team on June 17th, 2024 bringing with him extensive expertise in strategy, innovation, and business transformation. His profound understanding of the Chemicals industry through his past experiences at Reliance Industries, McKinsey, etc. and global connections make him the ideal leader to guide AIL toward a successful future. In addition to overseeing Aarti's current operations, he will be instrumental in spearheading new growth opportunities.

I warmly welcome him and would request him to share more about the business and quarterly update to you. Over to you, Suyog.

Suyog Kotecha: Thank you, Raju bhai. A warm welcome to all of you who have joined this call. I feel honored to be part of the AIL family and to be associated with you all.

Let me start with our performance for the quarter under review and then we will follow that with the evolving macro situation.

As you would have noted on most performance parameters, we were able to deliver QoQ sequential growth. Our revenues for the quarter were around Rs. 2,012 crore, 3% higher on QoQ basis, 28% higher on YoY basis. Volume growth on QoQ basis was about 6%, while on YoY basis it was over 30%.

We also witnessed our EBITDA to grow by about 10% on QoQ basis to Rs. 311 crore, registering over 55% growth in YoY terms. Higher volumes-led operating leverage with favorable product mix was a major contributor to EBITDA growth.

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Depreciation and interest cost remains higher on the back of capitalization of projects and is in line with the prevailing interest rate. PAT overall was reported at Rs.137 crore higher by almost 4% on QoQ basis.

Coming to the macros, I think the global macro environment still remains challenging with the Middle East tensions linked to Red Sea disruptions. They continue to pose challenges. We have been witnessing positive demand momentum in key end use applications like pharma, polymers, additives, dyes and pigments. Even in agrochemicals, there are s

small green shoots of demand recovery. However, pressure on margins remains and it is mostly driven by Chinese competition which continues to dump products in global markets due to their domestic overcapacity situation. Further, energy as an application has become a relatively large application for us, which is bringing additional volatility to the business performance as it is linked to external factors like crude, gasoline cracks, naphtha cracks which have their own element of volatility.

At the same time, let me also state that most of our long-term contracts continue to deliver both volumes and margins within the expected range.

Coming to the key production data, Nitro Chloro Benzene production volume stood at 19,503 MT versus 17,293 MT in Q1 FY'24 and 17,646 MT in Q4 FY'24. Nitrotoluene saw production of 7,637 MT against 9,320 MT in Q1 FY'24 and 6,675

MT in Q4 FY'24. Hydrogenation output stood at 3,428 tons per month in the current period compared to 2,868 tons in Q1 FY'24 and 3,389 tons in Q4 FY'24. For most of the products I think we saw sequential volume growth on a QoQ basis in Q4 FY24.

Coming to the project updates.

I think all major CAPEX projects remain on track. Our acid unit expansion got commissioned in the last quarter. We are on track to commission our expanded Nitrotoluene, Ethylation capacity towards the end of the current quarter. We will also commission our new pilot plant at Zone-IV within this quarter, which will

support in accelerating commercialization of new products developed with our R&D and Technology. The larger CAPEX program at Zone-IV, the new Greenfield site is progressing as per plan. We are expecting phase-wise commissioning from next financial year.

From an overall capital expenditure point of view, we had projected Rs.1,500 crore to Rs. 1,800 crore in the financial year and in Q1 we have already spent Rs. 270 crore. On time completion of all of these projects, we will fortify within the global chemical value chain, and we will also support higher volume requirements from our customers going forward.

Before I conclude and we move into the Q&A, let me say that we remain focused on delivering sustainable growth over mid-term-to-long-term. Our goal as stated earlier is to deliver 20% to 25% CAGR growth in EBITDA, which if we take a five-year view, then it is almost 2.5x-3x growth in EBITDA. To deliver this, broadly,

there are three themes we are focusing on:

■ The first one is on time at cost execution of all of our expansion projects.

We will be adding a sort of completely new series of products based on our Chlorotoluene value chain and also from multipurpose plants at Zone-IV.

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This will also broaden our product portfolio by going more downstream in existing value chain.

■ Second theme is around leveraging our cutting-edge R&D and technology development capabilities to make investments and build portfolios in new sunrise sectors, which have significant growth potential over the coming

decade, likes of circularity, renewable, battery chemistries and technology.

■ And the third maybe one of the most important themes around retaining and nurturing the existing culture of founder's mentality and value orientation of care, integrity and excellence, I think this has played very critical role in AI, delivering significant growth and also shareholder value over the last two decades. As a relatively young organization with an average of 32 years, we not only plan to retain but nurture this and operate

with the same ethos which will deliver growth over mid-term-to-long-term.

That concludes our initial remarks. We will now request the Moderator to open the forum for question-and-answer session.

Moderator: Sure. Thank you very much. We will now begin the question-and-answer session.

The first question is from Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajaman

i: Two questions from my side. Just with respect to the demand trends that you've seen so far and the conversations that you are having with your customers – do you feel that you can deliver the higher end of your EBITDA guidance of Rs. 17 billion that you've given for fiscal '25? And what factors do you think going forward would be critical for that? That's the first question.

Suyog Kotecha: I think when I come to performance and expectations for this year, as I've been saying, even in some of the morning calls, see we have to segregate demand and margin. I think on demand front, we are pretty confident of delivering growth in the range of 20% to 30% and this is coming with a combination of commissioning of some of the new projects as well as better capacity utilization in some of the existing product chains. That story remains very robust. But on margins, I think the

story is different. I think the pressure from China is actually not sort of going away and we have seen that across broader product portfolio, not in a specific chain, but across broader product portfolio, the pressure on margin is still very intense. And that coupled with the volatility that is coming from energy applications, which is now forming decent part of our portfolio, I think makes it difficult to commit on sort of the EBITDA guidance for the year. I think we would like to watch out especially for the margin trends over the course of the next two or three months before we commit on EBITDA guidance for the full financial year.

Vivek Rajamani: Sure, sir. That's clear. And just as an extension to that, I think a few quarters back when we were in the midst of the extremely difficult demand conditions, I think you mentioned in the calls that you've had to kind of rely on maybe you are not in fact Tier-2, Tier-3 customers, basically the customers where your pricing power is obviously not as great and they were not your regular customers. I am just wondering, given that you've started to see demand green shoots come through across the board, just wanted to get a sense if you've been able to go back to your more normal customer profile or do you think you are still having to rely on such Tier-2, Tier-3 customers to kind of push volumes? Thank you.

Suyog Kotecha: Yes. So, I think the story is different value chain-by-value chain. Yes, broadly speaking, as we see demand recovery on many of the end use markets, we prioritize our sort of Tier-1 customers in those chains. There are some chains

where tactically we may still have to go back to Tier-2, Tier-3 customers, sometimes including that in China. And that decision, we continue to take on

month-on-month basis to optimize our inventory and production pattern. So, overall

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improvement and I think the share of Tier-1 customer volumes increasingly we will see going up. But I would say the problem has still not completely gone away.

Vivek Rajamani: Sure, sir. And just one last clarification. Would it be possible to give any rough sense of how much these Tier-2, Tier-3 customers would be making up of your portfolio? I know it's very dynamic, but any rough sense would be possible?

Suyog Kotecha: Frankly, difficult to comment, right. I think from product-by-product, the percentage will change, even month-on-month we see a different volatility. Maybe we can go back and do a detailed analysis, but off-hand it's difficult to give that.

Moderator: The next question is from Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: So, from my side, just to understand this commentary about the pricing headwinds and the overcapacity from China, are there specific categories of ours where these pressures are more apparent or are it pretty much across the board, across the NCB, Nitrotoluene – just hoping to understand that a bit?

Suyog Kotecha: I think the pressure on pricing from Chinese capacity is across the board. It is much more aggravated in the

Agchem chain from an application standpoint. But the pressure is there even in other segments. I think the intensity of the pressure varies, Agchem being most sort of impacted, but given their overcapacity across a

broad range of sectors, I think it remains throughout the portfolio and I think it's

even nothing to do specific with Aarti, the broader chemical industry is struggling with this issue and we continue to figure out how to address this challenge. But I

hope that gives you a sense in terms of intensity of pricing pressure.

Abhijit Akella: On the sort of EBITDA outlook for the subsequent periods, while I understand it's hard to commit on the full year at this point. At this point, given that half of the second quarter is behind us more or less, should we expect more or less a similar kind of number? Could we expect some modest sequential improvement, is that how we should think about it for 2Q?

Suyog Kotecha: We would have loved to give you better clarity, but the situation is actually quite volatile and dynamic. I think the two aspects which we would again reemphasize that we need to start appreciating is – one, overall volume on a YoY basis we will continue to see decent amount of growth, right. Pricing pressure from China sort of will continue to remain. I think the biggest unknown factor for which we need to get better handle on is energy application, given that it is also a new application for us. And there, I said one is the linkages to the external factor, which is the gasoline naphtha cracks and the fuel pricing which historically hasn't impacted us that significantly, but going forward will impact us. And there's also a bit of seasonality expected, right? Gasoline is ultimately a seasonal business, across different geographies. So, we are just watching out and we are learning more about this particular application. And with experience, we will be in a better position to give you guidance.

Abhijit Akella: Just if I may on the energy segment itself, these gasoline naphtha cracks, do they impact sort of the demand for the products we are selling, which I presume are primarily fuel additives or is it more on the spread side, where exactly is the

volatility creeping in?

Suyog Kotecha: So, there are three four different applications of this fuel additives, right. There is sort of one particular application is in sort of cargo blending, which is sort of different grades of gasoline and sort of finishing of those different gasoline grades.

There's a particular application around upgrading the overall different cuts that you

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get from refineries, including that of naphtha and gasoline. And the third one is on the refinery optimization itself.

All three applications get impacted differently depending on how the upstream markets are moving. So, yes, even naphtha gasoline crack does impact the demand for this particular product because depending on the incentive available to upgrade certain qualities of naphtha, to make them ready for blending into gasoline will be determined by the naphtha gasoline crack at that particular point in time. So, it does impact on the demand for this particular product.

Abhijit Akella: Just in the context of the situation in Bangladesh, from your customer conversations, what's the situation like in the dyes industry, which is another important end use application for us?

Suyog Kotecha: We don't have direct exposure to Bangladesh or any significant exposure to Bangladesh. So, right now we are not seeing any risk from the particular events happening in Bangladesh. And I think the exposure is less than 1% of total business portfolio. So, no major risk seen so far.

Abhijit Akella: But on the dyes industry overall, is the environment more uncertain at this point because of this or not really?

Suyog Kotecha At this point in time, we haven't seen any indication from our customers, right? We will continue to watch out for it, and we ar

e in conversation with our customers. I

think the events have also happened very recently, but so far, we haven't got any feedback from the customers, but we continue to monitor it and see if there will be impact going forward.

Moderator: The next question is from Nitesh Dhoot from Dolat Capital. Please go ahead.

Nitesh Dhoot: So, my first question is if you could just elaborate on the sequential decline in other expenses to around Rs. 281 crore from Rs. 319 crore despite the increase in volumes that we've seen, especially on the export side. So, in the previous quarter, Q4, that is, I mean the reason for higher Opex given out was the Red Sea related freight cost increase and freight costs have only increased further in Q1. So, what explains the decline in Opex?

Chetan Gandhi: Hi, Nitesh, this is Chetan here. So, some of the annual costs which were there in Q4 related to employee benefits and other stuff would not be there in Q1. So, that is some component and in some pockets the freight has been lower. So, if you would have looked at it, we've got a bit of an increased share of business with the Middle East, Asia where the incidence of freight on an average is a bit lower as compared to other parts of the world. So, that is where you will see some changes which are happening.

Nitesh Dhoot: Secondly, sir, I mean what explains the fluctuation on the gross margin from quarter-to-quarter in the last three quarters, i.e., since we started executing the long-term contracts, so 41% going to 36%, coming back to 40% and again 38%, prior to that, if I look at the entire FY'23 and first half of FY'24, the gross margins were largely stable in the 41%, 42% range?

Suyog Kotecha: I think it's a combination of multiple factors. If you look at it from a key raw material point of view, benzene and aniline being two of the largest raw materials for us, there has been some volatility. We have seen prices going up for benzene and aniline on QoQ basis as well as on YoY basis. Even in terms of our final product mix in geography mix, as Chetan mentioned, there has been substantial churn, our

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geographical footprint has changed from an export point of view, our product mix has also changed quite significantly. So, I think the overall portfolio has become a bit complex and given some of the part of the portfolio is linked to volatility in the external market, I think you will see variation. But over the period as we understand this dynamic much better there will be clarity whether these are seasonal or QoQ variations. It's a combination of raw material, product mix and our geographical footprint.

Moderator: The next question is from the line of Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: Sir, my first question is on our model of the pass-through mechanism that we used to enjoy. I think we used to maintain our EBITDA per Kg or EBITDA per ton and currently given the comments that you have made earlier that we see a good volume growth visibility; the suppression in

margin is something which is kind of

holding us back to give a premature full year guidance on EBITDA. So, has that construct changed at all so that we are unable to maintain that absolute EBITDA on the products we are selling? That would be my first one.

Suyog Kotecha: So, I think there on benzene downstream we have decent amount of portfolio where we have a pass-through pricing mechanism, and we are able to retain that.

On Aniline downstream product portfolio, I think some part of it is linked to raw material, some part of it is not directly linked to raw material where we take market exposure. And that's where I think some of the volatility comes in.

Archit Joshi: Sir, secondly, the contract that we had signed earlier, I think the one that we had with SABIC and then the other third one, the Rs. 90-100 crore annual sales exposure towards, has there been any change on those accounts, are we real

izing the full potential of that if you can comment something on that please?

Suyog Kotecha: I think both these contracts continue to do very well. In fact, the contract with SABIC has ramped up quite significantly. I think indication of demand from their side, start of this calendar year versus now there has been significant improvement; I think the plant is running at full capacity now. From EBITDA point of view, it does not make much difference given the nature of the contract we have with them, but it just shows us confidence in terms of actual pickup in demand as far as polymer end application comes in. The other contract that you talked about also, I think whatever was expected from a revenue potential and a volume potential point of view, the current trajectory is we are on track in terms of revenue and volume expectation as part of that contract.

Archit Joshi: The next few projects that we are commissioning, the Nitrotoluene one, Ethylation loop, followed by an entire range of new products, Chloro Toluene and the multipurpose plant. Within all this, do we continue to expect the margins that we had envisaged earlier, be it percentage or per Kg, will that also be subject to the volatility that we are experiencing now with respect to pressure on margins?

Suyog Kotecha: So, Ethylation capacity and Nitrotoluene capacity will get commissioned as per the original timeline indicated which is towards the end of this quarter and the volumes will ramp up gradually over the course of Q3, Q4 and then subsequently in the next financial year. We are expecting somewhere in the range of targeting up to 50% capacity utilization within this financial year and then taking it all the way up to 60% to 80% capacity utilization level in the next financial year. From the volume point of view, they will continue to deliver as per the original plan. From a margin point of view, yes. If you go by today's pricing, I think there is some compression if I try and see what the China price trend is happening. So, profitability might be slightly

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skewed towards a bit of a downside compared to the original business plan, but again this is something that we will evaluate on a month-on-month basis and see what all we can do. Again, all of these products are targeted towards our Tier-1 customers. And in that context, we are hoping for recovery in the margin relatively near-term timeframe. On Chlorotoluene value chain, I would just say that we are a bit further from actually realizing the potential of that CAPEX today. We are in a sort of construction phase. That capacity is expected to get commissioned in a phase-wise manner only from the next financial year standpoint. So, from a timing point of view, we remain on track. I think from volumes and margins point of view, it is still some time away to have a proper commentary on the same.

Archit Joshi: While you are speaking of being unable to maintain that per Kg margin on the aniline derivative side, if I just connect the dots to what you commented earlier, we have done some sort of a B2B down trading there going from Tier-1 customers to Tier-2, Tier-3. So, is that exposure hurting the margins as of now and as we ramp up to go back to the same kind of customers who we are catering to earlier, the lumpiness that we are seeing in margins is expected to wither off. Would that be a fair assumption?

Suyog Kotecha: Partly, but I would also say look, it's a new business we are building, right. I think this application, particularly in the energy segment, was not part of our portfolio in a significant way, let's say two years back. So, it's a new business we are building, the new customers we are discovering, it's a sector where the drivers of our profitability and drivers of our client's profitability are different, right? We are linked to aniline, but our customers are linked to "Upstream refinery oil and gas market." So, we are also figuring out how

to write, structure these contracts and sort of this transaction. And we are going to go through that learning journey and hopefully in a

span of next couple of quarters, we land at an arrangement which is a win-win for both sides. But I would say it's more of a learning and a development journey for the new product that we are trying to scale

up.

Moderator: The next question is from Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: My first question is in this quarter, we had witnessed good volume growth in NCB and into the Nitrotoluene business. So, this improvement in volume is largely because of the better availability of nitric acid or there is a structural improvement in demand?

Suyog Kotecha: I think it's a combination of both, but I would rather give credit to better structural demand in the end market because that's what we are seeing in our customer conversations. As I said, we see genuine volume uptick across end markets. Even

Agchem which was stress for quite some time, we have started to see some green shoots, the volumes have started moving. While both elements are right, we would give more credit to actual genuine demand growth in the end use market.

Aditya Khetan: Sir, the non-discretionary segment, so which was not performing like agrochemicals and pharma, as you mentioned that you are starting to witness an uptick. Into the recovery cycle, so we are at the bottom and how much improvement can we expect from here on? In terms of margins also, can you highlight how much improvement would be the best?

Suyog Kotecha: On margin front, we still have a long way to go when it comes to non-discretionary segments. As I mentioned earlier, the pressure on pricing and hence on margins is significantly high, especially on the agrochemical side from the Chinese competition. We are nowhere close to our cycle average margins. If you ask us at

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this point in time, we don't see within one or two quarters the margins going back to normal, we see this is a sort of long road ahead, we continue to watch out for it and build our strategies to optimize cost and figure out how within the existing product portfolio we can optimize margins better. But there is still significant scope for margin recovery. Whether it's visible immediately in the next quarter or next two quarters, we don't think so. I think we think it's going to be long-haul.

Aditya Khetan: Sir, onto the aniline downstream, you mentioned there has been some moderation in spread. So, as a percentage of EBITDA, how much will this segment contribute?

Suyog Kotecha: At this point in time, frankly, it is a bit difficult to comment. We have multiple products downstream of aniline right, it's not one product; it's a complicated product portfolio with also lot of linkages as we go more and more downstream. So, at this stage, difficult for me to give an exact percentage of EBITDA coming from aniline downstream derivatives.

Aditya Khetan: Sir, on to the CAPEX part, now we are close to completion of the Nitrotoluene and the Ethylation facilities. So, is it possible to share the breakup of the Rs. 1,500 crore CAPEX which we would be incurring in FY25?

Suyog Kotecha: I can give you at a higher level, I don't have exact project-by-project CAPEX number at this stage, but out of Rs.1,500 crore to Rs. 1,800 crore whatever we have spent in Q1 has practically gone into blocks which are getting commissioned like of Ethylation, NCB and then a pilot plant in Zone-IV. I think the remaining part of Rs.1,200-odd crore is slightly more than that will bulkly go into Zone-IV. That's the significant chunk of our CAPEX now, which is going into the Chlorotoluene value chain. Exact project-by-project CAPEX, at this point in time, not in a position to share, but broad split is that. Bulk of the CAPEX in the remaining financial year will be spent on Zone-IV for Chloro Toluene project.

Aditya Khetan: Sir, because

of this moderation in spreads, which we are witnessing in aniline, is this one of the reasons why we have dropped the EBITDA guidance? Like last quarter so we were maintaining the guidance of Rs. 14.5 to 17 billion EBITDA. Any particular reason sir we have dropped this guidance?

Suyog Kotecha: I think it's volatility that we are observing in the business. As I said, it's a new business application for us. So, we are learning. And because of the volatility, we just think we need to get a better handle and better understanding of this market before committing on our guidance.

Moderator: The next question is from Niteen Dharmawat from Aurum Capital. Please go ahead.

Niteen Dharmawat: Sir, regarding this UPL joint venture, is there any overlap with our existing business with the joint venture revenue that we will be having?

Rajendra Gogri: The products what will be manufactured from that joint venture, there is no overlap. Actually, our current aniline will be consumed in that joint venture.

Niteen Dharmawat: What is the debt level we will be having now with the new CAPEX that we are planning?

Chetan Gandhi: The debt level will be roughly around Rs. 3,300 crore at this point of time.

Niteen Dharmawat: And it is likely to increase, right?

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Chetan Gandhi: Yes, because we have substantial CAPEX coming up in this year also. It will increase in this year.

Niteen Dharmawat: So, what is the peak debt level that you are talking currently?

Chetan Gandhi: So, as regards this year, I expect it to be anywhere between Rs. 3,500 to 3,800 crore. It depends on how the raw material prices and the working capital play, around that.

Niteen Dharmawat: What is the trend in the raw material prices? That also I had a question.

Suyog Kotecha: So, if you look at the last three, four quarters, at least the two key raw materials, benzene, and aniline, I am sure you guys also track this information. But on benzene, we have seen sort of a sequential increase in prices going up to Q1 FY25 level. But in the current quarter, we have started to see some softening in the benzene prices. I think aniline has remained quite volatile; if you compare it on a QoQ basis, there is an increase in the prices, but again we see some softening on the raw material pricing in this quarter.

Moderator: The next question is from Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: First question is on the margin outlook here. You did allude towards the volatility expected given the macro that we are in. Just trying to break this up into two parts; one is the end use mix wherein energy is a bigger contributor now. Going ahead, do you expect energy to be as high a contributor or probably given maybe dye segments, agro, other segments pickup, this segment share will come down a bit?

Suyog Kotecha: So, I think let me answer that question in two parts. In the near-term, I think energy will remain a significant part of our application mix. But even within that, you will see volatility, right? As I said, given the nature of the business and also some aspect of seasonality involved in that market, I think you will see this number going up and down for the next few quarters, but it will remain if not the largest end application for us at least for next few quarters. Over a longer term, we expect as the remaining part of the product portfolio sort of comes back, especially from a margin standpoint and as we are seeing broader demand recovery across end segments including the non-discretionary segments of agrochemicals and pharma, the energy segment share might get bit moderated, but that is sort of one, two year down the line kind of story.

Ankur Periwal: So, the volatility probably can continue for let's say one, two years, let's say '25 and '26 and beyond that maybe things will pick up? So, just moving to the next one, so on the CAPEX guidance that we had, there's Rs.15 to 18 billion CAPEX is

for

FY'25 only or is it an annual run rate that we should presume now?

Suyog Kotecha: No, I think it's only for this FY'25. In fact, I think from a annual CAPEX point of view, we will peak in this financial year. I think our CAPEX for the next financial year is expected to be significantly lower compared to current levels.

Ankur Periwal: And lastly, on the volumetric growth that you mentioned around 20%, 25% for this quarter, this number I presume is year-on-year, am I right on that?

Suyog Kotecha: Yes, on a quarter-on-quarter it's a 6% volume growth, on a year-on-year basis, it's in high two digits as we mentioned.

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Ankur Periwal: So, from a demand uptick perspective if I look at absolute revenue, domestic is still weak or is it just because of the realization that the reported numbers look weak and maybe it is 20%, 25% growth across both domestic and exports?

Suyog Kotecha: I think again it's a combination of a product mix. I think energy application which has now become significant part, their larger share comes from export and that's why you will see compared to last year average where I think our overall share of export was, I think roughly 52%-odd has gone up to 60% now in the Q1 FY25. As I said, this will keep varying depending on our sort of application mix and product mix.

Ankur Periwal: Just lastly, given that the China-led capacity expansion and lower realizations are here to stay probably for a while, what is your thought on the overall ROCE profile for the CAPEX that we are putting in, any change in thought there versus the numbers that we were thinking of earlier or broadly we are in that same range and what will that be?

Suyog Kotecha: I think it's our endeavor to improve our ROCE performance and we remain much focused on that. All of our CAPEX decisions, it becomes one of the important factors as we consider putting together sort of new projects for expansion point of view. I think large chunk of CAPEX expansion that has happened over the last three, four years had also gone into upgradation of existing assets, improving reliability and not necessarily purely growth-oriented CAPEX versus the CAPEX that you see towards the end of last year, current year and the next year going forward, it's predominantly growth-led CAPEX programs, right. So, with all of that, we expect improvement in our ROCE performance. And as I said, we will peak in terms of CAPEX in the current financial year, next year onwards our CAPEX

numbers will go down significantly and that's where we should also start seeing a decent uptick on our ROCE number.

Moderator: The next question is from Surya Patra from PhillipCapital. Please go ahead.

Surya Patra: First question is about the production number for NCD and if you can also share the PDA?

Surya Patra: Can you repeat the NCB number and also share the PDA production number for the quarter?

Suyog Kotecha: So, NCB number for the Q1 FY'25 was 19,503 tons against last year same quarter number of 17,293 tons, and the PDA number is roughly around 206 tons per month for the current quarter against last year same quarter this number was 135 tons per month.

Surya Patra: My first question is about the trends and the performance is that, excluding MMA, what is the kind of volume growth that we would have seen for this quarter, sir?

Suyog Kotecha: So, if you are talking about QoQ volume growth, then actually the volume growth is quite consistent even in non-MMA portfolio; it still remains in the range of 5% to 6%. So, volume growth has actually been broader across the portfolio, not specifically linked to one particular product.

Surya Patra: Even on a YoY basis, the base business excluding the MMA would have seen the similar 30% kind of growth. Is that fair to -?

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Suyog Kotecha: We talked about QoQ numbers. I think on a YoY basis there will be significant difference because on YoY basis our energy application h

as scaled up quite

significantly where MMA would take significant chunk of the YoY.

Surya Patra: My second point was this, in fact, we have seen obviously the volume recovery that is clearly visible from the NCB and all those hydrogenation numbers, PDA numbers and all the Nitrotoluene over the last couple of quarters or three quarters. When do you see the scope of price recovery happening generally for our portfolio or you

see really a significant challenge given the kind of regulation of the Chinese?

Because long back, if I remember, because of our cost leadership and all that in our product basket or because of the end-to-end integration model that we have been having, we still have been there as a kind of exporter of a product to the China despite the kind of pricing situation there and the competition and all that.

But now what is the difference and what is the case that we are finding? Hence, any scope of price recovery that you think that can come up given the kind of

backward integration and forward integration that you are talking about?

Suyog Kotecha: So frankly difficult to comment, right. As I said, our expectation was we should start seeing the recovery in margins and prices in this financial year. So far it has not been visible, and it looks difficult for the next few quarters. But I also want to answer sort of a broader question here. The through-and-through valuation

integration that we have is actually genuinely giving us a competitive advantage and that is one of the reasons despite so much pressure from China, we are still able to deliver volume growth, and we are still able to maintain sort of our current level of EBITDA margins. That shows that we are able to compete. But at the same time, no doubt that we get pulled down on prices and margins because of China's competition. So, the margin that we enjoyed, let's say two, three years back or even before that, today, we are not able to enjoy those margins because of this competitive intensity and the pressure. And whether it takes two quarters, three quarters or five, six quarters, difficult to judge and difficult to comment on at this point in time. We are closely watching Chinese capacity utilization on many of these products and see sort of how it is ramping up, ramping down versus sort of what is the outlook on that front and that's the only indication that we continue to monitor to see potentially leading indication in terms of where the pricing recovery will happen.

Surya Patra: My next point was about the business mix. So, what is the current non-benzene, non-toluene balancing in terms of sales mix and what is that likely to be let's say over the next two-year period or three-year period?

Suyog Kotecha: No, we don't have these numbers off hand right now, so I am afraid we may not be able to give you those exact sort of numbers.

Surya Patra: My basic point here I was trying to understand sir, since we are now obviously talking about the new product development, the collaborative development with partners, new downstream value chains, Zone-IV now getting commissioned and potentially this would be contributing incrementally beyond the existing product chain. So, hence I was trying to understand that let's say, excluding the base

business or beyond the base business, what is the new business segment that is likely to contribute and how significant it could be in the business mix over next three year period?

Suyog Kotecha: I think maybe in the next conference call, we will have better information regarding the same. But broadly speaking, look, we remain benzene, aniline and toluene downstream value chain-focused company and there we have multiple chemistries downstream of those three basic building

materials. But given the different nature of the chemistries we operated even within these three valuations, there's a lot of interplay of products, right? So, sometimes it becomes difficult to seg-

regate the impact of one particular value chain over the other. And as we are getting into some of these partnerships that we are doing with global majors or some specific capacity expansions that we are doing for few specialty chemicals, I think the share of these value chains will decrease as you had indicated, but still today these three value chains and maybe not that much toluene today, but today is dominated by benzene and aniline downstream. Once our Zone-IV commissions, I think toluene downstream will also become significant part of the business.

Surya Patra: Just last one small pointer. In fact, do you find the challenge to the ramp up of this new project Ethylation one and Nitrotoluene one, given the market situation or demand situation, because my understanding was that for Ethylation project, there has already been kind of a contract available for off take and all. So, hence I am asking that, do you find any challenge to the ramp up or scale up of these two units which is going to be commissioning soon?

Suyog Kotecha: So, it is the same story as the broader business. I think from a volume point of view, we will still meet our target. I think our target of reaching 40% to 50% capacity utilization within this financial year itself, I think we feel confident that we will be able to achieve that. We may not achieve our targeted margin in terms of rupees per Kg that we have targeted for this particular product, and it will take some time to reach that level. But our focus remains on full utilization of that capacity as soon as possible. We do have a contract with two large customers and then we continue to engage the other customers for this product to ensure that we start getting good market share from at least all the major Tier-1 customers.

Moderator: The next question is from Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Just wanted a clarity on your previous comment where you mentioned that the energy is a part of the revenue is very dynamic in nature. So, our understanding was that the long-term contract that we signed in December was mainly pertaining to the energy contract. So, how should we look at that volumes and the ramp up in that contract?

Suyog Kotecha: There's just one contract in that end application. It doesn't mean that we are relying only on one customer for that particular application. I think we are developing a broader footprint of customers for applications in the energy segment and that's where you see variability. So, one customer as per contract might be going a bit smoothly and maintaining their commitment in terms of volumes. But given we are trying to develop a wider basket of customers, that's where we see volatility.

Siddharth Gadekar: So, broadly, the contracts that we announced in December and Jan, they should be on track to deliver the announcements that we had made, right, like Rs. 1,500 crore for the December contract?

Suyog Kotecha: Yes.

Moderator: Next question is from Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: The first question is how much of our product basket has a direct competition from China?

Suyog Kotecha: Well, I would say anywhere in the range of 70% to 80% is where we would expect that all of these products will also have competition from China.

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Rohit Nagraj: And just an allied question, given that there have been new capacities which have come up in China, so structurally the EBITDA per Kg which was there pre-COVID and now has come down, I mean what is your understanding of the same given that the demand/supply side is now more tilted to supply, so probably the EBITDA per Kg or EBITDA per ton will slightly moderate than the previous period, your thoughts on this?

Suyog Kotecha: I think again the story will change product-by-product, but there are many products in which our EBITDA in terms of rupees per Kg has come down compared to let's say pre-COV-

ID levels. But I think our endeavor has always been to find new applications, new products, and new set of customers where we have certain differentiating advantage over China and that's a continuous exercise, right?

Something where we had this advantage two years back if the capacity gets built in China at some point in time, they get closer to commoditization. So, that situation also evolves every two years. So, we have to be continuously on the front foot in terms of building differentiated offerings for our customers where we enjoy that premium at least for a certain point in time before it gets copied. On a broader level, yes, EBITDA at a rupees per Kg level for many of the products is not equivalent to where it was three, four years back and that's also reflected in our

EBITDA margin percentages.

Rohit Nagraj: Second question is again on the similar line. In terms of the newer products and technology, so Ethylation, Chlorotoluene, whether we have seen new capacity coming up in China and will again that have some bearing at least in the initial period till we get to a reasonable operating level?

Suyog Kotecha: No, not at this stage. We haven't seen any new capacity coming in China in the recent times. But what we need to understand is ultimately it's a value chain, right?

I think we are a supplier to an agrochemical formulator, and they have to also understand the dynamic of their products in different global markets where there is a substitutability in terms of what final formulations they're making. So, I wish it was that simple. But even if there is no Ethylation on capacity that has come up in China, if there are few products which are ultimately going into downstream Agrochem formulation, and if there's a competition from different substitutes for those products, it does impact our Ethylation capacity. I am not saying that's the case, but I am just sort of making a point that point-to-point comparison in terms of Ethylation capacity is fair and we don't see any recent capacity on that front. But we also have to look at the broader valuation angle to understand where there might be competitive intensity and accordingly pressure on pricing and margins.

Moderator: The next question is from Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Sir, first question is that in your guidance you mentioned that even apart from the other discretionary industries and all, you have also started seeing pickup in agrochemicals which was seeing weakness so far. So, with this pickup, do you see that our volume growth can ramp up higher than what we were looking earlier because we are sitting with idle capacity even at the ramp up in plant-III, you see that there is an opportunity to ramp up that plant as well, just wanted your clarification and your guidance on that?

Suyog Kotecha: Look, our current target to deliver anywhere between 20% to 30% volume growth on a year-on-year basis for the full financial year, I think it's aspirational and it's challenging, but we are taking that as a target. I think beyond that frankly difficult to sort of judge at this point in time but 20% to 30% is what is seeming sort of possible and achievable at this point in time.

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Rohan Gupta: The plant-I project, are there any chance of that plant seeing any ramp up because it was still going through because of global agrochemicals weakness going on. So, how we plan to ramp up that plant, and in the current environment, can we see the faster ramp up of that?

Suyog Kotecha: So, we are evaluating multiple options to ramp up utilization of that particular asset. I think that asset has different capabilities. Even in that value chain can be broken down into two or three intermediates. We have also started ramping up our sales for one or two intermediates, which ensures utilization of part of the assets. And hence from a total plant point of view, there are parts of the plants which are now utiliz

ed to a very good extent, there are still some parts of the plants which are not utilized to the full extent, but we continue to look out for options which will allow us to utilize that asset fully.

Rohan Gupta: Sir, since we are getting into Chloro Toluene as well, I think that there is some other player in Gujarat and they are also getting into the Chloro Toluene space which was earlier not touched by many Indian players. So, do we see that the competitive intensity in that segment, in Chloro Toluene is also increasing and that more players can enter into that? Can that have an impact on our growth plan because after '25, a lot of our growth was expected to come from the Chloro Toluene project?

Suyog Kotecha: There is competition, but I think the way we have structured our growth project is fundamentally slightly different. I think we are building an integrated chain. We are not stopping at the first 2 steps in the chain. We have a portfolio of 40 different products as part of that investment and we will go significantly downstream into specialty derivatives, right? We will not stop at sort of the first two levels of derivatives. In that context, we feel confident about our investment and ability to generate returns as well as sort of volumes and margins out of that investment. So, competitive intensity, yes, for sure, but I think we have a unique strategy which will allow us to fight in the market.

Rohan Gupta: So, just last bit from my side is that we also have a significant exposure in textile, dyes, paint, pigments; would this be seeing some impact from the Bangladesh issue going on right now? Though maybe early, but do you see that there is some possibility of some business in the textile can be impacted in near-term?

Suyog Kotecha: No, as I said, I think we continue to monitor that trend. So far, we haven't seen any red flag. And based on our conversations with customers so far also there are no major risks highlighted. Our direct exposure to Bangladesh is relatively limited, in

fact close to negligible. And even indirect exposure wise so far, we haven't seen any risk.

Moderator: The next question is from Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Just two here. One on the Nitrotoluenes and Ethylation project, if you could please just help us with the final CAPEX numbers, the capacity, and the revenue potential from the project?

Chetan Gandhi: So, the capacities which we are targeting on Nitrotoluene, currently, the capacity is around 30,000 tons and we are looking to ramp it up to around 45,000 tons. And for Ethylation, we have a capacity of around 8,000 tons to 10,000 tons and it is expected to go by around 3x maybe around 25,000 tons roughly around that magnitude.

Abhijit Akella: So, 50% expansion in Nitrotoluenes and about 3x in Ethylation?

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Chetan Gandhi: Yes, it's a Ethylation capacity.

Abhijit Akella: What would the CAPEX on this have been, Chetan bhai?

Chetan Gandhi: It would be in the magnitude of around Rs. 400 crore to 500 crore.

Abhijit Akella: And full utilization you think would take like two, three years or would it be -?

Suyog Kotecha: As I said, this year the target is to ramp them up to 50% capacity utilization and next year we will take it up to 70%, 80% which is a good utilization for this kind of asset.

Abhijit Akella: Just the other one was on the energy derivatives products business over there – from a really long term perspective, if we think about say the next decade or so, in the context of this global move towards electrification of vehicles, vehicle fleets across the globe, how do you see the long-term demand outlook for the fuel additives business in that context?

Suyog Kotecha: I think we are actually very optimistic on that front. I think I understand you are hinting towards sort of overall trend towards EV versus sort of ICE engine. But we think from an absolute volume point of view

still ICE engine rate capacity remains in the market. This fuel additive is actually much more sustainable compared to other options available today in the market, right. There's a general trend to replace metal-based fuel additives with more cleaner, more sustainable fuel additives and this product fits into that bucket. So, we remain pretty confident and optimistic about the demand, and good potential for this particular product.

Moderator: That was the last question I would now like to hand the conference back to the management team for closing comments.

Rajendra Gogri: Thank you everyone for taking out the time to join us on our Q1 FY25 earnings conference call. As we embark on our 40th year in Specialty Chemicals, Aarti

Industries is stronger than ever with renewed vigour on excellence, innovation, passion and determination. As a global partner of choice, we will continue to serve and expand our robust client base, while ensuring sustained value creation for our shareholders by optimising our assets and venturing into newer business opportunities.

Hope we have addressed all your queries. If you have any further questions, please feel free to contact our Investor Relations team, and we will address them. We look forward to connecting with all of you again in the next quarter. Thank you once again.

Moderator: On behalf of Aarti Industries Limited, that concludes the conference. Thank you for joining us, ladies, and gentlemen. You may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Nov 2024

November 15, 2024

To,
Listing/Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

BSE CODE : 524208 To,
Listing/Compliance Department
National Stock Exchange of
India Limited
“Exchange Plaza”, Plot No. C/1, G Block Bandra-Kurla Complex,
Bandra (E), Mumbai – 400 051.
NSE Symbol : AARTIIND

Dear Sir/Madam,

Sub.: Transcript of Analyst and
Investor Meet 2024.

Ref: Regulation 30 of the SEBI
(LODR) Regulations, 2015.

Please find enclosed herewith the Transcript of Analyst and Investor Meet 2024 held on Friday, November 8, 2024 on Q2 FY25 and H1 25 Financial Highlights, Future Outlook and Roadmap.

Kindly take the same on record.

Thanking You, Yours faithfully, FOR AARTI INDUSTRIES LIMITED
RAJ SARRAF
COMPANY SECRETARY
ICSI M. NO. A15526
Encl.: As above.

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Aarti Industries Limited
Analyst and Investor Meet Transcript
November 8, 2024

Speakers ● Rajendra Gogri - Chairman and Managing
Director, AIL

● Rashesh Gogri - Vice Chairman and Managing
Director, AIL

● Suyog Kotecha - Chief Executive Officer and
Executive Director, AIL

● Chetan Gandhi - Chief Financial Officer, AIL

● Nishid Solanki - CDR India

Analysts: ● Surya Patra – PhillipCapital

● Aditya Khetan - SMIFS Institutional

● Rohan Gupta - Nuvama

● Rohit Nagaraj - Centrum

● Jignesh Kamani - Nippon Mutual Fund

● Abhijit Akella - Kotak

● Archit - Barclays

● Priyank Chheda - Vallum Capital Advisors

● Meet Gada - Emkay Global

● Archit Joshi - B&K Securities

● Pranitha Shetty - Morgan Stanley

● Ankur Periwal - Axis Capital

● Siddharth Gadekar – Equirus

● Manoj – KSA Securities

● Yog – Money Works 4 Me

Moderator: Hi, good afternoon everyone, and welcome to Aarti Industries Analyst and Investor Meet 2024. My name is Nishid Solanki from CDR India. And I, along with the senior management team of Aarti Industries Limited, extend a warm welcome to everyone. It's good to see everybody in person here. Thanks for your time and presence.

From the management today, we have Mr. Rajendra Gogri, Chairman and Managing Director; Mr. Rashesh Gogri, Vice Chairman and Managing Director; Mr. Suyog Kotecha, CEO and Executive Director and Mr. Chetan Gandhi, Chief Financial Officer. We will commence this forum with a detailed presentation from Mr. Kotecha, after which we'll open the floor for question and answer. So please hold on to your questions till then. As always, we'll upload the presentation on the website for you to download.

Please note that certain statements that may be made by the management may be forward-looking, and the actual results may vary from these forward-looking statements. Aarti Industries Limited will not be responsible for any actions taken based on those forward-looking statements.

Before we begin, I would request all of you to put your phones on silent mode. So without further delay, let me invite Mr. Rajendra Gogri to take the discussion forward. Thank you and over to you, sir.

Rajendra Gogri: Good evening, all. And thank you for coming here to attend Aarti Industries Q2

Investor Meet. So this, I think most of you will be aware, but for some of them, you may be new. We started in 1984 and basically have integrated operations in

Benzene-based and Toluene-based products with a very strong R&D. We have across 100 plus products; 16 plants out of which 11 are zero liquid discharge;

1,100 plus domestic and global customers, exporting to 60 countries and 5 co-generation power plants. On the right side of the slide here is Benzene, Toluene plus Sulphuric Acid and other Speciality Chemicals and manufacturing, outsourcing, joint product development, technology sharing and feedstock arrangement. Those are the kind of strategic partnerships over the years that we have done. We are a "Responsible Care" company, in "Ecovadis" we have got a "GOLD" rating and we are also part of "TFS" and "CDP".

Overall, we are a value-based company. Care, Integrity and Excellence are the three major values that we have. As our Purpose, we define the right chemistry for a brighter tomorrow. Our Vision is to emerge as a global partner of choice. As you know, we are basically in a B2B business, and we have customers across the board who are into various end use industries. So that is our Vision to emerge as a global partner of choice for our customers. Our Mission is encompassing all the stakeholders, like delighted stakeholders. This year is actually the 40th year. We started the company in 1984. I think this is a very big milestone year in the company's journey. As you know, a listed company is different from individuals. Individuals come and go but the company goes on and on.

Moving on, there are four Founding Directors. Chandrakantbhai retired in 2012, then I took over as a Chairman. Shantilal bhai, another Founder, Director, he expired in 2019, while Parimal bhai retired in 2024.

In our 40th year, I think, as a milestone step, we have onboarded Suyog Kotecha as Executive Director and CEO. That's a major milestone in the company's journey in professionalising and taking forward the company from this 40th to 50th year in 2034. He has a strong background of McKinsey and then Reliance and

others. We are sure that we will be able to drive the company very well in the future and we are always there to guide and support.

Also, this year has seen a churning for Independent Directors across the Board. For our company, there are a lot of retirements. We have got three new Directors who are mainly in Governance, Ms. Rupa Devi Singh, Ashok Barat, Nikhil Bhatia. They're a

iso very well experienced, almost 40 years plus in the industry. They are also a part of a lot of listed companies. Their experience will help in guiding the company. Mr. Belur Sethuram joined us in May as a Director and he has also worked in multinational companies. Overall, I think we have very good Independent Directors.

I think we are currently, I would say, we are in very challenging times as well as very exciting times. Challenging is in the sense that volumes are recovering, but the margins of the products are under pressure because in the last two years, post-COVID, in China, a lot of capacities have come up for most of the products, which is tending to keep margins under pressure. An exciting part is that India still is a country where the people want the material from. So inherent demand from India is there. Our idea will be to identify proper products for that and we have

done a lot of partnerships and alliances earlier. So we are also looking at a lot of new kinds of further strategic alliances for that.

Also with our strong capability in manufacturing as well as R&D and customer relations, we also would be participating in a lot of Sunrise sectors such as circularity and Battery Chemicals, etc. I think it's going to be a very interesting and exciting journey in the coming few years. Another point that I want to share is that Mr. Rashesh Gogri has to take a flight. So, I think he may have to leave in the middle. I would now like to request Suyog Kotecha to take it forward on the Q2 highlights.

Suyog Kotecha: Thank you, Rajendraji. Good afternoon, everyone.

So the objective is of course, we will take you through the financial highlights, but we're also trying to give a flavour of what's happening in the different segments in which we operate. And at the same time, how the company is looking at the next few months and few years.

On the Q2 and H1 FY'25 highlights, as you can see on the chart, the quarter was a difficult one. I think we've delivered about ₹202 crores of EBITDA against roughly ₹311 crores of Q1. On an H1 basis, H1 to H1, Y-o-Y comparison, we are still 18% up ₹512 crore EBITDA against ₹434 crores. On a quarter-on-quarter basis, there was a compression in margins.

If you sort of disaggregate this performance on the volumes and margins front, I think on volumes, all of you are aware that the Energy business became a significant part of our portfolio and hence we're trying to give details of non-energy and energy business to get a better flavour of what's happening in the business.

On non-energy business, both on Y-o-Y basis and Q-o-Q basis, there is healthy volume growth. We're talking about almost 22% volume growth on a Y-o-Y basis. And that uptick is visible across end applications, dyes, pigments, polymer

additives. Agrochemicals continue to remain soft, but still there are some green shoots of recovery as we mentioned in the last call. So volume story on the non-energy remained relatively robust. Pricing pressure continues to persist and sort of we are navigating that to the best extent possible.

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The energy business is where the second quarter became tough. So we had a very good Q1 for the energy business. In Q2, on a Q-o-Q basis, there was a 36% drop on the volumes for the energy business, specifically MMA. And that was linked to a steep drop in refining margins. So both the absolute gasoline-crude delta as well as the gasoline-naphtha delta crashed in the second quarter which is what led to reduction in demand of MMA. We will talk more about it as we go through it segment by segment. A little bit more on financial highlights going all the way to PAT, we are at roughly ₹189 crores in H1FY'25 versus ₹160 crores in H1FY'24.

As I said, at aggregate entity level on a Y-o-Y basis, there's still a volume growth of 15%. I think there's an exceptional income of ₹2.3 crores, which is on account of divestment of stake in a step

down subsidiary.

Interest costs broadly have remained constant. I think the original anticipation was that the softening of interest rates will start benefiting from now, but that cycle has obviously got delayed. We expect that the benefits from that will accrue from the next quarter onwards. Depreciation has increased slightly as we sort of capitalise based on commercialisation of certain expanded capacities. And on the basis of

H1FY'25 numbers, the Company's tax liability is declining and hence in that context corresponding deferred tax assets are also accrued.

If you go to the underlying business performance, we also wanted to give you clarity on what's happening on volumes across different chains. And on the left hand side, you see most of the major product groups, right. So Nitro Chloro Benzene, DiChloro Benzene, Hydrogenation based molecules, the PDA chain,

Nitro Toluene, Ethylation where we recently expanded capacity and MMA.

And the capacities for some of them, wherever there is an expansion that has happened in the recent quarter or the expansion happening in the ongoing quarter, the numbers are based on expanded capacities. You can see the year-on-year trend on volumes for each of these chains. You also have details now of Q1 versus Q2 and H1FY24 versus H1FY25.

The point that we made earlier, across the chains, except MMA, on a quarter-on-quarter basis the volume growth story still remains robust. On H1 FY '24 versus H1 FY '25 as well, except the NT chain, the volume growth remains robust. The capacity utilisation numbers tell you a story of operating leverage available for Aarti Industries Limited from a future growth point of view, especially the chains where we have recently expanded capacity like NT, Ethylation and MMA. The

capacity utilisations are in the range of 50 to 60 odd percent, which means that as we ramp up those volumes linked to market demand growth, we have the ability to increase the size of the business without incremental Capex. MMA specifically, as you can see here, the volumes from Q1 to Q2 have dropped from 31 odd KT to 20.5 KT and that's predominantly driven due to the market factors. We'll go through it more in detail. The Ethylation capacity and the Hydrogenation capacity are multiple product groups based on that single chemistry. Hence the exact capacity sometimes varies depending on which products you're producing. For example in Ethylation, I can manufacture three, four different types of products and depending on which product I'm producing, the effective capacity utilisation may look different. Hence as you start looking at this number from a quarter-on-quarter point of view, you will see some variation depending on what product we are focusing on. That was a story on the production volume trend.

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Now coming to revenue by end use application. And this is where also significant evolution has happened over the last three years. If you look at the FY'22 split versus what you're seeing on FY '25 Q1 and Q2, you will see one obvious trend is of course Energy has become a significant part of the portfolio, it used to be relatively small in the range of 15%. Today, this quarter it came down to 32%, but was as high as 41% in the Q1.

On the Agrochem, after registering a significant growth in FY '23, post that, I think that sector has been facing challenges and we've seen the story around inventory correction, pricing pressure, certain things to do with weather patterns, especially in North and South America. But that sector remains sort of under challenge, though their demand degrowth, as we said, has potentially bottomed out and the recovery is visible. Product by product the story changes, but there are certain green shoots in the sector.

Dyes, Pigments and Printing Inks remain relatively steady. The growth is linked to the economic cycle and GDP-linked growth.

Energy applications are still evolving and have extremely large

potential, but

remain volatile linked to the refinery market dynamics in the gasoline-naphtha margin specifically for us.

Pharma obviously had a significant volume growth during pandemic linked to the environment at that point in time, of course it has normalised post FY '24 beyond that.

Polymer and Additives, which was earlier going through a lot of pressure from a demand point of view, has actually bottomed out and we have also seen a good recovery as far as the Polymer and Additives segment is concerned.

Going segment by segment, Agrochem and Fertilisers, the key products that we supply in this segment are around – Chloro Anilines, Di Chloro Phenols and all the Ethylated products, roughly accounting about 19% of our overall revenue share, with decent mix of export and domestic, 40:60 odd kind of export:domestic mix.

Market-wise, it remained challenging. All of us have talked about channel inventories, adverse weather conditions, so not going to go into that. Market environment will improve as we go into the 2025 calendar year, but the pricing pressures are expected to persist, because the overcapacity levels in China are quite significant across many of these products. To answer the question as to what are we trying to do about this, let me share that we continue to focus on higher market share. I think we would like to retain the market share. Wherever our capacity expansions pan out, we'll push for even more market share there. In the areas where we have expanded capacity and where the demand will take time to pick up, we are trying to develop alternate products to effectively use that

capacity, especially in the Ethylation chain where we have expanded capacity. We are trying to build products, which are not only based on Ethylation, but also based on Propylation chemistry, so we can utilise that asset more effectively. We are also doing in couple of phases, with sort of very minor investments. Further backward integrations into certain products where we are already a purchaser and where we are already in the downstream product portfolio, so that improves the margin profile for that particular chain.

And last one, but most importantly, we have invested significantly in our R&D and technology capabilities. So our ability to churn out new chemistries and new products is phenomenally high. In the current market environment, we're trying to see how we can leverage that capability, while operating in an asset light manner.

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So for instance, without investing assets on our own, can we use outsourcing

tolling kind of models to serve the customers based on our technical and R&D capabilities.

Now moving to Dyes, Pigments and Printing Inks, the big products here are PNCB, DCBH and PNT collectively contributing 12% of overall revenue share. Here it's more domestic, roughly 72% domestic and 28% export. On the market

side, it's overall stable, there was a temporary impact of Bangladesh due to political unrest, but it was temporary. The good thing here is that industry is going through consolidation, like, with Sudarshan Chemicals acquiring asset/business of Heubach. An Indian player becoming a major player of course helps, because we are one of the major raw material suppliers.

There was a recent announcement of ADD on Sulphur Black from China. We supply one of the key intermediate going into that particular molecule. So we expect demand there to grow. On PNT as well, I think there is an announcement of initiation of ADD investigation. We will see how it concludes, but that could potentially also have a positive impact on this end market, particularly for us. In terms of our focus areas here, I think we actually expect both volume as well as

margin improvement in the domestic market driven by industry consolidation. The major portion of this business actually operates on sort of spot/short-term contracts. Here we are trying to see if we can get consistent volume

offtakes over

a longer-term by getting into some of the partnerships/offering some specific schemes.

Energy Additives, major products here is MMA, of course Calcium Chloride as well, however MMA is relatively large part of our portfolio. For H1FY25, 37% of our revenue came from this segment dominated by exports. So 77% export, only 23% domestic. From a market point of view, as the gasoline-naphtha crack decline, it makes the octane boosting economics difficult. And let me actually go to the next slide and come back to the previous slide. This is the data on the gasoline-crude crack and the gasoline-naphtha spread. Both these numbers are important, because that's what drives the economics of using additive to boost octane. As you can see, Q4 onwards going all the way to Q2, the absolute gasoline-crude crack also compressed that was driven by higher refinery runs, globally and also little bit of seasonal patterns. The recovery in demand as the petrochemical market improves also relates to the naphtha cracks improved, which meant that the gasoline naphtha spread actually got compressed. While, in Q2 the compression was quite severe. that's what may be leading to a lower demand for octane boosters in general in the global oil and gas sector. So that was one of the significant reasons for volume impact for MMA in Q2.

I think in terms of capacity, yes, few Chinese and Indian players have "announced" or have started manufacturing MMA at small scale, but the capacities are significantly less compared to where we stand. For us, the highlight is we've completed our expansion, our capacity is now roughly in the range of 200KTPA and we can expand it even further with a very minor investment. In the last quarter, we have also established bulk shipment capability for our strategic customer. There are certain large customers, which can take volumes in the thousands of KTs kind of order of magnitude. And now we have established that capability of how to serve those customers.

We continue to push our efforts to diversify customers and geography base across. We were Middle East heavy for exports. Now we are targeting customers in U.S., Europe, Singapore and as well as other refineries globally. We've had

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initial success in U.S. We have done already a couple of bulk shipments, one actually went in October and we are hoping to scale up that business quite significantly over the course of next 12 to 18 months.

We have also built our technical sales capability with the support from market experts. And we are looking for strategic tie-ups in select geographies with local distributors, which can give us access to new refineries. Given the high volumes

involved, we are also aggressively working here on cost optimisation, both in process as well as logistics that will help improve the bottom line significantly going forward.

On Pharmaceuticals, the major products we supply here are to the likes of PNCB, MDCB and some of the Fluorinated compounds. It forms a relatively small part, 9% of total revenue share. But this is completely a domestic story. 99% of the products here get sold in the domestic market. On the market side, the story remains quite robust. We continue to grow at 8% to 9% per annum. The U.S. Biosecure Act also gives us positive traction from sort of Indian pharma companies' point of view.

There is one specific market here, the PAP market, which is an intermediate for

paracetamol, that witnessed slowdown due to significant pricing pressure. Also in the case of the Fluoro chain of the products specifically because of the overcapacity in that section in China that does have impact on pricing in the Indian market. Here we continue to focus on the domestic market. We are trying to increase the share of PNCB in the downstream PAP market. In select cases, wherever we see higher margin potential, we are trying to see export opportunities. And again, focusing on cost improvement e

fforts so that we

increase our competitiveness against Chinese suppliers.

And the last end application Polymer and Additives consists about 13% of revenue share. PDCB, MPDA and ONA are supposed to be the key products that go into this segment. Here it's mostly export heavy, 85% exports and 15% domestic. The product goes into applications like automotive, medical devices, electrical electronics, and also into the high temperature resistant polymers.

Our end market is growing steadily. There's some dynamic here in terms of global trade flows, because one of the key product here PDCB, which goes into downstream polymer of PPS. There are trade barriers getting established globally, which means it is becoming more of a China and non-China kind of a market. And that's where our business highlights come into picture. We are targeting to increase the market share in the geographies of U.S., Europe and Japan, where the competitive intensity is different. We are also focusing on developing new markets for Plasticiser Additives.

Typically, this market operates in a sort of one-to-three-year contract. There are regular renewals happening. We don't see any challenge over here. Given the nature of the contract here, we are also able to pass on the raw material pricing variation. The long-term contract – two, which was in the Polymer Additives space is actually performing well. This year we are seeing the highest volume from this particular contract.

I think, given there are lots of conversations around sort of five or six long-term contracts that we have. We're also sharing update contract-by-contract. For Contract-one, as many of you are aware was the 10-year supply contract, which was cancelled in June 2020, long time back, for which we received the compensation of \$120 million. That capacity currently remains underutilised. If you

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split that plant into two sections, precursor and the finished product, I think we are able to now utilise the precursor capacity. That has been very successful over the course of the last three to six months. However, on the downstream capacity we continue to work to develop new products so that we can utilise that capacity in a much better way.

Contract – two, which was a 20-year supply contract for Specialty Chemical Intermediate, where the capital employed was also met from long-term customer advances. That plant, as I said, continues to operate at full capacity. This has been potentially the best year for that contract. And as per this contract terms sort of EBITDA is protected and is not linked to volumes.

Contract – three, which was a 10-year supply contract again for a Specialty Chemical Intermediates is operating as per contract terms. This is expected to ramp up to peak levels in FY '27 timeframe. Here, the product stabilisation and qualification has taken bit of a longer time, but the commercial orders and deliveries have already started. And as it ramps up, we hope it will reach its sort of full potential by FY '27 timeframe.

Contract – four, which was for Agrochem intermediate, again is going as per the contract terms. Here the peak will happen most likely in the course of next 18 months, because we have just expanded the capacity. The molecule produced here is based on the recent expansion. So as we ramp up that capacity, I think the corresponding contractual volumes will also increase.

Contract – five, which was a four-year contract for a niche Specialty Chemical, given this is linked to the oil and gas market here, we are seeing month-on-month volatility driven by end use. But as I said, from a four-year timeframe point of view, we still see very robust potential for this contract.

And contract – six is slightly different. It's a 20-year sourcing contract for purchase of Nitric Acid, which mitigated a risk for Aarti Industries from a key raw material purchase point of view. Again, it is operating as per contract terms an

d it will also

give us supply security for one of the key raw material. Also some of the major savings from this contract will actually kicking in the second half of FY '26. So that

will also help us improve the bottom line, once those savings start kicking in from the second half of FY '26 point of view. Now that was on the sort of a recent quarter and H1 updates.

I think in terms of future outlook and roadmap, in the current market conditions, management team has taken a step back and charted out a path, a more concrete paths in terms of our focus areas and our deliverables from a three-year standpoint.

And if you look at what are the key EBITDA drivers in the near term, right. If you start from here and go to FY '28. I think broadly we are classifying our focus areas into three buckets. There is a big focus on cost optimisation from where we are trying to see EBITDA potential of ₹150 crore to ₹200 crore. And I'll go through initiatives in detail.

The second bucket of volume and margin ramp up. Especially in the areas where we have expanded capacity there's almost upside potential possible of ₹350 crores to ₹550 crores on EBITDA terms.

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And then there is a Capex-led growth, part of which, we had sort of announced in the previous calls, which will start delivering ₹300 crores to ₹450 crores, in the kind of timeframe that we're talking about FY '25 to FY '28.

On cost optimisation, we're doing broadly three buckets – steam, power, fixed cost and then a little bit of yield improvements. On steam several initiatives are already in the play. We've installed back pressure turbines in one of our zones. We continue to expand that to other zones. It's expected to deliver significant savings in terms of steam unlock potential.

On renewable power, we did one phase last year, which got commissioned and is actually delivering savings right now. In this today's Board Meeting, we just approved second phase, which means by the end of 2026, we will have further savings from renewable power. And compared to our total external power purchase by that time more than 70% of our power will come from renewable source. That will also help us tremendously from a sustainability aspect and meeting our SBTi targets.

I think we've taken a lot of initiatives around waste energy streams' utilisation, ETP cost optimisation, both from solid waste management and disposal point of view, wherever we can use co-processing versus incineration or reducing the effluent load generation itself. So many of those initiatives will also start accruing over the course of the next six to nine months.

On fixed cost optimisation, I think we went through a phase where we did lot of Capex, which is also linked to debottlenecking, asset upgradation, reliability, especially in our zone 1, zone 2, zone 3. As all of that gets completed, we actually see a significant opportunity to optimise on fixed cost. And that is sort of a deliberate effort that we are launching and we expect to see savings coming from that as well in the next six to nine months. And then there are technical initiatives, lot of initiatives around yield improvements, raw material cost optimisation. I will not go into details of that. But all of that in near-term should give us the benefit of ₹150-200 crores of EBITDA. The detailed initiatives are in the play and already under execution.

I think on the volume and margin ramp up, Acid, DCB and NCB chains where the capacity expansion happened a bit earlier are already in a ramp up phase. And we see that over the course of next one, one and a half year, those value chains will ramp up where utilisations could start hitting upwards of 85%, 90% kind of levels. I think Ethylation and NT volume, where the capacity is just now getting commissioned, ramp up will happen over a bit more elongated time. But there also potentially in the course of next two years, we will see significant volume uptake w

ithout incremental investment. MMA volume ramp up is a long-term story. We already have a significant capacity available with us and as I mentioned, we can expand it further with very minor investments. Hence, we see this as a long-term growth story for us. We continue to invest, building our capabilities to serve the Energy sector and that could become a significant growth

driver for us in the mid as well as in the long-term. And in Fluorination and Speciality Chemicals, wherever we are doing minor debottlenecking, I think, that capacity will also start coming into play and will help us too. So this bucket is a significant bucket of ₹350 crores to ₹550 crores depending on sort of demand and margin uptick, but over the course of next two to three years will add significantly to our bottom line.

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On Capex-led growth, we recently commissioned our pilot plant in the new zone 4 that will fuel our new product development because now we have ability to produce the new molecules developed by R&D technology and also get it qualified with end customers early, before the actual commissioning of the new assets.

So that will help us tremendously. Our client development effort will get accelerated significantly with this pilot plant. The MPP, the Multipurpose Plant that we are setting up in zone 4 is likely to get commissioned by the middle of next year, it will also give us ramp up abilities to do molecules depending on margin profile happening at that particular point in time because multipurpose, our ability to switch the product portfolio is quite significant over there.

And overall in zone 4, the commercialisation will happen gradually over the course of next 18 months kind of timeframe, but that ramp up will also start. That ramp up will not get completed in the three-year timeframe that we're talking about, but it will start accruing to the bottom line as we do phase-wise commissioning.

And the UPL JV that we had announced two quarters back, there we are expecting in last part of maybe the FY '28 timeframe is where we will see some ramp up in volume and margin coming from that JV as well.

If you look at all the three areas, we see significant EBITDA uptick potential in the near term. And near term, we are defining it as sort of by the FY '28 kind of timeframe. Now from a long-term even beyond FY '28, which are the areas, where we have to also act now, to ensure that we capture upside from there. Broadly speaking, as Rajendra ji mentioned, our core strengths are around three aspects, Sustainable Manufacturing, our R&D tech capabilities and our Customer Relationships.

And on the basis of that, there are three areas we're focusing on. One is, how do we leverage the R&D and tech capability to drive asset light growth. It's a very unique capability. We feel we are one of the best in the industry as well as where the domestic market is concerned. Next is how do we utilise this capability to launch new chemistries and use the asset light model including tolling outsourcing, but where we can do commercialisation much faster, is going to be one of the priority focus areas. We have already done two pilots, some initial success and we will scale this up as we go through mid-to-long-term kind of stuff. Strategic alliances have always remained a priority for Aarti Industries and will remain a priority. I think as we speak there are five plus projects where there are active conversations happening for different chemistries. There are different phases, these include the likes of backward integration for a Polymer where we are already in a long-term tie up or intermediate for end use in personal care or a polymerisation project for oil additives. So there are different types of chemistries for different types of end markets, it is a pretty diversified set of relationships and we hope to conclude some of the strategic partnerships towards the course of the next six

to twelve months.

And then early bets on new sectors, right. I think we mentioned this, but there are three themes we are focusing on where potentially we could grow with partnerships as well as joint ventures. The models could look very different. I think on Circularity and Chemical Recycling, we see a huge upside, both linked on our strengths as well as based on domestic market potential that's area we continue to remain focused on. On Electronic chemicals, we are in active conversations and we hope to make some early bets to capture the tailwind in that particular

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sector. And the Speciality Chemistries used in battery materials remains another focus area where we're doing joint development with few players, which could potentially commercialise in sort of three to five years kind of timeframe.

So putting this together, where do we see from a growth outlook point of view? I think this year is expected to remain broadly similar to last year, roughly ₹1,000 crores to ₹1,050 crores kind of EBITDA given the challenges that we are going through. But from FY '28 timeframe, I think we are targeting somewhere in the range of ₹1,800 crores to ₹2,200 crores kind of EBITDA, predominantly driven by consistent volume growth over three years because of our increased capacities.

The operating leverage and the cost optimisation initiatives that we talked about will add significantly to EBITDA, which is completely in our control.

I think the Capex plan has been optimised and moderated. So this year is

expected to be in the range of ₹1,300 crores to ₹1,500 crores versus earlier estimate of ₹1,500 crores to ₹1,800 crores. So that has gone down and the Capex for FY '26 is also estimated to be around ₹1,000 crores. It's a part of zone 4 and the maintenance Capex, but significantly lower than FY '25. I think as management, the three-year outlook that we're taking is both on sort of health of

the balance sheet as well as the bottom line performance.

We're saying that we target less than 2.5x of debt-to-EBITDA, ROCE of greater than 15% and EBITDA in the range of ₹1,800-2,200 crores, which we feel is a realistic with a stretch kind of aspiration and feel very confident of delivering on it.

So with that, let me conclude. I think the presentation will be available to all of you and we are happy to start Q&A. Thank you.

Question-and-Answer Session

Moderator: Thank you sir for detailed and insightful presentation. We will now open the forum

for question and answer. I think we have around 30 to 40 minutes. Please limit

your questions to one or two per participant, so everybody gets an opportunity to ask a question. Anyone who wishes to ask a question, please raise your hand, introduce yourself and ask a question. Please raise your hand to ask a question.

Yes, sir.

Surya Patra: Hi this is Surya from PhillipCapital. Thank you for the detailed presentation, sir.

My first question is on MMA. We have already seen that the run rate is something at almost ₹2,000 crores, that we are currently at, with near about ₹900 crores kind

of business in the first half, that is my assessment. And I believe you mentioned

that the domestic sales mix of the MMA business is around 23%. Is that right?

Suyog Kotecha: So the split of domestic and export was at a segment level, not at a particular product level. For Energy Applications, which has other products as well, so the ratio is for the entire Energy Applications and not for a particular product.

Surya Patra: So then my question is that, we are fetching almost like, near about ₹1,000 odd

crores in the first half. And, that is at a 45% kind of capacity utilisation level. So

the annual run rate itself looks like a kind of one-third or more than one-third of the

business. From MMA itself, it is more than one-third of the business. Now you are

also indicating about a ramp up there. So could you give some visibility? Because this itself is becoming or looking

like a kind of a major contributor going ahead.

And I think you mentioned that you started this MMA business with a couple of refiners.

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If USA is claiming that it is a kind of a larger kind of opportunity and the scope for

adding new refiners, that is also there, so can you give some visibility here in terms of the kind of scope and expansion? Also an additional point here, is there a

scope of backward integration here? I think you touched upon something here.

Can you give some sense about that? How can we grow profitably led by both volume as well as the cost optimisation?

Suyog Kotecha: So a lot of questions on there, but let me try to do justice. So MMA, as I said has

become a relatively large product for us. The capacity numbers that you saw are after the recent expansion. The recent expansion of MMA got concluded literally

in the last quarter, which is where it has now become 200 KT. But the way we have done the expansion is that we have the ability to further add with limited

investments. The market pickup will take time. The capacity expansion comes in

chunks, but the market development will happen a bit more linearly. And that is

where in that context, we took a bit of a longer timeframe for the MMA ramp up.

There are two levers we are deploying for the ramp up there. One is geography diversification. As I said, we were mostly

Middle East heavy. We have got some

success in U.S., right now and we're planning to see if we can replicate that

success for Europe and Singapore as well, where there are other sort of gasoline blending hubs globally. That covers sort of the major four global blending hubs.

And the other channel, which is where we directly sell to the refineries, where

currently let's say on an average we are supplying to two to three refineries. Can we scale that up to 15 to 20 refineries? I

don't think we can say with very high degree of confidence that we will be able to scale this up in the next three to six months kind of a timeframe. But if you take two to three years kind of a timeframe,

then definitely both the strategies will play out. I think cracking an oil and gas

client takes time. But I think once cracked then potentially there is a long-term

business potential. And that is the path on which we are on, which is a

combination of market outreach and capability building and we're working on both fronts.

Surya Patra: Just an extension, you mentioned that there's an uptick in the month of October

for MMA, supply-wise. So is it fair to believe that the bottom has already been

achieved so far, I mean, the seasonal bottom for MMA supply during the quarter

two?

Suyog Kotecha: So look, we want to be clear. The market here is linked to what is happening in the refinery market. So it is fair to say that October or Q3 numbers for MMA will look better than the Q2. But using the term bottoming out, I think is sort of stretching it, because ultimately it depends on how the refinery cracks both gasoline-naphtha delta as well as the gasoline-crude crack evolve over the course of next two, three sort of six, nine, twelve months kind of timeframe where there are multiple other aspects, right, from geopolitics to refinery runs to the demand for gasoline and the impact on that from several other factors. So from a near term outlook point of view, we see recovery in Q3 from a volume point of view. And our objective remains that how do we widen the customer base so much where even if there is a fluctuation in the end market because of the wide customer base, we are still able to utilise our capacity effectively.

Surya Patra: Yeah. With your permission just one more question. You have guided about ₹1,000-1,050 crores kind of EBITDA for full-year. In the first half, I believe already it is just that 2x of the first half number that you have given as the guidance. That means are you really sceptical even for the second half, although directionally things are looking positive?

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Suyog Kotecha: I think the way I would put it is that as a management, we are giving guidance where we have relatively higher degree of confidence and probability levels in terms of achieving these numbers, right. In Q4, as the seasonal demand in the U.S. picks up and at the same time how the Agrochem sector typically picks up from a demand and volume point of view, I think we can have that conversation. But right now, the only point I can make is that our current guidance both for near term as well as for mid-term are realistic.

Surya Patra: Sure. Thank you.

Moderator: Thank you. Please raise your hand to ask a question.

Aditya Khetan: Hello. So this is Aditya Khetan from SMIFS Institutional. My first question is on to the exports market. On a sequential basis, we have witnessed that the freight costs have gone down. And in the U.S. and the European markets also, demand has been quite steady. Despite that, we are witnessing a decline in volumes vis-a-vis the other companies who are witnessing in a growth trend. So is there any sort of a differential why our volumes are declining over there? And continuing on to this, considering the demand of MMA, so what is it today, and taking a view so 10 years down the line, how you see the demand? Will it be at the same level, or it will be at a declining trend only for the next 10 years?

Suyog Kotecha: So on the first front, actually we saw the trend the other way around. Our freight costs, frankly, were higher, especially in the earlier part of Q2 due to tensions driven in Middle East. I think those started easing out relatively recently in the last few weeks. But for the major portion of the quarter actually the freight costs were higher. I think in terms of our products going into the Western markets, frankly, the answer will differ from product-to-product. So I would not like to generalise it. Coming to the second part of your question, on MMA's 10-year demand and where it will remain. So again, I want to fundamentally correct here that this is a market development story. This is not a product where market already exists, and where we are trying to capture a share, right? MMA at this scale was not used as octane booster till two, three years back. So there is no comparison here in terms of this is the market of MMA today and what will be the market of MMA 10 years down the line. The market for this product, if you go by actual numbers or actual trade flow did not exist two and a half, three years back. This is the market development that we are creating, we are developing. So to some extent, of course, it is linked to the downstream market economics, but it is also linked to how much market we are able to develop for this particular product.

Aditya Khetan: And you mentioned that, so there are some new capacities which are coming in into the MMA, into the China market. Any sort of a quantification number you can give? How much capacities have been added over there?

Suyog Kotecha: The information is sketchy and limited. The only thing I can say is that we remain the largest player as far as this product is concerned. And I think we will remain by far the largest player for at least, in the near future for which we have visibility given the kind of capabilities that we have built both from a technology and a cost point of view, as well as our ability to service customers. We talked about bulk shipment capabilities, we talked about some of the technical know-how. We feel that we have a significant competitive advantage even if some of the other smaller players come up with sort of small capacity.

Aditya Khetan: On to the exports and on to the MMA, you see so on to the numbers side, we have reached the near-bottom and there wouldn't be further declining volumes from here on, at least?

Suyog Kotecha: The way I can answer that question is we have seen an uptick in the recent months compared to quarter two.

arter two.

Rohan Gupta: Hi, good evening. Rohan here from Nuvama. First question is on the long-term guidance, which you have just given like almost ₹1,800 crores to ₹2,000 crores kind of EBITDA by '28. Just failed to understand that just almost six months back, we were looking at this kind of numbers, I mean, ₹1,700 crores to ₹1,800 crores to be achieved by next year itself. The story has been pushed by almost two years. Just wanted to understand the difference in last six months, whether it was the over-optimism of the earlier management or after you're taking the new seat, you have become more conservative?

Suyog Kotecha: To be fair and sort of give due credit to the question. The company definitely felt that MMA ramp up could happen much faster. Because at that time, the market scenario was like that. If you had a look at those numbers of naphtha-gasoline delta as well as absolute gasoline to crude cracks and if those numbers would have continued, I think we could have had a very different picture today as we are sitting in this room.

So I think let's understand that it is difficult to forecast, it is difficult to predict how that market will operate and depending on how that market is operating, the numbers would have looked very different. And the other aspect was the assumption around how soon the margin pressure on the rest of the portfolio will go away. Potentially that has also got a bit more elongated compared to the expectation that earlier we had.

So we understand what you're trying to say. But the only thing we will say is that the numbers that we are currently forecasting as a potential guidance ₹1,800 crores to ₹2,200 crores are very realistic in current market conditions.

Rohan Gupta: Second is on MMA itself. Like now almost one third of the revenue is coming from MMA. And going forward, we are still confident about the growth in this segment itself. And you also agreed that there is increasing competition from China and even India also. Definitely, you may have created the category, but when we see that whenever the category is created, the competition is bound to increase. So you just accepted that MMA sounds to be a little bit more commodity kind of in nature in terms of the margins volatility. So do you see that if going forward, we continue to remain in MMA and maybe the revenue share going to maybe 40% kind of thing. The company, our earnings can be more volatile and will be difficult for us to predict in future?

Suyog Kotecha: The product itself many people potentially can come into manufacture. But what we're trying to build here is a bit of a solution-oriented business. It's not a product where you take it and you sell it to anyone for mixing it into either naphtha or gasoline. I think there's a decent amount of know-how that goes into it in terms of, what to blend, how to blend, how to achieve the best optimum performance. That's where I talked about building our technical capability with market experts to do value-added sales to our clients. And that remains unique and that remains special where the value addition to individual clients would look very, very different. And that's why we feel that we will remain distinctive and we will have competitive advantage as far as this valuation is concerned.

Rohan Gupta: In the EBITDA breakup, you mentioned that, from the current Capex utilization ramp up and the ongoing Capex, you are looking roughly at ₹350 crores to ₹350 crores, I mean almost ₹700 crores to ₹800 crores incremental apart from ₹150 crores from the cost optimisation. So this ₹300 crores, I mean ₹700 crores total from the incurred Capex along with the ongoing Capex, EBITDA of ₹700 crores to ₹800 crores looks quite minimal in terms of the kind of Capex we have already invested and we plan to invest in future. Some more clarity on what Capex number you're talking about while you are giving this ₹700 crore to ₹800 crore incremental E

BITDA? That's it from my side. Thank you.

Suyog Kotecha: I think the historical Capex numbers, you guys are already aware of it. So we're not going to repeat it. But from the current year and the next year point of view, we gave the numbers. I think the current year Capex will be in the range of ₹1,300 crores to ₹1,500 crores and the next year Capex in the range of ₹1,000 crores, which is a combination of maintenance as well as partly for zone 4.

The numbers forecasted here are only on the basis of this incremental Capex. We have not accounted for any incremental Capex, which will happen for either expansion of zone 4 or newer projects that we talked about from a long-term point of view. So from an incremental Capex point of view, this year plus next year put together. We are talking about ₹2,300 crores to ₹2,500 crores. If I take out the maintenance Capex out of it, then it's going to be in the range of ₹2,000 crores to ₹2,300 crores, that's the Capex we're talking about for this incremental performance.

Rohan Gupta: ₹2,000 crores we have invested so far, right?

Suyog Kotecha: Of course.

Rohit Nagaraj: Rohit Nagaraj from Centrum. So first question again delving on MMA. I'm referring to Reliance's Q2 presentation. The gasoline market has actually improved QoQ as well as on YoY basis, and our volumes have been down. So is it the pricing of the product, which is prohibited for the refineries to take up the volumes? Or is there any other factor? Because if the volumes of gasoline are going up, ideally, our volumes should have also gone up. So if you can enlighten us on this? Thank you.

Suyog Kotecha: So we're not sure what information you're referring to. I can only sort of refer to the information that we have available in the public domain. The product is linked to the margins available for gasoline and the delta between naphtha and gasoline. And those two numbers we showed there is a significant compression on both these two numbers on a QoQ basis.

Rohit Nagaraj: So it's not related to the absolute volumes of gasoline consumption?

Suyog Kotecha: I mean indirectly yes, but look what is the purpose of the product? The product actually improves the octane performance of a blend, right. So it is improving the functional property for a particular product. So what it is more linked to is the premium available for that improvement. And that is what drives the demand for this product.

Rohit Nagaraj: And the second question, just Rohan asked about the benefits and including the cost benefit that we are targeting maybe ₹800 crores or ₹1,000 crores. Will it be a linear incremental EBITDA contribution? Or will it be more like back ended towards the end of the period that we have talked about?

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Suyog Kotecha: It will not be back ended.

Rohit Nagaraj: Okay. Sure. Thank you so much.

Jignesh Kamani: Hi. Jignesh from Nippon Mutual Fund. Just harping more on MMA. So if you think about as you mentioned right now from two or three clients, you want to ramp it up close to around 15 clients. So how long will it take for you to develop a specific solution for the individual client? And once you develop the solution for a client to understand the efficacy improvement, how much time it will take to test and everything and hence how long the ramp up can happen on the MMA side, from the client side actually?

Suyog Kotecha: I will answer that question in two parts. One is the client development process.

Any new client is anywhere between six odd months kind of a process. In this case, you will approach, you will reach out and if there is a basic value proposition, there is a conviction around it, you will send samples, there are trials

based on that certain economics get established and then you get into a negotiation. So the process can take anywhere between four to eight months for an individual client in a normal scenario.

Depending on the market scenario, when the margins are good t

hat can get

compressed very fast, because people will come to you and ask for a product. When the margins are under pressure, that time gets elongated further, because

they also want to justify the economics internally. So the average timeframe I have mentioned, but as I said that will change significantly depending on the market condition, which we are operating in.

Jignesh Kamani: And second question, if you take right now, you are close to, you have 2 lakh kind of capacity on the MMA. Hypothetically, the gasoline spread remains under pressure. Is there any alternative to utilize this capacity? saying that means if you

take the next three years, clients continue with all additives doesn't migrate to MMA for any reason, you can say. Still, you can say you utilize this capacity for

other purposes and maintain you can say generally ₹2,200 crores kind of EBITDA range, can you get it?

Suyog Kotecha: So the current capacity is dedicated for the MMA block, right. And MMA as an application, there are some other minor applications, but this remains the largest application. It does go into dyes and pigments as well. But I think oil and gas remains a larger application, so that ramp up will be linked to how much we are able to penetrate in the oil and gas application.

Jignesh Kamani: Understood. Thanks a lot.

Moderator: We have a question here.

Manoj: Hello. Good evening. This is Manoj here from KSA Securities. My question is pertaining to Sunrise sectors, that are pertaining to chemical recycling, electronics, electronics chemicals and speciality chemicals. Now you have just made the statements while giving the presentation that the company is going to be more about the R&D and it's going to be more about the technological company. Now the world across there is a lot of many research going on as far as chemical recycling is concerned. So could you please take us through the vision of Aarti Industries Limited about the cost benefit analysis. How big is the market in India pertaining to all the sunrise sectors. And how much revenue we would have

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envisioned for years to come. As far as Aarti Industries is concerned from its transition to R&D and a technological relevant company?

Suyog Kotecha: So I think, to be honest with you at this point in time, it is difficult to give the revenue potential number. The only thing we can say is that each of these areas are multi-billion dollar market areas. I mean recycling circularity as a theme itself has multiple aspects under it. There's polyolefin recycling, there's rubber recycling, there's extraction of precious materials from some of the recycled stuff. Even within chemical recycling, there is a simple pyrolysis oil plant, but at the same time there are multiple opportunities to upgrade from that pyrolysis oil to different products, which can be used at a much better value. So I think the areas that we have selected, we have selected from the point of view that they have the decadal tailwinds, right.

That demand growth for these sectors will not go away for 10 to 20 years. In fact, there will be a significant demand growth. And that's the intention to focus on these areas. In each of these, we have our own unique niches, right. We are not someone for example, if I talk about their battery chemicals, we're not going to be the large Capex player investing into all sorts of battery chemicals. No, that's not the intention at this point in time. I think our intention is to focus on speciality niches where we have certain inherent advantages from our current portfolio. And there is a linkage to what is required in that space versus what we can deliver. And based on that we are picking up niche pockets. And we are working with partners to make the business happen in those cases. So the opportunity side will get determined based on each of these opportunities.

The only thing I can tell you is that we are working with some marquee co

mpanies

globally at this point in time. And some of those early bets will happen much earlier than later. The true revenue potential from each of these areas, which is scaled up to a level where it becomes part of this presentation potentially, is two, three years down the line.

Manoj: Any thoughts on what the debt-to-equity which you have said is almost 2.5x right now and how best we can manage our working capital cycle in terms of your inventories, in terms of your debtors, creditors and all that. I would appreciate it if you could add some colours to that.

Suyog Kotecha: Just a small correction, it's not debt -to-equity, it's debt-to-EBITDA. Debt-to-EBITDA currently, I think we are in the range of around 3x, 3.3x kind of a level. I think management's comfort is to operate at less than 2.5x. That's where we feel it's relatively straightforward to manage from a debt-to-EBITDA kind of situation and that's what we are aspiring to reach in the next two to three years' timeframe.

Based on our current Capex programme, as well as current cash flow that are expected from the existing business, we feel confident we'll be able to hit that target.

Manoj: Thank you and all the best in your future endeavors.

Suyog Kotecha: Thank you.

Moderator: Yeah, we have a question there.

Abhijit Akella: Hi. This is Abhijit from Kotak. So you mentioned that there's significant room for capacity utilisation to increase in nitro toluene, Ethylation, MMA as well as PDA, the older capacities. What exactly has held it back thus far? And what needs to change in the environment for you to ramp up and meet those targets?

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Suyog Kotecha: So for all these three, the answer is different. I think the NT, Ethylation and MMA capacity expansion happened right now as we speak. NT and Ethylation are getting commissioned right now, where we expanded from 10 KT to 25-30 KT and MMA expansion got completed in the Q2. So it's a gradual course where the ramp up will happen going forward. I don't think anything has held back. Of course it

has happened at a timeframe where margins are under pressure, right. But from a demand point of view, we feel pretty confident that we should be able to ramp up this capacity. The answer for the PDA chain is different.

I think in respect of the PDA chain we had the capacity before and the utilization is now down compared to earlier levels because that's where we see true competition from China where the capacity is now 5x, 6x of global demand in some of the PDA chain molecules. And they're operating at a price point where we may not even participate in some specific client. That utilization levels will happen, the uptick will happen where we are trying to develop higher end of some of the value added PDA molecules in a strategic partnership with Western customers. But those are in early conversations, we will see if they go through some variability in terms of how soon we can see ramp up in utilization levels over there. But the other two chains, I think they're natural course of action where the expansion has happened just now. The ramp up will happen over the course of the next 6, 12, 18 months kind of timeframe.

Abhijit Akella: Yeah, but I presume they do go into agrochemicals to a significant extent.

Suyog Kotecha: No, it's different for different. MMA, you guys already know. I think the PDA chain the product are used for dyes application and but actually the polymer is a major end use, it's not agrochemicals. On NT and Ethylation, yes. I think agrochemicals and dyes are the major end markets. So PNT mostly goes into dyes and the ONT and the downstream is an agrochemical product. So different end markets for the three different. You wanted to add?

Abhijit Akella: Yeah, just one last thing on that point. So NT and Ethylation if the agro market remains broadly the way it is, what line of sight do we have regarding the ramp up of this?

Suyog Kotecha: So two things that we're doing

there, just to get clarity. I think and maybe now we're getting into bit of a technical domain. But the Ethylation capacity that we have developed, the way we have built that capacity now is we have also ability to produce other specialty products based on the same technology, right. So we do one particular product for Agrochem intermediate right now, but we can do now Ethylation and Propylation based products in the same asset, which are so far not being done by anyone else in India as on date.

So our idea is that part of the capacity might be linked to conventional Ethylation based product that we were supplying so far, where also volume ramp up will happen, where we already have one contract in place and we are potentially targeting more. But part of the remaining capacity, we can also deploy to do the specialty products for both Ethylation as well as propylation based, which are so far not being manufactured in India. That capability has already been established through this expansion.

Abhijit Akella: Got it. Just one last thing from my side . With regard to MMA, implicit in the EBITDA guidance we've given for the full-year, this year, ₹1,000 crores, ₹1,050 crores. Does the long-term contract that we have there, the ₹6,000 crore contract, are we sort of assuming that that performs as per full-year commitment from the customer or there could be some risk in that regard?

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Suyog Kotecha: I think first of all, it's a four-year contract, right? It's not a one-year contract. And there is a month-on-month and quarter-on- quarter volatility. I think we remain in sort of active discussion with our partner over there on how we can ensure that we deliver as per the contract terms. But there is a volatility. If you go back quarter-on-quarter numbers, there is a volatility. And we have to see how the next six months play out from a quarter three and quarter four point of view. But at the same time, if you look at the first half of this year, it was doing beautifully. So I think we will not make judgments based on one quarter performance.

Abhijit Akella: Thank you.

Moderator: We have a question here.

Archit: Hi. Archit from Barclays. Suyog, two questions for you. One, you have been a consultant for almost 10 years, right? And you understand the importance of predictability in a business. I mean, there is a reason why oil and gas gets slower multiple, because the predictability is not there.

Now, I mean, given what happened six months back, there was a guidance of ₹1,500 crores for this year for EBITDA, that has been cut by 40%. MMA there is a 30% decline in the quarter, I mean, in terms of volumes. So obviously, I mean, it appears that predictability has gone off. So what can happen to the business, which can improve the predictability, which can help all the investors? So that is question number one.

Question number two is on cash flows. So if you look at the last few years, we have been doing broadly ₹1,000 crores EBITDA. Capex has been higher than EBITDA, which means FCF negative has been in the stage for the last three years. Going forward also, I think, I mean, as the numbers you're mentioning Capex will be more than ₹1,000 crores, EBITDA is in that same range. So again, it will be FCF negative. What can happen? What can be changed in the business, which can make it significantly FCF positive? So two things, predictability and on the FCF? Thank you.

Suyog Kotecha: So we accept the fact that as the MMA got launched, I think the volatility increased in terms of performance. At the same time, I want all of us to also look at the fact that because of that "development", we were actually able to derisk our overall EBITDA performance quite significantly when the rest of the chemical market was down. So let's also look at the positive side which was that we were able to develop that molecule in relatively shorter span, we were able to expand capacity and capture the market

when gasoline crack delta was relatively high. That's one. Second, how do we improve predictability is that only by diversifying the risk associated with that particular product. And there are two ways it will happen. One, I think the remaining part of the business portfolio also grows over the course of time as many of those expansions come into the play.

And the second in MMA, as we were in the initial market development phase, I think the exposure was very concentrated. As we go forward, as we diversify geographies, as we diversify customer bases, I think the volatility there can get mitigated quite significantly is our current thought process. Whether it will happen in an immediate three-month timeframe, the answer is most likely no. But whether we can mitigate that volatility over mid-to-long term, I think potentially yes. Some volatility will always remain, irrespective of however the customer and geography base we develop. If the end market is so volatile and some part of that will get

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impacted to us for sure, but I think we will minimize that to quite a significant extent.

On the second part of your question on FCF and cash flow, look we understand, I think potentially we are being explicit this time around that we want to go to more than 15% ROCE levels. We want to achieve less than 2.5x debt-to-EBITDA and that's the path on which we are on. We feel very confident that now the actions that are being put in place and we should reach to those kind of financial metrics in the timeframe that we talked about.

Archit: And just one follow-up. So I mentioned the FY '28 part of the story. But anything on FY '26, '27, I mean, are we looking at a linear? I don't know, I mean, whether linear is possible in this business or not. But any colour you can give on FY '26, '27 in terms of improvement for MMA or for the other part of the business?

Suyog Kotecha: At this point in time, I think we showed the levers that we are deploying. Some part of these levers will start accruing earlier. Some of the cost optimization levers will potentially start accruing much earlier in the second half itself or in the first two quarters of the next year. The volume and margin ramp up story where the capacities have already got expanded, there potentially that potential will accrue over a three year timeframe and most likely I guess in a linear fashion versus the Capex led growth will be little bit back ended.

There also MPP will start potentially hitting the bottom line in the next financial year. Zone 4 is likely to impact sort of towards the end of the time period that we are talking about. So I think based on that, I guess, you can make the best judgment possible in terms of how the growth trajectory will be there for EBITDA performance.

Priyank Chheda: Hi, Suyog, Priyank from Vallum Capital. Just, you spoke about market development within MMA product. One is we would get a more share from the other players, is where we can derisk our model as well as you said about a market development, what actually you meant about that given that there are a lot of other macro dynamics that are playing out with respect to biofuels, with respect to electrification, with respect to many other LNG usage, hydrogenation. So how much is there in our control, in our hands to actually develop this market of MMA for high octane usage?

Suyog Kotecha: I think all those global factors are in play, Priyank and they will remain in place from a next 10-20-year timeframe point of view. What we're talking about here is the global market for a conventional octane booster like MTBE is about 35 million tons. We are not even scratching the surface when it comes to the kind of volume that we're talking about here as octane boosters, right.

So it is more about reaching out, educating the customer about what this product

is, it's a relatively new product, how does it function, they have to try it out, see the performan

ce improvement themselves and based on that structure of commercial relationship. So all the long-term macro trends that you talked about are valid. But for us, frankly, it's a development phase where the alternate octane boosters are at a scale where right now we are not even scratching the surface when it comes to that market. Priyank Chheda: What is the volume of that market today?

Suyog Kotecha: The volume of that market will change depending on the performance that your particular product delivers in terms of octane boosting. But so without getting into

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technical details, just to order of magnitude, understand MTBE, this is one of the largest applications of octane boosters is about 35 million ton market globally.

Siddharth Gadekar: In March '23, when you are giving a presentation, we had said that on March '24 on gross block we could do roughly around ■2,000-2,100 crores of EBITDA. Now we are saying that in FY '28, on FY '26, gross block, our EBITDA will be in the range of ■1,800-2,200 crores. What has fundamentally changed in the business?

Suyog Kotecha: I think, I guess we answered partly that questions with the presentation, but there has been genuinely pricing pressure and the margin pressure across the breadth of the portfolio driven by two aspects. One, of course, China overcapacity and second, demand being not as per expectation in many of the product portfolios. Combination of these two is what led to the pricing erosion in some of our large molecules. And that's one of the reasons where you see the numbers are today.

Meet Gada: Meet Gada here from Emkay Global. I wanted to understand that what will be the dollar per barrel rate would be at which MMA business will be sustainable?

Suyog Kotecha: I don't know which dollar per barrel you are talking about.

Meet Gada: Crude.

Suyog Kotecha: It's nothing to do with crude's dollar per barrel. As I explained many times, it is linked to what is the differential available either between naphtha or gasoline or the premium you get for octane boosting. There are two markers that we have shown in the chart. And you've seen quarterly evolution of these two markers over a time period and you have also seen the MMA volume linked to that. I think from that you can derive the best judgment.

Meet Gada: So is it a fair estimate that if the crude prices are higher, the gasoline prices will catch up to that or not?

Suyog Kotecha: As I said, again, it is linked to the delta available for that premium fuel. It is the delta available for octane enhancement, which drives the demand, not necessarily the absolute price.

Meet Gada: Understood and what is your take on, there is anti-dumping and investigation happening on Aniline. So major portion of our Aniline is imported. So what would happen and what is your take whether it will come or whether it will not?

Suyog Kotecha: To a large extent, it doesn't impact us because the bulk part of our business is export. So we can always do business based on advanced licences. So even if there is ADD, I think it has relatively limited implication on us.

Yog: Hi, Yog from Money Works 4 Me. I have a question regarding our cost competitiveness across our product portfolio with regards to Chinese players. Could you give us some more colour on that for our various products, how are we positioned from a cost perspective?

Suyog Kotecha: I think across most of our products, we can confidently say that we are very cost competitive. The fact that in today's margin environment, that we are able to run our assets almost at full capacity wherever the expansions happened earlier, shows you our competitiveness. And we know at those levels many of the Chinese players are actually bleeding right with net negative P&Ls and I think that just shows that when it comes to conversion yield energy norms, I think we remain one of the best as far as the value chains in which we are concerned.

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Y

og: Just a follow-up on that since you stated that they are bleeding, could you give us some more clarity on why they are continuing to sell at the current prices even though it's not profitable for them?

Suyog Kotecha: It's difficult for me to answer. I think it's a broader question that the chemical industry is facing. And I'm sure you will get some colour from your different conversations with sort of a different player. Fundamentally, the only one thing I can comment on if I take a step back, this industry went through a phase where Chinese started building capacity more from a self-sufficiency point of view in

2015 to '2018-2019 kind of timeframe and that is the direction in which they were going. What happened during the COVID years is that everyone saw sort of abnormal levels of profitability. Everyone made tremendous amount of money in that '21, '22 kind of timeframe. That abnormal profitability and with the base assumption that we will continue to grow at our historical rate is what led to Chinese to expand so massively. And two things happened simultaneously. One, all of that capacity got commissioned recently based on the money earned during the COVID Bonanza years. And that got coupled with a lack of Chinese domestic demand. So that domestic demand of China which was supposed to expect it to grow at historical growth rate actually never materialized. In fact, in some sectors it went down like real estate, for example. And that is where you see the basic calculation going wrong where they are now forced to dump that product globally, wherever there is a market available. And that's what leads to margin pressure from a near term timeframe.

Yog: Just a final follow-up on this point. Do you see any terminal value risk from China over the next 10 years? Or would you say that is not a threat that you all believe you all face?

Suyog Kotecha: As you know, Rajendra ji mentioned, they are challenging but exciting times. Because from the demand pool from our partners, especially in Western market remains very, very strong and very, very robust. Yes, the margin profiles are challenging, but from a 5, 10, 15 years story point of view, and I think this is in general true for chemical industry, I think India will remain a preferred destination from both sides. One, our domestic story will continue to get more robust. On any of these aspects, if you look at our current consumption levels, we are way below compared to global standards. So there is a domestic demand story and at the same time, there is a global market, which wants us to supply more, right. The question that you asked from a 10-year story point of view, I actually see that it will remain pretty robust.

Archit Joshi: Hi, thanks for the opportunity. Archit Joshi from B&K Securities. In your initial remarks, you're talking about PDCB. I think as far as I recall the slide, we've seen volumes decline quite a bit and you're mentioning something about China, non-China, how the market is divided right now. And the application area that you're talking about, if I understand correctly, it has increasing usage in EV, which is polyphenylene sulphide, if I recall correctly. So one of the key exported products that we had maybe four, five years ago now has seen a reasonable bit of a decline. So what would be your thoughts on that?

Suyog Kotecha: Just to correct that I don't know if you're referring to which number, this is a product which is growing in volume. There's absolutely no pressure in terms of demand growth. The demand remains pretty robust. It's grown in volumes, it has definitely not gone down and it will continue to grow.

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As you rightly mentioned, it has, in general automotive applications, not necessarily only in EVs, but also in some of the ICE engines, because ultimately the application, the downstream molecule goes as a sort of heat resistant polymer. So it's a steady demand growth. We continue to

target our customers.

The fact that I was mentioning is that, because it has become a sort of China, non-China market. Our ability to target U.S., Europe, Japan is much better where we get preferred market shares from many of our end clients.

Archit Joshi: Sure. So secondly, I think you're addressing the MTB issue earlier with the previous participant. Just on MTB, I think there are multiple other octane boosters in North America because of the availability of corn. Ethanol is a very big octane booster. I know that you said earlier that you are quite instrumental in making this market itself of MMA. What is the current thought process that notwithstanding the volatility in gasoline cracks, this actually can be a large octane booster in use. So is there an evident market share gain that you might get from ethanol or MTB or maybe some other octane booster? And what's the predictability of that to happen in the future?

Suyog Kotecha: The multiple octane boosters used in the market, as you mentioned from all the way from MTB to ethanol to there are many other chemical components, which are also used as specialty octane boosters. Each end user will determine the blend mix depending on what works best for them from both a performance boost as well as the cost of that performance boost.

What gives us confidence is that the fact is we have been able to scale this up to this level in a relatively short term timeframe. So I also want to take a little bit of step back and understand that look from nowhere this molecule has scaled up. So definitely when we are talking to the customers, there is some utility that this product brings, which is where we have seen the scale up happening, which means then it's not like other octane boosters are not available. The demand growth is not led

because some other octane boosters has gone down. Despite of availability of octane booster, this particular product has been able to take market share in a relatively short span of time and that's what gives us confidence that we should be able to ramp up the volumes based on our market development efforts.

Archit Joshi: Sure. Thanks. Just last one, if I can squeeze in. The SABIC contract, if you could quantify at all, how much would be the EBITDA that we would be deriving yearly?

Suyog Kotecha: We don't talk about client specific contracts as it's under confidentiality and definitely not talking any numbers over here. The only point I will make is that all of these long-term contracts and actually particularly the contracts that are going into Polymer applications are running at the best throughputs historically in this particular year.

Archit Joshi: Sure. Thank you.

Pranitha Shetty: Good evening. Quick one. Thank you. This is Pranitha from Morgan Stanley. I just had a very quick question on the non-energy side. Do you have any clarity or any visibility on the pricing trends, which the market is seeing on non-energy, especially in the Agrochem side?

Suyog Kotecha: I think as I said the margin pressure, but potentially from a pricing point of view, we can say that we would have reached the bottom. That's what I think we've been observing since the last couple of quarters. So the ability to go down from

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here, I think, is relatively limited from most players' point of view. So we can make a point that potentially bottomed out.

But as I said, the story will change product-by-product. Agrochem is a very diverse sector, right, different end products have different chemical intermediates.

And hence, for a particular product, there always can be a different story. But in general as a sector, at least in our judgement, we would say that the pricing might have bottomed out.

Ankur Periwal: Hi, Ankur Periwal from Axis Capital. First question, you had alluded towards China's aggressive capacity expansion, and hence the pricing overall being lower, which had impacted our margins as well. Given the current

state of affairs and we

don't know how much excess capacity there is in China. Do you think that there could be this extended lower pricing scenario continuing for another one or maybe even two years?

Suyog Kotecha: Answer will vary from chain-to-chain. For some molecule where the capacity is significantly large in China that timeframe is very much possible. But as I said, we have to look at chain-by-chain and also we have to look at our exposure. So for

example, NCB chain, where predominantly our exposure is domestic, right, or a pharmaceutical application where predominantly our exposure is domestic. There

potentially the margin pressure should start getting elevated much earlier than later. For something like PDA chain, for example, where the capacities in China are also very large and our market is also predominantly export, there we could have a bit more longer time from a margin recovery time frame point.

Ankur Periwal: Sure. And just a related question, the margin EBITDA guidance that we gave over FY '25 to '28. In these assumptions, are we building in some bit of pricing improvement coming in, maybe some normalisation in pricing coming in or these are at status quo pricing?

Suyog Kotecha: I would say very marginal improvement we have baked in, not a significant one.

Ankur Periwal: Lastly, historically, we have been pretty aggressive in terms of our Capex. Even the next two years numbers, '25 and '26, roughly ₹2,500 crores, which is more than the EBITDA, I'll give you that we'll generate versus earlier when the asset turns were higher or even if you look at EBITDA on gross blocks, whichever number you want to look at. The numbers have depleted over a year considerably. And given the excess capacity, the global macro, do you think those numbers will improve? And the second part to this is the ₹2,000 crores EBITDA number that you guided for. Is that peak utilization for all the capacities, which is ₹2,500 crores incremental and the existing block?

Suyog Kotecha: Lots of questions packed in there, but let me try to answer that in a step-by-step manner. First one, just correcting on the Capex, right. I think our capital deployment and the efficiency of that capital will be very prudent, as far as these next 3.5 years are concerned. The Capex guidance that we gave was for this year for which ₹670 crore is already spent in the first half roughly. And in the remaining part of the year, we will do ₹1,300 crores to ₹1,500 crores, right.

And incremental ₹1,000 crore over next year and that's it. We're talking about by end of FY '26 and then there is FY '27 and there is FY '28 in which we are sort of generating EBITDA out of it. So I think the calculation that you're making in terms of EBITDA generated over the next three year time frame versus capital deployed, I think we might need to sort of relook at

those numbers.

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And the second question is, do we assume the ultimate end potential of all these chains that we talked about. When it comes to FY '28, two answers to that question. In some cases, still no. For example, MMA as I mentioned, going beyond 200KT is very much possible for me with practically very, very negligible Capex. So that ramp up story is a bit more long-term ramp up story at this point in time. So we will definitely not reach the full potential of that chain. I think the another story is going to be around margin recovery. As we discussed, we are potentially not baking in the fully normalised margins in many of these chains. So that remains potentially a further upside in a long-term kind of timeframe. And even for zone 4, given we will only have sort of one year potentially 1, 1.5 year of ramp up timeframe. I think there also we are assuming certain parts of that portfolio are getting commercialised. So that also going forward on the deployed Capex should have better upside. So all the levers mentioned there, it's not that they're reaching their full potential by FY '28 kind of a time frame.

Moderator: Please raise your hand to ask a question.

Surya Patra: Hi, this is Surya, again. Just on the new product development side that you have mentioned and you were just alluding to also about the new product opportunities. So if you can give some clarity about that, because that is part of the zone 4; I think that is what you are including in the zone 4 area, I believe.

Suyog Kotecha: I think maybe it's a work in progress. I think we are trying to design that Capex in a way where we can produce a lot more molecules than originally planned, which will ensure better utilisation and better profitability from those particular assets. And that's still work in progress. But we potentially could do multiple new value chains in the same asset as we designed that plan more like a multipurpose process blocks rather than a dedicated chemistry block. I think that is the effort, which is ongoing right now. I think the teams are working on it and we'll have more clarity on it in the next three months.

Surya Patra: And about the Capex visibility, while we are talking about the Capex that it is peaked out; now in the current financial year and the next year, it is indicated to be kind of a lower number. But while you are talking about a kind of a collaboration and supply opportunities in the various new areas as well as in the existing lines of business. So then that obviously will give you an option for a capacity addition given new contracts and all that. So how do you think those kind of supply opportunities, multi-year contracts further going ahead?

Suyog Kotecha: Of course, I think if there are any attractive growth opportunities, I think we will pursue it and we will invest behind it. Right now, the visibility that we have given is based on the current approved Capex and the performance based on that current approved Capex. We continue to remain in the market to explore new growth opportunities. And as and when those attractive opportunities come up, I think we will be definitely going ahead in terms of the due course from approval and then execution standpoint. And then the only point I will make and maybe it's related to some of the previous questions. I think our hurdle rate on the Capex is potentially more stringent now. And given that we have seen these kind of market conditions are sort of meeting the hurdle rate to ensure that the Capex proposal goes through, it will go through a little bit more of testing times in the current margin environment. But we continue to have conversations on many of these new molecules and new partnership projects.

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Unidentified Analyst: Thanks for the follow-up. So you have transitioned from a consulting to a manufacturing firm, and that's a good transition obviously. In terms of your imperatives, you have talked about multiple things and focus areas, right from cost optimization, utilising the unused capacities, the ongoing Capex, future Capex, business development. So what would be your key focus areas as of now? And what would be the supporting environment from the promoter led family to you? So are you going to be spearheading all the projects? Or will there be any bifurcation in terms of you as a CEO and the promoter led family? Thank you.

Rajendra Gogri: Yes. So basically, the word is this Chief Executive Officer, so entire the execution of the assets, once the assets are there, the entire asset management and running the assets and getting maximum amount out of it, that becomes his first responsibility on that. And I will be more of a facilitator in managing various stakeholders with a lot of customers or suppliers. We have over the years so many relationships and all, so that is what we believe. Our role will be, more in the

future, where we should go, how we evaluate opportunities and then after identifying the opportunities and then further how it grows. So on the growth side

and all, our involvement will be much higher in both identification, evaluation, and then critically examining and passing the investment side. So there we will be quite involved.

Suyog Kotecha: I think just to give a little bit more colour to it. Look, I think the organisation was getting professionalised, since a long time back. I think if you look at our CXO

structure, right from our Chief Manufacturing Officer, our Chief Scientific Officer, our Chief Technology Officer, our Chief CHRO, I think all of these guys have come from impeccable pedigree. I think they got hired into AIL's system right from 2017 and 2020, the CXO structure was already established. So in that context, it's

not like one or two people trying to do things. I think the organisation is relatively very well established and that team is committed to deliver what we talked about

here today and as he mentioned, I think they are available for any guidance, surely driven by their experience of the last 40 years. And from a strategic best point of view, right, when it comes to investments, when it comes to long-term growth potential, of course, their experience and guidance is tremendously valuable.

Unidentified Analyst: So effectively the EBITDA guidance meeting is your prerogative, is it?

Suyog Kotecha: Well as a management team, we take responsibility for performance delivery.

Unidentified Analyst: Perfect. Thanks a lot and all the best.

Moderator: Thanks, everyone. Thank you, members of the management. We hope you found the discussion insightful. Please don't hesitate to come back to us if you have any further questions. Thank you, and have a great day.

This is a transcription and may contain transcription errors. The Company or sender takes no responsibility for such errors, although

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Call: Feb 2025

February 10, 2025

To,

Listing/ Compliance Department

BSE LTD.

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai – 400 001.

BSE CODE – 524208 To,

Listing/Compliance Department

National Stock Exchange of

India Limited

“Exchange Plaza”, Plot No. C/1,

G Block Bandra - Kurla Complex,

Bandra (E), Mumbai – 400 051.

NSE CODE:AARTIIND

Dear Sir

r/Madam,

Sub.: Transcript of Q3 FY25 Earnings Conference Call

Ref.: Regulation 30 of the SEBI (LODR) Regulations, 2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on Monday, February

3, 2025 on Audited Financial Results of the Company for the quarter and nine months' ended

December 31, 2024.

Kindly take the same on record.

Thanking You,

Yours faithfully,

FOR AARTI INDUSTRIES LIMITED

RAJ SARRAF

COMPANY SECRETARY

ICSI M. NO. A15526

Encl.: As above.

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Aarti Industries Limited

Q3 FY '25 Earnings Conference Call

February 03, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Aarti Industries Q3 FY '25 Earnings

Conference Call. As a reminder, all participant lines will be in the listen -only mode and there

will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the

conference call, please signal an operator by pressing '*' then '0' on

your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nishid

Solanki of CDR India. Thank you.

And over to you, sir.

Nishid Solanki: Thank you. Good morning, everyone, and thank you for joining us on Aarti Industries' Q3 FY '25 Earnings Conference Call.

Today, we are joined by senior members of the management team, including Mr. Suyog

Kotecha, Executive Director and Chief Executive Officer; Mr. Chetan Gandhi, Chief Financial Officer. We will begin the call with an overview on the developments for the quarter, followed

by highlights on the financial performance, which will be provided by Mr. Kotecha, post that,

we shall open the forum for Q&A, where the management will be discussing queries of the participants.

Just to share our standard disclaimer. Certain statements that may be made in today's

conference call may be forward looking in nature. And the disclaimer to this effect has been

included in the results presentation which has been shared earlier and also uploaded on the stock exchange websites.

I would now like to invite Mr. Kotecha to share his perspectives. Thank you. And over to you,

Mr. Kotecha.

Suyog Kotecha: Thank you, Nishid. Good morning, everyone, and welcome to our earnings call for Q3. Before

I commence, I would like to wish all of you a very successful and happy new year 2025.

I hope you have had an opportunity to review the quarterly presentation that was uploaded on the exchanges over weekend.

Overall, we reported a resilient performance with sequential

improvement in EBITDA in Q3 FY '25. While pricing pressures impacted margins despite

strong volume growth, we proactively addressed this through cost efficiencies, product diversification and geographic expansion.

Volumes in the non-energy business grew by 14% Y -o-Y and 8% Q -o-Q, while the growth in the energy business came in at 10% quarter -on-quarter basis. Growth i n energy business actually could have been better but for a large-volume bulk shipment which was spilled over from late December to early January.

In the non-energy business, we are seeing a volume -led recovery both on Y -o-Y as well as on Q-o-Q basis. However, pricing pressure continues across various product chains, especially in agrochemical intermediates. End use applications like dyes, pigments, polymer additives continue to exhibit positive demand trends. We also believe inventory levels for agrochemi cals have normalized in most end markets now.

And further, in order to diversify our product base and to augment our utilization levels, we are engaged in the development of new products, especially within the ethylation value chain where we recently exp anded our capacity. Additionally, we are also pursuing backward integration into select downstream products to enhance our margin profiles and ensure better control over cost and supply.

Polymer and additives continue to be on the recovery path. Despite s ome uncertainty surrounding 2025 demand due to potential U.S. policy changes, we remain focused on increasing our market share in the global markets, especially in the U.S. and Japan, for polymer and additives segment. The pharma business has sustained the positive trajectory following the recovery in FY '24.

Coming to energy business, where MMA remains a key part of our product portfolio. We are diversifying our solution offerings and customer base to adapt to the evolving market. The weak gasolines and n aphtha cracks in Q3 impacted octane boosting economics. However, we anticipate improvement in Q4. We have also established our bulk shipment capabilities to serve larger clients more efficiently; and are expanding our customer base in U.S., Europe as well as Middle East. The broader geographic reach is now helping us mitigate regional slowdowns and is supporting sustainable growth.

As indicated in previous communications, the ramp-up of MMA volumes will be gradual but consistent. Our numbers showed healthy improvement in Q3, giving us optimism for the future. We are also focusing on a solution- based approach leveraging our expertise to optimize performance and positioning MMA as a high-octane fuel additive. These efforts, fuel led by our commitment to growth and innovation, will position us well for long -term success in this evolving market.

Recently we also had 2 other major developments, which I would like to highlight. We signed 2 renewable energy power purchase agreements for solar and hybrid power with Clean max and Prozeal. With this, AIL's renewable share in total power purchase is expected to exceed 75% by Q1 FY '27. And we'll also accrue significant savings in power costs. One of the contracts will start delivering within this calendar year, versus th e second one which is expected to start in Q1 FY '27 time frame.

The second major development Re Sustainability and Recycling Private Limited; and Aarti Circularity Limited, a wholly owned subsidiary of AIL, have joined hands to establish transformative first-of -its-kind India joint venture company for driving the development of plastic material r ecycling facilities which will use advanced chemical recycling technology. This partnership is committed to achieving a resource recovery capacity of 500 tons per day by 2030 and will focus on chemically recycling the difficult -to-recycle plastic waste mat erials into niche and high-value chemical compounds which have good demand potential.

Coming to the financial performance, r evenues for the quarter was at INR2,035 crore, 14% higher on Q -o-Q basis while 8% higher on Y -o-Y basis. EBITDA grew by 17% Q -o-Q to INR236 crore. Growth was primarily led by volumes, operating leverage and product m

ix improvements.

PAT was reported at INR46 crore. This was impacted by high finance costs due to forex mark - to-market loss of INR23 crore on a long -term ECB loan arising due to rupee depreciation. It may be noted that this impact is due to the accounting practices, while the actual outflow will happen over a period of 9 years. Also, given the fact that company is a net exporter, the depreciation in rupee should actually b enefit the company in the coming quarters.

Coming to capex and capacity expansion projects, b roadly, our capacity expansion initiatives are aligned with the growing market demand. Our projected capital expenditure for FY '25 remains unchanged as we have m entioned in the last quarter, INR1,300 to INR1,500 crore, with over INR380 crore spent in Q3 and about INR1,020 crore in the 9-month year -till-date time frame.

Let me run through the updates in respect of key capacity expansion projects and initiatives. Our nitrotoluene plant expansion from 30 to 45 KTPA got commissioned this quarter, is expected to yield benefits now in the subsequent quarters. Our expansion of ethylation facility from 8 to 10 KTPA to about 25 to 30 KTPA also got commissioned this quarter . This expansion enhances our ability and flexibility to utilize the overall ethylation capacity for diverse range of ethylation - and propylation-based products while also enabling the scaling up of production volumes within the nitrotoluene value chain. R amp-up of both of these capacities will continue through Q4 and going forward.

The MMA capacity expansion to 200 KTPA had already been completed, positioning us to be the market leader, and also increased our share in this high-growth segment. MMA capacity can also be expanded further, if required, with minor investments. And we will remain agile to market shifts and address that opportunity.

Additionally, various projects in Zone IV, our new greenfield site, are being executed in phased manner. And the commissioning is expected gradually through FY '26. We are pleased to announce that our new pilot plant at Zone IV has already begun its commercial operations. It

will play a crucial role in fuelling new product development and allowing us to innovate and diversify our offerings going forward.

Overall, we have room to scale up several production chains without incurring significant capex. Higher asset utilization offers a significant upside potential. And we remain focused on achieving scale in each of our value chains to realize gains from operating leverages.

As shared in the last meeting, let me reiterate that we are on track and confident to meet our guidance shared for both short term as well as medium term. Our focus is on sustainable mid-

to long-term growth targeting roughly 20% to 25% CAGR EBITDA over 3 to 5 year's time frame. And we continue to leverage R&D to explore new products, seek long-term partnerships, implement our cost improvement initiatives; and targeting high-growth sectors such as circularity, battery and electronic chemicals.

That will conclude my initial remarks. I will now request the moderator to open the forum for the question-and-answer session. Thank you.

Moderator: Thank you very much. The first question is from Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj: Thanks for the opportunity and congrats on good volume recovery as well as absolute EBITDA expansion on sequential basis. First question is on MMA, just to understand. What would be the threshold spreads of gasoline-naphtha or gasoline-crude at which MMA becomes more competitive and, at the same time, MTBE becomes more acceptable as a fuel?

Suyog Kotecha: So on the MMA front, we had mentioned in the last conference call that, anything where naphtha-gasoline differential remains in 2 digits, we still have a play. I think, in the last quarter, actually see gasoline

-naphtha spreads were and still continue to remain under pressure. They were at roughly at 9.5 levels. And we were able to still deliver certain volumes to the

market, so I guess that is indication of our competitiveness of this product in the market when it comes to octane boosting. As we are seeing, in Jan, we are already seeing improvement in the gasoline-naphtha spread.

And that should enable the competitiveness of this product against some of the other octane-boosting products even more in the Q4 and the going-forward time frame.

Rohit Nagraj: Just a clarification on this. What would be the price differential between MMA and MTBE now?

Suyog Kotecha: It's ever evolving. In both products, the price variation is there almost on sort of month-on-month quarter-on-quarter basis, but roughly you can assume that MMA at any point in time would be roughly 1.8x to 2x of MTBE pricing.

Rohit Nagraj: My second question is so we have commissioned the ethylation capacity. So effectively we'll need ethylene oxide, if I'm not wrong, for the capacity to operate. So in terms of sourcing of the same incrementally, how are we placed to get it from Reliance in terms of commitments for the volumes, incremental volumes, which we'll require?

Suyog Kotecha: No. I think I would like to correct you there. We don't need ethylene oxide for our ethylation capacities. We need ethylene, for which we have a pipeline supply. And we have security in terms of supply where we have a long-term contract with our suppliers.

Rohit Nagraj: That is it from my side. Thanks a lot for answering the questions and all the rest.

Suyog Kotecha: Thank you.

Moderator: Thank you. The next question is from Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Thank you sir, for the presentation and the opportunity. Two questions from my end. Firstly, in terms of the pricing pressures that you mentioned, could you give some more color in terms of how it's moved if you compared to 2 quarters back and what you saw in 3Q and potentially what you're seeing quarter-to-date? That's the first question.

Suyog Kotecha: So overall, on the pricing pressure, frankly, I think things haven't evolved significantly. I think the overcapacity situation that we have in many of our product chains, especially in China, is a mid- to long-term problem and that will take some time to resolve, so no major incremental changes when it comes to quarter-on-quarter movement, especially in some chains like PDA, or even, for that matter, some of the chains which are linked to NCB and nitrotoluene, where Chinese capacity remains pretty robust. There we continue to face pricing pressure. As you go more downstream, on agrochemical intermediates, again where the overcapacity situation is quite significant, there also the pricing pressure remains quite robust. As I mentioned in our previous call, I think we've got used to the new reality. Based on our competitiveness, we are able to retain or increase market share in many of our value chains. And that's how we are addressing this pricing pressure. As the demand picks up and capacity utilization at a global level starts getting better, this will go off. And that should enable higher profitability

percentage across the portfolio.

Vivek Rajamani: Thank you, sir. That was very clear. The second question was on MMA. I think you mentioned that you're focusing on customers in the U.S., EU, ME and these various regions. Could you just give some more color in terms of the progress being made in getting some of these larger refineries onboard? And just as an extension to that, you mentioned also that you have a bulk shipping capability that you've put in place, so I just wanted to better understand. Once you have these longer-term customers in place and you have these new capabilities, how would that affect your margin profile vis-à-vis the spot margins? And how quick

ly do you think you'll

be able to kind of get some of these benefits going into fiscal '26? Thank you.

Suyog Kotecha: So I think, on the first part of the questions, we have had some successes during last quarter. Our exports to U.S. have gone up, where we have been able to develop a couple of strategic customers for this product. I think you guys would be able to see that through our export data, anyway. So that's one region where we've got success. I think Middle East continues to remain one of the markets, the first market which we have scaled up. And our efforts continue to develop European and Southeast Asian market for this particular product. That's on the overall geography as well as the customer diversification.

I think, from a pricing point of view, we have better understanding now in terms of what kind of pricing models and what kind of pricing strategies work, which are linked to ultimately downstream economics for refineries and oil and gas traders. And as we evolve those pricing models, the margin profile will also become more stable in a mid- to long-term kind of time frame. And in Q3, as I mentioned, despite a significantly lower gasoline-naphtha spread, we were able to produce and push out more material compared to Q2. And that is what is giving us confidence that the growth potential for this product remains pretty robust. However, at the same time, I do want to highlight that, given the nature of the business, it does take time to crack new markets and new customers. And that's where we are saying that the ramp-up in the overall volume will be gradual and not a one-off event.

Vivek Rajamani: Great, sir. Just one small clarification. The capability on the bulk shipping, that would come through from Q4, correct? It wasn't there significantly in Q3.

Suyog Kotecha: No. In Q3 itself, we have done some bulk shipments. So the capability got established. Of course, it's getting optimized, as we speak, as we do more and more such bulk shipments, our ability to optimize the overall supply chain cost. The product does require very special capability to enable sort of long-distance bulk shipments. And we are optimizing on that capability, which will reduce our operating costs of doing these bulk shipments. And that benefit might come in, in Q4 and onwards time frame, but the capability itself got established in the Q3 itself.

Vivek Rajamani: Sure, sir. Thank you so much and all the very best.

Suyog Kotecha: Thank you.

Moderator: Next question is from Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Yes, good morning and thank you so much. So sir, on the plastic recycling project we've announced a short while back, this 500 tons per day of peak capacity, could you please help us understand what sort of revenue and maybe EBITDA margin potential this might entail?

Suyog Kotecha: So overall on the Re Aarti private limited, a JV between RESL and Aarti Circularity, I think, let me do a step back first. In the last couple of calls, we had stated our intent from a long-term strategic point of view to focus on certain strategic bets. I think circularity was one such theme. And that's the context in which Aarti Circularity Limited got established. It's a 100% owned subsidiary of AIL. For Aarti Circularity Limited as an entity, we are looking at multiple opportunities in sustainability, circularity and recycling space. One of the most promising opportunities was advanced chemical recycling of plastic waste. And that is where we thought a partnership made a lot of sense, and the JV with RESL was established. The JV just got incorporated one week back. I think JV is in the process of establishing its own business plan and coming up with concrete numbers. From an aspiration point of view, both partners have stated their aspiration to complete 100 TPD in first 18 months' timeframe and 500 TPD by 2030. I think, the exact revenue potential

and profitability potential, we will come back at a later stage. As the JV does its own business planning exercise.

The only point I will make is, from an opportunity size point of view, it's huge. If you look at the amount of plastic waste that gets generated in the country, we are talking about hundreds of KTs per month. At the Hyderabad facility which RESL operates, I think they handle anywhere between 8,000 to 10,000 tons per day of waste. And even if you take 10% or 12% conservative plastics in that, we are talking about 800 to 1,000 tons per day of plastic waste getting aggregated on a daily basis at one site. And they have the sites across the country, across international locations.

So from an opportunity point of view, we remain very excited. We are focused on making the technology work. Currently, there is no at-scale player today in the country which does plastic

waste recycling using chemical recycling technology. And we are focused on getting that technology proven. And once it's proven, then the scale-up happens in a modular kind of fashion, so Abhijit, I'm not giving you the exact top line, bottom line number at this stage, but as the JV completes its business planning exercise over the course of next few months and fine tunes the technology, we'll come back with more details.

Abhijit Akella: Sure. Thank you. My other question was on the financials. The gross margin seemed to be significantly lower on a sequential basis but offset by a decline in other expenses, quite a sharp decline. And in that context, I was just wondering, you've articulated this cost optimization

plan in your presentation of INR150 crore to INR200 crore. So just wondering, how much of that is already done? And how much is still left to be done in the context of the numbers we are seeing?

Suyog Kotecha: Yes. No, I think we continue to remain on track in terms of our overall fixed as well as variable cost reduction plans. I think we are kind of 30% -40% there in terms of that journey. I think there still remains a lot of what's to be done, but we are confident of completing that exercise, as I mentioned in the last call, in the next sort of 12 to 18 months kind of time frame.

That's on the cost initiative.

On the gross margin, I just want to highlight that I think there are large -volume shipments now and some of them also get sort of slipped from one quarter to another quarter, so rather than looking at quarterly gross margin level, I would ideally encourage to look at sort of at least a 9 - month or a longer -term time frame margin average numbers. They are better indicative of business performance. And one additional issue which was peculiar to Q3 was in Q2, because our MMA volumes had dropped quite significantly, there was certain build -up of aniline, which is a key raw material for MMA, which happened at a relatively higher cost which got liquidated in Q3. So that also had a partial impact on gross margins, but in overall sense I think, if you look at a 9-month gross margin levels, they are potentially a better indicator of company's business performance versus quarterly gross margin numbers.

Abhijit Akella: Thank you. Just one last thing, if I may, just on the specialty chemicals project and the Zone IV greenfield that you've been articulating. Is it possible to share any further color on these in terms of product category or addressable market size, how easy it is for us to capture that market? That would really help us understand or appreciate the opportunity a little bit better.

Suyog Kotecha: Zone IV, as we mentioned, this is now in the advanced stages of execution and will get commissioned. There are multiple blocks within Zone IV, and they will get gradually commissioned over the course of next 12 to 15 months. The first block of pilot plant already got commissioned. The next block which will get commissioned is act

ually a multi-purpose

plant and a calcium chloride plant. And then the remaining blocks, which are dominantly in chlorotoluene value chain, will get commissioned in the sort of Q1 FY '27 kind of time frame. If you look at the potential product portfolio in that zone, it's broadly focusing on 3 value chains. One is the chlorotoluene value chain, dichlorotoluene value chain and toluene photochlorination value chain. I think in these 3 value chains roughly, we have a product portfolio of anywhere between 25 to 30 products because we will go significantly downstream compared to restricting ourselves at a base molecule level itself. So we have a product portfolio of roughly 25 to 30 products which will cater to predominantly, I think, 3 end markets: agro, pharma and dyes. These are the 3 large end markets which we are targeting through these 25 to 30 products. We have rigid product mix significantly compared to what was originally envisaged 2 years back.

And in that context now, the domestic -export split of that product portfolio is expected to get revised. They have a higher domestic targeted; sort of 60 -40 kind of a split when it comes to domestic -export, because many of these products are currently imported in the country. There is no other large player who manufactures these products, especially as you go more downstream of chlorotoluene and dichlorotoluenes.

The overall configuration of that zone itself, we have made it in such a way where it's kind of fungible and flexible, so our total capability to produce in terms of number of products would be far higher, but we could select the products depending on the margin profile and the demand profile at a particular given time frame. So the overall zone kind of becomes a little bit

multi-purpose kind of an asset. So the product end market and the domestic export ratio will keep varying, but broadly speaking given all the changes made in the configuration of the zone, we feel pretty confident of achieving commercial utilization in the first 1, 1.5 years kind of time frame.

Abhijit Akella: Thank you. That's very helpful. I'll come back in the queue for more.

Moderator: Thank you. Next question is from Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: Yes, thank you, sir, for the opportunity. A couple of questions. First is on to the nitrotoluene. Sir, volumes have declined both on Y -o-Y and on quarter -on-quarter basis. Any particular reason?

Suyog Kotecha: So we've been going through the commissioning exercise. And that, because this was a brownfield expansion and not a greenfield expansion, we had to manage the shutdown of the

asset accordingly. And that had some impact on the capacity utilization number that you are seeing for Q3 specifically. As we move forward into Q4, you will definitely see ramp-up in the NT chain capacity utilization numbers.

Aditya Khetan: Okay. And sir, on to the agrochemicals side, you had mentioned that the pricing pressure still persists. If you can highlight, sir, how much percentage of the product portfolio we are having competition from China, or which segment. Like, in agrochemicals only, we are witnessing erosion of margins?

Suyog Kotecha: So look. I think, agrochemical, the situation is potentially aggravated, but I think in our segmental portfolio you also have now domestic-export split across most of our business segments. And in that context, if you see energy business, for example, it's more of a market development exercise rather than a competition with China. So in that part of the portfolio, it's a different challenge compared to pricing pressure from China. Agrochem, yes, especially both global as well as the domestic market, we do end up competing with China given their significant capacity over there. I think, in the dye, pigments, printing inks market, 75% of our market actually comes in the domestic market. Only 25% is export.

Even within that now, with

Heubach getting acquired by an Indian entity, we expect our share of domestic market to go up for that particular end market, where our ability to compete with China is much, much better. Pharmaceuticals, 99% is domestic, though the pricing sometimes does get linked to import parity pricing from China, but still from a management of customers and an overall market dynamic point of view, we are relatively better positioned. Polymer and additives is one segment where we do end up competing with China head on because 85% of our business in that segment comes from exports. So the entire dichlorobenzene chain and PDA chain, where bulk of the volume ends up going to Western markets, especially in U.S. and Japan, that's where we do face pressure from China, but there also we have established certain strategies to counter that pressure. But that is one segment where we are exposed to Chinese competition quite significantly. I hope that covers broadly the 5 segments, which covers more than 90% of our product portfolio.

Aditya Khetan: Got it, sir, got it. Sir, on to the capex figures also, we have reduced it from INR1,200 crore to around INR1,000 crore. Sir, which are the areas, like, we had so cut the capex?

Suyog Kotecha: We haven't reduced the capex number, so INR 1,000 crore number that I talked about, INR1,020 crore, is for 9 months. I think overall here we are retaining exactly the same guidance as we had talked about last time, which is INR1,300 crore to INR1,500 crore. We will end up spending that amount of capex. So there is no one particular area where we have optimized on the capex.

I think, Zone IV, on reconfiguration that we have done. We still maintain the overall capex guidance for Zone IV. There are certain debottlenecking initiatives internally within our existing manufacturing sites where we have put relatively higher hurdle rates right now. And because of that, there might be some optimization on the capex front, but broadly, the number remains what we had committed to in the earlier quarter's conference call, which is INR1,300 crore to INR1,500 crore for this financial year.

Aditya Khetan: Got it, got it. On the PNCB business segment, Sir, we have heard from the government that they have banned low-quality imports and domestic low quality also of paracetamol. So does this give fillip to our PNCB business, higher volume growth or higher margins in any sense?

Suyog Kotecha: Well, look. I think it's a very robust domestic market which is continuing to grow in sort of strong double digits. Well, as I said, in that segment, 99% of our product goes into domestic market. And any initiatives that government takes to strengthen our downstream customers will definitely help us both from the demand and margin standpoint. It's a globally on a net basis, as a country, we are importer in PNCB. Country does import decent quantity of PNCB every year. And in that context, the pricing does get set, to some extent linked to import parity, but as a segment: Your initial hypothesis is right, that both the demand as well as margin profile remains quite robust in that segment.

Aditya Khetan: Okay, but sir, so banning of imports of paracetamol. So that should definitely benefit PNCB. So we are expecting like some higher volume growth. Like, earlier, we had grown by almost around 10% to 12%, so with this move, do you think like this growth can accelerate to 15%, 20%?

Suyog Kotecha: Look. I think India, again as a country, is also net exporter for not only PNCB but also for downstream chain, right, so the likes of PAP and paracetamol. So I think maybe what you are characterizing there may not fully reflect into that story. If we had been import dependent on a downstream chain, then that would have given significant boost, but as a country, because we have significant downstream capacity. And we also do decent amount of exports for both PAP and

paracetamol, that will not have very significant impact. From our point of view, I think, if you look at our capacity utilization levels, then we are roughly around 75-odd percent kind of capacity utilization numbers for NCB. And in the coming financial year, we expect to ramp that up to 80% -plus kind of level.

That's the kind of volume growth we are seeing in that value chain.

Aditya Khetan: Got it. Sir, on the MMA business. We know that the spreads have fallen to some depressed levels. So we are witnessing a recovery. Sir, post the normalization, whenever the spreads will come by, first half of '26, do you see any further levers or fundamental changes which are happening which could improve the spreads? Or like it will only come to the normalized level.

Suyog Kotecha: Look. I think the spread of downstream sectors are linked to variety of factors which are, frankly, beyond AIL's domain. We are talking about gasoline -naphtha spread, which have its own dynamics linked to refinery market globally and to large extent geopolitics as well, right.

What we remain focused on is to ensure that we are able to place the volumes irrespective of the market situation. Of course, market situation does have significant impact on both demand and margin, but given our penetration levels when it comes to overall octane booster market globally, especially compared to some of other octane booster, our penetration levels are significantly low, so our first and primary focus remains on how do we get more customers. How do we penetrate into more regions?

And how do we create multiple business models to serve these new customers and new geographies? That will remain our primary focus. What is giving us confidence increasingly is that even in suppressed market we are able to place volumes to a decent degree. And that's what is giving us optimism that we should be able to ramp up our capacity utilization numbers over the course of next few quarters.

Aditya Khetan: One clarification on capex. Sir, you said that INR1,200 crore, but in the presentation, I believe, sir, it is mentioned INR1,000 crore for '26 complete, versus for FY '25 it is around INR1,300 crore. Just a clarification: You mentioned INR1,200 crore for '26 also.

Chetan Gandhi: The 9-month capex is around INR1,020 crore for FY '25. We are on track in terms of guidance given of around INR1,300 crore to INR1,500 crore of capex in this financial year FY25. As regards FY '26, the capex would be a number which will be a bit lower than INR1,000 crore. So that is how the capex numbers are going to be there. I guess this clarifies the question.

Aditya Khetan: Okay, sir. Thank you.

Moderator: Next question is from Arun Prasath from Avendus Spark. Please go ahead.

Arun Prasath: Good morning. Thanks for the opportunity. Sir, my first question is on your long-term guidance of INR1,800 crore EBITDA. Can you just approximately indicate, what is the equivalent revenue for this INR1,800 crore EBITDA? Top line for this, corresponding to this EBITDA.

Suyog Kotecha: So that number of EBITDA is based on EBITDA assumption of 14% to 15%, right, so you can back calculate the revenue on the basis of that and Arun, as I had mentioned previously, we like to focus on absolute EBITDA and not necessarily give revenue guidance because bulk of our raw materials are linked to crude, right, benzene, aniline, which are 2 of our largest raw materials. The pricing is linked to crude, and depending on how crude behaves, I think our top line can vary significantly. And that's where; I think, our intention always is to talk about absolute EBITDA rupees in crore, when we have a lot more control versus talking about top line.

Arun Prasath: No, the reason I'm asking is for this is, I mean, 15% EBITDA margin and obviously our overall gross fixed assets will be close to INR9,000 crore, INR10,000 crore, so the asset turns comes to be around 1x to 1.2x.

So is this the normalized asset turns on which we'll be working for the future projects as well?

Suyog Kotecha: I think, as a management, we are focused on improved ROIC, not necessarily asset turn is one of the metrics, but I think what we look at more and continue to sort of initiatives to improve our ROIC number and ROCE numbers. And as we have indicated in our mid-term guidance, our objective is to hit 14%, 15% kind of ROCE and ROIC numbers. And I think we remain quite confident of hitting those numbers in our 3-year plan.

Arun Prasath: Okay, because if asset turns remain same and margins also remain same, then expansion in the ROCE won't be coming. So something has to give in, right, to get better ROCEs?

Suyog Kotecha: No. If you look at the overall asset block point of view, I think, after the Zone IV commissioning, from next year, onwards, our actual capex, will see tapering of numbers. We are at INR1,300 crore to INR1,500 crore right now. We'll go down to INR1,000 crore next year. And capex subsequent to that will be linked to the growth opportunities that we are pursuing, but on existing product portfolio, there is a tapering of capex.

At the same time, a lot of the growth both in top line and bottom line, significant chunk of that, is coming from existing assets. So if you put all of that together, we feel, based on our bottom-up plan that we have put together for the next 3 years, 14% to 15% kind of ROCE numbers on EBITDA of INR1,800 crore to INR2,200 crore is doable.

Arun Prasath: Understood. My second question is more on the near term. So on the tariffs, sorry I joined late, if I missed, can you please help explain? Within our portfolio, which category or which products or which chemistry will be the winners or losers when you account for these tariffs?

Because there will be winners because we will be more competitive against these countries against which is putting tariffs. There will be losers because these countries will be dumping those products which they

couldn't sell to U.S. And they will be dumping somewhere in the other export markets. So how should we look at this overall scenario with respect to our portfolio?

Suyog Kotecha: So as you yourself answered this question, Arun, partially, I think the scenario is mixed and I think it's very early to have a definitive perspective. I think we are still looking at evolving market landscape and how these tariffs play out in the global market. At a very superficial level, if you look at it, I think broadly two of our segments. Polymer and additives is a segment where we have significant exposure to U.S. market; I think, could ideally see tailwind because there we compete against China for most of our products going into U.S. market.

And the second is agrochem, where you have some of the intermediates like S-Metachlor and Dicamba, where we are a major supplier of those agrochem intermediates; could see some tailwind because there also one of the prominent end market is U.S.

And not only tariffs but also regulatory levers could also play a role in terms of growth of this end agrochem molecules, but as we say that, if you do sort of peel the onion 2-3 levels deeper, I think there will be repercussions of these tariff barriers on to other markets. The competition intensity in other markets may increase as people try to push their capacities and that could have an implication when it comes to pricing and margins in some of the other markets. Also how people react to U.S. tariff itself could have an impact on the overall demand profile within the U.S. market. So on a superficial level, that's what I could answer at this stage, but I think all of us need to wait and watch to see how overall scenario plays out, to really ascertain the impact of the latest initiatives taken by U.S. government.

Arun Prasath: Okay, understood. On rupee depreciation, if rupee were to depreciate further, we should

be, on

a rupee basis, we should be seeing higher realization. Or this will get somehow discounted on the pricing itself. Is the demand good enough to realize this dollar strengthening now?

Suyog Kotecha: So I think I'll answer the question on 2 fronts. One, in general, rupee depreciation, from a long-term business growth point of view, is beneficial for AIL given we have a significant export exposure. From a business standpoint, rupee depreciation definitely helps us. The second part of that question is what's also important is the relative depreciation against China. I think we don't have to necessarily look at only INR-USD depreciation, but we also have to look at relatively Chinese currency depreciation versus INR. And that is where the real competitive advantage comes around.

We are sort of closely evaluating both. I think, from a USD point of view, we have actually depreciated and that will help the business going forward, but if you look at relative depreciation of Chinese currency, then the depreciation quantity is actually a lot smaller, which means the Chinese have also depreciated their currency. And given especially now the tariff issues that have got launched into last few days, we have to closely look out for how Chinese currency behaves over the course of next few months and that will potentially ascertain how much it will sort of benefit or not benefit AIL.

Arun Prasath: Thanks for answering all the questions on this. Thank you.

Moderator: Thank you. The next question is from Surya Narayan Patra from PhillipCapital India. Please go ahead.

Surya Narayan Patra: Yes, okay. So in the base business, we have seen obviously there is a kind of a pricing pressure and all that and a consistent drag in the recent quarters, but the recent month data point is indicating obviously there is improvement. But if you can give some sense of what is happening there in the base business: What is the kind of volume-value mix changing? And also within that, how qualitatively the product mix changing. And how should one think, going ahead, about it? So if you can give some sense, that would be helpful, sir.

Suyog Kotecha: So on the base business, Surya, the pricing levels have stabilized. As I'd mentioned in the last quarter, potentially, they'll obviously remain at a level which we do not like, but at least they have stabilized. And now what we are doing is trying to get the volume gains back, which is helping improve the base business portfolio. As we get our asset utilizations up and volumes back, we are also able to optimize the product mix to ensure that we are diverting capacity where we are expecting better margin profiles and that will start to play out in the next few months. For example, in ethylation where we have 25 to 30 KTPA capacity, we have ability to produce a variety of ethylation- and propylation-based products. So as the base utilization levels, once we are able to reach certain levels, then we start playing the product mix game, which is where we are able to optimize profitability much better.

And that same scenario will get repeated across value chains. Our first priority is to get the utilization to certain respectable levels. Once we start hitting that, then try and optimize product mix to ensure that we are further able to optimize on the margins from a product mix point of view. The base pricing upgrades itself, I think they will come when they come. As the demand in the overall global market catches up with the capacity, at that point in time, the base pricing upgrades itself will come, but we are not banking on it right now.

Surya Narayan Patra: Okay, so that means, in a way, the gross margin pressure, what we have been seeing, so far, even if the price remains at these levels, because of the improving product mix, we are going to see uptick definitely in the subsequent quarters?

Suyog Kotecha: Ideally, yes.

Surya Narayan Patra

: Okay. Second point is on the MMA business, sir. So you have said a couple of things. You said that there was a bulk shipment that has been delayed and deferred to the following quarter. That is one and despite that, this quarter number, our volume number, is one of the best, so far MMA export is concerned. And also, simultaneously, you have indicated about new customers getting added to this business, and this quarter also witnessed the spreads, lower spreads between the naphtha and the gasoline.

So given all these things, it looks like that, I mean, next following quarters, obviously there is a seasonal uptick that we will see but much beyond that seasonal uptick that we should see in terms of the volume and the overall business in MMA. Am I right saying, sir?

Suyog Kotecha: So I think 2 clarifications. One, if you are looking at the capacity and utilization trend chart that we now provide as part of our analyst presentation, it talks about production number, not about sales numbers. So then we said that one of the bulk shipment got delayed from late December to early Jan. However, that volume will be captured in the production numbers shown in that slide because they are production number, not sales numbers. That's one clarification. The second part of your question: Yes. I think, as we see stabilization or improvement in gasoline-naphtha trend, ideally it should encourage more and more customers to try out our product. So people who are sort of using our product increase the volume in terms of usage of this product. That remains our focus area. At the same time, we want to be transparent in communicating that the gasoline-naphtha spreads that we saw, post starting of Russia-Ukraine war, for 18 - to 24 -month kind of time frame, they're unusually high. I think we don't expect the market to go back to these levels of gasoline-naphtha spread. If you look at last-10-year, last -15-year historical average gasoline-naphtha spread numbers, then that is potentially more indicative of where market could stabilize. And our objective is to make this business work and thrive at those gasoline-naphtha differentials as well.

Surya Narayan Patra: Sure, sir. One last book keeping data point, the same question. Can you give the overall export number for the quarter and in the previous quarter, sir?

Chetan Gandhi: Do you want the export number for the company as a whole?

Surya Narayan Patra: Yes. So that is a data point that we have been sharing. So last quarter also, that, I missed it. So if you can share last 2 quarters.

Chetan Gandhi: Yes. So export for this quarter was roughly around INR1,000- odd crore.

Surya Narayan Patra: Okay. This is INR1,000 crore that I should take, sir?

Chetan Gandhi: Yes, for the quarter. And for previous quarter, it was fairly a similar number.

Surya Narayan Patra: Okay, so despite the MMA seeing a kind of quite spike this quarter, our export numbers are remaining same. Is that right?

Chetan Gandhi: Yes.

Surya Narayan Patra: Okay, sure, sir, yes.

Suyog Kotecha: But Surya, I think I will just again reiterate that I think the kind of shipments we are doing on MMA front are very large -value shipments. And that's why I'm again highlighting that the bulk parcel shifting from December to Jan does tweak this number quite significantly.

Chetan Gandhi: Surya, I just want to reconfirm one number. On last quarter, the export numbers were roughly around INR900 crore; and this quarter, around INR1,009 crore. Just to be clear.

Surya Narayan Patra: Okay. Sure, sir. Thank you. Thanks a lot. Wish you all the best.

Moderator: Next question is from Kumar Saumya from Ambit Capital. Please go ahead.

Kumar Saumya: Yes. So is there any indication of what is the capital commitment that we will be putting in, in that JV with our JV partner?

Suyog Kotecha: So for the first year, both partners put together have committed INR100 crore, INR5

0 crore

each, into the joint venture.

Kumar Saumya: Okay. And this will be the capacity that you are indicating that you will be doing in next 18 months.

Suyog Kotecha: Yes.

Kumar Saumya: Okay, and secondly, the Zone IV expansion. Are we sticking with the similar outlay of INR15 billion for Phase 1? And then we will be coming up with the 45 kt capacity. So are we holding onto that earlier guidance, or have we changed that internally?

Suyog Kotecha: No. So I think I answered this partly in one of the previous questions. I think the entire Zone I reconfiguration that we have done, I think we have built ability to produce; in the earlier presentations, you will have seen we had a Phase 1 product and Phase 2 products. Phase 1, we are mostly chlorotoluene and downstream and Phase 2, we're actually dichlorotoluenes and downstream products. What we have done is, within the existing capex, we have built in flexibility and ability to produce both of these chains in one go. So that means the absolute capacity of individual molecules might go down, but our flexibility to produce any of the OCT, PCT downstream or DCT downstream products is there in the existing capex itself, which allows us to select the products where the margin profile is best. That's how I think we are

planning to scale up and commercialize Zone IV, treat it more like a flexible, multi-purpose block versus a dedicated chemistry block. Because given the market volatility, it gives us a lot of flexibility to optimize the utilization levels as well as margins.

Kumar Saumya: Got it. Sir, lastly, a book keeping question. How much of our ECB loan is unhedged?

Chetan Gandhi: So I would have an exposure of around \$140 million which will be majorly unhedged, but this is something which will have a repayment of almost, around 9 years.

Kumar Saumya: Thank you, sir. That is the answer.

Moderator: Thank you. Next question is from Jignesh Kamani from Nippon Mutual Fund. Please go ahead.

Jignesh Kamani: Just on the MMA side. As you mentioned a little bit, our Q-o-Q revenue, our volume growth is around 10%, while if you take out production data, volume growth was close to around 78%.

So around 65% to 70% deviation is purely because of the bulk shipment which moved in early January. Or we are building up inventory also for the upcoming good demand?

Suyog Kotecha: No, we are building inventory as well, so it's a combination of delay in shipment as well as build-up of inventory of final products.

Jignesh Kamani: Understood. So can you help, how is the, production volume growth Y-o-Y for 9 months?

Suyog Kotecha: So I think, on a 9-month basis if you look at MMA, at least at the production level, we were roughly at 59 kt for the previous financial year; versus this year, first 9 months, we are roughly at 88 kt. So that is the kind of growth we are seeing from production point of view.

Jignesh Kamani: Okay, understood. Thanks a lot.

Moderator: Thank you. Next question is from Nitesh Dhoot from Dolat Capital. Please go ahead.

Nitesh Dhoot: Hello. Thanks for the opportunity. So with regards to your Prozeal SPV investment. So here Aarti Industries is transacting with a company where Mr. Gogri, the promoter of Aarti Industries, has a pre-existing interest. So if you could just clarify, how much is the promoter stake in Prozeal Green Energy? And any specific reasons why Aarti Industries couldn't directly have an investment in Prozeal Green Energy instead of Mr. Gogri having an investment?

Suyog Kotecha: Yes. I think these two are separate matters. I think what we are doing as Aarti Industries Limited is we are looking at group captive opportunities to purchase renewable power compared to the power that we are currently purchasing from the grid. And for that, a formal process was run for both solar as well as hybrid.

And both parties, Clean Max and Prozeal, were selected based on that formal process,

wherever we got the least rate in terms of rupees per kilowatt hour over a 15 - to 20 -year kind of supply agreements. I would not comment on Mr. Gogri's personal investments at this stage, but the only thing I can tell at this point in time, it's a competitive process run to select the partners for group captive projects. And that's the outcome of it.

The supply that is going to come from Clean Max hybrid group captive is going to be significantly larger. I think the supply that's going to come from Prozeal is dominantly solar,

which will also come in a much faster time frame within this calendar year itself. And both projects put together will deliver significant cost savings to AIL as part of their power cost saving initiatives.

Nitesh Dhoot: All right. Thank you.

Moderator: Thank you. Next question is from Pratik Oza from Systematix. Please go ahead.

Pratik Oza: Yes. Thank you for the opportunity. I just wanted to understand. What's our hedging policy?

And given that the rupee is depreciating and it might depreciate further, so the MTM loss which we saw of INR23 crore, can we expect the same amount, number in Q4?

Chetan Gandhi: So, on the hedging policy. I mean, if you look at it, we are a net exporter. So our exports is almost, around INR4,000-plus crore every year. So one of the way to look at hedges from a long-term perspective is that you keep some part of the liability open. Unfortunately, the accounting principle prevails, which says that the benefit which you get on the exports over a longer period of time is not to be recognized.

However, in case of the liabilities, the variation has to be accounted on the day it happens or it prevails, so which is where it is. So from a structural perspective, the rupee depreciation, despite keeping an ECB open, will benefit us over a long-term perspective. There will be a quarter-on-quarter, depending on how the rupee depreciates, there will be some benefit available in the top line and which could be visible.

As regards your second question, in terms of the impact which would come in the subsequent quarter, yes. I mean we've seen December quarter ending at a rate of 85 -60 to 65 or something.

We'll have to see in terms of at what rate the March quarter will end. So the open exposure of around \$130 million will be kind of re-evaluated or revalued, basis the delta differential between the December and March quarter. And the appropriate accounting treatment for that will be done. It's more of a practice which will be followed, which has been followed year after year and which continue to be there.

Moderator: Okay. Thank you. Next question is from Bhavin Soni from Anand Rath. Please go ahead.

Bhavin Soni: Sir, I just wanted some more light on the gross margin. So how much will be the effect of aniline build-up? And how much will be the effect of if you have taken any pricing hit on MMAs for pushing volume? Because there is some pricing adjustment strategy mentioned in

the PPT.

Suyog Kotecha: Yes. So I think both of these are linked to each other. I think more representative gross margin number is potentially in the range of, I think, 13% -odd kind of a range. EBIT DA margin and that correspondingly sort of getting converted into gross margin numbers. But difficult to segregate the impact because, both are linked with each other. I guess, in Q4, you will get a much better handle of the gross margin numbers, as the inventory impact of aniline is taken care in the Q3.

Bhavin Soni: Okay. And lastly, just from an industry perspective, like, if you could just highlight on global capacities in MMA and MTBE and would MMA going forward take much share from MTBE, or no?

Suyog Kotecha: I think both are, frankly, not comparable. MTBE, we are talking about, if my understanding is right, more than 30 million tons of global capacity, versus MMA global capacity remains significantly less than 1 million tons, right? So

I think difficult to compare them. MTBE has been around for decades and very well -established product to be used as octane booster, versus MMA is a challenger and recently started in last few years. Both have their own pros and cons, but given the penetration level and the recency that we have on the MMA, we feel confident of scaling up that business over the next few years.

Bhavin Soni: Okay. Thank you.

Moderator: Next question is from the line of Ankur Bhadekar from ULJK Financial Services. Please go ahead.

Ankur Bhadekar: Hi, sir. Thank you for the opportunity. So a couple of questions from my side. My first question is, we are seeing a good volume growth in nitrochlorobenzene. So is this volume improvement mainly due to better nitric acid availability? Or is it the result of a structural increase in demand?

Suyog Kotecha: No, it's a combination of both. I think, yes, we do face nitric acid supply challenges given the kind of supplier portfolio that we have in the country, but I will say the increase that you are seeing is a combination of both increased reliability as well as increased demand from downstream segments. I think we discussed this in some of the previous questions. One of the major downstream use of NCB, especially PNCB, is into paracetamol and as the consumption in that segment goes up, the demand for PNCB in the domestic market also goes up.

Ankur Bhadekar: Okay. So my second question was how complex are the products that we are going to manufacture in the fluorochemical space in terms of, number of reactions or process chemistry or R&D, like if you could provide some light on that part.

Suyog Kotecha: So difficult to answer the question at a generic level. I think the only thing I can say is that, all of our new product developments that are happening, they are relatively complex, which involve at least 4 to 6 chemistry steps before we reach the final product step, right? So from starting with a bulk product like NCB or DCB or a PDA or NT, which is what we call sort of bulk chemicals. From that 4 to 5 reaction steps downstream is where we are doing most of our new product developments.

Ankur Bhadekar: And what will be the margin profile of those products, like, on an average? Can you give some, like, ballpark number?

Suyog Kotecha: Again, it would vary product by product, and the multiple. We're talking about 25, 30 different products, so it is difficult to generalize the answer, but in general, as you have more steps in terms of reaction steps as we go through the manufacturing process, the margin profile should ideally improve and look better than bulk chemicals.

Ankur Bhadekar: Right, and that's it from me. Thank you so much.

Moderator: Thank you. Next question is from Kushal from Shah Securities.

Kushal: Thank you for the opportunity. My question is in terms of what is the pollution profile of monomethyl aniline, firstly? And secondly, in the last call, we said that we are also providing a solution-oriented business for this particular molecule, so could you explain what kind of solution we provide to our customer and how difficult it is to replicate that solution for someone, some other player?

Suyog Kotecha: I think the solution varies, depending on the nature of the customer. In some cases, it could be supply chain complexities, ability to handle large -volume cargoes over a large distance while maintaining the quality of the product. In some cases, it could be a formulation for a specific customer, depending on their sort of product portfolio available and what properties they are looking to meet in their end cargoes. So I think the nature of the solution we provide varies, depending on the customers that we are targeting.

Kushal: Thank you for the answer. And my second question was on what kind of pollution profile does monomethyl aniline have? Does it increase the pollution of the fuel? And also, could y

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compare it with other kind of octane boosters that are available in the market? Like, as a customer, why would I use monomethyl aniline over some other octane boosters? What are the benefits of it?

Suyog Kotecha: So I think, from a pollution profile, there is no adverse impact on our customer. And usually

this product is blended at less than 1% to 2% in the final fuel component, so the overall impact, it's significantly lower. The true USP of this product is the higher octane number, right? So we are talking about an octane number which is 400-plus kind of a range, versus a conventional gasoline will typically have around in the range of 90-odd numbers. And that is the USP of this product, because of which we are able to create different solution profiles for our customers.

Kushal: I have heard that certain geographies have banned this kind of product. So do we anticipate that the current positions where we export it can be banned in future?

Suyog Kotecha: No, we do not anticipate that. I think that it's also a little bit misunderstood in the global market. Sometimes the ban is also linked to ability to handle the products, right? So as we educate more and more countries' port operators and customers on how to handle these products, we are able to scale up usage of these products. The fact is, the countries like U.S. or the countries like in the Middle East are able to use this product suggests that the product is commercially deployable in most of the gasoline cargos globally.

Kushal: I'm thankful for the answers. That was very deep explanation. Thank you.

Moderator: Thank you. Next question is from Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Thank you so much for the follow-up. Just a couple of quick book keeping questions. One is on the net debt number for the end of the December quarter, if you could please share that.

And second, on the tax rate, given that we've had a kind of a tax benefit throughout the year, what sort of numbers should we work with for fiscal '25 as well as '26?

Chetan Gandhi: I'll take the tax rate question first. The tax rate in this year, considering that a lot of projects are getting commercialized and there will be some IT depreciation benefits; will continue to remain the way it is currently. So it will be marginally negative and or about closer to 0. Next year, it should be in a more like a low single -digit kind of range, at least at this point of time. That is what I've been saying. On the debt number, we are fairly similar to around INR3,600 crore of debt broadly on that, on net debt basis.

Abhijit Akella: That was INR3,300 crore, right?

Chetan Gandhi: Currently at INR3,600 crore.

Abhijit Akella: INR3,600 crore. Thank you so much, sir. All the best.

Moderator: Thank you very much. That was the last question. I would now like to hand the conference back to the management team for closing comments.

Suyog Kotecha: Thank you, everyone, for taking your time to join us on this conference call. I think the company is much stronger with renewed vigor on excellence, innovation, passion and determination. As a global partner of choice, which is our vision, we will continue to serve and expand our robust client base while ensuring sustained value creation for our shareholders by optimizing our assets and venturing into newer business opportunities.

I hope we have been able to address all of your queries. If you have any further question, feel free to contact our investor relations team; and we will do our best to address them. We look forward to connecting with all of you again in the next quarter. Thank you. Thank you once again.

Moderator: Thank you very much. On behalf of Aarti Industries Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2025

May 15, 2025

To,
Listing/Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

BSE CODE : 524208 To,
Listing/Compliance Department
National Stock Exchange of
India Limited
“Exchange Plaza”, Plot No. C/1, G Block Bandra-Kurla Complex,
Bandra (E), Mumbai – 400 051.
NSE Symbol : AARTIIND

Dear Sir/Madam,

Sub.: Transcript of Q4 FY25 Earnings
Conference Call.
Ref.: Regulation 30 of the SEBI
(LODR) Regulations, 2015.

Please find enclosed the Transcript of the Q4 FY 2025 Earnings Conference Call
held on May 8, 2025.

Kindly take the same on record.
Thanking You,

Yours faithfully,
FOR AARTI INDUSTRIES LIMITED

RAJ SARRAF
COMPANY SECRETARY
ICSI M. NO. A15526
Encl.: As above.
Page 1 of 15

Aarti Industries Limited
Q4 FY 2025 Earnings C onference Call Transcript
May 08, 2025

Moderator: Ladies and gentlemen, good day and welcome to Aarti Industries Q4 FY '25 Earnings
Conference Call.

As a reminder, all participant lines will be in listen-only mode. And there will be an
opportunity for you to ask questions after the presentation concludes. Should you
need assistance during the conference call, please signal an operator by pressing “*,” then “0” on your touch tone phone.
Please note that this conference is being
recorded.

I now hand the conference over to Mr. Nishit Solanki from CDR India. Thank you and
over to you, sir.

Nishit Solanki: Thank you. Good evening, everyone. And thank you for joining us on Aarti Industries'
Q4 & FY '25 earnings conference call.

Today, we are joined by senior members of the management team, including Mr.
Suyog Kotecha – Executive Director and Chief Executive Officer; and Mr. Chetan
Gandhi – Chief Financial Officer.

We will commence the call with opening thoughts from Mr. Kotecha on Q4 and FY
'25's performance overview and outlook, post which we shall open the forum for Q&A
where the management will be addressing queries of the participants.

Just to share our standard disclaimer: Certain statements that may be made in today's call may be forward-looking in nature
and a disclaimer to this effect has been included in the results presentation that has been shared earlier and uploaded on
stock exchange websites.

I would now like to invite Mr. Kotecha to share his perspectives. Thank you and over

to you, sir.

Suyog Kotecha: Thank you, Nishid. Good evening, everyone. And thank you for joining us today. Apologies for joining this call 15 minutes late.

Let me begin by acknowledging FY26 has started on a measured note coupled with new uncertainties such as US tariff actions, etc. We continue to operate in a volatile external environment marked by increased global uncertainty stemming from geopolitical events and evolving trade dynamics, requiring us to remain agile and

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adaptable in our strategic planning. Having said so, we are seeing encouraging signs of stabilisation in demand across several end-user industries and underlying volume growth across our businesses. This growth is being supported by our strategic initiatives to diversify our product portfolio, expand our geographical reach, and strengthen our customer relationships. Overall, we are well poised to navigate the current volatility and capitalize on future growth opportunities within the evolving chemical landscape.

I am pleased to share that we ended the challenging year with a positive note. We clocked in total revenue of Rs 8,046 crs posting a growth of about 15%, while EBITDA grew by about 3% to Rs 1,016 crs on consolidated basis. Commercialisation of our various projects and higher interest costs in FY25 increased the depreciation and finance costs components resulting in PAT of Rs.331 crs.

Speaking of our Q4 performance has been steady on a sequential basis. We clocked revenues of Rs. 2,214 crore, marking a 9% QoQ growth, largely driven by volume recovery across all end applications. EBITDA for the quarter came in at Rs. 266 crore, reflecting a 13% sequential improvement. Likewise, PAT increased to Rs. 96 crore, driven by better cost efficiencies achieved through higher volumes.

Considering the annual performance, the Board has recommended a final dividend of Rs. 1 per share (20% of face value of Rs. 5/■ each) for FY25.

Speaking of specific applications, volumes for Energy applications grew 21% QoQ driven by our strategy to diversify and widen the customer base and geographical spread. On the other hand, our base business has shown good volume recovery in chains such as Nitro Toluene, NCB, and Ethylation based products, driven by new capacity additions and improving demand landscape. These segments have contributed to a sequential uptick in overall performance and will remain a focus area moving forward. Volumes grew 14% QoQ. Even as agrochemical inventory levels seem to have stabilised, demand for other end-use applications like dyes, pigments, and polymer additives remains positive. We anticipate the volumes to continue this growth path as we move forward.

Earlier this year, we signed two renewable energy power purchase agreements for solar and hybrid power with Cleanmax and Prozeal. These agreements are on track, with one of the contracts to start delivering within this calendar year, and the second one is expected to begin by end FY26 or early FY27. Upon commencement, this will lower operational costs and provide sustainability benefits by facilitating a transition to a cleaner, more resilient energy landscape.

Sustainability continues to be a key driver of our future roadmap. AIL has been elevated to the CDP Leadership Band for its outstanding performance in Climate

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Change and Water Security. Our ESG score improved significantly from to 62 in the S&P Global DJSI, positioning us in the top decile of global chemical companies. We have maintained the Gold Medal in the EcoVadis CSR Assessment for 2025, marking our fourth consecutive year of excellence. Our score has improved to 78, up from 72 last year, placing us in the top 5% of companies assessed by EcoVadis. AIL has been granted approval by the Indian Chemical Council (ICC) to use the Responsible Care (RC) logo for a three-year period, from April 2025 to March 2028. All this accomplishment reflects our unwavering commitment to the Responsible Care principles, highlighting our dedication to sustainable practices and ethical conduct across all aspects of our operations.

In FY25, several cost optimization initiatives, both variable and fixed, were successfully completed, with plans to achieve similar targets in FY26. The key achievements include the successful implementation of the Ba

ck■Pressure Turbine

Project to improve steam efficiency, the scale up of power generation through our Hybrid Power Phase■1, which also helps in reducing our carbon footprint and generating cost savings, and yield improvements across key product/value chains such as Ammonolysis, NCB, Halex, and Hydrogenation. Additionally we are taking

steps for fixed cost optimisation and are progressing well.

Our CAPEX for FY25 stood at about Rs. 1,372 crore, in line with expectations. Our large project initiatives at Zone IV are being executed in a phased manner, with commissioning scheduled to progress through FY'26. Our newly operational pilot plant at Zone IV has already commenced commercial operations. It will play a vital role in driving new product development, fostering innovation, and supporting the diversification of our offerings moving forward. Based on our current plan, we expect the capex in FY26 to be about 950-1000 crs.

To sum up, while the external environment remains volatile, we are encouraged by our business's resilience, agile cost control measures, and clear path to capital discipline. We are entering FY26 with a strong execution pipeline, a healthier balance sheet, and a sharp focus on delivering sustainable, volume-led growth. Thank you, and I now welcome any questions from the participants

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Kumar Saumya from Ambit Capital. Please go ahead.

Kumar Saumya: Good evening. Sir, my question is on the volume growth, so if you could give us indication on the year-on-year volume growth in FY '25 as well the 4th Quarter.

Suyog Kotecha: So I think on a 4th Quarter or quarter-on-quarter basis, non-energy business grew roughly 14 odd % and the energy business grew by almost 21%. I think that energy

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business volume growth was also linked to, as we explained in the last call, one of the shipment had got pushed out from Q3 to Q4. So that's the range of volume growth numbers. If you look at year-on-year numbers, FY '24 versus FY '25, we are roughly at around 17% growth at overall portfolio level.

Kumar Saumya: And we expect to continue this growth momentum at least on the volume side?

Suyog Kotecha: I think if you look at the capacity utilization numbers that we have given value chain by value chain, it clearly shows that we have significant upside to drive volume growth based on existing asset footprint and we remain very aggressive in the market to capture growth as well as increasing market share to ensure we drive up our capacity utilization levels.

Kumar Saumya: Sure sir. Thank you. I will come back later.

Moderator: Thank you. The next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: Thank you, sir, for the opportunity. I have a couple of questions. Sir, on the agrochemical business, we had witnessed that volumes had reported an uptick, but pricing still remains under pressure. Any specific reasons sir for this, because the destocking cycle has ended roughly around 9 to 10 months back, so why are the prices still weak?

Suyog Kotecha: We covered this in some of the earlier conversations. I think overall our perspective is, the inventory destocking story got done some time back. I think there's a genuine demand supply imbalance issue for the agrochemical intermediates and downstream technicals. We are seeing volume recovery for sure, but given the amount of over capacity that exists in China, that incremental volume growth is also served by marginal pricing, and that's where we are not seeing uptick on pricing/margins at this stage. Going forward, especially with the with the US tariffs announcements, there are some movements happening in the overall agrochemical value chains and we expect, at least from a downstream product flowing to US point of vi

ew, there should be positive traction and in that context, the requirement of intermediate for our domestic customers is expected to go up.

Aditya Khetan: Sir, this should benefit after the tariff imposition, or do you think the demand supply dynamics will automatically adjust and we can see improvement from the very first day?

Suyog Kotecha: No, it will take its own time to adjust. What is very clear is that the volume and the demand growth is there. I think pricing and margin is a bit of a complex question to answer because there are second and third order impacts. The downstream exports of Chinese technicals and formulations get impacted, they will also have a tendency of dumping the intermediate product portfolio in the remaining part of the world. In that context, how as the country and as the market we protect ourselves from that dumping will also determine to some extent our margin profiles for those intermediates. So the impact coming out from US tariffs, especially on the agrochemical sector, I think the second and third order level of impact is yet to become visible and our sense is it will take a few months to play out.

Aditya Khetan: Sir, when we say that the agrochemicals and pharmaceuticals volumes are witnessing an uptick, even the dyes segment also, so why are the dichlorobenzene volumes in the second half relatively weak compared to the first half?

Suyog Kotecha: So dichlorobenzene, the end application is actually polymer, right? PDCB specifically goes into the polymer segment mostly into PPS which is used into automotive kind of applications and that segment has been under pressure from a demand point of view. So, I think in the first half we were actually expecting much more inventory correction by some of our customers in US and Japan, and that's what impacted DCB chain volume. But again, even in that case, we have seen some level of inflow coming in, especially from the US customers to advance their shipments in the first quarters to have certainty around the tariff impact. So, we will see slightly different behavior over the next three months. But in general, the DCB volume question that you asked was more linked to polymer end application, it was not linked to the other two applications.

Aditya Khetan: Sir, just one last question, this quarter SABIC, which is the Saudi chemical giant, so they have also reported losses at the bottom line and sir, one of our long-term contract is linked with SABIC. So does this change or alter any of the offtake agreements with them?

Suyog Kotecha: No, there is no impact on our arrangement at this point.

Aditya Khetan: Okay, got it. Thank you.

Moderator: Thank you. The next question is from the line of Vivek Rajamani from Morgan Stanley. Please proceed.

Vivek Rajamani: Hi sir. Thank you so much for the presentation and congratulations on a good set of numbers. Two questions from me. Firstly on the MMA side, I think you mentioned in your comments that you have made progress on expanding the customer base as well as the geographic base. Could you just talk a bit more about what kind of customers these are, and what kind of impact they could have in terms of the pricing as they ramp up? That's the first question.

Suyog Kotecha: So, the MMA effort, as we mentioned earlier, I think we are obviously trying to diversify consumption, which is more concentrated mostly towards the Middle East. Now we are seeing increasing supplies going to the US, some of the supplies going into Europe, as well as the Indian volume is also looking up. So in that context, broader geographic diversification is playing out. At this point in time, we remain focused on market development, right and the objective is that we have a significant capacity to produce this particular product and we remain focused on developing the market and ensuring there is a much wider customer base which has used the product, understood the value proposition, and is able to consume it in sort of larger quantities in their end applications. From a pricing and margin point of view, it's relatively linked to raw material in most cases and I think most of the global markets do understand it to a great extent now aniline is the key raw material which ultimately drives the MMA price. At the same time there is also an impact of the downstream end market side. As we have explained before, ultimately the viability of the product to the end customer is linked to gasoline, naphtha economics and gasoline crude economics. So a combination of these two is what determines the pricing. But right now our focus remains on developing the market for higher volumes.

Vivek Rajamani: Sure, sir. Thank you so much for that. The second question I had was more from the broader customer base. Just wanted to get your thoughts, with everything that's happened recently in the past few months, how are the customer conversations generally evolving into the remainder of '25 and '26? Is there more uncertainty? Is

there a shift towards probably more short-term contracts? Could you just give us a sense of how the customer is thinking about everything that has been evolving? Thank you.

Suyog Kotecha: So if you are asking specifically about MMA, then I think as I said, we are in a development phase. So I think every conversation is sort of a discovery of a new client, taking them through the entire sampling qualification, sort of try and test mode and that journey continues.

Vivek Rajamani: No, Sir. Sorry. I was actually talking non-MMA. I think you covered MMA already.

Suyog Kotecha: On non-MMA, frankly, the volume growth still looks very strong. I think, yes, the recent events do pose a challenge where some of the customers start going into sort of holding decision kind of mode, right? Because there is so much uncertainty around what's going to happen to tariffs, what's going to happen to end market growth, will there be recessionary pressures, will growth rates come down. I think in that context we saw there was a phase in which there is kind of a holding pattern where people start pushing out key decisions. But over the last few weeks, we have also started seeing people coming back, and sort of moving on with respect to regular business. In general, we are anticipating the tariff issues to settle down over the course of the next two to four months. And that will definitely bring much more clarity in terms of how the final trade will settle.

Vivek Rajamani: Sure, sir. I will rejoin the queue. All the very best.

Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities.

Please go ahead.

Abhijit Akella: Good evening and thanks for taking my questions. Suyog, first on the outlook for fiscal '26, would it be possible to share any revenue or EBITDA kind of targets you have for the year? I know there's a three-year target out there, but anything you would like to share for fiscal '26 please?

Suyog Kotecha: No, Abhijit, we are not talking about specific yearly guidance, we mentioned that last time, right. We have set out a strategy for the three years and I think the only thing I can confirm is we remain on track to deliver that three-year numbers. Of course, not all of it is back ended. I think we have also given clarity on initiatives that will lead us to that range, right, and the initiatives are a combination of cost, operating leverage-related ramp ups, and then new CAPEX-led growth and in this time's presentation we have also talked about, at least given some indication of which of these initiatives are completed, which of these initiatives are sort of ongoing and are in the advanced stage of completion. So in that context what we can say is that we continue to remain optimistic about volume-led growth for the coming financial year. From a three-year standpoint, we are not changing the guidance that we had given ea

rlier. And we feel confident and remain on track to achieve that.

Abhijit Akella: Second, just on the tariff impact, are most of the products you export to the US exempt from the tariffs? and if so, what sort of implications, if any, do you see for your business in the context of these whole tariff developments?

Suyog Kotecha: So I think if you want one line summary, then I can say that the overall US tariff impact in terms of AIL is a bit mixed, right. Because it is complex, we have a wide variety of product portfolio, and different products have different implications because some products are part of Annexure-2, and some products are not part of Annexure 2. In general, the products where we are directly competing against China,

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and if they are not exempted, if they are not part of Annexure 2, then in that context of course we have a positive tailwind and likes of, for example, MPD is one of the product in PDA chain where in the near term we are seeing positive demand traction

because it's not part of exemption and the competition was from China, so there is a clear-cut advantage.

While there are some products which are part of exemptions, but even though they are part of exemptions I think there is a tendency generally coming out from the market to see if they can source better volumes from India, provided we are able to meet the pricing expectations. This is a second category of products, and there are a lot of products in that category, especially in agrochemical science and life sciences.

And the third category of the product is like, for example MMA, where we are not really frankly competing head-on with any particular manufacturer, but it's more of a market development effort that we are doing. In that context, of course, tariffs have a negative impact because they straight away add cost to the product for the final customer and the economic viability does get a little bit compromised because of increased costs.

So I think three types of scenarios I described, all of them have different types of impact and we are not even talking about second or third order impact, right. Right now we are talking about a direct product level impact, but in the overall three to four months' time frame, the second and third order impact will also start to come through in terms of what happens to end use sector growth, what happens to US demand, what happens to the extra volume that gets freed up from China. So, all of that is expected to play out over the course of the next few months and quarters.

At current level, based on our best judgment, we can say it's a mixed impact on AIL. Certain products are definitely seeing positive traction, whereas for certain products we are trying to adjust the pricing to ensure that the tariff impacts are absorbed by both sides in a fair manner.

Abhijit Akella: That's a really helpful color actually, thank you for that. And just one last thing for me before I rejoin the queue. Just on the CAPEX outlook for Fiscal '26, the Rs. 1,000 crore approx number, what projects specifically is that going into, the bulk of it? And from a revenue growth standpoint for fiscal '26, is it coming primarily from better utilization of the existing product capacities or are there any significant contributions from the newer projects you are commissioning, say for example Zone-4 ends up getting commissioned? Thank you.

Suyog Kotecha: So I think the bulk of the CAPEX spend that we have committed right now is going to Zone-4. I think we will complete the Zone-4 CAPEX by and large within this financial year, a significant part of that number is sort of reserved for that. In terms of volume growth for this year, a large part of it will come from existing asset which are already commissioned.

Zone-4 staggered commissioning will happen throughout let's say Q3, Q4 of this

financial. Especially the multipurpose plant, the calcium chloride plant is expected

to

start up in Q3. But we do not think there will be a significant addition to volume growth based on this. This will take time to stabilize, ramp up during this financial year. And the volume growth from all of these assets will actually start to get reflected from the next financial year. So yes, this year we are pushing for volume growth from the existing assets which are already stabilized and ramped up.

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Abhijit Akella: Understood. Thanks a lot. And all the best.

Moderator: Thank you. The next question is from the line of Arun Prasath from Aventus Spark.

Please go ahead.

Arun Prasath: Good evening. Thanks for the opportunity. Suyog, the first question is on the impact of the current crude prices on the MMA. So, I understand that probably our realization will also go down as the crude price comes down, but what will happen to the spreads, especially the gasoline naphtha spread? Historically has it come down and will that also have impact on the MMA margins that we will be realizing?

Suyog Kotecha: So Arun, the crude prices have been corrected very sharply and at the absolute level gasoline and naphtha have also been corrected. The gasoline-naphtha spread has actually widened a bit if you look at the March numbers or the April number for that matter and as I described, I think absolute prices are of importance, but at the same time the delta is also of larger importance because that's what determines the viability of the product. So that's first. Second, as the absolute tests are coming on the crude gasoline side, even the raw material is also coming down quite significantly. So, though of course there will be a lag in terms of adjusting the raw material from inventory valuation standpoint because bulk of this raw material is imported from out of India. So usually there's a lag of one and a half to two months to get the pricing adjusted from a raw material costing point of view. But there's also significant correction on that front. In that context, overall we feel if the current gasoline naphtha differentials are maintained, then we are hoping to continue on the volume trajectory.

Arun Prasath: But directionally, the spread increases on the lower crude price, is it a short term event and it will revert to the mean or the medium term, is it the right understanding?

Suyog Kotecha: Frankly, I would be totally honest, it is very difficult for us to forecast gasoline-naphtha spreads, especially in different crude price environments. I think I have seen forecasts from three different agencies in the last six months and none of them have panned out the way they were supposed to be. So, what we remain focused on is to ensure that; what's important for us at this point in time is that the product is available to more and more customers in the global market, and that's what we remain focused on. The current level of differentials is good enough for people to try out this product and sort of scale up the usage of this product and the third aspect is, we continue to optimize on our cost, right, both raw material as well as operating cost to ensure that we are able to offer better value proposition to our customers.

Arun Prasath: Right, right. Understood. The second question is on our three-year EBITDA growth outlook that we have given, out of the three buckets one is cost optimization and then volume ramp up, and then CAPEX-led growth. Is it fair to assume that cost optimization bit we will be realizing this year in FY '26?

Suyog Kotecha: From an implementation point of view, bulk of it will be done in FY '26. From an EBITDA accrual of that saving initiative point of view, it will go into, I think the full approvals will happen into next sort of, not in this financial year but the next financially, especially the hybrid projects which are expected to contribute also significant value. They will start accruing to the bottom line fully from the start of FY '27. So

implementation wise, yes; accrual point of view, slightly delayed.

Arun Prasath: Even for the cost optimization bucket?

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Suyog Kotecha: Yes, especially the hybrid power part of it.

Arun Prasath: So sir, largely this '26 fiscal earnings growth will be led by the macro parameters?

Suyog Kotecha: Yes. I think as we said, we remain focused on driving up utilizations of surplus capacity that we have in the existing scene and then continue to optimize the cost.

Arun Prasath: Understood. Thank you very much. All the best.

Moderator: Thank you. The next question is from the line of Deekshant Gupta from Geojit PMS.

Please go ahead.

Deekshant Gupta: Good evening. Sir, my question was, what exactly would be the reason for higher expense growth than the sales growth? Even though the sales volume has grown a lot, the expenses have grown a lot, but the sales number has not grown as much. So what would you attribute that to?

Chetan Gandhi: So there's this increase in the global transaction or shipment, so the export numbers have been significantly higher. If I have to put the number out, 55% of revenue for the quarter is from exports as compared to the previous period where it was close to 48%, 50% . So that has resulted in an increase in the freight cost.

Deekshant Gupta: And you are saying that after the cost optimization takes place then the margins will improve, and this profitability will go up?

Chetan Gandhi: Yes, that is how it will plan out.

Deekshant Gupta: And with decreasing crude oil and petrochemical prices, do you see that the volume growth can offset the pricing pressures?

Suyog Kotecha: Both frankly are a little bit delinked. I think for us, if you look at the reducing price environment, right, if you really want to sort of go a bit deeper into the analysis, what are the major raw materials that we consume? We have benzene, we have nitric acid, we have aniline, right, and we have toluene to some extent. Out of which benzene and nitric acid we practically operate on a very, very limited inventory, we are talking about one to five days kind of inventory. So in that context, the pricing impact in our inventory is intermediates, right. So our ability to manage that to our customer is very, very high.

Versus aniline is where we import the raw material, so of course we have to maintain certain inventory and then there is a one and a half, two months lag in terms of reflecting the latest market pricing into our inventory valuation, which is where we have to manage the inventory valuations to some extent while ensuring that we give the best possible service to our customers. So on a net-net basis, from a volume growth point of view, we manage our inventories and pricing in a way where we do not let that impact our volume growth, and that's been the philosophy for the operations.

Deekshant Gupta: Okay. Thank you. That is all from my side.

Moderator: Thank you. The next question is from the line of Harsh Shah from HSBC Asset Management. Please go ahead.

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Harsh Shah: Hi. Just one question, in your balance sheet your debtor days have reduced on a Y-o-Y basis, inventory days more or less is the same. But your payable days have more than doubled, what is the reason for that? Because if you look at from a cash flow perspective also, apart from operations, the increase in debtor days has led to a significant cash flow accretion for you in this year. So yes, what is the reason for that?

Chetan Gandhi: It's more of some of the imports of raw materials such as aniline and everything comes at the longer credit, which is why those numbers have gone up and also the aniline consumption over the last 12 months has been significantly higher. If you look at the volume data of different products, MMA, the volume numbers across two years have increased by more than almost 38% or so. So that has resulted in higher consumption of aniline, higher import of aniline

which comes at a longer credit.

Harsh Shah: Okay, and entering FY '26, will this remain like this, or will this reduce? Because this is again also one of the reason why as such yours net debt has remained range bound.

Chetan Gandhi: I guess with the increase in the volumes, probably there could be a bit of an uptick at which the opportunity is available. But broadly I will say, between here and a bit of increase in those numbers, we will be somewhere midway.

Harsh Shah: So as a company basis, in the whole of FY '26 or you can also guide for H1 if the outlook is still not there, what is the over all working capital days that you are looking at?

Chetan Gandhi: So it should be somewhere between 70 to 80 days on a gross basis. We will have to work out some numbers, but yes, it should be that way.

Harsh Shah: Because ideally that will lead to reduction in payable days, which will again shoot up your debt position. Your cash may not be able to handle that much of reduction in payables.

Suyog Kotecha: Yes. I think if you look at the absolute number of working capital, I think we feel pretty comfortable with where we are and I think without increasing the absolute rupees crore in working capital, we should be able to handle the FY '26 volume-led growth in our current sense.

Harsh Shah: Okay, just the last question from my end is with respect to net debt. You closed the year somewhere around Rs. 3,500 crore, for FY '26 how will this number look like, figuratively or directional?

Chetan Gandhi: So directionally, I guess, we would have peaked out. We expect the number to be lower. We are expecting some unlocking of cash flow from working capital as well.

So, plus the CAPEX intensity is also going down. So directionally, I expect the number to be lower by maybe Rs. 200-300 crore kind of range.

Harsh Shah: Okay. Got it. That's it from my side. Yes, thank you. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Vishesh Dhoka from Nuvama. Please proceed.

Archit Joshi: Hi, good evening, sir. Archit here from Nuvama. Sir, I wanted to get a better sense of growth prospects in FY '26, given our utilization levels I think it's quite conceivable
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that PDA, nitrotoluene and ethylation, these are the kind of low hanging fruits here. What would be the utilization of NCB and DCB given that we are above 70%, even in hydrogenation, where could we peak out? And if you could just give a directional sense of how do we see these three value chains of PDA, nitrotoluene and ethylation in terms of any visibility that you can give with regards to volume growth in FY '26.

Suyog Kotecha: I think I will talk about value chain specific ally, so let me start with PDA, which has frankly been an underperformer for the last few years. If you go by the current latest trends, we expect a significant uptick in utilization levels because of increasing demand in the US, given the tariff issues. So that change should see a higher level of utilization compared to last year. NCB, nitrochlorobenzene as a chain, given a couple of large customers are increasing their capacity, the bulk of the application there is pharma, and both large customers are increasing capacity. So through the year we also expect the NCB capacity utilization to go up from the current levels. DCB, frankly, we expect we should be able to maintain the current level of utilization levels. This is where there's a mixed bag in terms of the downstream consumer demand of PPS, which is going into automotive, a little bit of pressure and depending on how US and Japan plays out there could be some impact on the demand of DCB chain. So broadly, maybe we are able to maintain the current utilization level.

And nitrotoluene and ethylation are linked to each other because NT provides raw material for the ethylation chain. That's where the life-sciences and the agrochemical story comes into play. We are expect

ing higher utilization compared to last year for this particular chain, but it is a ramp up process because we have expanded capacity very recently. The full capacity actually got proven only in Q4 FY '25. So it will take a bit of a time to ramp up the capacity utilization levels. But nonetheless, the numbers should be better than last year.

Archit Joshi: Sure, sir. Got it. That's helpful. I just have another one on MMA. Just reading some articles with regards to some new competition beefing up in China, I think there's a company named Jiangsu New Materials whose planned the 4 lakh ton capacity, almost double of our size. While I am aware that the opportunity for developing this market is immense, do we see this trend of either switching from MTB to MMA or developing this market even in other areas is becoming a trend and would that be of any impact to us in the near to mid-term?

Suyog Kotecha: No, I think competition will come, right. I think people do track us closely, and in that context it is expected that competition will come up as and when we scale up certain products. But that's perfectly fine, if more people are trying to develop the market, it also works in the industry's favor. We do have a certain unique advantage for this particular product. I think of course we have a head start in terms of supply chain capabilities that we have built over the course of the last two years, that allows us to do some unique things which are not available to a lot of other players. Now, including I think some of the freight components, especially if you are sending bulk shipments to the Middle East or Europe or US, I think we are slightly better positioned at this stage compared to competition.

In addition to that, I think we remain sort of in the market aggressively to expand more and more customer base. Of course, we are expecting competition in the product and people will ramp up capacities over the course of, we do not know, maybe a year, maybe two. But at the same time, we feel the market is large enough to absorb the volumes and we do build certain competitive advantages which allow us to better capture the market share.

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Archit Joshi: Sure, sir. That's great. Thank you and all the best for the next year. Thanks.

Moderator: Thank you. The next question is from the line of Surya Patra from PhillipCapital. Please proceed.

Surya Patra: Yes. Thanks for the opportunity, sir. My first question is on the MMA. Sir, since it is a new product area and we have been seeing a kind of rapid expansion in terms of volume over the last few years, so given the kind of a new customer addition and all that, so how to see the progression and the growth in terms of volume for this product, let's say, for FY '26?

Suyog Kotecha: So I think we have described what's our current capacity and we have also said that over the course of the next two years we are targeting to utilize that capacity and that's where I think we will remain focused. Whether we take 12 months, 18 months, 24 months to reach a decent level of capacity utilization will be linked to the success of market development efforts. But that's the overall strategic direction that the current capacity numbers should be able to develop the market good enough to absorb that volume in a two-year kind of time frame.

Surya Patra: Okay. Overall, let's just say the overall growth for FY '25 if you see, it is entirely led by the volume-led growth.

Suyog Kotecha: Yes.

Surya Patra: So given the kind of new projects that we commissioned in the later part of FY '25 and hopefully and potentially the chlorotoluene which is likely to also come in the second half of FY '26, and also the likely ramp up in the MMA volumes given the new customer addition. So going ahead, for FY '26, is it fair to believe that the volume-led growth, again it would be volume-led growth, and the volume-led growth would be better in FY '26 compared to '25?

Suyog Kotecha:

So right now our base assumption, we are factoring in most of the growth led by volumes. So, we are not factoring the significant recovery in the margins because we do not see the demand supply imbalances from China getting corrected soon.

However, though that's correct at a macro level. I think from a near-term point of view there are events which are difficult to predict, right. How the US tariff scenario will

pan out, how geopolitical uncertainty will pan out, it's difficult to predict this stage.

But from management's focus point of view, I think we remain focused on delivering the volume growth. Margin is a function of a lot of external factors as well. If there is opportunity, we will capture it, right, but that's not a base assumption with which we are going into the financial year.

Surya Patra: Okay. Just even slightly more clarification, is it fair to believe that the volume-led growth what we are talking about for FY '26, that would be higher than FY '25 what we have seen? Or not predictable at this moment?

Suyog Kotecha: I think it's difficult to comment, I think we do not want to start talking about the sort of quarter-on-quarter exact sort of volume growth. I think we have certain assets; we have been very transparent with respect to where we are on the capacity utilization

for those assets and in a three-year plan, if you see bulk of the operating leverage-oriented initiatives, we are targeting to finish it in the first two years, right and that's

where we expect most of our assets, barring few where we have let's say costing

issues, where we are not competitive with respect to the world scale assets from others, we should be able to reach respectable level of utilization levels within the

first two years kind of time frame.

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Surya Patra: Okay. Sir, since it is the full year result that we are discussing, is it possible to just update about what is the kind of level of performance that we are having for the long-term contracts? So, whether we are in the expected lines or it is slightly below, given the kind of demand situation that is prevailing currently? Or how should we be thinking about the long-term contracts that have been doing so far for FY '25 and what is the likely outlook for those contracts for FY '26?

Suyog Kotecha: Yes, I think contractually speaking, I will take the simpler ones first. I think the 20-year purchase agreements that we have for nitric acid continues to perform exactly as per contract, no issues on that front. The other project that we have, which is where sort of our profitability is ensured, right, it's the polymer application with a global major, I think that continues to run very well, no changes on that front and there is another contract which we had with a US major for a very advanced specialty polymer intermediate, which has started ramping up only last year. We are expecting that to do even better in the coming year, right, with the asset now stabilizing and sort of demand kind of picking up. I think those are the easier ones.

The rest of the contracts are kind of sort of supply contracts for some of the key intermediates. Individually, depending on the end market applications, there will be a variation, right. I think the contracts ensure that there is a relationship between the two parties where we have sort of privileged access to each other, and there are

certain contractual terms in terms of volumes and pricing. But they do vary linked to market conditions and that's how it is playing out at this point in time.

Surya Patra: Okay. Sir, just one question for Chetan sir. So what is the export number for the quarter, sir?

Chetan Gandhi: The export number for the quarter was roughly Rs. 1,240 crore.

Surya Patra: Okay, Rs. 1,240 crore, so there is a kind of marked improvement sequentially that means?

Chetan Gandhi: Yes. So, as Suyog said earlier and it was shared in the last call, a couple of bulk

shipments of exports which were expected to move out in Q3, end of Q3 which didn't move, moved out in Q4. So that has also been one of the factors for why a bit of this number is higher. But yes, there's a significant improvement in export volume that we are witnessing.

Surya Patra: Okay, and so if there would be a kind of normalization in the export, then the other

expenses are also likely to see normalization going ahead?

Chetan Gandhi: Exports have a higher component of freight which is where you see the other expenses going up. If I have to specifically look at the fixed cost, the fixed cost actually has been lower on a sequential basis and more like a lower to flattish kind

of a situation. It's more of this freight and other components are there.

Surya Patra: Sure. Okay. Thank you, sir. I wish you all the best.

Moderator: Thank you. The next question is from the line of Siddharth Gadekar from Equitas. Please proceed.

Siddharth Gadekar: Hi sir. First on the tax rate, how should we think about the tax rate for FY '26?

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Chetan Gandhi: We still have one more year of heavy CAPEX cycle which is where the depreciation is going to be high. We will continue to remain lower and subdued on the tax rate. I know this year we have been negative on the tax rate level, I expect it to be somewhere close to mid-single digit next year.

Siddharth Gadekar: Okay. Sir secondly on the trade payable, I was still not clear on your answer that trade payables have jumped by Rs. 600-plus crore this year. How should we think about this number going into FY '26 and '27?

Chetan Gandhi: I believe there will be a potential uptake of maybe around Rs. 100 crore to Rs. 200 crore in next year, assuming the volumes continue to grow in the trajectory they are.

Siddharth Gadekar: The trade payables will increase you are saying by another Rs. 100 crore, okay, got it. Thank you.

Moderator: Thank you. The next question is from the line of Jay Bharat Trivedi from Incred AMC. Please go ahead.

Jay Bharat Trivedi: Yes. Thank you for the opportunity. The first question I have is with regards to the CAPEX that we are doing. The Rs. 1,000 crore CAPEX that we have estimated, how much of it would be maintenance CAPEX and how much of it is in the nature of new chemistries or new products what we are getting into?

Chetan Gandhi: I guess the maintenance CAPEX and CAPEX related to some of the initiatives which are there on the existing product should be in the range of Rs. 150 crore to Rs. 200 crore or so. Beyond that, everything will be for the new initiatives at Zone-4 is going to be a bulk of that.

Jay Bharat Trivedi: Okay, so Rs. 150 crore to Rs. 200 crore is the maintenance CAPEX, and rest is for new products, correct?

Suyog Kotecha: Yes.

Jay Bharat Trivedi: Okay, sir. And I was just quickly doing some numbers on the guidance which you have given for FY '28, for the Rs. 1,800 crore to Rs. 2,200 crore EBITDA, will our PAT fall around Rs. 900 crore to Rs. 1,000 crore range or am I far off? I do not want an exact number, but am I in the same lines what your assumptions are?

Chetan Gandhi: If I look at FY '28, my depreciation, which is currently at around Rs. 430-odd crore, should be somewhere between Rs. 580 crore to Rs. 620 kind of crore. So that's let's assume Rs. 600 crore or Rs. 620 crore on depreciation. Interest, I am not sure what's going to be the interest rate scenario but let us assume a current number of around Rs. 250 crore to Rs. 270-odd crore, then we will have around roughly Rs. 50 crore going out. So, I would assume at Rs. 1,800 crore we would be somewhere between Rs. 900 crore to Rs. 1,000 crore at the PBT level and at Rs. 2,200 crore we will be somewhere between close to Rs. 1,200 crore, Rs. 1,300 crore.

Jay Bharat Trivedi: Okay. Yes, thanks. Those were my questions. Thank you so much and all the best, sir.

Moderator: Thank you. The next question is from the line of Meet Vora

from Emkay Global.

Please proceed.

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Meet Vora: Yes. Thanks for taking my question. Just on this MMA side, so while we are seeing that in US market it would add extra cost on the consumer and there could be some impact because of absorbing this cost at their end. My understanding was that this is imported by blenders for re-exports and thus tariff will not be applicable. So is MMA a part of exempt list or is it not?

Suyog Kotecha: No, MMA is not part of the exempt list.

Meet Vora: And is it used for reexports, or will tariff be applicable on this?

Suyog Kotecha: No, our current understanding is that tariffs would be applicable on this.

Meet Vora: Okay and secondly, as regards NPDA, have you seen any benefit coming in Q4 because of maybe pre-buying or will we see that largely in Q1? And also say in terms of FY '26, in Q1 we will see higher volume s, and maybe once tariffs taper off, will we see rollback in Q2 because we have significant capacity as compared to the utilization right now. So I was just trying to gauge the benefit of this NPDA product.

Suyog Kotecha: No, so I think the tariff announcements only came in April first week. So, in that context, we saw upside or we are seeing upside as we speak from this quarter's standpoint. How does it stabilize in the mid-to-long term will depend on sort of how

the tariff situation finally settles down. But yes, from a Q1 point of view, on this specific molecule, we do see some upside.

Meet Vora: Understood. Thanks. That's all from my side.

Moderator: Thank you. Ladies and gentlemen, we will take this as a last question for the day. I would now like to hand the conference over to the management for the closing comments.

Suyog Kotecha: Thank you everyone for taking our time late evening. As we mentioned earlier, I think despite a challenging year we ended the year, I would say, on a positive note, with a year-on-year growth both on revenue as well as on EBITDA. As we get into FY '26 despite volatile macros, we remain quite focused on driving all the cost improvement initiatives, remain very agile in our business operations to ensure that we take opportunities wherever available given the geopolitical uncertainty and in that context, remain committed to deliver on our three-year guidance. Thank you everyone and have a good night.

Moderator: Thank you, sir. On behalf of Aarti Industries, that concludes this conference. Thank you all for joining us. And you may now disconnect your lines.

Call: Aug 2025

August 8, 2025

To,
Listing/Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

BSE CODE : 524208 To,
Listing/Compliance Department
National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C/1,
G Block Bandra- Kurla Complex,
Bandra (E), Mumbai – 400 051.
NSE Symbol : AARTIIND

Dear Sir/Madam,
Sub.: Transcript of Q1 FY26 Earnings
Conference Call
Ref.: Regulation 30 of the SEBI (LODR)
Regulations, 2015.
Please find enclosed the Transcript of the Q 1 FY 202 6 Earnings Conference Call
held on August 1, 2025

Kindly take the same on record.
Thanking You,
Yours faithfully,
FOR AARTI INDUSTRIES LIMITED
RAJ SARRAF
COMPANY SECRETARY
ICSI M. NO. A15526
Encl.: As above.

Page 1 of 17

Aarti Industries Limited
Q1 FY 2026 Earnings Conference Call Transcript
August 01, 2025

Moderator: Ladies and gentlemen, good day and welcome to Aarti Industries Q 1 FY '2 6
Earnings Conference Call.

As a reminder, all participant s' lines will be in the listen -only mode and there will be
an opportunity for you to ask questions after the presentation concludes. Should
you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.
Please note that this conference is
being recorded.

I now hand the conference over to Mr. Nishi d Solanki from CDR India. Thank you
and over to you.

Nishid Solanki: Thank you. Good morning, everyone and thank you for joining us on Aarti
Industries Q1 FY26 Earnings Conference Call.

Today , we are joined by senior members of the management team including Mr.
Suyog Kotecha – Executive Director and Chief Executive Officer and Mr. Chetan
Gandhi – Chief Financial Officer.

We will commence the call with Opening Remarks from Mr. Kotecha followed by a
Question- and-Answer Session where the management will address participants'
queries.

Just to share a standard disclaimer : Certain statements that may be made in
today's conference call may be forward- looking in nature and a disclaimer to this
effect has been included in the results presentation that has been shared earlier
and also uploaded on stock exchange websites.

I would now like to invite Mr. Kotecha to S hare his Perspectives . Thank you and
over to you, sir.

Suyog Kotecha: Thank you. Good morning, everyone, and thank you for joining us today.

We appreciate your continued interest in Aarti Industries as we discuss the performance for the first quarter of Fiscal Year 2026. As you may all know, this quarter commenced with several external headwinds – both geopolitical and market -driven; however, our strategy and operational discipline have helped us remain agile and forward- focused.

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Let me start with a brief overview of the broader macro environment that shaped the quarter.

Q1 was one of the more complex quarters we have navigated in recent times. A steep correction in key input prices – particularly benzene and aniline, which declined by about 15- 20% – led to pricing volatility and inventory adjustments across the value chain.

Global trade dynamics also lacked stability. The initial tariff announcements by the United States created uncertainty among customers. The tariff landscape continues to remain unpredictable, compounding the already challenging global trade dynamics and leading to sustained pressure on product pricing and profitability. The new US announcement of a 25% tariff on Indian imports, along with an unspecified "penalty" has created even more market uncertainty. We are currently assessing the potential impact of these measures on our products in the US market. The Israel –Iran conflict in May/ June 2025 sent ripple effects through global logistics, temporarily impacting the regional supply chains and shipping schedules, especially affecting export flows. Consequently, some of our shipments experienced delays and rerouting, spilling over into Q2.

Domestically, the India– Pakistan tensions in April -May 2025 briefly impacted our operations at our Kutch facility. Blackout periods led to intermittent productions, curtailing our capacity utilisation. In parallel, the Kandla Port, one of our critical export routes, faced temporary shutdowns and subsequent congestion due to this conflict, which further strained outbound volumes.

Despite these challenges, the underlying demand conditions remained stable. Our business continues to demonstrate strength rooted in product diversification, multi - process expertise, and long- term thinking. Our resilient operations enable us to navigate through regional and segment -specific disruptions. Diversified exposure across energy applications, agrochemicals, dyes and pigments, and polymer additives provides support to the business.

As you may be aware, we had undertaken major capacity enhancements in the last financial year we scale d up our capacities for Nitrotoluene, from 30 to 45 KTPA and Ethylation, from 10 to 30 KTPA. These facilities are now in the ramp- up phase and positioned to meet the rising demand in the end applications. Further, during last quarter, we have scaled up our MMA capacity from 200 KTPA to about 260 KTPA and have more room to expand further with limited capex . We have also taken various initiatives linked to inventory and cost optimisation in line with the plan shared earlier.

Now, let me walk you through our financial performance for the quarter:

- Revenue stood at Rs. 1,867 crore, a decline of 16% QoQ. While volumes largely remained intact, we faced pricing pressures due to raw material corrections, inventory adjustments and deferred export realisations
- EBITDA came in at Rs. 215 crore, reflecting a decline of 19% QoQ, impacted by inventory valuation losses to the tune of Rs. 30 crore, temporary production issues due to India- Pak conflict, export deferment due to global geopolitics and margin pressures on few value chains arising on account of lower demand
- As a result, Profit After Tax was Rs. 43 crore, while interest and depreciation costs remained largely in line with the expectations
- Capex for the quarter was at about Rs. 280 crore and is expected to be below Rs. 1,000 crore for the year FY26, as guided earlier. Our Zone IV projects are

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progressing well and expected to commercialise in a phased manner from H2 FY26. These projects will add a host of newer products with better margin profile and support the margin improvement over the long term

While the reported numbers reflect a soft quarter, the underlying health of the business remains robust. We are confident of a strong recovery in the ensuing quarters, driven by ongoing demand revival.

Coming to key application highlights:

Energy Applications: In Q1, volumes in the energy segment remained flattish quarter -on-quarter, due to plant disruptions on account of Indo- Pak conflict and also shutdowns taken for the expansion purposes. Continued efforts to increase the customer base and geographic reach will

support the faster ramp up of these expanded capacities. While demand for MMA remained strong, pricing was under pressure due to competition and decreasing RM prices. However, AIL's ability to manage large volumes and first mover advantage will support AIL in continuing to maintain higher market share. Further improving crack spreads are expected to support the business in the coming quarters. So summarising, our focus remains on driving volumes for optimal capacity utilisation and maintaining market leadership.

Non- Energy Applications: The agrochemical intermediates segment continues to experience pricing pressure, while dyes, pigments, printing inks and pharmaceutical applications remain stable. The Polymers and additives segment shows a mixed performance across different product value chains. DCB had shown certain pressure on the demand versus the other part of the polymer additive segment actually showed very good demand recovery.

With the recent development on the US tariffs front, we see potential impact on our US businesses which accounts for about 15- 20% of our revenues. We are closely monitoring the situation as it evolves to ascertain the impact on our business and potential mitigation measures to minimise the same.

Moving to Strategic Updates :

Augene Chemical Pvt Ltd (JV with UPL): Project execution is progressing well, with commissioning expected in H1 CY26, and market development activities have been initiated to establish our presence. Re Aarti Pvt Ltd (Inv estment through Aarti Circularity Ltd.) : The project has achieved a key milestone with the completion of technology selection. Pre-processing design and capex finalization are currently in progress. We expect commercial operations to start in early FY27.

To conclude, Q1 was shaped by external headwinds and temporary disruptions. These issues had a bearing on financial performance, but we view them as short - term in nature. Demand conditions remain intact, capacities are scaling up, and our core portfolio continues to expand its reach and relevance.

Our future performance will be steered by key strategic pillars:

- Successful foray in high- value and advanced chemistries, with commissioning targeted in a phased manner from H2 FY26 at Zone IV .

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- Focus on Advancement and long term partnership, leveraging our robust manufacturing infrastructure and R&D expertise

- Driving growth through new initiatives, particularly in circularity and other emerging sunrise sectors

That concludes my initial remarks. I now invite the moderator to open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Hi, sir. Thank you so much for the presentation. The first question was you had given us to understand that the strength in the gasoline margin, naphtha margins would be a good indicator for your own MMA margins and obviously, for this quarter, the spreads were quite strong compared to the last quarter. So, would it be fair to say that if it was not for these various disruptions that you faced, the performance from the MMA business would have been a lot more better? I just wanted to get a bit more clarification on that.

Suyog Kotecha: I think the answer is yes. And I think to answer it simply, Vivek, maybe we should look at our July export numbers of MMA, which are now, I guess, available in public domain. Roughly, I think we have clocked somewhere in the range

of 20,000-

22,000 tons of MMA exports in the month of July, which was a combination of deferred shipments from June due to geopolitics issues and then further additional orders during the month of July.

Vivek Rajamani: Sure, sir. And just the other question is with respect to the expansion that you have mentioned, I think before this, there was another expansion as well, which you had completed in the previous quarter if I am not mistaken, and now there is one more meaningful expansion. I just wanted to get your thoughts with respect to what is the kind of potential that you are seeing for this product, as well as the competitive landscape, if you are feeling confident to continue this expansionary process on this product?

Suyog Kotecha: Look, I think we have maintained this stance over the last few quarters. I think it is an important product. We fundamentally feel very confident about the product 's performance potential, which is now validated by several global customers. We have a market leadership position globally in this product, and we would like to continue to maintain that. And we have the least cost position as far as our internal benchmarking exercise goes with respect to competition.

Now, if you look at a broader strategy point of view, we obviously started increasing our customer base, diversifying our geographic reach, I remember talking about it

almost one year back in my first investor call, and I think we have progressed quite significantly on that dimension. One of the aspects of that was where we built US as a strategic market for this product, and we really scaled it up very significantly over the course of the last six, nine months. The latest tariff announcement do put some pressure on that strategy. So, we have to now obviously figure out a mitigation measure, at the same time, develop additional new markets, which we will continue to do. So, given the fundamental performance of the product is still very robust in the downstream end application, we are very confident of finding new markets.

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So, from a volume point of view, we remain confident, and that is what leads to our conviction on expanding capacity, which is at now roughly 260 KTPA level. We can further go up with a minor CAPEX that provisioning has already been done as we expanded the latest debottlenecking effort that we did in the last quarter.

Coming to margins, I think, yes, we are dependent on aniline, which is one of the key raw materials on imports, and which means that we have to, at any given point in time, keep one and a half months to two months of inventory given there are so many supply chain disturbances globally that keep happening. Also from a production security point of view, we do need to keep these one and a half months to two months of aniline as an inventory stock, which means we carry pricing risk on that particular stock. But that is a strategic call that we have taken.

And the last aspect is competition. There is emergence of some domestic competition. I think Chinese competition has been around for quite a while. And in that context, we have taken certain strategic calls from a pricing point of view to ensure that we maintain our global leadership positions in all of the global major accounts. That is sort of broadly the sum and substance of the strategy around that product. Overall, I remain pretty confident about the market potential. Yes, I think the tariffs and the geopolitics sometimes do create some of the speed bumps. But we have to be agile enough to sort of revise our strategy to go back to achieve the true potential for this product.

Vivek Rajamani: Sure, sir. Thank you so much for the explanation. I will rejoin the queue. All the very best.

Moderator: Thank you. Next question is from the line of Nitesh Dhoot from Anand Rathi Institutional Equity. Please go ahead.

Nitesh Dhoot: Hi. Good morning, team and thank

you for the opportunity. My first question is on

DCB. So, DCB volumes have declined both year-on-year and sequentially. Is this purely cyclical or is there a structural shift in the downstream demand? And when do you expect normalization to happen?

Suyog Kotecha: Thank you, Nitesh, for that question. Yes, DCB, I think it was potentially one of the weakest quarters and it was driven by significantly lower demand from our US customers, where they convert this into advanced polymer, which ultimately gets utilized in automotive applications. This combination of our customers going through inventory liquidation, at the same time, uncertainty around automotive demand profiles within the US market itself. The combination of the two, our DCB exports to US were significantly lower, even if you take Y-o-Y or Q-o-Q comparison. But given we have sort of annual contracts secured with some of the major customers, we are confident of recovering these volumes in the second half. So, as soon as the demand stabilizes and the inventory correction phase gets over for two of our strategic customers in the US, in the second half, we should see significantly better volumes compared to the first quarter.

Nitesh Dhoot: Right, sir. So, next question is on the Zone- IV and the MPP timeline. So, basically, you have guided for phase d commissioning from the second half. So, can you just share some more granular details in terms of customer tie-ups and expected EBITDA contributions that are coming for FY27?

Suyog Kotecha: So, as you rightly mentioned, we are going by phase-wise commissioning. In the first phase, the multipurpose plant and a calcium chloride unit, we are expected to commission by the end of this year. So, around December of this calendar year is

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when the first phase- I will go live from a commissioning point of view. Both of these units, along with associated utility, infrastructure, ETP, are at advanced stages of mechanical completion and handover. So, that is what will go live within this calendar year. The remaining blocks, there are five additional blocks, they will go through phase-wise commissioning from Jan to May next year, kind of a timeframe. And then, of course, post-commissioning, there is a sort of ramp-up and stabilization, and then ultimately a scale-up kind of a phase.

From a profitability point of view, I think we have given the overall number that we expect from all of this Zone -IV investment

in our three- year guidance. We continue to stick to that. That is pretty realistic and achievable. The full potential of it, I think, will come in one and a half year s down the line. But the multipurpose plant and calcium chloride unit at least should start contributing from the next calendar year itself.

Nitesh Dhoot: All right. Just one last question before I join the queue. So, given the sharp drop in EBITDA this quarter and the volatility quarter -after-quarter, especially, sorry to say, but almost every macro event does impact us negatively. Can we also have an annual EBITDA guidance along with our three- year guidance of Rs.1,800 crore? I mean, if you could just share some outlook for FY26?

Suyog Kotecha: So, as a management, we have taken a call to a three -year guidance, and we stick to that. And I think we remain committed, at the same time confident on that three- year guidance outlook. I think yearly guidance is a practice from which we are moving away. And we actually feel it is prudent given there are so many uncertainties going around in the market right now, both from trade barriers as well as from a geopolitics standpoint , we would like to continue to maintain the same practice.

Nitesh Dhoot: All right , sir. Thank you so much. I will get back in the queue.

Moderator: Next question is from the line of Ar chit Joshi from Nuv ama Institutional Equities. Please go ahead.

Archit Joshi: Hi. Good morning, gentlemen. Thanks fo

r the opportunity. First question on these logistical challenges that we faced. Could you quantify what would be the extent of, let us say, our sales for an EBITDA deferment that we saw during the quarter, which we are expecting to recoup in July and onwards?

Suyog Kotecha: So, Ar chit, I think a broad estimate would be roughly anywhere in the range of Rs.15 to 20 crore of EBITDA and I guess you will see that in the sort of export volumes for the month of July.

Archit Joshi : Got it, sir. S ir, the second question is a little more nuanced and is on the MPP and Zone- IV plants. You did mention that you are planning to start up the Phase- I from December '25, b ut any layout that you could share with regards to what kind of products, platforms, chemistries that you are planning to incorporate in both Zone - IV and the one that you are starting in December, the MPP , any broad understanding on that if you can?

Suyog Kotecha: So, the overall, if you look at the product portfolio, the original design of the Zone- IV was done for chlorotolue nes and dichlorotol uenes downstream in phases . We added the entire dichlorotol uene and the downstream product portfolio also to the same design to make it a bit fungible. So, that is the significant chunk of the product portfolio. But at the same time, there are almost 15 to 20 new products,

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which are downstreams of some of our existing product portfolio, which can also be made in the same set of blocks, combination of Zone- IV and the multipurpose plants. So, at any given point in time, there are roughly 35 to 40 products that we can manufacture as a combination of Zone- IV and multipurpose plan t. And the logic is to pick and choose the products where we feel we can maximize the contribution, and they are in line with our long- term strategy from a value chain integration standpoint.

Specifically, talking about phase- 1 for MPP, at any given point in time sort of we have a kind of list of 10- odd products from which we prioritize four to five products that we want to take in the first phase of MPP commissioning. And that decision is typically driven by the demand pull and the profitability potential of this product. And they will keep evolving every three to six months. So, it is difficult to answer your question in terms of specific products, because by nature, it is multipurpose, and we want to use it as a multipurpose plant to maximize contribution.

Archit Joshi: Understood, sir. I was actually trying to understand how margin- accretive would it be, which is why I asked you. A lso, alluding to a comment that you had made in the annual report , would this be true for the multipurpose plant or the Zone- IV expansion we are doing, to enter newer spaces like defense, electronics and advanced polymers ? I think it is a comment that I catch from an annual report. So, if you can elaborate a bit on the sunrise sectors that you have spoken of and how margin accretive these products could be, that would be my last question? Thank you.

Suyog Kotecha: Yes. So, they would definitely be margin- accretive. We are talking about historical five years back if you look at what was the Al L's margin profile, w e are targeting to go back to those kind of margin levels with these new products coming in. So, 20% plus EBITDA kind of margin profile for most of these products. In terms of end segments, there is wide variety, including advanced polymers, agrochemicals,

pharmaceuticals. I think these three remain right now the largest target end market applications for Zone- IV and MPP. Some of the defense and electronics might require very specific investments because the quality specifications and the nature of the assets that you require to serve these end markets look slightly different and will require sort of specific tailor-made assets. For that, we have a separate effort ongoing. But from an existing MPP point of view, if

you start plotting end market profile based on the current products which are shortlisted, I think it is more towards advanced polymers, advanced materials, pharmaceuticals and agrochemicals.

Archit Joshi: Sure, sir. Helpful. Thank you. All the best.

Moderator: Thank you. We will take our next question from the line of Surya Patra from PhillipCapital India. Please go ahead.

Surya Patra: Thanks for this opportunity. Sir, first, the clarification I wanted. You just mentioned about the impact of around Rs. 50-odd crore. That is at the EBITDA level or it is the kind of revenue impact that you have witnessed in this quarter?

Suyog Kotecha: EBITDA level. It was Rs.50 – it was Rs.15 to 20 crore from a delayed shipments point of view and Rs. 30-odd crore from inventory point of view.

Surya Patra: My second point was that about the capacity expansion that we are on. See, in the recent times, what we observed was that capacity additions without any customer backing was not really helpful. So, since we have been there in the CAPEX mode
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for some time and we have also recently added capacities like MEA and all that, has not been really helpful given the demand situation. So, the upcoming CAPEX, let us say the multipurpose plant or the Zone- IV, other capacities, are any of those are backed by any contract?

Suyog Kotecha: So, of course, Surya, we continue to do this evaluation in terms of which product we want to manufacture and in that context, the capital allocation decision is made wherever there is a demand pull. I think maybe a bit longer answer to your question. I think overall from a capital allocation point of view, we have become quite stringent in the last one year timeframe. Many of the capex that you see which are completed or which are getting completed right now, I think construction of these assets started practically two, two and a half years back. So, these are committed capex. And to some extent, they were kind of half done in the last one year where we changed our capital allocation strategy in terms of stringent criteria to decide on the investment profiles. And that is why we are on a taper-down mode when it comes to overall capex. I think last year, somewhere around Rs. 1,300-1,400 of capex, this year, Rs.1,000 crore and next year, the number will drop dramatically.

So, we are mindful of the global demand/supply balances and where should we allocate incremental capital going forward. At the same time, the projects which we have taken on, I think we are going through them while optimizing the design and the portfolio of those capex to ensure that we get best returns out of it. That is the

sort of sum and summary of the overall capex strategy. The latest capex expansions that we are announcing, for example, MMA 200 to 260, these are done very thoughtfully with very limited capex to ensure that return on that investment is significantly better. And wherever there is a significantly higher capex involved, I think they will go through a very regressive valuation from both demand/supply dynamic point of view as well as from a return calculation standpoint.

Surya Patra: Sure. Second point was about the quarter-specific impact what we have seen. See, most of those are external factors I believe, let us say, a war issue or it is the kind of a raw material price crash impacting the inventory or trade deferrals because of the tariff-related aspect. But if you can add your thought process about the pricing angle to it, how should we see a pricing aspect for the raw materials going ahead and hence impact to the overall profitability, and also the pricing scenario for the product basket? And ultimately, what changes that we are anticipating in the product mix going ahead in the second half? So, hence, these three things are likely to have some implication on profitability. So, if you can address that, sir?

Suyog Kotecha:

So, yes, it is a bit of a longish question, but three aspects. One, in raw material, we have been in falling price environment, not only in last quarter, but I would say, in fact, the last five or six quarters. So, if you plot raw material trends for the last five, six quarters, aniline has practically come down from \$1600 per ton to \$1,000 per ton. Benzene, which used to be as high as Rs.85-86, it has come down to Rs.58-59 kind of level. So, we have been in falling price environment for a very long time. But at least current judgment of the management is we have practically bottomed

out in terms of key raw material pricing. We are not seeing further room for raw material to go down. So, it has stabilized at that level at least for last one and a half to two months. There is some minor uptick as well in some of the raw materials. And in that context, the only thing we can do is to ensure that we are most optimized on inventory and we are able to pass on the pricing volatilities as soon as possible to the market. It is not always possible because there is always some lag, but that is the best thing we are doing at this point in time.

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I think when it comes to product mix, there are two types of assets that we have. We have like certain dedicated chemistry plants and then we have certain assets where we can do multiple products of similar chemistries in the same asset, likes of chloroanilines, for example, or different hydrogenation-based products, different nitration-based products. So, we are optimizing our products. For the second category, I think we continue to optimize our product portfolio depending on the demand pull and the margin profile available. And that exercise is continuous. So, if you look at our ammonolysis product footprint what it was one quarter back versus what it will be in the next two quarters or if you look at chloroanilines what it was two, three quarters back versus what it will be for the next two, three quarters, they will look different in terms of exact products produced and sold both in domestic and export market, again, linked to demand and margin profile. However, there is a decent chunk of our asset which is dedicated chemistry. So, if you look at our assets portfolio, if you look at our NCB portfolio, DCB portfolio, PDA portfolio, where the focus remains to ensure that we have the leadership position, we have the lowest possible cost, and we retain the global market share, or in some cases even gain market share. So, I think different strategies for different assets, but that is how we are playing it right now.

Surya Patra: Sure. So, just one simple question now, sir. What is the export number for this quarter? This is for Chetan sir and also, if you can give some clarity, how has been the domestic performance in the difficult time of this quarter?

Chetan Gandhi: Just give me a moment. The exports for the quarter was roughly around Rs. 950 crore.

Surya Patra: And the domestic performance, if you can just comment, how is it doing?

Suyog Kotecha: So, I think, frankly, Surya, the overall trend is not that different when it comes to domestic and export. I think the falling raw material price environment does impact both domestic as well as export markets. Of course, the supply chain disruptions that were caused in the month of June, those mostly impacted sort of the export portfolio quite significantly. While there, I think the domestic market continued to do well during the month. We also had certain operational challenges in the month of June, especially in our NCB assets, for example, or in some of the chloroaniline-related assets. So, that had some impact on the domestic market. But broadly, at an overall level, I think from a falling raw material price environment point of view, both got impacted to somewhat similar levels.

Surya Patra: Yes. Sure, sir. Yes. Thanks for the answering the questions.

Moderator: Thank you. Next question is from the line of Abhijit Akella from Kotak Institutional Equities. Please go ahead.

Abhijit Akella: Yes, Good morning and thank you so much. Suyog, if you could please just help us understand a little bit more about the possible impacts of these new tariffs from the US on your business? I know you mentioned 15% -20% of the business comes

from there. So, which specific products are we using primarily, MMA and PDA or any others also? And also, how do you see the puts and takes playing out here?

Suyog Kotecha: So, look, I think it is early, but I will give anyway the perspective because we have been evaluating this now for the last quite a few months. So, different products have different nature of impact. Let me start with the positives first, right? I think on the phenylenediamine chain, if we continue to see differential tariffs between India and China, then that helps us. That is visible in sort of significant volume recovery

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in Q1. We do not know where the tariffs are going to settle with India versus China. But if there is a differential tariff, then it will support that particular value chain from a demand recovery point of view.

Second, there are a decent number of products where we have good exports to US, which are part of "Annexure to Exemption List." So, there are key agrochemical intermediates that we export to US or even some of the decent volume products like DMS, ONA. All of these are part of exemption list and in that context, there is no as such visible impact, either positive or negative from a US tariff perspective. Two more value chains. DCB is where we typically end up

competing with European competition. And in that context, it looks like right now there would be a preferential tariff towards Europe compared to India based on the current announcements. In that context, we will face increased competition on the DCB portfolio that is exported to US. But still, given our cost competitiveness, we are targeting to retain the market share, maybe at the slight expense of margins. But that is where we expect some headwind given the differential tariffs between Europe and India.

And the last one is MMA of course, is sort of a very large market that we developed in the US in the last six to nine months and frankly, there, it is less about competition. It is more about affordability to the end customer and the 25% tariff on that will impact the affordability for the end customer. We are in process to understand what actions we can take to mitigate the same. We will have better clarity on it in the coming two to three weeks. But in addition to that, we also continue to focus on expanding the global markets for that product, including European region, where we are putting significant efforts as we speak. But that is broadly our current understanding of potential impact of US tariffs on our product portfolio. I do want to caveat it. It is very early. We are still studying the new regulations which just got published yesterday, late at night, in terms of the exemption list, in terms of relatively geographic comparison of different tariff lines and different exemptions. And also, we frankly also do not know where it will settle, right? We are expecting this is just the start, but there could be further rounds in terms of where it actually settles.

Abhijit Akella: Thank you. I appreciate the colour. And just one other thing on the financials. So, one is there is a significant foreign exchange gain this quarter of about Rs. 16 crore. So, why exactly did that come about?

Chetan Gandhi: Okay. So, this is more of a regrouping. It was earlier part of export revenue, but this is the recent clarification and other advisory stuff which is coming. We just regrouped it separately. So, in all the historic numbers, it was part of revenue only. It is more of the currency fluctuation on the export revenue which is there.

Abhijit Akella: Okay. So, this is the reason why there is some deviation in the expense line items compared to what were reported in previous quarters, right?

Chetan Gandhi: It was part of revenue. So, yes, this is a new requirement on the disclosures, so we started showing it separately.

Abhijit Akella: Okay, and just one last thing from me. The working capital seems to have increased a little bit if I look at the ratios at the back, and the debt has also increased, but the finance cost is down sequentially. So, if you could please just help us understand that?

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Chetan Gandhi: So, the working capital has gone for two reasons. One is, as you know, there are a couple of shipments which had to go in June, those got postponed to July. So, the inventory got locked up at the port and at the plant. So, that was one component. Also, some customer receivable got delayed by a week or 10 days, which is where you have seen a temporary uptick in the working capital and so on the debt level. The finance cost reduction is; structurally we have been witnessing a bit of a softer rate regime and we expect the softer rates to continue. So, it is a result of that.

Abhijit Akella: Great. On the tax rate, do you still maintain your expectation for mid- single digit this year or could it be lower?

Chetan Gandhi: It could be a bit lower than mid- single digit.

Abhijit Akella: Okay. Thank you so much. All the best.

Moderator: Thank you. We will take our next question from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: Yes, thank you, sir, for the opportunity. My first question is, when we add back the one-off items like the inventory loss of Rs.30 crore and Rs. 20 crore of the deferment volume, still sir, the number looks muted, when compared on a quarter - on-quarter basis; it has been relatively flat. So, it looks like, there is good pressure on the demand side. And also you alluded to the fact that the volumes have been lower in DCB and in NCB. How do you see the coming quarters, will they optically look higher compared to this, and are we on track to achieve a 20 %-25% EBITDA growth, to achieve that guidance of Rs. 1,800 crore, 20- 25%, so CAGR growth should be in sight, how does that look, sir?

Suyog Kotecha: So, look, the growth levers are very clear and those growth levers are getting implemented, which is the ultimate aim of achieving that Rs.1,800-odd crore. And as we deploy that, what we feel confident of is executing on all of these actions.

There are of course certain detours that you have to take depending on how the market evolves, right? I think, for example, we did scale up US business of MMA quite significantly and it was expected to

contribute quite significantly over the course of the full year or for the course of the next nine months. Now we are altering that plan, right? And we are figuring out alternate way of scaling up that volume in case there is some impact from a US tariffs point of view. So, overall, if you look at the strategy, fundamentally the product portfolio, the strategy around cost optimization, ensuring operating leverage from the existing asset to maximize the volumes, I think that is not changing. I think the entire Zone -IV commercialization along with MPP and some of the JVs, that is not changing. So, from an activity we are doing on the ground, there is practically no change. But yes, the strategy around product placement and market mix needs to evolve. The fact is the frequency with which geopolitical events have been happening and the supply chain disruptions that have been coming, has definitely been higher in the last five, six months' timeframe, which puts additional onus on the management team to remain agile so that we reflect and respond to those disruptions and that is what we are doing right now.

Aditya Khetan: Got it. Sir,

on the lower volumes in DCB and NCB, you mentioned that it is because of the lower export into the US market, and also with the tariff uncertainty ahead. Do you expect that these numbers will materially not improve from the current levels?

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Suyog Kotecha: So, different answer for these two chains. DCB is export dependent. NCB is mostly 99% domestic market. So, DCB, yes, I think there are large customers in US. And as I said, we end up competing with European competition for that share. Ideally, at least till 24, 48 hours back, I think the clients were pretty confident of recovering and increasing volumes in the second half and we will have conversations with

them to ensure how to mitigate the tariff impact. But, in general, the expectation was for the second half to be better than the first half.

On NCB, which is purely for the domestic market, I think it was a combination of some of our strategic customers going through certain challenges. We also had operational challenges in the nitrochlorobenzene unit in June, certain maintenance and breakdowns, because of which the volumes were down. Those volumes ideally should come back going forward.

Aditya Khetan: Got it. Sir, you stated the fact that competitive intensity has increased. Sir, in our product basket on a base of 100, I remember in one of the calls you have stated that out of 100, so 70% to 75% products still have competition with China. Has that gone up materially from that level?

Suyog Kotecha: No, I do not think it has gone up. It remains somewhat at a similar level and as we continue to optimize our product portfolio with sort of unique chemistries in value chain, potentially we are now creating a product portfolio which should be less dependent on that pricing pressure. But at the same time, look, even the Chinese players continue to evolve. So, it is not a status quo kind of situation. It is a dynamic strategy which keeps evolving. I do not think it has materially gone up. As I had mentioned in the previous call, we fundamentally feel that everyone has reached the kind of pricing levels where it is difficult to go down from here, at least on the core product portfolio. And now it is a matter of being efficient to survive at this level and then use those market share gains when the cycle turns around.

Aditya Khetan: Got it. Sir just one last question on the agrochemicals, dyes and pigments' side.

Sir, we were stating this fact that volumes have picked up, but pricing pressure remains. So, sir, when we look at the cycle for the last one year, global inventories have come down, inflation also in select economies has come down and rainfall has also been good. So, what is the reason why the pricing is not getting improved in this select end user segment?

Suyog Kotecha: So, I think it will take some time. In some of the value chains we are seeing improvement also in realizations. But at a broader generic level, we can still quantify it as pricing pressure continues. And that is also because of the reason that there are two steps in the value chain. There is an intermediate and then there is a finished product. As the downstream demand improves at the farmer level, I think the first segment to see an uptick is the people who are closer to downstream consumers, the guys who are doing the technicals in the formulations. The intermediate guys will see impact of that a bit later in the timeframe.

Aditya Khetan: Any particular quarter you believe; or that by second half it can improve or by FY27 only we see improvement?

Suyog Kotecha: I would not hazard a guess, but my personal belief is it is not about one or two quarters, I think it is about a bit of a longer timeframe because it is a combination of demand uptick and capacity absorption, right? So, it is not only one of the two. Both have to happen for realizations to improve materially and we feel it will

ake a
bit of a longer time.

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Aditya Khetan: Got it. Thank you.

Moderator: Next question is from the line of Jignesh Kamani from Nippon Mutual Fund. Please go ahead.

Jignesh Kamani : Hi Suyog. Just on the profitability part, even if you had a close to Rs.50 odd crore of profitability because of the inventory write- down and the delay , so we are close to Rs.250-odd crore kind of run rate and this was materially lower YoY. If you take about the last second half it was a similar run rate on the profitability. But if you take about , in volume s, like three to four percentage kind of energy volume, if I include the deferment of 20,000, 22,000 in July, we are close to double- digit kind of volume growth in energy while on the non- energy Y oY we are already close to 10% kind of volume growth. So, despite our 10% plus volume growth Y oY and maybe around 5- 6% Q oQ if I adjust, our profitability has materially come down. So, is it fair to assume that profitability pressure is so severe and more particularly in the MM A vertical and we have to live with the situation in near term?

Suyog Kotecha: No, I think there is a bit more nuanced understanding of that market. I think as I said, there are certain strategic calls that have also been taken to maintain the market leadership position in some of the segments which sometimes get reflected in the pricing and the profitability. In the long- term, as I said, from an overall margin point of view, we have kind of bottomed out. I think it should improve going forward. It is not going to happen immediately in a quarter's timeframe, but on a steady state basis, as we move along, the margin profile should actually improve from here on.

Jignesh Kamani: But in the near term, the profitability materially lag ged the volume growth, safe to assume, because of the market share initiative we are taking in the current market environment ?

Suyog Kotecha: Yes, but I think I would slightly characterize it that the profitability growth on an absolute basis should track the volume growth going forward. Not lag.

Jignesh Kamani: Understood. And is there any material improvement in the cost structure on the QoQ basis , because we are taking a series of cost structure measures also, so has anything contributed in 1 Q, which was not there earlier?

Suyog Kotecha: There are. I think that remains sort of an ongoing exercise. We are well on track, I think we are slightly ahead of track when it comes to implementation of some of the cost-saving initiatives. So, multiple initiatives there, including for example, the new back -pressure turbine that got installed in the Vapi unit or some of the initiatives around yield improvement, steam consumption improvement , all of those have also got implemented and they will start reflecting as they become relatively steady in the operations. So, that is one aspect of the business where the focus remains very strong and all of it is currently on track as per the plan.

Jignesh Kamani: So, had we not taken a cost -saving initiative, probably profitability could have deteriorated much sharper ?

Suyog Kotecha: Yes, it could have definitely been lower than where we are today.

Moderator: Thank you. Next question is from the line of Arun Prasath from Avendus Spark. Please go ahead.

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Arun Prasath : Good morning, everyone. Thanks for the opportunity. So, my first question is on the DCB utilization. We are talking about 60% , 65% whereas most of the downstream s to the DCBs are at a higher utilization even during this quarter. So, does it mean that overall globally also auto we have not seen this kind of a degrowth. So, how should we look at this DCB utilization and what factors or what sectors apart from auto we should track to see whether there will be an improvement in the volume ramp- up?

Suyog Kotecha: So, look, I think DCB, especially PDCB, that mostly goes into PPS manufac

turing,

which is one of the very large end applications and for PPS, auto is one of the major end markets. I think there we have sort of two or three large customers in US who have gone through their own sort of, I would say, balance sheet corrections , at the same time, inventory corrections for this particular product as well as the downstream PPS product. And that is what I think is leading to impact on the DCB volume in the first half. I think the kind of contracts that we have with some of these customers ensure that as soon as their demand comes back from a production point of view, our consumption will go up. And that is what sort of we are hoping for in the second half. Tariff does create certain amount of uncertainty because 25% is not a small number. But however, we are in conversation to figure that out.

Arun Prasath : So, can we switch between the other auto customers outside US for the PPS demand, is it not an option for us?

Suyog Kotecha: We can. I think there are multiple initiatives that we have on the plate, including this

other application of that particular product, which goes into different form of a product, which we have scaled up actually quite significantly, both in domestic as well as exports market. Globally, we do have a leading market share in that product. So, frankly, we are actually quite deeply penetrated. And we, of course, try and loom market share into each of these clients. Typically, these guys do yearly contracts, and hence, the share of the volume gets locked in upfront at the start of the year. So, depending on those contracts and how your customers are performing. During the year, switching of volumes is difficult. But, when you go through the next contracting cycle, you have another opportunity.

Arun Prasath : Understood. On the question related to competitive intensity, you spoke that things are kind of finally looking to be turning for good. And we are also hearing that in China, in a lot of sectors where there are overcapacities, there is a government initiative to actually reduce it. So, in our product or a value chain, do you see that happening or some signs already appearing?

Suyog Kotecha: I think I would not say it has established as a firm trend. We see, of course, stray incidences where, realizations have been taken up in the last few months. But I would still hesitate to characterize it as a generic trend. We are a bit further away from sort of saying with confidence that the margin profiles or the realization levels from Chinese competitive intensity are turning around. But yes, we have started to see a few incidences where the margin profile and realizations have started to change.

Arun Prasath : Okay. Just for our understanding, in our products, say DCB, NCB, what is the extent of overcapacity in China, can you quantify please?

Suyog Kotecha: No, I would not go in that direction. The fact is, there is a significant overcapacity. But I think, depending on what is the real operating capacity and also what is the real capacity available to compete in the global market, the answer will look significantly different. But it is fair to say we are talking about significant

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overcapacity and the demand/ supply balancing will not happen with one year of demand growth. I think if that helps you get a perspective.

Arun Prasath : Okay. Understood. Finally, the question is on cost optimization. We have three buckets for our EBITDA to reach our three- year guidance. One is cost optimization. We are talking about Rs. 150 to 200 crore where we have already done this co-generation initiative. So, can you quantify what percentage of this Rs. 150 to 200 crore is already in the P&L and what is it yet to be realized over the coming months?

Suyog Kotecha: So, from an implementation point of view, it is relatively at advanced stages. I think it is just many of these initiatives will accrue at a d

ifferent point in time. For

example, the two initiatives that we announced on renewable power purchase, which are supposed to add significantly to this cost saving. One solar component of that is expected to get commissioned from November, December this year, versus the hybrid component of that is expected to get commissioned around April, May, and next year. So, the actual accruals to the bottom line will start from those timeframes, versus all the actions, implementation, contracts, that has already been done and completed. So, it is at very advanced stages of completion of this cost-saving initiative. It is just that the timing of the accrual will get triggered whenever the sort of overall implementation of the activity takes place.

Arun Prasath : Right. And I understand it is implemented. I am just trying to understand what is already reflected in the P&L, what percentage of this Rs.150, 200 crore is already reflecting in P&L as of today?

Suyog Kotecha: I think we will come back to you on that one later, but I think from implementation point of view, we should be done; up to 60% -70% of it should get implemented within this year. I think remaining balance 30- odd percentage can get spilled over to the next year. From an accrual point of view, it will take time, but from an implementation point of view, I think 65% -70% of it should get done this year.

Arun Prasath : Got it, got it. All the best.

Moderator: We will take a next question from the line of Hussain Bharuchwala from Carnelian Capital. Please go ahead.

Hussain Bharuchwala: Yes. I think you have already said about the US exposure that you have an exposure of around 15- 20%-odd. But wanted to understand exposure that you have said is combined of both the direct exposure as well as the indirect exposure that you say?

Suyog Kotecha: No, 15% -20% is direct exposure. I think indirect exposure could be even higher. What the numbers that we mentioned is our direct exports to the US.

Hussain Bharuchwala: Got it. So, how do you see the impact of the indirect exposure and what could be

your ballpark sense of the indirect exposure? Because I think you sell a lot of products in your domestic market which eventually gets exported to the US. So, what is the end result and how do you see that getting impacted?

Suyog Kotecha: So, as I said, the story is yet to play out. I think apart from direct exposure, from an indirect exposure point of view, the largest segment where we have indirect exposure is actually agrochemicals, where we sell intermediates to our local partners who ultimately convert that into either a technical or a formulation for final exports to the US. And how will that story pan out? Frankly, we are yet to ascertain

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the full impact. I think we remain in conversation, but everyone is in a kind of evaluation mode right now to give a sort of conclusive perspective on the same.

Hussain Bharuchwala: Okay, I think that is it from my side for the time being. Thank you. I will join back in the queue.

Moderator: Thank you. We will take our next question from the line of Pratik Oza from Systemati x. Please go ahead.

Pratik Oza: Yes, thank you for the opportunity. Just one question from my side. If you can please provide the cash flows from operations for 1Q ?

Chetan Gandhi: We do not have the number right now. We will just separately share it with you.

Pratik Oza: So, I guess in the previous call you had stated that net debt had peaked at around Rs.3,500 crore and we will be reducing it by Rs.200 to 300 crore in FY26. So, you are sticking to that guidance?

Chetan Gandhi: Yes, we will be sticking to that guidance.

Suyog Kotecha: I think we will remain roughly at around that level, right? I think of course from a working capital optimization point of view you will see Rs. 100-200 crore upside-downside. But we do not expect material increase to that number. But

broadly we

should remain around that level.

Pratik Oza: Got it. Thank you, sir.

Moderator: Thank you. Next question is from the line of Tushar R from Omega Portfolio Advisors. Please go ahead.

Tushar R: Good afternoon, sir. Thank you for the opportunity. I just wanted to know, earlier in the call you mentioned that 70% -75% of our product basket is competing with China. So, I am coming from calendar year 2027. So, after your Zone- IV started contributing, like in quantitative terms, do you see that reducing to an extent with some numbers given?

Suyog Kotecha: Look, I think there are different ways to look at it. The fact of the matter is in today's chemical industry coming up with a product which China is not manufacturing would be a kind of an exception. I think it is also about intensity of capacity and intensity of players in that particular domain and at the same time, domestic demand pull versus export demand pull, right? So, that is what will lead to potentially less competition intensity as we broaden the product portfolio with commissioning of Zone- IV. It would be unfair to say that there would not be any Chinese competition because fact of the matter is they are practically present in sort of broad sector of chemical industry as on date.

Tushar R : Thank you so much, sir. And sir, in the MM A business of yours, so considering the 13 years spread, it is coming out to be \$13 per barrel. Just wanted to know that in order to get a higher double-digit kind of margin, what sort of spread Aarti would need? Because energy has been a major contributor to our revenue considering the past and will be going forward to the EBITDA and weighted average consumption.

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Suyog Kotecha: Yes, I think current spread levels sort of are leading to a good demand growth. I think we see demand coming from different regions from different customers, which is relatively healthy at this stage at the current spread. So, they are good enough to have the pull for our products. As I said, geography -by-geography, sometimes the spreads are different and hence the demand pull do look different depending on the specific market. I think US, which was very attractive, with the tariff, it is a kind of a speed bump there, but we will figure that out. But the current spread levels are good enough to generate pull for demand of this product.

Tushar R: One last question. In the fluorination chemistry, do you see any contract coming in going forward post Zone- IV commercialization? And any JVs are you expecting for technical, you being the intermediate provider going forward?

Suyog Kotecha: Not, nothing at this stage, which we can provide you on that one.

Tushar R: Fair enough, sir. Fluorination, as a percentage of your sales, as you have shown in the value chain in the annual report, so the fluoro component would be what percentage of your total sales in that benzene chain?

Chetan Gandhi: Fluoro would be in single digit.

Tushar R: Fair enough, sir. That was really helpful. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you, sir.

Suyog Kotecha: Thank you, everyone, for joining us today. We appreciate your continuous support.

We hope we have been able to address all your questions. Please reach out to us if you have any further queries and we will be glad to address the same. Thank you once again.

Moderator: Thank you, members of the management. On behalf of Aarti Industries, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Nov 2025

November 14, 2025

To,
Listing/Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

B
SE CODE : 524208 To,
Listing/Compliance Department
National Stock Exchange of
India Limited
“Exchange Plaza”, Plot No. C/1,
G Block Bandra- Kurla Complex,
Bandra (E), Mumbai – 400 051.
NSE Symbol : AARTIIND

D
Dear Sir/Madam,
S
Subject: Transcript of Q 2 FY26 Earnings
Conference Call .
Ref.: Regulation 30 of the SEBI
(LODR) Regulations, 2015.

P
Please find enclosed the Transcript of the Q 2 FY 2026 Earnings Conference Call
held on November 7, 2025.

K
Kindly take the same on record.

T
Thanking You,
Y
Yours faithfully,
FOR AARTI INDUSTRIES LIMITED
R
AJ SARRAF
COMPANY SECRETARY
ICSI M. NO. A15526
Encl.: As above.

Aarti Industries Limited
Q2 FY '26 Post Results Conference Call
November 07, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '26 Post Results Conference Call of Aarti Industries Limited. As a reminder, all participant lines will be in the listen- only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch- tone phone. Please note that this call is being recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you, and over to you.

Nishid Solanki: Thank you. Good afternoon, everyone, and thank you for joining us on Aarti Industries Q2 FY '26 Earnings Conference Call. Today, we are joined by senior members of the management team, including Mr. Suyog Kotecha, Executive Director and Chief Executive Officer; and Mr. Chetan Gandhi, Chief Financial Officer. We will commence the call with opening remarks from Mr. Kotecha, followed by a Q&A session where the management will address queries of the participants.

Just to share our standard disclaimer. Certain statements that may be made in today's call may be forward- looking in nature. A disclaimer to this effect has been included in the results presentation, which has been shared earlier and also uploaded on stock exchange websites. I would now invite Mr. Kotecha to share his perspectives. Thank you, and over to you, sir.

Suyog Kotecha: Thank you.

Good afternoon, everyone. We value your continued support for Aarti Industries. I will share the industry trends, key highlights and updates from our Q2 FY26 performance.

The external operating environment continues to evolve amid a complex geopolitical backdrop led by U.S. tariffs on select Indian chemical exports. Despite these market pressures, we delivered sequential growth

predominantly driven by proactive market diversification, smart investments in innovation, and disciplined project execution. We are actively using our integrated manufacturing and product portfolio strengths to further establish Aarti as the Global Partner of Choice in Speciality Chemicals.

The tariff represents a near-term headwind for the Indian chemical sector, temporarily eroding competitiveness against European as well as Chinese suppliers to an extent.

In response to the steep tariffs imposed by the United States, we also took steps to diversify and rebalance our export mix, towards Europe, the Middle East, and Africa, and also are recalibrating our U.S. strategy to sustain long-term growth momentum. Over the medium term, we expect policy clarity and normalization of trade flows to restore a more balanced operating environment.

While near-term challenges persist, long-term volume visibility remains healthy across most businesses. At the macro level, we continue to navigate a volatile but gradually improving demand environment and deliver resilient performances.

Let me now move to our financial performance for the quarter:

- Revenue stood at Rs. 2,250 crore, an increase of 21% Q-o-Q driven by improved volumes across key product categories.
- EBITDA surged to Rs. 292 crore, marking a 36% quarter-on-quarter increase, primarily fuelled by improved capacity utilization and ongoing cost optimization initiatives.
- As a result, Profit After Tax was Rs. 106 crore, an increase of about 150% Q-o-Q, reflecting improved operating leverage and after factoring in the exceptional items that you may have seen in our published financial results.
- CAPEX for the quarter was at Rs. 267 crore and is expected to be around Rs. 1,000 crore for the year FY26, as guided earlier, reflecting continued capital discipline

Despite short-term uncertainties, we remain firmly committed to achieve our FY28 EBITDA aspirations and executing our strategic plan focused on cost optimization; volume ramp led operating leverage and monetisation of ongoing capex projects.

Now, on our key product applications:

Within our energy-linked portfolio, MMA delivered strong performance in Q2 and achieved highest-ever quarterly volumes, driven by spill-over demand from Q1 as well as diversification efforts to various geographies where initial customer response was encouraging. US tariffs weighed on volumes and margins, while renegotiations are underway as a proactive measure to

secure and sustain future demand. On Capacities front, while we have achieved peak utilisation of the newly expanded capacities for MMA, we are in the process of executing various debottlenecking initiatives which will support us to scale up our volumes further from Q4 FY26.

MMA remains an important additive for blenders and refineries, primarily used to enhance octane ratings in gasoline blending. During the second quarter, favourable naphtha-to-gasoline spreads supported robust MMA consumption by blenders. Despite ongoing competitive pricing challenges from both China and domestic Indian players, our strategy focuses on market expansion: growing the MMA customer base and extending our geographic footprint, globally.

In Agrochemicals, select products are showing promising volume recovery, although overall margins remain under pressure. Demand growth in the Dyes & Pigments segment has been muted. The Polymer business also faced a significant headwind in the quarter, as U.S. tariffs impacted Q2 volumes.

Meanwhile, the domestic pharma market remains stable, providing a consistent base. Overall, margins for the company's high value fluoro products are experiencing notable challenges due to aggressive competitive pricing from China. The strategic focus across these verticals is on navigating these pressures on margins while capturing available volume growth. Looking ahead, a broader recovery is anticipated, contingent on ext

ernal

trade developments. The successful negotiation of a potential India- U.S. trade deal could be a major catalyst, as it would likely provide crucial support

for a wide range of products.

Overall, we believe the chemical sector will see a gradual recovery likely through the next couple of years as global trade flows stabilise and pricing dynamics improve.

In this environment, our focus remains on de-risking the portfolio, broadening our product base, and strengthening our competitive position through cost optimisation and disciplined execution.

Our Zone 4 expansion project continues to progress as planned, with newer capacities expected to come online over the next few quarters. A new multipurpose plant (MPP) within Zone 4 is expected to be commissioned in Q4 FY26, enhancing flexibility in product development. In parallel, the Calcium Chloride facility is expected to be commissioned in this ongoing quarter.

As one of the growth projects in forward integration, we are set to commission a new 4,000 TPA PED A (2- Phenyl Ethyl Diethyl Aniline) project

in Zone 4, in Jhagadia. It will utilize raw materials from our Ethylation capacity in Dahej and it will position us as one of the key domestic suppliers to support

India's agrochemical industry and capitalize on the demand trend that we are currently seeing.

During the quarter under review, we also entered into a long-term strategic partnership with DCM Shriram who will serve as the exclusive supplier of chlorine from its Chlor-Alkali plant to our upcoming downstream chemicals facility at Zone 4.

On the innovation front, we have intensified R&D efforts in advanced materials, polymer chemistry, and other sunrise applications, aligning our capabilities with emerging opportunities. As our current CAPEX cycle concludes, the emphasis will shift decisively toward innovation-led growth and value-added chemistry in a more optimised manner.

At an overall level, while the near-term environment remains challenging, our strategic priorities are clear – to broaden our geographic footprint, diversify end-use applications and accelerate innovation in high-growth specialty segments. With key capacity additions nearing completion, new products coming to market and strong progress on innovation, the Company is well positioned to enter its next phase of sustainable growth. We remain committed to delivering on our medium-term financial objectives while focusing on creating long-term value for all our stakeholders.

That concludes my initial remarks. I now invite the moderator to open the floor for questions.

Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session.

We will take our first question from the line of Arun Prasath from Avendus Spark. Arun, please go ahead.

Arun Prasath: Yes. Hi. Good afternoon, everyone. First question is on margins. We have seen the improvement in margins despite our mix going more towards MMA and energy products. Can you comment on any specifics or any other category which has led to the increase in the margins? And how sustainable is it?

Suyog Kotecha: The margin's improvement was predominantly driven by operating leverage.

At a contribution level, if you see at the overall product portfolio level, we remain quite consistent on the contribution margin level. But as the overall business volume goes up, the operating leverage starts kicking in and that starts getting reflected in the EBITDA percentage increase.

Arun Prasath: This is despite the slightly adverse mix, we have seen this. So is it safe to assume that when, say, probably the energy-related mix goes down, we will have better margins going forward?

Suyog Kotecha: I have mentioned this in the previous calls as well. The portfolio across end application is now converging in terms of contribution profiles. So the variation across end application is not significant. So at this point in time, what imp

acts more is the operating leverage rather than a shift from one end application to other end application.

Arun Prasath: Understood. Secondly, if you can just give a small recap on what are the likely plants which we are closer to starting in the next 12 to 18 months and which will make a significant difference in our volume and our P&L? If you can list out and give the milestones and the approximate commissioning date?

Suyog Kotecha: So what we can say at this point in time is, in this quarter, we will commission a calcium chloride facility. In the next quarter, we are commissioning our multipurpose plant, both of these are at Zone 4. In addition to that, in the next quarter, which is Q4 of FY '26, we are also planning to commission a slightly increased capacity of MMA based on the debottlenecking effort and in addition to that, one specific molecule PED A, again, which will become a form of MPP. Post that, there are 5 blocks, incremental blocks in Zone 4. I

think each of the blocks will get sort of sequentially commissioned throughout the next financial year .

From a financial point of view, frankly, some of the products where the market is relatively well developed and it is more of a volume placement game, those will accrue to the bottom line relatively quickly. But many of the specialty products, especially coming from the Zone 4 blocks, they will take time to ramp up because those have to go through qualification cycles with the global customers. So there, the capacity utilization ramp- up will take time.

Arun Prasath: Okay and for these projects, if you can also give a view of which end-categories, because today, we have almost 40%, 45% exposure to the energy segment and then agro is around 20%. So at the steady state, say, after all these are commissioned any rough idea about what would be the likely mix of the end -category exposure?

Suyog Kotecha: We briefly touched upon this. I f we look at our 3 year plan at this point in time, and of course, it is subject to evolution, depending on given how volatile the situation has been in the recent years. But if you look at, at least from a

strategic planning perspective, we feel energy will remain in kind of 30% to 40% range and the share of Agro, polymer specifically, these two end-applications, along with a little bit of pharma will inch up as we execute on our strategic plans. That is what is on the cards. How it evolves in reality, I think

all of us will observe and see, but that is where we see kind of a resolved state at the end of 2- 2.5 years.

Arun Prasath: Any preference on any particular; I mean I am not talking about the current ongoing projects, but going forward, strategically, do we want to say that we will focus on this category, and that is how we will be going forward where we will be putting the incremental capital allocation? Any such broad thoughts on how to think about the future capital allocations?

Suyog Kotecha: Two things. One, from a future capital allocation standpoint, I think we are driven more by economic rationale than particular application segment logic. I do not think at this point in time, we are thinking about sort of the next level of large investment, which is sort of INR1,000 crore plus kind of a ticket size, which is what we did at Zone 4. I think for the next few years, the focus will remain on sort of relatively medium ticket size projects, which can be turned around quickly based on existing infrastructure, at the same time, significantly accrue to the bottom line. I think that will be the sort of dominant focus over the course of next 2 to 3 years as we digest the capital expenditure that has been done over the course of last 2, 3 years. And as I said, no specific preference towards any particular application. It is about which are the chemistries where we have value chain integration, which are the chemistries where we see a little bit protected market in terms of trade fl

ows and less

volatility and, of course, the financial returns on this investment. That is what will predominantly drive decision- making.

Arun Prasath: Understood. Just one final question, you briefly touched upon the tariff part.

What are the levers that we have? I mean many of these products, we already know who our global customers are and where they are, what is exposure and all. So what we can do in the next 3 to 6 months with what is in our control, I just wanted to understand, to mitigate these tariff -related impacts?

Suyog Kotecha: To be honest, relatively limited things that we can do at an organization level. I think the only couple of levers that have worked for us, and we continue to push that is sort of having the proactive conversations with customers to ensure that the relationship remains intact and the business remains intact where both sides have to compromise to some extent and the second aspect is, I think the product portfolio, which is potentially re- exported out of U.S. There, there are strategic levers which can be applied to minimize the overall tariff impact there. So these two levers, I think we have been deploying it over the last 3 months, and we will continue to deploy it over the subsequent 6 months to mitigate the impact.

Arun Prasath: Understood. Thanks, Suyog and all the best.

Moderator: Thank you. We will take our next question from the line of Archit Joshi from Nuvama.

Archi Joshi: Good set of numbers, firstly to start off with. So first one, just a near -term one. If I look at this quarter in isolation, and the INR 15 - 20-odd crore EBITDA impacts that we had from the previous quarter, which I am assuming that would have been a part of this quarter. If I just make an adjustment, the EBITDA number should be roughly i n the range of INR270- 280-odd crore. Would this be like a steady -state number, let us say, a couple of quarters

down the line before our Zone 4 and PED A capacity is commissioned?

Suyog Kotecha: I would avoid from commenting on exact numbers. But yes, I think the level of performance that we are seeing right now is what is reflected based on the current strategies that are deployed. So if we are able to maintain this level of

volumes, these are the numbers that someone can assume as steady -state numbers. But I think the objective is sort of not to stay here, right . I think both volume ramp- up as well as the cost optimization efforts that we are doing right now should ideally start supporting the business further and potentially compensate for any more volatility that we might see from an end market

standpoint, right . So from an existing business point of view, I think the quarter reflects a decent level of capacity utilization. But at the same time, I think there is still significant work left on the cost optimization as well as further volume ramp- up possible from existing capacities.

Archit Joshi: Sir, second one on the PED A expansion. I believe it might be an opportune time to make PED A given that we have an anti -dumping duty placed on

Pretilachlor, I believe that would be the end product application of PED A. Sir, we also had similar initiatives taken earlier from the ethylation unit for S -

metolachlor earlier. Are we having any targeted approach towards agriculture given the family of products is similar? And do we have any export

opportunities also in PED A since I was just going through Pretilachlor's market, it does not look like it is a big market in India, roughly 1,000- odd

tonnes, and we already have one competitor with roughly 8,500 tonnes of capacity of PED A. So could you explain the rationale and the supply/demand in the end product .

Suyog Kotecha: So I think, first of all, I think the market is much larger as far as our understanding goes. If you look at the entire value chain because India imports 3 different stages of value chain in this particular product, right? We import D EA, we import PED A, we

also import Pretilachlor. So I think the

imports happen at 3 different stages. But I think beyond that, at AIL, we always look at opportunities from a global point of view. I think we enter into a product where we feel we can have global competitiveness and we can have a global scale play. This is one value chain where we are developing end- to- end integration. So we will start from all the way basic petrochemical building blocks, and we will go all the way downstream. And we also feel that we will

be able to do this with a distinctive competitive cost advantage. So that is the logic which we are deploying. So yes, it is a broader value chain play and

targeting to build globally competitive presence in that particular value chain.

Archit Joshi: Sir, any rough working that we could have on PED A regarding the economics around it, be it margins or revenue potential?

Suyog Kotecha: I will not share product -specific numbers precisely for the reason that it is a value chain play, right? So we do not look at it as a product. We look at it as a value chain starting all the way from aniline to ethylene. And some of it will be a part of existing business and some of it will be incremental.

Archit Joshi: Sure, noted. Lastly, if I can just have one more. On the Zone 4 capex commissioning that starts from Q4, and you mentioned that there will be about 5 blocks that will get added sequentially. How do we look at these blocks, sir? Because you mentioned 5, so I am assuming 5 to 6 multipurpose plants, but any block dedicated towards a particular chemistry or a product just to understand a little bit more on the nuances of this with regards to application area or any industry exposure that it could have? And given that we had also spoken quite a bit on CDMO opportunities, are these also targeted to meet that kind of demand which can come up in the future? Any colour on this would be helpful.

Suyog Kotecha: So not all of them are multipurpose blocks. The first unit that we will commission in the next quarter will be a multipurpose unit. Beyond that, the blocks are sort of chemistry -oriented blocks without getting into too much technicals, but it is kind of a photochlorination block, hydrolysis block, nitration block and so on . These are the kind of chemistry blocks, which allow

us to make any product using that particular type of reactions, right . That is how the blocks are designed for, which will get sort of sequentially commissioned. There will be different products that can be produced from these blocks, which will have to be optimized on a time- to-time basis based on what is the margin profile and demand supply profile for these products. That is one. Sorry, what was your second part of the question?

Archit Joshi: The CDMO bit. It is been quite some time s ince we have had our contract.

Suyog Kotecha: Yes, we have started our work in that dimension. I think we have good initial success. But currently, where we are in that sort of we are getting to know

and build relationships with some of the global innovators. As we speak, we are doing sort of 3 or 4 projects, which are at R&D level. So I think the focus remains on building relationships with global innovators and trying to get involved in the very early part of a development cycle. That work converting into a concrete large-scale business in terms of manufacturing or supplying of a particular intermediate/chemical. That is kind of an 18 to 24-month journey in sort of our sense.

Archit Joshi: Sure. Noted, sir, I must admit the quality of disclosure and communication has improved significantly. So thanks for that and all the best for quarters.

Moderator: Thank you. We will take our next question from the line of Rohit Nagraj from 360 One Capital. Please go ahead.

Rohit Nagraj: Thanks for the opportunity. So first question is on the M&A strategy. So earlier, we had indicated that since we have a large presence

established in the Middle East, we will go for U.S. given that U.S. is a gasoline market, whereas Europe is a gasoline market. And now there is a change because of the U.S. tariff situation. Obviously, we did not anticipate that. But how do we look at it from a change in strategy perspective and the benefits that we were likely to get accrued from U.S. would it be in similar quantum if we change the strategy to Europe and further into the Middle East?

Suyog Kotecha: So I think the thesis still does not change. The U.S. still remains the largest gasoline market. I think we will not be able to change that thesis/facts because it is natural. I think it is the biggest market for gasoline.

Yes, the trade barriers did impact sort of our strategy in the U.S. And in that context, we had to figure out some alternate market where the teams have been able to do a decent job. But we continue to focus on U.S. So we will also see resumption of volumes going to U.S. in this quarter despite tariff uncertainty. So that gives us confidence that in the long term, as the India-U.S. trade deal stabilizes, Potentially, it will remain one of the most important market for this product and at the same time, we continue to develop globally because it is a product as we say, sort of high potential product. So the market efforts to develop markets across regions, including Europe, including Middle East, including Africa, they continue to remain on track.

Rohit Nagraj: Sure. Second question, it is just a bookkeeping question. So this year, our capex will be INR1,000 crore. What will be the likelihood of capex for FY '27? And similarly, a tax rate for FY '26 and '27?

Chetan Gandhi: So capex for next year will be substantially lower than INR1,000 crore. We do not have the right number. We are still yet to work out the numbers, but it will be substantially lower. On the tax rate, I anticipate FY '27, we should be somewhere at a number below 15%. And FY '28, we should be between 15% to 20%. That is a rough estimate right now.

Rohit Nagraj: Thanks a lot and all the best.

Moderator: Thank you. Next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: Thank you, sir, for the opportunity. Sir, first question on the DCB, we are witnessing a quarterly jump despite muted uptick in dyes and polymers. Any specific reason like other segments where we look NT, NCB all have been muted, that is understandable. But on DCB, we have seen an uptick. Any specific reason, sir, despite end user remaining muted?

Suyog Kotecha: No. So I think on a DCB, you have to look at it both on quarter-on-quarter and year-on-year numbers. I think if you see year-on-year numbers, they will actually be negative. But quarter-on-quarter numbers are positive because the first quarter was actually very weak for DCB chain. And it is also one of the chains, which did get impacted because of U.S. tariffs. But I think we have revised our strategy for DCB, and that is one chain where we expect sort of very strong second half. So you will see volume growth in that particular segment irrespective of what happens to U.S. tariffs over the course of the next 2 quarters.

Aditya Khetan: Okay. Sir, on the MMA, when we look in this quarter, like the contribution from the energy segment is around 43%, considering we are doing some debottlenecking and taking it to around 3 lakh tons, do you see the contribution to be around 50% from energy segment? And does this pose any risk to our long-term spreads per kg or spreads per tonne like what Aarti used

to enjoy earlier spreads per tonne that will be materially lower if energy segment picks up more from the current levels. Any thoughts on this, sir?

Suyog Kotecha: Frankly, at this point in time, we are not actively managing exposure to a particular application segment, right? We have certain assets and we have certain capability. Right now, the focus

remains on how do we sort of utilize

these assets to the best possible extent to deliver the best possible financial performance? As I mentioned in some of the earlier conversations, the

contribution levels at a broader portfolio level across applications have started to converge. Now they will get reset over the next 1 to 2 years, and we do that optimization on a dynamic basis. But ultimately, the objective will remain that sort of how do we maximize the net contribution for the company

across different applications while utilizing all of our existing assets?

On a steady-state basis, again, we mentioned it previously, we feel given the entire Zone 4 new capacity, new products will also come on stream over the course of next 1.5 years. The energy as a segment ultimately might settle down somewhere in the range of 30% to 40%.

Aditya Khetan: Okay. Sir, just one last question. Sir, also the U.S. tariff, you have indicated that there was no pain we have witnessed in this quarter. Do you see any significant dip in volumes from the U.S. market in next quarter and materially, we could be lower from this quarter?

Suyog Kotecha: No, I think we did witness pain from the U.S. in this quarter. Our share of U.S. business in the last quarter was significantly lower compared to Q1. So there was definitely a pain. It was offset by a push in the other geographies. But potentially to the level where we have already reached, the further downside sort of can be arrested. In fact, there could be a positive trigger if we get stabilization in the India- U.S. trade deal.

Aditya Khetan: Any tentative figure, sir, of the volume loss or the revenue loss from U.S.?

Suyog Kotecha: There is no revenue loss because I think that volume has been actively placed in the other markets.

Aditya Khetan: Okay, got it. Thank you, sir.

Moderator: Thank you. We will take our next question from the line of Abhijit Akella from Kotak Institutional Equities. Please go ahead.

Abhijit Akella: Good afternoon. Thank you so much. Just with regard to the cost-cutting part of the guidance that we have spoken about. So this INR150 crore to INR200 crore is now mentioned as fully completed. Is this in the base in terms of the

P&L numbers that we see in the expense numbers? Or is some benefit yet to flow through in coming quarters?

Suyog Kotecha: There is a lot of benefit yet to flow through, especially one of the major items there was around sort of renewable power purchase agreements. A large chunk of it is expected to get commissioned only in April 2026. So that is a significant benefit that will flow through in the next financial year. There are also certain long-term contracts for raw material where new pricing formula gets set in. Those are also yet to flow through to the bottom line completely. So in terms of actions, the activities have been completed. But from a benefit point of view, there is a decent of it which is yet to flow through in the bottom line.

Abhijit Akella: Any sort of numbers you could put around that? How much of the INR150 crore to INR200 crore is in the base versus how much we should expect next year?

Suyog Kotecha: Difficult to say it is also a continuing journey, right? I think we have given a number of INR150 crore to INR200 crore for which the action is completed, I would say roughly 40% to 50% of it is yet to flow through in the bottom line. But given it is the ongoing journey, we hope to also continue to add more initiatives to that funnel. And to some extent, it is also volume linked, right, because many of these are variable cost reduction initiatives. So ultimately, if the rupees per kg cost are down, as we increase the volume ramp up, automatically, the cost saving benefit also gets multiplied accordingly.

Abhijit Akella: Got it. And just one other thing on the tariffs. Any colour if you could please put around the sort of conversations that customers are having, U.S.

-based

customers regarding maybe the sharing of the pain. So I mean, is the tariff burden basically being shared? How are things evolving on that front and how you see them going forward?

Suyog Kotecha: I think in near term, it is in the interest of both sides to figure out a workable model. But at the same time, we remain sort of cognizant of the fact that if the situation does not get resolved, then there would definitely be some long-term impact. As we see based on the current situation, it feels like China has a preferred trade arrangement even than India in today's situation. We hope that will change very soon. But so far, we have been able to hold on to the conversations. And I think all the customers also remain sort of actively engaged. But yes, people will look forward to getting clarity over the course of next few weeks to ensure that they lock in their plans for the next year.

Abhijit Akella: Thank you so much and all the best.

Moderator: Thank you. We will take our next question from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Hi, Sir. Thank you so much for the presentation. Just a couple of clarifications

on the tariff spread again. I think you mentioned that you have already reduced the share of volumes to the U.S. this quarter and offset it with sales to the other regions. So would it be fair to say that if the tariff situation resolves whenever it does, the volume impact may not be significantly higher because it could just be a case of you moving the volumes to the U.S.? Or there could still be a more improved volume performance should that happen? That is the first bit. And second, you just also touch upon ex of tariff, the volumes going to the U.S., do they have a better margin profile vis -a-vis your volumes going to the other geographies? Some colour on that would also be helpful?

Suyog Kotecha: The answer to the second question is yes. I think ex of tariffs typically we enjoy better margin profile in the U.S. than other geographies. I think the first part of that question, the answer sort of changes from value chain to value chain. So if you look at something like MMA where if you are operating at 90% plus capacity utilization, then opening of U.S. market will not change the volumes. It might change the margin profile, but it will not change the volumes because anyway, the capacity utilization is to a decent level. But there are some other things like phenylenediamine, like DCB, like ethylation where the capacity still exists. So opening up of U.S. market or making it more of accessible based on reasonable tariff arrangements will help us also push incremental volumes.

Vivek Rajamani: Sure sir, that is very clear. Thank you and all the very best.

Moderator: Thank you. We will take our next question from the line of Surya Narayan Patra from PhillipCapital India. Please go ahead.

Surya Narayan Patra: Thanks for the opportunity sir and congratulations for the great set of numbers. My first question is on the, let us say, the MMA. So within a year, you are just almost like tripling the capacity. Can you give some sense what

incremental confidence that you are having on this product segment? And now with the diversification, whatever that we have seen from the GCC market together, so what is the split between GCC plus other for MMA currently?

Suyog Kotecha: So overall, we remain, again, very confident about the market potential of the product. That is the reason further debottlenecking efforts underway to increase the capacity. From a regional share point of view, at this point in time, we would not address it because right now, it is frankly driven a little bit by the current geopolitical situation that we are facing. We will reach to a little bit stable global footprint position in the 6 months down the line, where we have a resolution on the U.S. India issue. At the same time, we have good feedback from curren

t expansion activities that we have done in, let us say,

Europe, Middle East and Africa. So we will reach a steady state potentially 6 to 7 months down the line. But the only thing we can say is that we do have a presence practically in of all major blending markets in the world.

Surya Narayan Patra: Second question is on the upcoming projects which are likely to drive profitable growth for you the way that you are indicating. So any of the upcoming projects, whether it is the multipurpose plant or the PEDAs or the other set of projects. So any of them, whether that has been backed by a customer and hence, the implementation of those projects or execution of those projects would not be deferred or delayed?

Suyog Kotecha: We have moved past that industry phase to be very honest. I think there are very rare instances where these are kind of back -to-back customer committed with take- or-pay kind of contract kind of commitments projects.

Yes, in all of them, we do have very active conversations with customers, and we do have decent relationships and conversations in place, which gives us confidence to place the molecules. But if your question is specific to that whether we have a take- or-pay contract for any of these products, then the answer is no.

Surya Narayan Patra: Okay. Even then can you give some vision because this multipurpose plant is a kind of a project which can encompass so many projects, but we may not be having any sense about it? Since it is coming in the fourth quarter and it would be very much there in next year and following year as a kind of earning driver for the company. So if you can give some colour to it that, how things will really shape up for this project, which would be helpful?

Suyog Kotecha: I think PEDAs are a classic example of MPP, right. We saw the opportunity in the market. A sort of 80%, 90% infrastructure already exists in terms of multipurpose plant and you have to do final tweaking to get the asset ready to deliver on a certain product in a certain value chain. Your time to market goes down significantly. The way we look at MPP is a flexible asset, which reduces our time to market for new innovative products significantly. So it is been looked at as a capability rather than necessarily as an NC or as a net contribution engine. Once we get into the market, stabilize the product, we

have 2 choices, either we can continue to manufacture that in one of the

MPP setups or if the volume ramps up and we see significant market development, we could potentially also build the dedicated assets for ramped up chemistries. So the way we look at MPP is a tremendous capability, which accelerates time to market and at the same time, gives us opportunity to try out innovative products at a lower cost.

Surya Narayan Patra: So is it fair to believe that the vast R&D capability and the investment what we have already created, so this MPP is a forward integration to those R&D capabilities?

Suyog Kotecha: Yes. So that is where CDMO efforts will also come into the play because if you look at the overall pipeline that we have built, right, we have a great R&D setup. We have now two world-scale pilot plants, which have already got commissioned, then we have a multipurpose plant, which was kind of a missing piece in the overall chain and then we have a dedicated chemistry block. So I think our ability to serve global partners across the different stages of development and different stages of the market product evolution is going up phenomenally with this addition to our capability.

Surya Narayan Patra: Just one book keeping question for Chetan sir. Sir, you mentioned that there is INR34 crore kind of forex loss sitting in the finance cost line. So this INR34 crore is excluding that INR15 crore forex loss number that is there in the line items. Am I right?

Chetan Gandhi: Yes. INR34 crore is related to the long-term ECB, which was taken from

IFC

and INR15 crore comprises the impact on the short-term working capital export finance like packing credit and other stuff which is taken. It actually also gets netted off against the positive benefit on exchange, which is part of revenue from operations to the extent of around INR25 -odd crore.

Surya Narayan Patra: Sure. Okay. Sir, then when this 2-3 projects that is going to be commercialized in the second half, what is the kind of spike in the finance cost that we can see on a quarterly basis or in whichever way that if you can give some clarity? That is one part. And also, if you can just give the export number for the quarter.

Chetan Gandhi: On the finance cost, there will be some increase which will come through because this project will also start kicking in, in the initial period, the contribution to EBITDA would be quite limited. There is working capital which will go through. I do not have a right number in terms of what is the increase in the finance cost, which we would assume. I am also anticipating a bit of softening of interest rate going forward. So that should support in terms of not moving the finance cost significantly up. On the export numbers, I will probably come back to you.

Surya Narayan Patra: Sure sir. Thank you.

Moderator: Thank you. We will take our next question from the line of Tushar Raghatate from Omega Portfolio Advisors. Please go ahead.

Tushar Raghatate: Good afternoon, sir. Thank you for the opportunity and congratulations for a great set of numbers. Just wanted to know in the MMA, which is contributing upwards of 40%, will that maintain going forward, that is the case? That is the first thing. And secondly, we are very confident on the MMA. Just wanted to know our right to win in India in the global market in the MMA business.

Suyog Kotecha: So I think from a manufacturing point of view, we feel we have one of the largest and most competitive capacities for this product. There are several innovations that we have done on technology front, which also allows us to play in this market against competition. And thirdly, we are genuinely investing a lot in building a supply chain infrastructure as well as creating very deep customer relationship with the large global players.

At the same time, on the volume confidence, I think the confidence of manufacturing and placing the product is sort of demonstrated also in the quarterly performance. At the same time, we have to understand that there is

an economics linked to global oil and gas sector trends and certain support from differentials available for gasoline and differentials available between gasoline and naphtha do have a fundamental impact on the demand for this particular product in the global market. So with the understanding of that context, we still continue to remain excited and we continue to expand both market as well as our capacity.

Tushar Raghatate: Fair enough. And sir, in the agrochemicals, considering the second order effect, do you see the agrochemical's global picture in terms of volume is improving going forward?

Suyog Kotecha: At a global level, volumes for sure, have seen some recovery, but the margin pressure remains quite intense. I think if you look at India's specific picture, we are starting to see some second order impact

of some of our downstream

customers who are exporting to U.S. I think some impact was visible in the last few months. But at the same time, everyone is hopeful of settlement on that issue and the long-term issue of inventory-linked pressures, which were having overall impact on the consumption or the volume growth; I think those are mostly settled.

Tushar Raghatate: Got it, sir. And sir, in terms of your margin profile, this 14% margin, do you see the structural one going forward? Or it just depends on the price movement in terms of the margin?

Suyog Kotecha: No. I think, as I said earlier, for us right now, the biggest

needle mover is the

operating leverage. So if we are able to continue maintain and sustain the volumes at this level, then the operating leverage kicks in. But however, I

have to also admit that the volatility in the market, both in terms of raw material and the product pricing still remains at a very elevated level. In the last 6 months, we have seen significant volatility in raw material and that also corresponds to product prices in a lot of other segments. So we remain watchful of that. But I think at a generalist answer level, the current volume levels will support the operating leverage led increase in the margin.

Tushar: That was really helpful. Thank you and all the best.

Moderator: Thank you. We will take our next question from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Hi sir. First one on chlorotoluene project, can you just highlight what has happened there? And when do we expect ramp-up in the entire project?

Suyog Kotecha: I think I answered it partially. It is part of our Zone 4 blocks. And as we start the next financial year, you will see sequential 5 blocks getting commissioned in Zone 4 over the course of full financial year. And all of these blocks are designed and able to produce chlorotoluene valuation at the same time, many other products, and we will select the products depending on the market dynamics and the contribution possibilities.

Siddharth Gadekar: Okay. Sir, secondly, just on the MMA competition, can you highlight what kind of capacity are we seeing getting added in India and China?

Suyog Kotecha: I think exact numbers, frankly, are not very specifically available in the market. We suspect there is sort of another 100-plus kt capacity available in India and maybe 200 to 300 kt capacity available in China. Though that is not reflected in the volumes from competition, but that is the kind of capacity that could be available.

Siddharth Gadekar: Thank you.

Moderator: Thank you. We will take our next question from the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.

Sajal Kapoor: Thank you for taking my question. First one is just an observation. The quality of communication and disclosures has improved significantly in recent quarters. So well done on that front. Even if you read through the annual report, the disclosures have significantly improved. That is one. And then we

have stepped up our efforts in science and innovation, the intellectual property creation effort has increased. All that is good. The question I have is in an increasingly uncertain and random world, how do you see the balance sheet position? Would you be comfortable with the current debt profile we are

carrying on the balance sheet? And what is the plan to sort of try and maybe deleverage amid the current wave of capex plus the fact that the next wave of capex will be much more focused on fungible, more science and innovation-led capex. So the capex is an ongoing effort. What I am slightly concerned about is the current debt levels that we have on our balance sheet.

Suyog Kotecha: Thank you, Sajal. I think first on the capex side, I think the capital execution strategy has been much disciplined for the last 12 months and will remain much disciplined going forward. I think in some of the questions, I did cover that. Going forward also, if you look at next 2 to 3 years, I think we are not looking at a very blockbuster kind of a capex, right? If something comes our way, we will, of course, evaluate and sort of come back. But at this point in

time, the focus remains on sort of medium-scale capex, which are able to turn around very fast and are able to deliver significant returns utilizing existing infrastructure. So that remains a primary focus. And that will also help us to manage the overall balance sheet much better.

We actually think from a debt-to-EBITDA point of view, we potentially could have

already seen the peak. Absolute debt numbers are important. But for us, I think what we track more is debt-to-EBITDA. And I think on that front, we feel that we could have potentially already seen the peak now, and it should

improve going forward.

Sajal Kapoor: That is helpful. That is all I wanted to check. Thank you.

Moderator: Thank you. Next question is from the line of Anil Chaurasia from SMIFS. Please go ahead.

Anil Chaurasia: Hello sir. Congrats on good set of numbers. I have just two queries. One, sir, what explains the increase in debtor level, almost by 65%?

Chetan Gandhi: So if you look at the top line, the top line has also gone up. And in certain cases, in fact, just adding it to the previous question which was there, the export percentage is upwards of 60%, where the credit profile is a bit more as compared to the domestic numbers, so which is where you would see this receivable to be there. So if I combine on an overall working capital basis, the working capital cycle continues to remain at the level what it was. It continues to remain in the range of around 45, 50- odd days. The receivable plus inventory continues to operate at a similar level. So there is a reduction in inventory days, increase in receivable days because of the fact that the export profile has gone up a bit.

Anil Chaurasia: Okay. And secondly, sir, in cash flow, I think you were explaining that actual finance cost is INR159 crore. But if you look at in cash flow under financing activities, we have reported only INR115 crore. So what explains the difference?

Chetan Gandhi: So as I said that there is the mark -to-market impact on the loans, which has to be accounted based on the volatility of the currency and is not a cash flow item and that is where the cash flow will show the actual cash outgo versus the P&L will reflect the provisioning for those potential volatility impacts as well.

Anil Chaurasia: So you mean to say last year, there was no such item like mark -to-market? Last year, it was matching.

Chetan Gandhi: Not significant.

Anil Chaurasia: Thank you so much, sir. All the best.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you, sir.

Suyog Kotecha: Thank you. Thank you, everyone, for joining us today. We appreciate your continued support. As shared earlier, we are transgressing across the most challenging phase of the chemical sector. I think our resilient and robust strategy helps us navigate this phase and deliver growth and sustainable performances. We hope we have been able to address all your questions. Please feel free to reach out to us if you have any further queries. Thank you once again.

Moderator: Thank you. On behalf of Aarti Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Feb 2026

February 10, 2026

To,
Listing/Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

BSE CODE : 524208 To,
Listing/Compliance Department
National Stock Exchange of
India Limited
“Exchange Plaza”, Plot No. C/1,
G Block Bandra -Kurla Complex,
Bandra (E), Mumbai – 400 051.
NSE Symbol : AARTIIND

Dear Sir/Madam,

Sub.: Transcript of Q 3 FY26 Earnings
Conference Call .
Ref.: Regulation 30 of the SEBI
(LODR) Regulations, 2015.

Please find enclosed the Transcript of the Earnings Conference Call for Q3 FY
2026, held on February 3, 2026.

Kindly take the same on record.

Thanking You,

Yours faithfully,
FOR AARTI INDUSTRIES LIMITED

RAJ SARRAF
COMPANY SECRETARY
ICSI M. NO. A15526
Encl.: As above.

Page 1 of 17

Aarti Industries Limited
Q3 FY '26 Earnings Conference Call
February 03, 2026

Moderator: Ladies and gentlemen, good day, and welcome to Aarti Industries Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you, and over to you, Mr. Solanki.

Nishid Solanki: Thank you. Good afternoon, everyone, and thank you for joining us on Aarti Industries' Q3 FY '26 Earnings Conference Call. Today, we are joined by senior members of the management team, including Mr. Suyog Kotecha, Executive Director and Chief Executive Officer; and Mr. Chetan Gandhi, Chief Financial Officer. We will commence the call with opening remarks from Mr. Kotecha, followed by a Q&A session where the management will address queries of the participants. Just to share our standard disclaimer, certain statements that may be made in today's conference call may be forward -looking in nature. A disclaimer to this effect has been included in the results presentation that has been shared earlier and uploaded on the stock exchange website.

I would now invite Mr. Kotecha to share his perspectives. Thank you, and over to you, sir.

Suyog Kotecha: Thank you. Good afternoon, everyone, and thank you for joining us for our Q3 earnings call.

We are pleased to have you all with us today as we discuss our performance and share perspectives on the business environment and the road ahead.

The global operating environment during Q3 FY26 continued to remain challenging and dynamic.

Persisting geopolitical tensions, ongoing trade realignments and uncertainties around global demand have kept volatility elevated across commodity and speciality chemical value chains. In particular, trade actions and tariff-related disruptions in the U.S. have necessitated agility and swift recalibration.

Against this backdrop, we believe the Company has demonstrated resilience and adaptability. Our globally balanced portfolio with proactive diversification of the export mix towards U.S. Europe, Middle East, Africa and other select countries, along with a calibrated approach to the U.S., has helped us sustain and grow volumes while managing risk.

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In the last few weeks, we also observed three major events which will positively impact the chemical sector. First, India recently

concluded the India - EU Free Trade Agreement (FTA). While the near-term impact of the deal may be limited, this landmark deal

is expected to generate large growth opportunities for exports and strategic partnership possibilities in high end specialty chemicals

in the mid-to-long term.

The second event that we are closely monitoring is around the "anti-involution" strategy adopted by China. This policy shift aims to

curb the hyper-competition and excess capacity that have historically led to the dumping of chemicals at lower prices. As China

prioritizes higher-quality growth and enforces stricter supply-side discipline, we anticipate a more rational global pricing environment. For integrated, quality-focused players like AIL, this transition could serve as a structural catalyst for sustainable

margin recovery.

And lastly, while we were managing to navigate U.S. tariff headwinds, the recently announced US-India Trade deal provides a sigh

of relief and is expected to boost the business in the US in coming times.

All these point to a structural shift in global trade that favours India.

Coming to the financial performance, Q3 FY26 was largely in line with the previous quarter, with incremental upside on the topline.

■ Revenue stood at Rs. 2,492 crore, an increase of 11% Q-o-Q driven by volume growth across products such as MMA, NT, DCB. During the quarter, the company, while absorbing part of US tariffs, had witnessed the resumption of US volumes leading to higher capacity utilisation and better operating leverages.

■ As a result, EBITDA surged to Rs. 323 crore, marking a 11% Q-o-Q increase. The company has provided for a one-time impact on account of implementation of the new labour code to the extent of Rs 15 crs as an exceptional expenses for the period. The company awaits the state and central government notification to refine its working and hence will take appropriate provisions, if needed, once further clarity is available.

■ Exports for the period constituted about 65% of the total revenues for the company, the highest both in terms of percentage share and also in absolute basis. Further the increase in exports has resulted in an increase in working capital and as a result

the debt and interest costs have increased marginally.

■ Despite some increase in finance costs and onetime exceptional expenses due to the New Labour Code (NLC), the Profit After

Tax for the quarter, driven by higher operational performances, surged to Rs. 133 crore, an increase of 25% Q-o-Q, reflecting robust operating performances supported by the increasing contribution from the cost savings initiatives and economies of scale at higher capacity utilisation.

Business Segment Review

■ The energy business, led by MMA, continued to remain a key growth driver. Volumes have been robust, supported by strong

demand and favourable feedstock spreads. While U.S. market volumes have resumed and are expected to stabilise, we continue to develop alternative markets, with focus on Europe, and are confident in our ability to scale volumes in these regions over the medium term. Our efforts to engage with global majors in this field are expected to start yielding benefits in the forthcoming year. While near-term margins continue to be volatile due to evolving market dynamics, the structural strength of the business remains intact. Notably, we have begun to realise operating leverage benefits driven by increased

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MMA volumes. Given the fast-growing business environment for this segment, we have taken steadfast measures to further scale up the capacities from about 290+KT to about 360 KT and expect the same to be available by end of this fiscal i.e., Q4FY26.

■ Agrochemicals and Pharmaceuticals continue to see stable volumes, but pricing remained

subdued due to persistent dumping

by China. The current evolving China anti-involution tariff stance is expected to drive margin improvement in these products over the medium time period.

■ The Polymers' segment had a mixed business environment. PDCB demand saw an uptick driven by PPS growth in the EV segment while PDA product chains continued to face volume and pricing pressure due to large dependency on the US market.

Given the recent India-US trade deal announcement, we anticipate the volumes to improve. We have also started debottlenecking efforts to increase DCB capacity from 120 to 140 KTPA to capture incremental growth opportunities in this (DCB) segment.

■ In Benzene and Toluene-based chemistries, we continue to remain the go-to integrated player. Importantly, customer conversations have evolved from being product-specific to chemistry-led, R&D-focussed and value-driven discussions. We have mastered multiple chemistries and continue to expand our portfolio with selective, high-performance chemistries while actively engaging customers on integration-led solutions.

■ Our future growth strategy is now decisively anchored in the Advanced Materials space. We are pivoting from bulk products toward high-value, application-led solutions. By leveraging our R&D and the specialized capacities, we will capture upcoming opportunities through strategic partnerships, ensuring higher margins and deeper integration with global technology leaders.

On Operational Excellence & AI Deployment

Our cost-efficiency programs are now nearing completion, having established a lean operational baseline. To further drive efficiency, we have initiated the deployment of AI and digital transformation tools across our manufacturing plants. By leveraging

advanced analytics for real-time process control, predictive maintenance, and production optimization, we aim to achieve measurable gains in plant uptime and a reduction in energy consumption. This organizational shift toward data-driven decision-

making and AI-led innovation is expected to structurally enhance our productivity, ensuring we maintain a sharp cost-competitive edge globally.

On Upcoming Projects

Zone 4 remains a transformational growth platform for the Company. During the current calendar year, we expect the upcoming

MPP, Chloro toluene and downstream process blocks to be commissioned in a phased manner. Notably, we are commissioning

these projects using our own in-house, indigenous technology, which is a testament to our internal process and engineering prowess.

These flexible assets would allow us to commercialise new products in a rapid manner and offer flexibility to make profitability driven decisions on product selection.

Driven by some fast-track expansion initiatives for MMA, DCB and addition of PEDAC capacity amongst few other new initiatives

taken up in the year, the CAPEX for the year is estimated to be about Rs. 1,100 crs, a tad more than our earlier guided CAPEX of

about Rs. 1,000 crs. It may be noted that these incremental CAPEX are expected to drive higher ROCEs and hence given the market

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dynamics, the company decided to step up its investment in these project initiatives with significantly attractive payback periods.

Let us assure you that we continue to maintain our CAPEX discipline and are taking all the right steps to improve the CAPEX return profile as guided earlier.

With Zone IV getting commercialised in CY26, and that there are no other large projects in the pipeline, we anticipate the CAPEX

for FY27 to be significantly lower.

The Joint Venture with Superform is progressing well, with commissioning expected in Q1FY27, focusing on agrochemical, paints

and coatings applications, which aligns well with our strategy of moving closer to the customer and diversifying application layer.

Speaking about the JV with RESL, the construction works for setting up the first ma

nufacturing unit had commenced in the

previous quarter. The project is progressing well as planned and we anticipate the JV to be ready for commissioning in H1FY27.

To conclude, despite a challenging external environment, AIL is well-positioned for sustainable growth. Our focus on portfolio quality, value chain integration, and disciplined capital allocation—underpinned by our in-house R&D—provides a resilient foundation. This is further bolstered by the structural tailwinds from the recently concluded India-US trade deal, India-EU

FTA, the strategic stance of Chinese 'anti-involution', and our internal Digital and AI-driven productivity gains. Together, these factors reinforce our confidence in AIL's trajectory as an innovation-led global chemicals leader.

We remain confident in our long-term strategy and thank our employees, partners and shareholders for their continued trust and support.

Thank you, and we will now be happy to take your questions.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Nitesh Dhoot with Anand Rathi Institutional Equities. Please go ahead.

Nitesh Dhoot: Hi team, thank you for the opportunity. So, my question is, out of the key products that we sell in U.S., the highest contribution is from MMA. You had already resumed sales of MMA in Q3 to U.S. and in fact, you did record volumes there in Q3. So, was there any tariff applying to MMA? That is my first question?

Suyog Kotecha: Yes, MMA had a full tariff applicability in the last quarter.

Nitesh Dhoot: Was it not part of the Annex 2? Because maybe I checked it wrong. I think I got it in the Annex 2 list that was published in November.

Suyog Kotecha: It is not part of Annexure 2. It had full tariff applicability.

Nitesh Dhoot: Okay. Second thing is on the PDCB. Is it a significant part of your revenues from U.S.?

Suyog Kotecha: So, PDCB is one of our major and long -standing product to U.S. I think it is the second largest product after MMA, of course. As part of our total exports to U.S., PDCB, depending on the quarters, can vary, but it does account for anywhere between 15% to 20% of our total exports to U.S.

Nitesh Dhoot: 15% to 20% of the total exports to U.S. would be PDCB and MMA would be how much?

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Suyog Kotecha: I think , roughly from a contribution point of view, MMA would constitute somewhere in the range of 50% to 60%. PDCB would vary between 15% to 25% and the remaining is MEA.

Nitesh Dhoot: All right. Sure. Okay, that is all from my side. Thank you so much.

Moderator: Thank you. Next question comes from the line of Vivek Rajamani, from Morgan Stanley. Please go ahead.

Vivek Rajamani: Hi sir. Thank you so much for the opportunity and c ongratulations on a very strong set of numbers. Sir, on the point of the China anti -involution that you highlighted, could you just touch upon what you have been hearing on the ground with respect to which capacities are being targeted and which could benefit Aarti?

Suyog Kotecha: So, I think the stated intent, which is available to everyone is to curb deflationary export pricing and the overcapacity situation in China, right, which I think is applicable broadly throughout the chemical sector. In terms of specific actions, we have started to see some getting implemented in recent times.

I think one of the specific actions that they took was to remove the VAT subsidy on many of the chemical value chain products and the impact of that on the pricing in the global market was immediately visible. For example, as part of AIL portfolio, the NCB chain products, including PNCB, ONCB and some of the downstream products, the VAT rebate on exports from China was removed, which led to sort of immediate change in pricing environment in the Indian and in the global market. Now, this is just sort of the series of actions that we are anticipating in future

, right? and the story that

we are hearing is a continuous process, not a onetime action. And in that context, we remain hopeful that the deflationary export pricing that we have seen over the course of last 2, 2.5 years should fundamentally get corrected.

How it impacts individual products and individual value chains, we will have to, of course, monitor and observe over the course of next few months and quarters.

Vivek Rajamani: Sure, sir. That is very clear and just the second very quick question was, I think you are once again debottlenecking your MMA capacity to 360kT. Just wanted to understand what is the medium -term strategy because it is already a fairly sizable part of the portfolio? I do understand that you are finding new markets and new customers. But just some thought process with respect to, are you comfortable with this becoming an even more significant part of the portfolio? Or is it just a case of there being demand and you being able to capture it at a fairly low cost? Just some thought process over there would be very helpful.

Suyog Kotecha: So, I think if you look at the long -term strategy, Vivek, that has not changed. I think we discussed this in the last conference call. We feel MMA will ultimately settle anywhere between 30% to 40% of our portfolio, right, if you take a 2 -3 year's outloo k and I think we continue to maintain that strategic stance. At the same time, given the nature of the product, we need to have capacities to lay when the swing demand comes into the play.

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So, in that context, and this is a debottlenecking CAPEX , so it is done very, very efficiently. But from an overall product portfolio point of view, you will see 1 or 2 quarters where the numbers keep going up and down, especially also depending on the other product -linked bulk shipments, the number sometimes sees very differently. But on a steady -state basis & on a medium -term basis, as the Zone 4 also gets commissioned, we feel MMA will settle somewhere between 30% to 40% of our portfolio, which is sustainable. And also the kind of diversification now, that we have done, with respect to clients as well as geography. And more importantly, now going forward, even in terms of the application, right, and sort of different solutions that we will deploy, which will ultimately increase consumption of these types of products, we feel pretty diversified and comfortable in terms of maintaining that range.

Vivek Rajamani: Sure, sir. That is clear. I will rejoin the queue and all the very best.

Moderator: Thank you. Next question comes from the line of Arun Prasath with Avendus Spark. Please go ahead.

Arun Prasath: Good morning, thank you for the opportunity. Sir, again, question is on MMA because it is full tariff now, with the recent announcement, should we expect some kind of a margin uptick on this because I think we earlier said that the tariff was shared between us and the customer to a certain extent. So, what kind of an impact we can see on the pricing as well as margins on the MMA portfolio? Second, it would help us if we can understand what part of your overall U.S. exports is coming under the full tariff and non -tariff package. So that quantification will also be very helpful for us to understand the margin upside potential?

Suyog Kotecha: I think the answer to the first part of your question is, yes, I think it should help. While we have agreed for certain volumes and commercial arrangements with the existing set of customers, as we go to the next set of negotiations, this tariff reduction will play a role, right . We will continue to honour all of our existing contracts. But as we get into the conversations for the next wave of contracts, the tariff numbers will definitely play a role and in general, directionally, it should lead to better realizations compared to what we have seen in the past. Second, just to be very clear, we have 4 la

rge products that we export to U.S., right, MMA, PDCB, MEA and NCB, out of which the only product which was sort of kind of exempted was MEA, right? Rest all of the 3 products had full tariffs. Now each product and each customer had a different level of settlement in terms of who shared what percentage of tariffs and where we were able to claim back the tariffs based on the re -export potential from U.S.

So, it is difficult to comment on every product and every customer in terms of exact tariff impact. But generally, as a trend, given the reduction at an overall level is going to be quite significant from 50% plus to now 18% plus, there will be a margin that will accrue to all players in the value chain.

Arun Prasath: Understood and generally, we have been shying of putting up a very large capacity on MMA because obviously, it is a function of volatility between the gasoline and phosphates and it has stopped us from investing heavily at one go. This my understanding, correct me if I am wrong?

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Do we also have a case, being the absolute leader in this space, with maybe a swing supplier where by the virtue of having the largest capacity? Have you looked at the MMA from this angle to be the ultimate supplier at a global level? Would it help us in having stable margins in this product?

Suyog Kotecha: Yes. So, I think if you frankly look at it from a market standpoint, right, not from a capacity standpoint, I think from volumes sold in the market, we can confidently say that we are the global leader, right . And we intend to remain a global leader as far as this product is concerned.

Our investments and our strategy has been a bit sort of understated to ensure that we make this business more consistent in terms of its performance and for that, all the strategies that we have taken in terms of diversification of customers and geography was the focus. Going forward, in addition to that, I think we will also focus on how do we build better integration in the entire chain to make the margins more stable. I think that will be the focus over the course of next 1 to 2 years before we take a significant jump in terms of capacity.

Arun Prasath: Actually, what I was trying to understand is today, probably we will move towards 350 kT plus capacity in MMA. What kind of capacity do you think will absolutely cement our place in this product? Is it close to 1 million tons or 2 million tons? I mean, a ballpark number, what should be our expectation in terms of our capacity in MMA in, say, around medium to long -term perspective?

Suyog Kotecha: I would hesitate to give you a number, Arun, specifically. As I said, the potential is immense, right? We compare this with MTBE and where it is in millions of tons, right . In terms of market that we are trying to target. But I think we have to be also mindful in terms of how we are going to structure the business given the value chain operates very differently. So, at this point in time, we are steadily building up this business. We remain very confident in terms of potential of this business. But we want to do it in a way where it is more sustainable and sort of stable in terms of margin profile.

Arun Prasath: And second question is on the Europe FTA. While obviously, you will have access to the larger Europe market without any tariffs, what is the risk associated with the imports into India from your European competitors into India? Would it negate some of the benefits from the FTA? How should we think in this regard?

Suyog Kotecha: At an overall level, we still feel positive because I think though our direct exposure is limited, our indirect exposure through our customer would be decent, plus it will create a lot of partnership opportunities with companies who ultimately want to serve European market because now you have a stable partnership from India to EU. So, building out assets in India to supply to EU from a long -term

basis will get facilitated, right .

So, in that context, I think the FTA from a mid - to long -term point of view is usually positive. In terms of competing volume coming from Europe to India, I think it will happen in 1 or 2 states, but we do not see a significant negative. I think if we are competing against Chinese players, trying to dump volumes in India, I am sure we can handle European volumes.

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Arun Prasath: Right. Finally, on the Chinese, you spoke about anti -involution especially on the VAT subsidy, what kind of impact we are talking about? Because I mean, if you go by product by product, the unit

economics after removing the subsidy removal, is it very adverse? What kind of a ballpark we are talking about in terms of pricing upside that one can expect?

Suyog Kotecha: The only impact where it was immediately visible for us was in NCB chain, right, where pricing went up within a span of a few days by almost 7% -10%. I think this is a combination of multiple things. We cannot link the entire impact only to their stance on VAT removal. The fact is 13% VAT removal is a significant move, right . It is not a small move. What we have to see is, to which all products it becomes applied going forward and how many different initiatives they take to implement this overall anti-involution strategy, right .

I think in upstream, we are seeing interesting moves in terms of petrochemical capacity consolidations. We are seeing phasing out of some of the older crackers. So, as we go more downstream, more specialty, what kind of initiatives are taken by the Chinese government to facilitate this anti -involution would be worthwhile to observe. But what we can see is that the intent is visible with a few actions already getting implemented on the ground, and we have also started to see real impact in some of our products.

Arun Prasath: Right. Should not we also be doing NCB debottlenecking along with the DCB then if we are seeing some kind of a benefit in the NCB chain?

Suyog Kotecha: It is currently under active consideration. So far, not yet approved, but it is under active consideration.

Arun Prasath: Thanks for answering all the questions and all the best.

Moderator: Thank you. Next question comes from the line of Nitin Agarwal with DAM Capital. Please go ahead.

Nitin Agarwal: Thanks for taking the questions. Congratulations on a pretty solid set of numbers. Suyog, on the Chinese business.

Nitin Agarwal: The Chinese anti -involution pitch that you have been talking about, I mean, is there a way to characterize what proportion of our portfolio over the years has been probably subject to what you call maybe aggressive pricing where some sort of relief potentially can come in over a period of time?

Suyog Kotecha: Look, they are the largest player in the chemical sector. Globally, more than 60%, 65% of chemical industry today is China, right . To be honest, it is very difficult to find areas where they do not compete. So, I think the more important thing to track is in which areas of the chemical industry and in which value chains they take actions which will lead to a different behaviour from players. And because of that we can potentially correlate in terms of impact on Indian companies. But that is how we will track it. If you look at China's impact on India, I can broadly say that the entire chemical sector practically is impacted.

Nitin Agarwal: And it has been a meaningful negative pull for our business also over the last 2, 3 years in terms of the; after COVID?

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Suyog Kotecha: They are the largest and the most significant player in the global chemical industry, especially for players which have significant export exposure, where inevitably you end up competing directly with them head on without any protection. They have been a big determinant of profitability levels in the industry.

Nitin Agarwal: Right and secondly, on ou

r unit – Zone 4 CAPEX scale up, if you can give us some color on how do you see this phasing out, what kind of investments have we done in the project and when do you see optimal utilization here?

Suyog Kotecha: So, in terms of CAPEX , the majority of the CAPEX will be done this year. Only a small part of it will sort of spill over for the next year. But we are coming towards the end of the CAPEX cycle in that context and that is what will also be reflected in the next year's CAPEX number, which we expect to be significantly lower than the current year. In terms of ramp -up, we mentioned last time, the calcium chloride and the multipurpose plants are expected to be commissioned within this quarter. The remaining process blocks will get commissioned throughout this calendar year as we go towards the first 3 quarters of the next financial year.

The utilization levels will gradually ramp up. Some of the units will ramp up pretty quickly, like calcium chloride's and potentially also MPP. But the remaining process blocks where we are doing specialty product, which have to go through qualification cycles with the customers, there we will see a meaningful ramp -up in utilization over the course of 2 -year time frame.

Nitin Agarwal: And what would be total CAPEX on Zone 4 by the time we end this year?

Suyog Kotecha: The total CAPEX on Zone 4 would be in the range of INR1,600 crore to INR1,800 crore. Bulk of that would be deployed by the end of this year. Hardly sort of INR300 crore to INR400 crore would be left for the next year. But otherwise, the rest of the CAPEX will be fully deployed by the end of this year.

Nitin Agarwal: And what kind of asset turns do you think we can do on in this investment at peak?

Suyog Kotecha: Look, we have mentioned this last time, right? We do not prefer to give asset turn numbers because our revenues are linked to ultimately crude and BTX pricing. But from an EBITDA point of view, we have shown what is it that we are expecting from a CAPEX -led growth to be accrued to the P&L by FY28 time frame, we still maintain that number.

Nitin Agarwal: Just a last one, if you can give us some colour - you have done a few JVs over the last couple of years with various partners. What kind of other incremental partnering conversations are you beginning to have with various players in India and abroad?

Suyog Kotecha: So, I think there are multiple conversations that are ongoing and in a lot of cases, the decision -making

was stuck because of uncertainty around the global trade realignments and potential geopolitical events. I think with the events over the last 4 to 6 weeks, we expect many of these conversations now to close, right?

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And I think that is the intent of the management team that we would really like to now narrow down and close some of these growth partnerships to ensure we have a long -term funnel getting filled in from a growth point of view.

Nitin Agarwal: Thank you so much.

Moderator: Thank you. Next question comes from the line of Tushar Raghatate with Omega Portfolio Advisors. Please go ahead.

Tushar Raghatate: Good afternoon sir, just comparing all your plant 's utilizations, PDA utilization seems to be lesser. I just wanted to know your outlook going forward on the utilization front.

Suyog Kotecha: Yes. So, I think as we mentioned in our commentary, it was one of the value chains, which was mostly impacted due to U.S. tariffs because the 2 largest customers actually consume this product in U.S. With the settlement of the U.S. -India trade deal now, we expect utilizations to improve.

So, as pertaining to the deal, as the detailing comes out, the conversations with customers will already get initiated in a span of a few days. So, structurally speaking, we should see better utilization of this value chain going forward.

Tushar Raghatate: Fair enough, sir. Your 14%, 15% EBITDA margin range, is it s

ustainable considering the MMA cycle

after the Zone 4 coming into play, do you think that this is the sustainable margin, and from here on the margins will start improving going forward?

Suyog Kotecha: I think it is fair to say that for the non -energy, with different applications, the margin profile ideally should improve going forward with all the 3 macro factors that we talked about at the start of the call, it would be a safe assumption to make.

Tushar Raghatate: Fair enough, sir. Post this EU FTA, do you see any big supplier contract for any bigger size molecular; we being the intermediate provider in the next few years?

Suyog Kotecha: We remain in conversations with multiple players. And as and when this conversation reaches a certain level of certainty, I think we will be happy to come back and inform. But at this point in time, the only thing we can say is that there is interest from global players for long -term strategic partnership projects and the settlement of a lot of pending points around U.S. -India trade deal and India -EU FTA will help us close some of these conversations, in the near future.

Tushar Raghatate: Fair enough. Sir, my last question is a bookkeeping one. Sir, what would be our operating cash flow for 9 months?

Chetan Gandhi: The operating cash flow for 9 months and the EBITDA was around in the range of around INR500 crore to INR600 -odd crore roughly.

Tushar Raghatate: And sir, any guidance on the FY '27 or we stick with that FY '28 one?

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Suyog Kotecha: No. We will stick with the guidance that we have given for the midterm. I think right now, we remain very focused on executing all the actions that we have outlined and sort of continue towards that trajectory.

Tushar Raghatate: That was really helpful. Thank you.

Moderator: Thank you. Next question comes from the line of Darshita Shah with DSP Asset Management. Please go ahead.

Darshita Shah: Thank you for the opportunity. To a previous participant's question, you have mentioned that there are a few conversations that you will be able to close now given that we have some clarity on the U.S. tariff. Could you provide some more details on this with respect to the funnel, the pipeline, how big is this pipeline? Will this help us with filling up our Zone 4 capacity? Something on those lines?

Suyog Kotecha: Look, at any given point in time, there are multiple conversations like, for example, one recent announcement you would have seen as part of our presentation is that with Actylis, we announced an exclusive distribution arrangement for a PCBTF. Now it is a very specific molecule, mostly targeted towards coating sector and U.S. market. But that agreement got concluded, right, with Actylis being the exclusive partner. So, I think many such conversations have been happening over the course of last 12 to 18 months. But in many cases, the final decision -making was getting hampered for the lack of clarity and now with this clarity, we expect that the negotiations to proceed at a much faster pace and in due course, whenever things get concluded, we will talk more about it.

Moderator: Thank you. Next question comes from the line of Surya Patra with PhillipCapital. Please go ahead.

Surya Patra: So, congratulations for the great set of numbers, sir. My first question is on the MMA. See, in fact, it looks like in the very limited period of 1 year only, you have almost like tripled the capacity and in terms of the CAPEX that you would have done, that would also not be much considering the kind of annualized run rate of more than INR2,500 crore kind of business that you are getting out of it. So, is it fair to believe that the ROIC what we generate in MMA is much superior compared to the company level ROIC?

Suyog Kotecha: So, we would not comment on a product -specific CAPEX or return profiles. I think what we can tell you is that the overall strategy of building an

integrated portfolio at our site in Kutch, where we did a lot of upfront CAPEX in terms of infrastructure, in terms of ability to produce large volume products and the storage infrastructure that we have built, supply chain infrastructure that we have built globally, which sometimes is not visible. It does come in the overall CAPEX, but many times it is not visible at a product level, but it starts yielding operating leverages as we scale up volume, right. So, it does appear that in a relatively short span of time, we are able to increase the capacity dramatically and increase the volume. But we have to admit that a lot of the groundwork required in terms of infrastructure, which is beyond core ISBL investment was done over a course of several years.

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Surya Patra: Secondly, even in case of MMA, it looks like that the customer diversification is like one of the key developments there over the last few months that we have seen. So, given that we would be having a large customer base, but I think ultimately, the growth trajectory is in MMA and how sustainable would this be because this is; in terms of the octane boosting application, the industry is still in the evolution stage. So given that, what trajectory can one think, sir, although you have guided for capacity expansion, though for the short period?

Suyog Kotecha: So, I think as I said, I think our strategy over the course of last 12 months was more focused on getting to a respectable level of globally leading capacity, at the same time, diversifying both geography and customers. Going forward, we are sort of a little bit changed in the strategic stance in terms of, we will continue to diversify and increase the customer base, especially we are targeting Europe this time around. I think last year, it was more around sort of Middle East, Africa and U.S. I think Europe is still sort of kind of untouched and not scaled up in terms of consumption. So, we will scale up that as a market and on top of that, now the focus will shift around value chain integration, right, both in terms of developing solutions with complementary products, with different blends so that we have a wider sort of solution offering to our customers and at the same time, we have to also look at what we can do to manage the raw material exposure. So, I think that is what will be the focus for the next 1 to 2 years from making this business more stable on a margin profile.

Surya Patra: Okay. Sir, my second question is about this China tariff differential. Now India is 18%, China is around 34%. So, given that, what is the advantage that we can have and for which all businesses? And what is the sustainability, if you have any sense and the differential?

Suyog Kotecha: Yes. If you compare only against China, then PDA is one chain where there was a sort of straight edge on competition where we should be able to recover volumes where we should see impact immediately in the next few months kind of a time frame. But on the other major products like DCB, MEA and MMA, I think the affordability of the customer goes up, right? So, in terms of stability and increase in volumes, that will definitely support. In many cases, the competition does not necessarily come at the product level itself. It comes at different stages of the value chain. For example, in MEA downstream, though we may not have any competition in MEA, but in MEA downstream, there might be a huge competition in terms of trade flow from China to U.S.

So, I think you will see impact for each of the products at a different scale and at a different time frame because exactly where in the value chain China dominates, varies from product to product. But by and large, I think this differential of 34% versus 18% that you talked about should help us now get better volumes and margins going forward.

Surya Patra: Okay. Just last one question from my side. It has been a couple of times tha

t you have mentioned or

emphasized about the internal technology or indigenous technology and processes and all that and that is possibly in the context of the Zone 4 kind of a capability that you are building up. So, how different would this approach be and how meaningful in terms of the value addition and value creation for your portfolio?

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Suyog Kotecha: I think it is differentiated because it frankly allows us to be one of the lowest cost producers in many of the molecules in which we operate, right? And that, is very critical. I think despite all the macros, we cannot forget the fact that China is a very significant player with a very large capacity and we have to be ready for the play for the competition if it comes to kind of a last man standing game, right, in some of these products. Having indigenous technology developed by our own in-house R&D where we can optimize the cost sheets for each of these products gives us that ability and license and one of the reasons why we have been able to increase volumes and I would say, maintain our market share over the course of last 2 years despite significant pricing pressure from China was because of the fact that many of these technologies are developed by us and we have ability to optimize the cost, right, where we can stand in a very good standing when it comes to global cost curves on many of these products.

Surya Patra: Sure sir, thank you, wish you all the best.

Moderator: Thank you. Next question comes from the line of Rohit Nagraj from 360 ONE Capital. Please go ahead.

Rohit Nagraj: Thanks for the opportunity and congrats on strong set of numbers. First question is on Zone 4. So, in terms of our domestic and export mix, how does that stack for Zone 4? And on the exports front, which and all are the key markets that we will be targeting?

Suyog Kotecha: So, as I said, Zone 4, giving any number would not be doing justice to it, given how the entire zone is

now constructed, right? We have, as we mentioned in the earlier call, we have tried to build different chemistry process blocks in the Zone 4, and we will optimize the product portfolio subject to demand and the margin potential of each of these products. So depending on which product we end up selecting to manufacture, this domestic and export will broadly vary quite significantly. So, it would be unfair for me to give you a percentage, but it is safe to assume that it will not be tilted towards one very significantly. I think it will be a relatively balanced mix of domestic and exports is the current sense.

Rohit Nagraj: Sure, and the second question, in terms of the CAPEX. So, given that a part of CAPEX has been preponed to this year, next year probably we are contemplating this CAPEX will come. So, to that extent, FY '27 CAPEX will be lower than what we had anticipated earlier, barring the other comment that you made about you may go ahead with some expansions, depending on the Board approval?

Suyog Kotecha: Yes. So, I think a slight increase from INR1,000 crore to INR1,100 crore is not because of preponement of Zone 4. It is because of incrementally approved project around MMA capacity expansions, PEDA project that we announced and the DCB debottlenecking project. So, it is not that the Zone 4 CAPEX has been preponed. I think the Zone 4 share of the CAPEX from the next year will remain at somewhat similar level. But still, given bulk part of it is getting done this year, I think the next year CAPEX number would be significantly lower.

Rohit Nagraj: That is all from my side. Thanks a lot and all the best.

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Moderator: Thank you. Next question comes from the line of Abhijit Akella with Kotak Institutional Equities. Please go ahead.

Abhijit Akella: Good afternoon, thank you so much. Just a follow-up on the MMA question that was asked with regard to the tariffs actually, this tariff differential between;

or us now from India versus China on

MMA, do you see that as a significant advantage in helping us gain more market share in the U.S.?

Suyog Kotecha: I think it would. From a long-term point of view, Abhijit, it will definitely help. But to be very frank, I think it is not like we were competing with China in the U.S. market, right? I think it was more driven by affordability of the end customers for this particular product to ensure that the blending economics works out and that will get unlocked, right, with respect to tariff reduction because the final cost of consumption for the customer will become more optimized. So, we remain optimistic that it will help us improve both volumes and margins. But yes, from a mid- to long-term point of view, given there are some Chinese manufacturers for this product, that does create a differentiating advantage also for us.

Abhijit Akella: So, you also spoke about integrating MMA to sort of make it more stable over the next couple of years, including maybe sorting out the feedstock dependence. So, would there be plans to maybe backward integrate in this product? Or what exactly is the strategy you are kind of envisaging here?

Suyog Kotecha: So, a lot of initiatives are currently under consideration. We are not in a position to comment exactly, but involves both backward as well as forward. But we are looking at several initiatives where we can play more as a part of the chain and not only the part of the chain where we are playing currently.

Abhijit Akella: Okay. Got it. And just one final one from me. After a very good quarter here in terms of an EBITDA recovery run rate on a quarterly basis, do you believe that you have now sort of stepped up to a higher sustainable run rate on a quarter-on-quarter basis, looking ahead over the next 12 months or so?

Suyog Kotecha: Look, I would say that, as a management team, frankly, we remain focused on our midterm target, right? I think there are a lot of initiatives that we have taken on our plate to execute to reach that target and I think we remain committed to that journey. There are bumps here and there. But I think by and large, if we are able to implement all of it and if there is no major external event, then we remain committed to achieving our midterm targets.

Abhijit Akella: Great. Thank you so much. Wish you all the best.

Moderator: Thank you. Next question comes from the line of Kumar Saumya with Ambit Capital. Please go ahead.

Kumar Saumya: Hi sir, good afternoon. A couple of questions from my side. So firstly, on the MMA contract that you said, the existing contracts that are in place. So, when are they due for renewal?

Suyog Kotecha: It will change from customer to customer. It's difficult for me to comment. But in some cases, they are quarterly. In some cases, they are spot. In some cases, they are 6 months. So I think it is difficult for me to answer it on a customer-specific basis.

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Kumar Saumya: Got it. Sir, secondly, on the JV, that is going online in Q1 FY '27. I believe both parties are investing INR150 crore each and so, what would be the revenue potential? And if you could just flag off some color on the product as in how is the competition over there? Who are the other suppliers? That would be helpful.

Chetan Gandhi: So, the revenue potential as we declared when the JV was announced was in the range of around INR300 crore to INR400 crore or so. The end-use application was agrochemical.

Suyog Kotecha: So ultimately, what we will do is we will supply raw material for that JV and JVs finished products will get converted into one more final product and will ultimately get placed into the market. The dominant application is actually paints and coatings and a small part of it does go to agrochemical as well. But it will be mostly an India-centric product and basically will lead to import substitution of

that particular product, which is ri

ght now being supplied mostly by China and to some extent also by Europe.

Kumar Saumya: Thank you sir.

Moderator: Thank you. Next question comes from the line of Aditya Khetan with SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: Thank you, sir for the opportunity. Sir, I joined the call a bit late, so pardon if I am asking the same question. Sir, on the agrochemical side, we have witnessed that on quarter -on-quarter basis and Y -o-Y basis, there is a dip in our top line. As you had already mentioned, the pricing pressure still persist and it has been there for quite a while now. So, when do you expect this uptick to take place? And as an overall mix, currently, we are standing at 12% of overall top line in agro on a quarterly basis. So where do we see like if this pricing pressure moves away, can we still go back to that original rate of 20% of overall top line or like MMA only would contribute a larger chunk?

Suyog Kotecha: No, we actually think agrochemicals will go up. Also, if you look at only 1 quarter's number, it might be misleading because some of the large ag -chem intermediates that we ship to U.S., the timing of the bulk shipment sometimes creates a quarter -on-quarter discrepancy. So, I would strongly advise to look at sort of a 9 -month number or a full year number to really get a sense of where the application is and it remains at a 17%, 18% odd level, and it has all the potential sort of possibility to reach the number that you were targeting around 20 -odd percentage, especially as the Zone 4 also gets commissioned, it will even potentially cross that number. So, volumes have been pretty stable and margins have been under pressure. But with the latest stance and some of the changes happening in the global market, we are hoping that part of margin recovery can also be visible over the course of next few months and quarters.

Aditya Khetan: Got it. Sir, on the dichlorobenzene, like we are witnessing since last few quarters that volumes are going up compared to NCB, wherein volumes looks flattish only. So, in DCB, is there any new customer addition or any new product which we have started, which is like supporting the volume momentum? What is that which is supporting it?

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Suyog Kotecha: So, I think the significant downstream usage of PDCB happens to manufacture PPS, which is one of the high -end advanced polymer and that polymer consumption in electric vehicles has increased quite dramatically. And that is what is driving the demand growth. That is also one of the reasons where we have taken a call to increase capacity from 120 to 140 KTPA.

Aditya Khetan: Sir, you mentioned which compound?

Suyog Kotecha: PPS.

Suyog Kotecha: PPS is a polymer that is manufactured using PDCB as a monomer.

Aditya Khetan: Okay. Got it. Sir, just one last question. Sir, when we look at the anti -knocking agents, so if we exclude the MMA, any other anti -knocking agents like MTBE or ferrocene, like any other anti -knocking agents like which is performing well similar to MMA? Distinguishing like if someone is using any other anti -knocking agents? So, what are the benefits compared to MMA? And is there any replacement to these sort of anti -knocking agents?

Suyog Kotecha: See, to be fair, I would not comment on the other product portfolio in which we are not present. I think what we are very confident of is that the value proposition offered by our product is definitely superior. And that is one of the reasons why we have been able to push volumes and gain market share and we continue to remain focused on developing products which are new, but will offer better value proposition compared to some of the current products let us say. That's the overall strategy for energy, as a segment.

Aditya Khetan: Got it, sir. Thank you.

Moderator: Thank you. Next question comes from the line of Ranjit Cirumalla with IIFL Capital. Please go ahead.

Ranjit Cirumalla: Yes. Thanks for taking my question. My first question is on the CAPEX that we did for our first dedicated contract, which then got terminated. The utilization level was a bit low, and we were seeing a bit of a ramp -up last year and then tariff happened. With the change in tariff, how do we see the ramp -up of that particular capacity?

Suyog Kotecha: So, overall, given the end product , it is sold in U.S. by some of our existing customers in India, we expect their volumes to go up and in that context, the utilization level of that asset should improve. We had seen some early indication before the tariff got announced last year. So, we will observe for the next few months. But yes, I think with some lag, we expect the utilization level of that asset can be pushed further with now tariffs settling at much lower levels.

Ranjit Cirumalla: Thank you, Suyog.

Moderator: So, Mr. Ranjit Cirumalla, are you done with your question?

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Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of the question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Suyog Kotecha: Thank you. Thank you for your time today and for your ongoing support. While the sector has been going through a difficult cycle in the macros, I think we are seeing some changes in the global macros and our robust strategy helps us navigate this phase to deliver consistent growth. We hope this session was informative. Please feel free to reach out if you have any further questions. Thank you once again.

Moderator: Thank you. On behalf of Aarti Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: May 2026

May 11, 2026

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001.

BSE CODE – 524208 To,
Listing/Compliance Department
National Stock Exchange of
India Limited
"Exchange Plaza", Plot No. C/1,
G Block Bandra - Kurla Complex,
Bandra (E), Mumbai – 400 051.

NSE CODE: AARTIIND

Dear Sir/Madam,

Sub.: Transcript of Q4 FY26 Earnings
Conference Call.

Ref : Regulation 30 of the SEBI (LODR)
Regulations, 2015

Please find enclosed the Transcript of the Q4 FY 2026 Earnings Conference Call
held on May 5 , 2026.

Kindly take the same on record.

Thanking You,
Yours faithfully,
FOR AARTI INDUSTRIES LIMITED
RAJ SARRAF
COMPANY SECRETARY
ICSI M. NO. A15526
Encl.: As above.

Page 1 of 21

Aarti Industries Limited
Q4 FY26 Earnings Conference Call
May 05, 2026

Mo
derator:

Nishid Solanki :

Su

yog Kotecha : Ladies and gentlemen, good day, and welcome to the Aarti Industries Q4 FY26 Earnings Conference
Call. As a reminder, all participant lines will be on listen -only mode and there will be an opportunity

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or you to ask questions after the presentation concludes. Should you need assistance during the

c

onference call, please signal an operator by pressing star then zero on your touchtone phone. Please
note that this conference is being recorded. I would now like to hand the conference over to Mr.

Nishid Solanki from CDR India. Thank you, and over to you.

Thank

you. Good afternoon, everyone, and thank you for joining us on Aarti Industries Q4
FY2

6 Earnings Conference Call. Today, we are joined by senior members of the management
team, including

Mr. Suyog Kotecha, Executive Director and Chief Executive Officer; and Mr.

Chetan Gandhi,

Chief Financial Officer. We will commence the call with opening remarks from Mr.

Kotecha, followed by a Q&A session where management will address participants' queries.

J

ust to share our standard disclaimer, certain statements that may be made in today's conference call
co

uld be forward -looking in nature, and a disclaimer to this effect has been included in the results
presentation shared earlier and also uploaded on Stock Exchange websites.

I would now like to invite Mr. Kotecha to share his perspectives. Thank you, and over to you, sir.
Thank you, Nishid. Good afternoon, everyone. Welcome to Aarti Industries Limited Q4 and Full Year
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Y26 Earnings Call. It is a pleasure to connect with you all again. The quarter under review was
defined by a complex and dynamic global landscape. The escalation of geopolitical tensions in the
M

iddle East has led to disruptions across global supply chains, impacting trade flows, logistics
timelines and input cost structures. In particular, the prices of key raw materials such as benzene,
sulfur, aniline, toluene, methanol went up by over 60%. Elevated freight rates are also resulting in an
i

ncrease in cost of global trade. Further, the curtailment of volumes from Middle East has created
significant supply chain issues and has presented near-term headwinds for the chemicals industry.
This has reinforced our need for operational efficiency, product diversification and deeper customer
en
agement.

Against this backdrop, our FY26 performance and Q4 performance demonstrated the inherent
resilience of our diversified and cost competitive product portfolio and our ability to manage global
volatility, leveraging our expansive geographic footprint and deep-rooted customer relationships. The
overall demand environment for our basket of products remained largely stable. While we
ex

perienced disruptions in the shipments to the Middle East, we were able to proactively redirect
volumes to the other geographies, ensuring continuity in operations and minimizing the impact on
overall volumes.

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Before we go into the financials, let us also highlight the two long-term contracts

which we concluded

in the last quarter. First one being a backward integration initiative with a leading global chemical
company, transitioning the relationship into a more integrated end-to-end manufacturing model with a
capex of about INR 200-250 crore to cater to the requirement over the residual 15-year contract
period.

And the second one is a \$150 million multiyear supply agreement with a global agrochemical
innovator for a critical agrochemical intermediate used in crop protection formulations, extending
through March 31, 2030. This contract will be met without any incremental capex. These
developments mark a strategic shift towards a deeper integration, enhanced earnings visibility and
improved capital efficiency.

Notably, during the year, Aarti Industries was also honored with the 2026 Gallup Exceptional Workplace Award by Gallup,
becoming one of the first manufacturing companies in India to receive

this recognition. This distinction further reinforces AIL's position as a global manufacturing
organization, combining operational scale with high performance and a people-centric culture.

Let me now take you through the financial performance for the quarter and the full year. For the Q4 FY26, the company
reported revenue of INR 2,422 crore, representing a growth of 9% Y-o-Y, driven

by stable domestic demand and increase in export volumes. EBITDA stood at INR 342 crore, growing
29% Y-o-Y and profit after tax was INR 137 crore, registering a growth of 43% Y-o-Y.

The freight cost has significantly increased in the current quarter, driven by increase in export
shipments and also due to increase in the fuel rates accounting for the bulk of the increase in the other
expenses. Interest costs also include an amount of INR39 crore being the revaluation loss in respect of
our long-term foreign currency loan.

For the full year FY26, revenue stood at INR 9,018 crore, up 12% on a Y-o-Y basis. EBITDA grew by
over 15% to close at INR1,172 crore, while PAT recorded a growth of about 27% to close the year at
INR419 crore. In line with the guidance given, the capex for the year was at about INR 1,125 crore.

Overall, the performance reflects steady execution supported by volume growth, improving capacity utilization and benefits
coming from operational efficiencies despite continued margin pressure over a significant part of the portfolio.

Let us talk about specific business updates, starting with energy application, which contributes roughly 40% of the revenue.

We continue to maintain a very strong global presence, holding a

market-leading position. The volumes for the quarter were down 4% quarter-on-quarter, primarily

driven by lower exports to the Middle East, which were impacted due to geopolitical disruptions. The

impact was lower as we were able to successfully reroute part of these volumes to other geographies. And despite the

disruptions, the capacity utilization continued to remain high, preserving our wallet

share with the global customer. The full impact of disruptions will be felt in the ongoing quarter.

Our expansion to 360 KTPA is on track and is expected to be commissioned soon in line with the
market requirements. Ongoing volatility in the refining product margin does create uncertainty in

terms of gasoline naphtha cracks and the supply chain risk related to the key RMs is adding some near-term risk to this business. But against this backdrop, we maintain a very dynamic approach, balancing volume growth with spread management to optimize overall profitability to the best extent possible.

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In non-energy applications, agrochemical applications as a basket demonstrated a steady volume growth, albeit the margin pressure continue to prevail. The contract win supports the growth of select products and intermediates and is in line with our plans to ramp up capacities, which are already created for this application. Dyes, pigments, paints were relatively

stable for the quarter. In the near

term, as the impact of West Asia war is felt in the global market, there could be some impact on export, but that we expect to be compensated by increase in volumes in the domestic market.

Polymer s, as an application, continued to perform well and is currently in a strong growth phase, especially demand and volume driven due to applications in the EV market. Within the polymer application, MPDA specifically continues to underperform due to heavy competition from China.

Rest of the portfolio continues to do extremely well. Pharma application also continued to remain stable during the quarter. The last quarter announcement of China's anti-involution stance and impact to products related to PNCB in the NCB chain should start seeing benefits from the Q1 FY27

onwards. But on an overall basis, even the non-energy and sort of the base business has performed better, driven by volume growth and supporting cost efficiencies as we continue to make rapid progress on our operational and strategic initiatives.

On Zone IV projects, they are expected to be commissioned in a phased manner during the current financial year. Multipurpose plant and PEDDA plants are actually under commissioning trials and should come on stream soon, while others will commission gradually in the next couple of quarters. These projects were delayed by 3 to 4 months on account of labour constraints, primarily driven by LPG, commercial LPG-related issues and migration of labour due to election as well. The company has taken multiple steps to support contract labour and to sustain them and to minimize the delay in the capex execution.

From a capital allocation perspective, as guided earlier, the capex for FY26 is at about INR 1,125 crore. You would have witnessed the decline in the capex spend in FY26 versus the spend in the past 2 to 3 years, which is in line with our plans to optimize the capital allocation. Our capex for FY27 is expected to be in the range of INR 700 crore to INR800 crore as we continue our journey to optimize capex and maximize the returns. Going forward, we expect to invest in high-growth initiatives with investment largely focused on niche high-return projects.

Our previously announced partnerships are also advancing well. Eugene, the Superform joint venture is on track for commissioning in H1FY27 with an initial focus on agrochemicals and coating end markets. Our circularity initiatives also continue to gain momentum with commissioning on track for the CY26. All these initiatives not only underscore our R&D progress, but also helps us secure a first-mover advantage as we tap into emerging opportunities in sustainable chemistries.

Working capital requirements expanded during the quarter, driven primarily by significant elevation in raw material prices, causing an uptick in net debt as well as interest expenses. While we are working with our customers and suppliers to optimize the working capital cycle, the normalization of this might take some time. However, given the capex intensity is lower, we still anticipate the net debt to decline in the current year.

FY26-27 begins with sort of cautious optimism supported by improved capacity utilization, strong order visibility through long-term contracts and continue to progress on the key growth and integration initiatives. The specific situation in West Asia continues to pose near-term risk to the availability of certain critical feedstock and placement of key products in the Middle East. While

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near-term risk persists, the company is actively working with suppliers and customers to explore alternate sourcing and placement avenues to ensure continuity of operations.

The company has delivered strong growth in quarterly EBITDA run rate and is on track to implement profitability improvement initiatives, including the higher operating leverage related initiatives, cost optimi

zation initiatives and incremental contributions from recently commissioned and upcoming assets. With a strong foundation of strategic investments, improving capacity utilization and long-term partnerships, Aarti Industries is well positioned to navigate near-term volatility while building a robust foundation for sustainable growth.

With that, I would now request the moderator to open the floor for the Q&A session. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. We will take our first question from the line of Archit Joshi from Nuvama Institutional Equities. Please go ahead.

Archit Joshi : Hi, good afternoon and thanks for the opportunity and congrats on a great set of numbers this quarter.

First question, sir, on the quarterly results. I just wanted to understand you have had a healthy gross margin expansion. Would there be an element of an inventory gain that we might have booked especially during the month of March? So that will be my first one.

Suyog Kotecha : So, on an overall quarter basis, there is an FX gain of roughly around INR 10 crore. On inventory, I

think it is a bit of a mixed bag because though the pricing went up in March, many of our raw material pricing also went up simultaneously. And we did have some amount of contracts concluded from a pricing point of view in Feb, which we continued to serve in March. So not a significant impact of inventory gain in the last quarter. But from an FX standpoint, there was a gain of roughly INR 10 crore in the last quarter.

Archit Joshi : Understood. So, second question on the exposure that we have in our energy portfolio, specifically in the Middle East. And also at the company level, if you can, throw some number on that?

Suyog Kotecha : So, on an yearly average basis, roughly 9% to 10% of our revenue came from Middle East, which is dominantly in energy application. So that is the extent of exposure that we have currently in the region. We are working actively to figure out a way to divert that product portfolio to the rest of the world. We also hope the situation in the Middle East should get settled at some point in time. And at that point in time, we actually might see an increase in demand, in that particular region, given practically the material flow to the region has stopped now for almost 6 to 8 weeks' kind of time frame. But nonetheless, that is the extent of exposure.

Archit Joshi : Sure. One last final one before I join back the queue again. So you did mention about the MPP and the PEDAs plants to come online at the earliest. What would be the balance capex that we plan to commission in this year?

So, if you could just elaborate on the kind of timelines in terms of commissioning of these capexes? And when can we expect revenue accruals or sales to happen from these plants? If you can split this in an elaborate, time-wise manner, if possible, that would be helpful. That would be all from my side.

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Suyog Kotecha : Yes. So I think the entire Zone IV, which is a combination of multipurpose plant, calcium chloride plant, and there are 5 chemistry blocks, different chemistry blocks. I think the entire capex will get commissioned during FY27. I think the first 2, which will get off the block is the calcium chloride and the multipurpose plant.

The PEDAs capacity, we consider it as an extension of the multipurpose plant. The calcium chloride is actually already sort of where the commercial runs have happened. The plant is under operation. It will ramp up to full capacity over the course of next 3 to 4 weeks. I think a multipurpose plant and associated extension of PEDAs is also under commissioning trials as we speak.

So within this quarter, we should be able to declare it sort of commissioned and commercialized. I think the remaining 5 different blocks will get commissioned throughout the current financial year. I think compared to our or

original expectation, there is a 3 to 4 months of delay in that commissioning cost, mostly due to contract labour issues. But nonetheless, even with that, we anticipate all of this we will get to commission within the current financial year.

And accordingly, the revenue aggregation will start over a staggered manner, right? We do not anticipate all of it will go to a full capacity utilization in a very short time frame. As I mentioned earlier, it does take a little bit of a time bandwidth to go through a qualification cycle and improve capacity utilization over a period. But the initial revenue from these assets should start as early as from Q2 of this financial year.

Archit Joshi: All right, sir. Thank you.

Moderator : Thank you. Next question is from the line of Arun Prasath from Avendus Spark. Please go ahead.

Arun Prasath : So, my first question is on the utilization we are mostly at upwards of 80%, 85%. And if I look at the Q4 volumes and annualize it, it is close to 100 percentage. So, is this an industry-wide phenomenon? Or is it just because we are at this kind of utilizations because we did not have any supply during the last cycle?

Suyog Kotecha : No, I think it would be a bit unfair for me to comment whether this is an industry-wide phenomenon. I think at AIL, what I can comment on it is, I think improving utilization levels of all of our existing assets has been a deliberate strategy. And I think we have pushed volumes sometimes even at the expense of a slight compromise on the margins. And that is reflected in the utilization levels that you see. I think there are some value chains like PDA where we are structurally figuring out a long-term solution. But I think apart from that in rest of the value chain, we have been able to push up the utilization levels. And as we speak, we see further upside possible in select chains like DCB, where we are also working on capacity debottlenecking as we mentioned in the last quarter and even in ethylation chain where the new contract that we signed in the last quarter plus the downstream integration of PEDAs will help us improve utilization levels in that particular chain. But I think from our global customer diversification and relationship standpoint, in a significant part of our portfolio, we are reaching the utilization levels, which are healthy.

Arun Prasath : Okay. Because this kind of utilization usually leads to a pricing recovery and margin expansion because of the tight supply-demand balance. So should we expect some kind of a pricing-related upside from our existing portfolio and existing volumes?

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Suyog Kotecha : I think the utilization levels that you see are at sort of the bulk product level, right? It is an NC B level, DCB level or at an ethylation level. I think if you look at our portfolio, our portfolio significantly also goes downstream of this bulk isomer level chemistries. And that is where I think the story product by product will be very different. Of course, there are some value chains where there is a pricing

recovery at a bulk level.

We talked about NC B last quarter as well, and we have seen that kind of happening now as the Chinese anti-involution plays out, where the margin profile has definitely improved, including pricing. I think DCB continues to remain quite robust and it is driven by both – tighter capacity utilization as well as demand growth coming from EV market. Versus some other chains, even though we might be operating at a relatively higher level, if the global industry has not moved to those utilization levels, then the margin uptick or the pricing correction will not happen.

Arun Prasath : Okay. In your assessment, that is a likely scenario that maybe we are at higher levels but the industry is not at this kind of level ?

Suyog Kotecha : I think there are some products in which that situation does exist. And that is why I would hesitate to say that

across the portfolio, we are seeing margin recovery or pricing corrections. I think there are definitely pockets of the portfolio where it is happening. And in general, I think given the global dynamic, I think if China continues to act what they are talking about, then there should -- this recovery should become much more broad-based going forward compared to current situation where it is sort of in select pockets.

Arun Prasath : Understood. My second question is on the M MA. So typically, on an elevated crude prices, our understanding is that M MA scores over the, say, probably the traditional MTBE, are you seeing this playing out at least? And secondly, if you are not facing or if you are not seeing a supply to the Middle East, where we are facing M MA volumes currently and is it sustainable?

Suyog Kotecha : Yes. So, I think on the M MA economics, frankly, it's a complicated answer and without getting into technical details ; we have described this a few times in the past – there are multiple factors which play out when it comes to affordability of M MA of final customers. I think one of that is also a naphtha gasoline spread. I think in the current situation, naphtha being significantly stronger, that sometimes does have impact on naphtha gasoline spread available to our customers. But at the same time, the absolute pricing level, sort of remaining at a higher level, also creates a counterbalancing sort of factor for the spread affordability.

It also has an impact in terms of our raw material cost goes up, right, both aniline and methanol at a significantly elevated level. So, in that context, our ability to offer certain pricing to customers, that also gets impacted by ultimately raw material cost prices having to be passed on. So there are multiple factors playing over there. What I can say is that we are able to optimize volumes and spreads to ensure that liquidation happens wherever there is a physical possibility of supplying the cargo. So our shipments to U.S. are relatively consistent and happening. Our shipments to Europe are starting, and we hope to expand that going forward. I think the domestic market also remains relatively consistent from a volume standpoint. I think Middle East is a place where physically it is impossible to ship the material as of now as we speak. And that is where there is an impact.

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I think we partially offset that in the last quarter. But the full impact of that, I think, will be visible in the coming quarter. It depends on how soon the West Asia situation settles and we are able to restart our flows to Dubai and Oman markets.

Arun Prasath : So we should expect the contribution from energy in our revenue should slightly moderate?

Suyog Kotecha : Frankly, difficult to answer the question, right, because we are in the sort of 4 weeks into the quarter. If the situation stabilizes, there is also a possibility that the volume requirement in Middle East can dramatically go up given the region has been running dry of the product for the last 6, 8 weeks. But if the situation in West Asia does not settle down over the course of next 2 months, then, of course, we would expect certain impact on the volumes for this molecule going into the Middle East market.

Arun Prasath : Understood. If I can squeeze in one more question on capex. You said that '26 capex reduced from INR1,125 crore to some INR 800-odd crore. Is it because of the scope reduction or postponing of the cash flows to '27? If you can give the breakup on the FY27 capex.

Suyog Kotecha : We did not ; FY26 capex was in line with what we had said. It was INR 1,125 crore. It was not reduced. FY27 capex is what we are saying will be in the range of INR750 crore to INR800 crore.

Arun Prasath : Okay. Any breakup, approximate ballpark breakup of the capex, project wise?

Suyog Kotecha : INR750 crore to INR800 crore, a significant part of it will still go in completi

on of Zone IV and part

of it will also go to the new long-term contract, which we signed, right, where we announced total capex of INR200 crore to INR250 crore. I think part of that will be spent in the current year. So these 2 will kind of broadly account for a significant amount of capex. And then we have a sort of yearly run rate of INR150-odd crore that goes into asset maintenance.

Arun Prasath : Okay. Understood. And then finally, on the M PP and the calcium chloride, at current prices, what is the steady-state revenue from these 2 projects?

Suyog Kotecha : I would not like to comment. Again, we do not talk about revenue. I think we talk about margin profile. And given there are a lot of products which are interlinked even within M PP and within the different Zone IV blocks, I think the total potential coming from that location in an integrated manner is what we have talked about, and I think we will continue to maintain that range.

And we will hit that. We will hit that over the course of 2 years is the current plan. I think it would not

be correct to talk about revenue/margin potential based on today's pricing because it is definitely a bit or rather, I would not call it a sort of regular pricing/margin level.

Arun Prasath: Understood. Thank you very much.

Moderator : Thank you. Next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan : Yes, thank you, sir, for the opportunity. My question is on the dye segment. Sir, as you mentioned in your opening comments for dye segment is recovering and we are expecting a steady state going ahead. But sir, when we look at the numbers, so on Y-o-Y basis and on a quarter-on-quarter basis, there is a dip. And it seems like the dye segment is now slowing down after peaking out the last 2

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quarters. Is there any change sir, into the structure of the business or volumes in the global markets or Indian markets are slowing down? Any thoughts on that?

Suyog Kotecha : So overall, if you look at our share of business in dyes, pigments and printing mix, we classify these 3 end markets together, it remains in the range of 10% to 11% and it will remain broadly around that. I

think there are multiple trends within the segment at a product level, which differ. For example, 3:3DCBH is one of the core products in that segment where we are facing pressure on the demand from the global markets, but then that is partially getting compensated by increasing demand in the local market as the global consolidation in the pigment industry happened, right?

So, there are different trends at an individual product level. Overall, I think our share of this application remains at around 10, 11- odd percentage. There is a part of the portfolio where because of extremely high raw material pricing and corresponding price being passed on through our products, some of the low-margin segments may not be able to afford, and we might see a slight amount of demand destruction. And that could be a potential impact in a 3 to 6 months' kind of time frame. But so far, I think the pressure in the global market has been compensated by the growth in the domestic market.

Aditya Khetan : Got it. On Agrochem, sir, it has been 2 years and persistently, we are mentioning on the margin pressure. It seems like there is no answer. Any sort of a positive thing which you see going ahead for FY27, '28 ; like higher uptick in the domestic could partially mitigate the RM price hike Any sort of thing that can change structurally in the business?

Suyog Kotecha : I think the biggest driver to get back the margins in the agrochemical segment would be how Chinese industry evolves on this particular application. I think they have been one of the most important driver of the margin compression in this segment over the last few years. And I think their conduct and behavior over the coming quarters and years is

what ultimately determines the ultimate sort of margin potential in this segment.

As I said, the narrative that we are hearing what we are seeing, I think if that persists and that becomes much more broad-based, we might see a recovery in the margin. But I think we wait to see a firmer trend to make a conclusive commentary on the segment .

Aditya Khetan : Got it. Sir, on the debt side, we have seen like debt to reach around INR 49 billion in this fiscal, so highest over when we look at the Aarti's history. Any particular reason for because we also see on the asset side, there is some INR 600 crore of cash also sitting today. What I see, sir, because we do not have also material capex also, INR700 crore , INR800 crore or maybe INR1,000 crore in FY28 that we can easily do it from our cash flow only. So, what is the need for so much debt ticking down?

Chetan Gandhi : So, let me answer that. So, the cash which you see is more like a one-off kind of a situation. It just happened that one of the term loans got disbursed towards the last days of March and then a couple of holidays, so the monies were not effectively utilized to reduce the debt. So, on a net debt basis, we are still at around INR 4,300 crore . A good part of this, maybe around INR 250 crore to INR300 crore is purely because of the working capital increase, which has happened in the last part of the Q4.

Plus, as you would have seen, the exports share has gone up. Export revenues have gone up. So in exports, the receivable days are optically a bit higher than the domestic receivable days, which is the

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working capital profile continues to remain a bit elevated. So, INR 4,900 crore debt, obviously will not be there.

We have to look at a net debt number of around INR 4,300 crore . And as we speak, bulk of that cash has already been used to liquidate the debt portfolio immediately in the first week of April. So that is how it is. But yes, going forward, as the capex intensity is going down, the capex is coming down, the EBITDA and cash flow is improving, the debt for this year will start tapering off.

Aditya Khetan : Sir, just one last question. Sir, can you provide the breakup of the CWIP of INR 2,000 crore , which we have done in FY26?

Chetan Gandhi : A bulk of that would be for Zone IV. As you understand, Zone IV had a capex of around INR 1,800 odd crore . So, bulk of that would be with Zone IV. I do not have that exact breakup right now, but we will send it separately later on.

Aditya Khetan: Got it, sir. Thank you, sir.

Moderator : Next question is from the line of Amar Mourya from Lucky Investments. Please go ahead.

Amar Mourya : Hi, sir. Thanks a lot for the opportunity. Sir, I just want to understand like in terms of your pricing environment, primarily, let us say, if you see an agri portfolio, are you seeing some improvement in

the pricing and primarily a lot of supply, which was China -based. There were a couple of plants which had fire incidents. So, do you see any improvement in your pricing of the product?

Suyog Kotecha : So, I think on absolute pricing, of course, there is a huge positive trajectory compared to where we were in Jan. I think what we have to look at is the spread and margin because even raw materials have also gone up significantly. In some cases 60% in some cases, they have also more than doubled. So I think what we have to look at is spread and, I guess, not necessarily absolute pricing, which definitely is significantly better compared to where it was at the start of the Q4.

I think some of the incidents that you mentioned, which happened in China, yes, I think there is a sort of increasing scrutiny, especially on sort of nitration chemistry -related assets. And we see more and more regulatory constraints rightfully being put on these chemistries to avoid sort of hazardous operations, which are kind of non-safe, right? So, move more towards

continuous operation, put additional sales in place.

And that will mean that some of the smaller volume inefficient players will ultimately vacate the market at some point in time, and that should lead to sort of industry consolidation and sort of better conduct going forward. But it will happen over a period of time. In select products, we see impact of that in the near term. But I think, as I said, a broad -based recovery, we will, I guess, get to see a firmer trend over the course of next few quarters.

Amar Mourya : Okay. And typically, when you talk about spread, let us say, ideally, how much percentage of your portfolio in agro as well as in the energy space would have seen the improvement in the spread?

Suyog Kotecha : So, I think on agro side, frankly, we are currently, we are able to hold on to spread and that itself is , from a company's point of view, is a good outcome because passing on such a rapid increase in raw material costs to agrochemical, specialty chemical companies who have a much longer gestation period in terms of absorbing price rises, I think is a good outcome.

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I think over the course of next 3 to 6 months, we will be able to fully pass on the price rise provided there is certain stability that comes on the raw material side, which itself is a bit of a question mark right now. Typically, there is a huge amount of inventory in the agrochemical chain, right? We are at an intermediate level, but there will be inventory at the intermediate level, inventory at a technical level, inventory at a formulation level and inventory at ultimately end consumer level.

So, all of that needs to get adjusted before the full pricing is passed on. And that is what typically takes time versus if you look at some of the energy applications or some of the polymer applications where you are directly closer to end customer, there the price pass-through happens relatively quickly.

Amar Mourya : Okay. And typically, sir, one last from my side. Typically, how much percentage of the supply would have gone out of the system, let us say, because of this fire incident in China and these small facilities, which are now likely to be closed or on the verge of like closure because of the scrutiny increases and all those things?

Suyog Kotecha : Difficult to comment. We do not have answer for that. Also, the specific incidences that you are mentioning are not linked to our product portfolio, right? So, it does not impact AIL directly as such.

We are not in a position to answer that.

Amar Mourya: Okay. Fine, sir. Thanks a lot.

Moderator : Thank you. Next question is from the line of Nitesh Dhoot from Anand Rath Institutional Equity. Please go ahead.

Nitesh Dhoot : Hi. Good afternoon, team. Thank you for the opportunity. My first question is basically it looks like there is a higher inventory created that is also visible from the disconnect between the increase in the production figures across the products and the sequential revenue decline if you see, and that is despite the increased prices. So, what explains this disconnect? I see a stock adjustment line of INR409 crore that is increase in inventory. Could you give some color on this?

Chetan Gandhi : Yes. So, if you are looking at that, there are certain materials being moved out from India were exported out and are on seas reaching to our customers, and that is where they have been in transit inventory which you are looking at.

Suyog Kotecha : So that material given it is not delivered to a customer. I think the revenue for that part of the portfolio is not recognized.

Nitesh Dhoot : Okay. So, is that what explains the increase in the working capital on the inventory side between Q2 and Q4?

Suyog Kotecha : Yes. And some element of the raw material price impact, which came in the later part of the last month.

Nitesh Dhoot : Right. And so sequentially, there is a 22% increase on the other expenses

side on a 5% revenue

decline. So that is also partially related to the production levels versus the sales volumes?

Suyog Kotecha : That is primarily driven actually by freight. So, I think we saw , especially mid -Feb onwards, we saw sort of huge escalations in the freight rates. So, I think the jump that you see in other expenses, significant part of it is actually coming from freight. It is a combination of freight rates as well as the

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additional export volumes, right? I think the on an overall basis, almost 57% of total revenue came

from exports. And that is what is also reflected in the incremental freight and other expenses.

Nitesh Dhoot : Right. And sir, of the targeted EBITDA, so we expect about INR 350 crore to INR400 crore coming in from the capex, right? And with this the delay in the Zone IV capex by a few months, any slippages on the guided EBITDA numbers or probably would stay closer to the lower end of the EBITDA range ex of pricing gains, obviously. I mean, what are your thoughts?

Suyog Kotecha : No. I think, look, our target as a management team still remains on how to do catch up even with the 3 to 4 months of delay. But at the same time, we are transparent in communicating in terms of how are we progressing against our initiatives, right? I think we laid down a very clear path in terms of what actions we are taking to achieve the targeted growth. And cost and operating efficiencies, operating leverage, which is sort of relatively in our control is going as per track.

Most of the initiatives on the costs that are implemented, they will start accruing fully in the current year. Operating leverage, all initiatives are on track. There is no delay in any of these. Of course, near-term volatility will create quarter-on-quarter a different picture. But from a strategy implementation point of view, there is no lag effect there.

I think on the capex side, yes, we are behind compared to our original plan and that 3 to 4 months of delay will have an impact in terms of how much we were budgeting over the course of next 2 years, but we are figuring out strategies to mitigate that impact.

Nitesh Dhoot : And this is purely on account of labour shortages or any other reasons also partially responsible because 3 to 4 months delay is on account of labour shortages suddenly, I mean at least in last quarter, this was not spoken about. So, I am not sure maybe if you can explain.

Suyog Kotecha : This is the phenomenon of this quarter. There is a 35% reduction in the contract labour availability in the region where we are executing capex. And right now, the project is in the kind of last mile connectivity like where a lot of pipeline work needs to happen, which is usually significantly labour intensive.

And that is where I think the impact is hitting us right now. It is a combination of the impact of LPG and I guess, to some extent, also the election-related migration. We are working quite proactively to address that issue. But today, yes, we do have a significant shortage of contract labor in our project execution.

Nitesh Dhoot : Understood. And just one last, sir. So, this INR39 crore of revaluation loss on FX, I mean it looks slightly on the higher side for a particular quarter. If you can probably give some color on the total exposure and the hedging policies there?

Chetan Gandhi : So, we have roughly around \$87 million of an FX loan, which is unhedged and is open. Rupee depreciated by close to INR 5 from a level, I guess 31st December was at INR 89.8 or something and 31st March was at INR 94.8. So, there was a INR 5 depreciation on Indian rupee on \$87 million of exposure. Unfortunately, the accounting treatment requires us to take the impact of this on the day of the balance sheet, whereas if you look at our overall dollar perspective, say, this is relatively an exposure, which will be repaid over a period of next 8 years. Where

as I have got a larger export portfolio, which will absorb this as a natural hedge. But from an accounting point of view, that gains are accounted only once it is materialized where this loss is accounted now.

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Nitesh Dhoot: I understand. Great, sir. Thank you so much. It was really helpful.

Moderator : Thank you. Next question is from the line of Darshita from DSP Asset Managers. Please go ahead.

Darshita : Hi. Thank you for taking my question. Firstly, the INR1,800 crore to INR2,000 crore of capex that we are doing on Zone IV, can you give a split for the calcium chloride and the MPP plant? I mean, how much would it be? Would it be anywhere somewhere between INR 450 crore, INR500-odd crore? Or how should we think about it?

Suyog Kotecha : Typically, we will not share asset block by asset block capex. I think at an overall level, the number is what Chetan described earlier.

Darshita : Secondly, on the INR1,800 crore of EBITDA run rate, INR 150 crore, INR200 crore was from the cost initiatives. Any changes you think from the MPP plus Zone IV plus UPL JV that we may see? I mean, any change in the incremental EBITDA from these three segments?

Suyog Kotecha : No, I think at this point in time, we are not changing the EBITDA potential from all of these initiatives. I think the only thing we are highlighting is on the capex-led growth, I think we have seen a slight delay in the project execution, and that might have an impact on realization of that EBITDA potential in the given time frame. But apart from that, there is no change on any of the EBITDA potential that we have already highlighted.

Darshita : Right. So INR 300 crore to INR450 crore is something that can flow through, but maybe not in FY28, but could get delayed by 6, 7- odd months or something like that?

Suyog Kotecha : Yes.

Darshita : Okay. On the working capital days, I understand the freight-related issues and the war-related issues. But I believe that our exports will continue to grow as it is. So how should we think about the receivable and inventory days from here on?

Suyog Kotecha : I think it will remain pretty dynamic. I think one is export, but I think the export to which region also matters quite a bit because different regions have different voyage times, and that ultimately decides your working capital exposure. For example, in last quarter, a significant part of export was done to

U.S., which typically on an average has 2 to 3 months of voyage time.

So, your working capital requirements are much larger versus Middle East where voyage times are as low as 7 to 10 days, your working capital exposure is significantly lower. So frankly, difficult to comment at this stage. I think it does remain quite dynamic depending on which region you are sort of pushing your product to and transit times, customer terms, the situation in the market, all of that determines ultimately what kind of receivable position we end up landing into.

What is more important at this point in time is, of course, to ensure a very dynamic allocation of the product to the regions because global geopolitical situation remains quite volatile. So I think that remains a priority. And a subsequent impact of that in working capital is managed through incremental debt. We do not like it. It does cost us in terms of our balance sheet as well as the interest cost, but that's the necessity given the global situation at this stage.

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Darshita : No, no. So, I meant keeping the current situation aside, should we think about it as , I mean, total your net working capital days of anywhere between 60 to 70-odd days, we have also seen a 50 -odd day kind of a cycle. So that is where I was coming from and more so from a perspective of Zone IV is commercialized, then how would that incrementally affect our working capital days?

Suyog Kotecha : Ideally, we would like to remain within 55 to 60 days kind

of average levels. But as I mentioned, it

does vary depending on the market situation. But from an objective standpoint, I think we like to target 55 to 60 days kind of levels.

Chetan Gandhi : And I guess Zone IV will not materially change the number. It will continue to be in the same trajectory.

Darshita : Okay. Got it. And just lastly, on the tax rate. It is been a little volatile this year. I think you had mentioned 15% kind of tax rate for '27, 28, sorry , '27. Should we assume it to be 15%? Or is there any change there?

Chetan Gandhi : We should be in the range of maybe around 10% to 15%. This year, there are a lot of earlier tax litigations, which came in our favor, and that is why you have seen a lot of prior adjustments and the deferred tax adjustments and everything. Hopefully, with that getting over, we will not see much of volatility. But given the fact that we have Zone IV, which is getting commercialized and there is an IT depreciation, which is a significant part of deduction available, the tax rate will be in the range of around maybe 9% to 14%, 15% kind of stuff later on .

Darshita : Got it. Okay. That is all. Thank you.

Moderator : Thank you. Ladies and gentlemen, in order to ensure that management is able to answer queries from all participants, kindly restrict your questions to two at a time. You may join back the queue for follow -up questions. We will take our next question from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: Yes, good afternoon. Thanks for the opportunity. First on the follow -up on M MA, you did explain some of the dynamic, but just to get the picture clear. My understanding is there is 2 big applications for MMA. One is in the gasoline -naphtha blended application where they boost octane. The other one is the refinery, which are not able to meet the guidelines on the octane boosting ARO, they add MMA to meet the regulation .

Now given gasoline and naphtha spread in between, in fact, went to negative and even today, it remains in a weaker zone and considering the volatility, it does not seems that this dynamic is going to change pretty much in next 1 or 2 quarters. How should we think and if you can help us with the breakup, one is more sustainable, the other one could remain volatile.

So that is number one. And probably an associate question is that considering that crude has gone up, one can anticipate ethanol blending to rise very sharply, which in itself acts as an octane booster. And then there is a gas shortage, which can lead to some of these dynamics playing against us. I know we have a balance in terms of higher crude price, but I think there are a lot more headwinds. So, can you

help us explain this entire M MA situation? How is it going to think about it for next 2 to 3 quarters?

Suyog Kotecha : So, as you yourself explained, it is complex, right, because there are multiple trends that play out simultaneously. And trying to aggregate all of these trends, which have different directional impacts

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to come up with a concrete point of view on where we will land up at the end of 3, 6 months, frankly, is not an easy exercise. I think you only talked about factors, but also these factors vary region by region, right?

What gasoline naphtha spread we see today in the Middle East versus what we are seeing in Europe versus what we are seeing in the U.S. is also a very different number. It is not necessarily that all 3 regions will see exactly the same number on a given day. So with all of these factors playing out, I think the only objective effort that we can do is to ensure that we are working very closely with our customers to understand their affordability .

And in that context, optimize the volumes and spreads to ensure our manufacturing asset sort of runs at a healthy utilization levels. And also, it gives us guidance in terms of what is our affordability to buy our ra

w materials. And that is what we are focused on right now. I think the gasoline naphtha cracks have been very volatile.

And yes, there are days in which it has gone negative. There are days in which it has also gone up \$20 per barrel, right, given the sort of extremely volatile Middle situation that we have seen over the last 6 weeks. I do not think there is any conclusive trend at this point in time, which we can draw. And I do not think we will reach a stability until the situation in the Middle East is kind of directionally at least settled.

Till that point in time, the only thing that we do is to ensure that we remain very, very closely connected with our customers to understand their affordability and try and do sort of our raw material sourcing and the production planning linked to their affordability and their requirement, and that is what we are focusing on right now.

Sanjesh Jain: But can you just split between or probably give a breakup on how much it is where the pricing is not linked to the crack and it is just the production or the refinery inability to produce the gasoline and irrespective of pricing, they will need to add M MA to the gasoline.

Suyog Kotecha : I think that is , I would frankly say, it is a relatively small market. I think irrespective of pricing, the need to add M MA, I think that market will always remain a bit limited because M MA is not the only octane booster available in the market, right? I think there are multiple other products, albeit they operate at a significantly lower performance range. But there are, of course, alternate options available in the market.

So, at some point in time, the pricing economics has to come into the picture when it comes to customer decision -making. But we can have a detailed chat later. At this point in time, as I said, I think the objective remains at least the region where the trade flow is operating right now, there, how do we maximize sort of our share. And we hope that the region where currently the flows are closed, which is the Middle East, will hopefully open up as the things stabilizes.

Sanjesh Jain: That is pretty clear. My second question is on the contracts, not the 2 we have announced now. I am talking about the historical 5 contracts. One was cancelled . Can you help us on the business cycle, where are we in those 4 contract utilization levels? Have we reached the peak contract level? Where are we in those 4 contracts? I know one got terminated. So we were trying to do something out of it, but yes, on utilization level will help.

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Suyog Kotecha : No. So, without getting into specifics, but broadly, out of 3 contracts, one was for sort of advanced polymer intermediate that continues to operate as per the contractual terms. There is no volatility there. It is relatively secure and predictable earnings coming from that particular contract. The one linked to MMA, I think there were certain aspirations in terms of target volumes and that we wanted to achieve.

I think at least if you look at the last calendar year, I think that contract operated in that range, right?

So, we were able to achieve the target volumes. It does not mean that the monthly and the quarterly volumes necessarily are met. But at a yearly level, if you see I think that contract did meet kind of the targeted volumes. Our nitric acid contract, which was another long -term contract which we did for the purchase of the raw material also continues to operate as per the contractual terms, there is no deviation from that.

And there was another contract for agrochemical intermediate where the volume conditions are being made. But yes, from a margin point of view, there has been a pressure compared to what was originally anticipated during the contract closures. But that is the current status of the 4 large contracts.

Sanjesh Jain: That is great. One last on the balance sheet side. We ended this year with

4x -odd net debt to EBITDA.

And next year, there is a headwind of higher raw material translating into higher working capital requirement, and we have a target of reaching the 2.5x net debt to EBITDA. Can you help us the path to the net debt to EBITDA of 2.5x in next 2 years?

Suyog Kotecha : I think we , Chetan can add, but I think we closed the year at roughly INR 1,172 and our net debt was around INR4,300 crore .

Chetan Gandhi : Roughly 3.6x.

Suyog Kotecha : We are roughly at a 3.6 x level, just to get that perspective right. Going forward, of course, the anticipation is that the EBITDA will increase and the net debt will go down. I think this is the year potentially where hopefully, the cash flow should be more than the capex that we are planning to do, and from a working capital point of view, yes, there is a pressure, but I mean, whether it goes ; currently, we are operating at a crude level of \$100, \$110 a barrel, right?

If it goes to a scenario where it goes to \$140, \$150 a barrel, then of course, we are looking at a scenario where the raw material ; the working capital requirement will go even further up, and that will put a strain on the balance sheet. The likelihood of that scenario, we do not know. In general, the anticipation is that the pricing scenario should stabilize at the current level or should get corrected once the situation normalizes, and that should ideally lead to reduction in the working capital requirement going forward. And as I talked about capex and with the capex intensity going down and the operating cash flow going up. Overall, at least the internal target is to reduce the net debt levels from the current levels in the current financial year despite the current pricing scenario and the capex intensity that is planned for the current year.

Sanjesh Jain: Super. Thanks. Thanks for all those elaborate answers and best of luck for the coming quarters.

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Moderator : Thank you. We will take our next question from the line of Dhruv Muchhal from HDFC AMC. Please go ahead.

Dhruv Muchhal : Yes, sir. Thank you so much. Sir, the nitration -related incidents in China probably are linked to some specific product, one key product. But I am just trying to understand, based on some of the commentaries, it seems the read-through is ; I mean, the implication could be for broader nitration -related chemistry, similar nitration -related chemistries. I am just trying to understand how are you reading this development? Also, is our nitration product -related change very different than probably what the Chinese are doing and the implication would be for, the impacted products would be for them?

Suyog Kotecha : Yes. So, our product portfolio is significantly different compared to some of the products in which these accidents have happened in China. So, there is no direct linkage, first of all. Second, in general, I think it is good that the regulatory standards, the standards on safety will go up, and that will help in general, overall chemical industry, and that is good for the society. The corollary of that is with increased governance with increased standards, it is possible that some of the smaller scale inefficient operators will be forced out of the market. And but that is expected to happen over a period of time and not sort of in a knee-jerk manner. And that is what will help the overall sort of margin profile of these nitration chemistries. But as I said, there are multiple products which get manufactured using this chemistry and one-to-one linkage is always difficult. But broadly speaking, as an industry, I think we are on the right track when we say that we want to improve the standards of safety and the standards of governance on some of the hazardous chemistries.

Dhruv Muchhal : Sure. Now based on the reading, what I understand probably if you can help me, was that the problem was or the issue was primarily related to th

e nitration related, whatever they were doing in that particular molecule. So the nitration that we do, is it very different? I am just trying to understand, say, for example, a chemical plant in China is doing nitration on a separate and a different molecule than the insulin -related molecule. Will they also see a tightness or this will not have any implication on them?

Suyog Kotecha : I think in general, the standards go up, they get applied as a rule across the product portfolio, right? It does not remain get to a particular product. It is applied to the chemistry and a reaction level and not necessarily for a particular product. So yes, everyone will go through increased scrutiny. I think especially from an AI L standpoint, bulk of our operations now we have moved to continuous nitration, which is inherently much safer than the batch nitration. And I think we have significantly enhanced our safety practices and safety measures when we are operating such chemistries over the course of last now couple of decades, right, which is sort of visible also in our performance on the safety dimensions and our recognition by the global bodies when it comes to safety and sustainability parameters. So we feel very confident and comfortable. And we also feel that the actions currently getting taken in China are in the interest of the industry from a long-term point of view.

Dhruv Muchhal : Sure, it helps. Sir, secondly is on the Bayer contract, the long-term contract, although we have seen some positive developments related to that final technical molecule in U.S. So any changes for us in terms of how we see; and also the duties in U.S. probably are now lower. So any changes that we see on the , utilization of this asset now?

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Suyog Kotecha : I think as I mentioned in the last call, I think sort of 50% of that asset is used to manufacture one particular intermediate that goes into Dicamba. And there, we are seeing steady volumes right now. So it will definitely lead to a better utilization of that asset in the coming financial year.

Dhruv Muchhal : Sure. Got it. And lastly, if you can speak about RM availability, primarily methanol and I think sulfur related. How is the availability for you? I understand price will be high, but in terms of physical availability, are you seeing challenges?

Suyog Kotecha : No. In terms of physical availability, we are well covered so far as far as both of these commodities that you mentioned. It does come at an increasingly higher cost to ensure that sort of all of our plants are fed 100% of the requirement. But from a physical availability point of view, we are well covered on both of these commodities.

Dhruv Muchhal : Got it. And when you say covered, it is for duration?

Suyog Kotecha : So, it depends on the commodity, something like m ethanol, we will typically have a coverage of a couple of months, something like sulfur, given it is a domestic supply, we will have a contract in place, and we will have a coverage of a few weeks. But so commodity by commodity, the coverage will change.

Dhruv Muchhal: Got it. Sure, great. Thank you so much and all the best. Thanks.

Moderator : Thank you. Ladies and gentlemen, we request you to restrict your questions at this time, please. We will take our next question from the line of Rohit Nagraj from 360 ONE Capital. Please go ahead.

Rohit Nagraj : Yes, thanks for the opportunity. Just one question on the demand side. So you mentioned in one of the remarks that the demand contraction in exports market probably for the discretionary portfolio can be taken care by the domestic market. So, what gives us confidence that there may not be a material distortion even in the domestic market given that the pricing for the same discretionary portfolio will go up in domestic market?

Suyog Kotecha : That comment, Rohit, was specifically for dyes and pigments in the context of a particular product where there

is a pressure in the global demand, but that is getting offset by the increase in the domestic demand. I think in general, your point is right. If globally because of West Asia war, if the global interest rate cycle reverses and there is a global inflationary scenario, which links to potential downward trend on the global GDP, then of course, it will have an impact on the discretionary spend, not only in the global markets, but also in the Indian markets. But that is a scenario which we continue to monitor and sort of mitigate. At this point in time, difficult to comment, but it is a potential risk in case we start seeing impact of the global GDP level, including India.

Rohit Nagraj : Right. Just one number related question. What would be the gross block by the end of FY27 when the entire Zone IV will be commissioned?

Chetan Gandhi : End of FY27, we should be in the range of around INR 9,500 crore to INR10,000 crore . We do not have the exact number, but around that range.

Rohit Nagraj: Sure, that is helpful. Thanks a lot . And all the best.

Moderator : Thank you. Next question is from the line of Surya Patra from PhillipCapital. Please go ahead.

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Surya Patra : Yes, thanks for this opportunity. Sir, just a couple of clarifications of what you have commented already. When you said that raw material security, is it fair to believe that for the June quarter, at least there is a 100% kind of raw material supply security that has been insured? Is that right understanding?

Suyog Kotecha : Given the way the situation changes here on every week basis, I think affirming anything for next 2 months seems like; anyway, let me not go there; broadly, I think we are well covered based on our current planning today. Of course, we cannot predict hypothetical scenarios two weeks down the line, three weeks down the line. As of now, based on our current contracts in place, we feel we are well covered.

Surya Patra : Okay. Second clarification about the freight. This is generally the spike in the other expenses quarter - on-quarter basis, what we see. You mentioned that, that is a large portion of that is due to freight. But looking at freight share kind of 7%, 8% of the total. So even with that getting doubled, so the number is slightly higher. So and second related aspect, what I want to understand, whether this elevated freight is still June quarter end or it can be very short -term phenomenon also?

Suyog Kotecha : There are 3 elements to freight, Surya. There is rate, which is a unit rate. The second is the volume and third is the destination, right? And all 3 were adverse in the last quarter, rate because of West Asia war -related issues, I think the freight rates went up. Volume because we did substantially higher exports, right, 57% of it is exports.

And the third is the destination mix because we pushed out a lot of material to U.S., which is the longer as time and a significantly higher freight compared to, let us say, markets like Middle East, where the absolute quantity of freight also goes down significantly compared to U.S. It is a combination of these 3 things, and that is where you see significantly higher number.

Surya Patra : Okay. And just last one point, sir. While you are kind of a bit cautious given the short -term situation that is visible, but you are also very confident about the potential for FY27 in terms of growth and all that, looking at strong order book visibility or positioning and also the new project contributions. So, if you can elaborate a bit where from that you are seeing the strong order book visibility? And if you also can give some sense about the upcoming project, whether it could be the JV with the Superform JV or the plastic recyclability, how meaningful those 2 projects, which is coming this year in terms of number contribution for AIL?

Suyog Kotecha : Yes. So, I think the midterm to long-term confidence comes from

the fact that what we have been able to deliver on volume growth in the last 18-month time frame, right, which has shown that if we operate with agility in the market, we are able to get the market share and we are able to push up utilization of our assets. It is also kind of reaffirms our cost competitiveness when it comes to getting the required share of wallet from our customers. So, if we sort of disassociate ourselves from the near -term headwinds of West Asia war, I think in mid -to-long term, the ability to run the asset to their full potential and getting the required share of volumes from the global market, I mean that confidence level is there, and that is what is reflected in sort of our mid -to-long term guidance. And as the cycle turns, as we have seen in some of the chains, if you are operating at a higher volume base, then the recovery in margin supports you in incremental way because the margin gain that you get is on a significantly higher volume compared to your old baseline, right? So that the broad thesis for the mid -to-long term.

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From a JV point of view, we expect Augene to commission within hopefully, June, July kind of time frame, which is the JV with Superform. And that should actually ramp up to a full utilization level within the current financial year. So that will start contributing meaningfully. I think the recycling JV is expected to commission within this calendar year, I think it may not contribute meaningfully in terms of numbers as of now, given it is a first of its kind plant and there will be a time frame to establish that technology as such. But nonetheless, I think the proof of that technology will be

established within the current financial year.

Surya Patra : Sure, sir. Yes . Thank you for all the answers and congrats.

Moderator : Thank you. Next question is from the line of Kumar Saumya from Ambit Capital. Please go ahead.

Kumar Saumya : Hi, sir. Good afternoon. So just a couple of questions from my side. On the backward integration capex that you have announced for one contract. So, if I remember right, that was a fixed margin contract. So how will this backward integration help in that contract?

Suyog Kotecha : It is an additional fixed margin that we will get for the remaining period of 15 years.

Kumar Saumya : Okay. And the second contract, sir, that you said, this is the revenue potential over the next 3 years, that is '27, '28, '29 and '30, right?

Suyog Kotecha : Yes, 4 years.

Kumar Saumya : Yes, sir. So, in this Eugene JV, what should be the margin that we should work with considering how the ramp -up will be and what is the contribution that we should expect?

Suyog Kotecha : I think I mean, honestly, maybe it is the right question to be asked to the JV management team as such. But in general, our philosophy is that JV should operate at a slightly better margin profile compared to where AIL is operating at this stage. Just to be sort of doubly clear, though we will start presenting EBITDA from that JV as and when the number starts becoming relevant.

But from a consolidation point of view, given it is a 50-50 JV, it will not consolidate into AIL. We will most likely report the numbers on a separate basis. But from an accounting standard point of view, that number might not consolidate into AIL at the EBITDA.

Kumar Saumya : Got it. So, it will come as a separate line item here. Thank you, sir. That will be all for now.

Moderator : Thank you. Next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal : Hi, sir. Thank you for taking my question. On the few contracts that you announced this year, and in the last call also, you alluded to the point that you are looking to probably I think we are probably stepping up activities around partnerships and JVs, the conversations are going up. So, I just want to check with all of that is clearly going on in W

est Asia, has there been a loss of momentum in some of those conversations or they are going on as they were even prior to the conflict?

Suyog Kotecha : No, I think there is no loss on momentum. I think it does continue. Of course, from a bandwidth point of view, management bandwidth point of view, sometimes the crisis management takes decisions over some of these activities. But I think we have created good enough structures within the organizations to ensure that the momentum is not lost. So, I would say that on an overall level, we do not see

momentum falling. In fact, we see momentum increasing because people are increasingly looking at

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more robust supply chains, more secure supply chain for their global requirements going forward.

And we expect many such conversations to proceed and conclude in the coming financial year as well.

Nitin Agarwal : And what is the nature of qualitatively this kind of arrangements that we are exploring with people? I mean what is the motivation for them to tie up with somebody like Aarti?

Suyog Kotecha : So, I think , again, it is a long conversation, but I think in one line, I think it is our ability to deliver extremely reliable and safe operations in complicated chemistries in the most competitive manner, right? That is the value proposition that we offer. And I think the heartening thing to see in the last quarter was the repeat long -term contract from the global major, right? I think it is one thing to get a long-term contract. But if the same major comes back to you with a repeat long -term contract, that also gives you a significant validation of the value proposition that you are putting up in this partnership, and that was very heartening to see. The nature of the contract will keep varying. Some of these are fixed margin contracts. Some of these are pure buy and sell linked to index prices kind of contracts. So I think every partnership looks different from a commercial arrangement standpoint. But nonetheless, it does improve the quality of the portfolio going forward and brings a certain amount of earnings visibility.

Nitin Agarwal : And just to push that point, is it fair to assume that when you look through the next, say, couple of years or more, such kind of incremental partnerships or JVs that we will do will contribute or begin to contribute much more meaningfully to our business as we go forward and overall helping the earnings quality ?

Suyog Kotecha : That is the intention as well.

Nitin Agarwal : And last thing, when you look at the disruption with whatever is happening for now with the West Asian war, I mean, at what point does it become a challenge for us? I mean is there a particular scenario or scenario by which it derails probably our trajectory? And at what time it does not really ; it is only a temporary hiccup for us. I mean is there a way to it?

Suyog Kotecha : I do not know how do you; so for us, it is a challenge today, right? I think it is not easy to handle more than 60% increase in raw material pricing in a 2 weeks' time frame. It is not easy when 10% of your revenue, which is going to a market suddenly shuts, right? So, I think it is a challenge even today.

And I think as I said, the only way you can manage it is sort of be proactive, be agile in terms of all the actions that you can take to minimize the impact of such disturbances. So, I would say the situation is serious enough where it is a challenge today. But at the same time, I think we are putting in a lot of efforts and actions to mitigate the impact to the best extent possible.

Nitin Agarwal: Thank you so much. Best of luck.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you.

Suyog Kotecha : Thank you. Thank you all. We appreciate your ongoing support and participation in today's call. I think despite th

e prevailing near -term headwinds linked to the West Asia war, our disciplined approach allows us to manage to this field effectively. We remain committed to our growth trajectory and look forward to engaging with you again. Please feel free to connect with us for any follow -up queries. Thank you once again. Have a good day.

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Moderator : Thank you. On behalf of Aarti Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines .

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